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"Techno Electric & Engineering Limited
Q1 FY2023 Earnings Conference Call "

August 16, 2022

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Techno Electric & Engineering Limited
August 16, 2022

Page 2 of 20 Moderator : Good day ladies and gentlemen and welcome to the Q1 FY2023 Earnings Conference Call of Techno Electric & Engineering Limited hosted by Asian Markets Securities Limited .

This conference call may contain forward looking statements about the company, which are based on beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict . Actual results may differ from such expectations, projections , etc. whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded . I now hand the conference over to Mr. Kamlesh Kotak from Asian Markets Securities Limited . Thank you and over to you Sir!

Kamlesh Kotak : Thanks Michelle. Good afternoon everyone. On behalf of Asian Markets we welcome you all to the Q1 FY2023 earnings conference call of Techno Electric and Engineering Company Limited . We have with us today Mr. P.P. Gupta ji - Managing Director representing the company. I would request Mr. Gupta ji to take us through the Q1 financial results and the business highlights and then we will begin the Q&A session. Over to you Sir! Thank you.

P.P. Gupta : Thanks Kamlesh. My apologies for being delayed by about five minutes , so good afternoon to all of you gentlemen and ladies to join to discuss our financial results for the first quarter ending June 30, 2022. Anything said on this call, which reflects our outlook for the future or that could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company or the industry faces.

Let me highlight our performance, which is on expected lines. The total revenue in this Q1 stands at 173 Crores approximately, which includes revenue from EPC around 142 Crores and from the wind segment around 31 Crores. The EBITDA for the company stands at around 48 Crores. The operating profit for EPC segment is at around 21.25 Crores. We experienced some pressures in the EBITDA margin due to high commodity cycle prices and also higher overseas freight. The other income is at around 13 Crores, the profit before tax is at around 50 Crores and PAT is around 36 Crores, which is closer to March last quarter. The EPS is at 3.27. The current investment value in cash and cash equivalent stands at around 1200 Crores, which is about Rs.100 Crores per share. The significant achievement in this quarter is that we got business worth almost 1900 Crores, which is the highest record in last four years as recorded by the company. The unexecuted order book as on June 30, 2022 is at 3214 Crores. As committed in last quarter this is on the outlook side we have

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Page 3 of 20 been able to tide over the difficult times and achieved some growth last year and we foresee significant growth for the coming years, which begins with the frontier. Primarily in the second half we expect that growth momentum to continue for

financial year 2023, 2024 and

2025 also. We expect large business out of the FGD segment, AMI segment and data centres and the transmission business will continue to be as usual. In the coming years we expect strong power sector reforms, as power and energy converge. Additionally, there is significant focus and stress on availability and reliability of power supply. The cost of power and improvement of overall financial health of the sector is the key focus of the government whilst sustainable renewable power will continue to be focused and related infrastructure there is significant focus on bringing the power and distribution segment. The transmission infrastructure for renewable power including existing capacity is required for 500 gigawatts by 2030. Additionally 25 gigawatt of energy storage solutions are planned to be there over the next five years. The FGD segment will continue to be in focus as per government notification; all coal-fired stations need to limit their sulphur emission as defined by Pollution Department by December 2024. There is a considerable progress in CPSU in ordering the projects for implementing the solutions, but the same will be now happening with SEBs and private sector. The order dated April 1, 2021 of the Ministry of Environment says that plants near populous regions and the capital towns will have to comply by 2022 while utilities in less polluting areas they go up to 2025, but I expect that this maybe extended by two years. The Supreme Court also refused to entertain the Delhi government's petition seeking directions to tech allegedly polluting coal-based thermal power plants in Uttar Pradesh, Punjab and Haryana to immediately stop operations till FGD technology is installed to reduce harmful emissions. We have got orders worth 1450 Crores for FGD and in this quarter this level of business will continue for next three to four years as 80 gigawatt is yet to be ordered by CPSUs, SEBs and private sector.

Transmission segment, we largely expect that there will be a status quo in the transmission side though we are witnessing an upswing in the ordering of transmission infrastructure over the past couple of months. TBCB bidding for the last lot of 60 gigawatt of renewable power out of 175 gigawatt has started, days of bidding has been extended, since last year we planned to build our projects worth about 1500 Crores, allocation for strengthening of power system has been doubled to almost 30 billion in union budget for 2022-2023 and from Rs.40.55 million in the last budget 2021-2022. We have seen good interest from large investors with funds to participate in above bids by making our company a significant partner. This will enhance our access to capital that will help us in bidding towards more competitively.

Metering segment in distribution AMI. On the distribution side we see a lot of activity happening going forward particularly in the case of automatic smart meters we are

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Page 4 of 20 refreshing focus on strengthening our power distribution network to make them smarter, stronger and intelligent. The main aim of the government is to improve efficiencies, contain losses so that the health of the DISCOMs could be improved. The government on August 8, 2022 tabled the Electricity Amendment bill in the Lok Sabha (inaudible) 9:43 the government wants to give consumers their choice of multiple power supplies as in case with mobile and internet services apart from making provisions for timely and adequate tariff revisions. The bill seeks to amend Section 42 of the Electricity Act to facilitate non-discriminatory open access to the distribution network of a distribution licensing. It also seeks to amend Section 41 Act to facilitate users of distribution networks for long licensing under provision of non-discriminatory open access with

ith the objective of enabling

competition, enhancing efficiency of distribution licensees, and also improving services to the consumers and also ensuring sustainability. It also seeks to amend Section 62 of the Act to make provisions with graded revision in tariff over a year besides mandatory fixing of maximum ceiling and minimum tariff by the appropriate commission. It provides for amending Section 166 to strengthen functions that will be discharged by the respective regulators that is CERC. The bill also seeks to amend Section 146 to convert the rate of punishment from imprisonment to fine. The bill so as tabled will also amend Section 152 to facilitate decriminalization of offence as it would be mandatory to accept compounding. We are very hopeful that power sector is at a well critical juncture and something good should happen going forward.

Wind segment, we have taken generic resolution to sell a part of the wind assets other than required for our own data center. We have 129 megawatt in three pockets, 60.5 megawatt in Tirunelveli, 51 megawatt in Coimbatore and 18 megawatt in Karnataka. In view of the present challenges prevailing in power sector due to coal shortage we are having good offers for our wind power assets from the local industries for captive power use. In view of this it is considered prudent to sell a part of the capacity as feasible in the present situation. The total requirement of power for data center is 36 megawatt and company might be focused of this energy will be transferred to a wholly owned SPV to acquire CGP status for supply to power data center next year by June 2023 when it gets ready.

Data center, COVID -19 has impacted our life in multiple ways, but one positive outcome of this is a growth in the digital space. With the growth in the digital space (audio cut) 13:04 data privatization it is expected that the third-party data center industry will grow significantly from the current level to 2 megawatt in the next three years at least to 5 gigawatt by 2024. Till date most of the data centres are located in Mumbai and now Chennai used to catch that. Airtel, Adani or EQNext are already in the process of setting up data centre at SIPCOT IT Park now Chennai further validating our choice of location.

Techno is also in the advanced stage of setting up of this data center of 24 megawatt of IT Techno Electric & Engineering Limited

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Page 5 of 20 Park of ultra scalable hyper density nature, we have acquired the project and received all statutory approvals of construction and we have achieved significant progress on construction by building foundations are nearly ready now as we have an account. In the first floor I expect the building superstructure to be completed by end of this year. We are hopeful of commissioning the project by June 2023; additionally we will consume renewable power from the operational wind energy capacity to classify the data center S3 which aligns with the policy of major and hyperscale customers like Google, Microsoft or Amazon because of their ESG commitments. Furthermore we are seeing aggressive interest from strategic partners from USA and Singapore and also private equity firms who entered into a joint venture for data centers in India. We are evaluating the available options and shall conclude on the way forward soon.

With Capex of Rs.1300 Crores that is around 45 Crores per megawatt, 60% to 65% capacity is involved in electromechanical ones, which is our in-house expertise and we will be able to (inaudible) 15:30. With in-house renewable energy, DPC capabilities and prior experience of developing infrastructure projects we are in better position as compared to the industry. With this I will invite questions from our respective investors.

Moderator : Thank you very much. We will now begin the question and answer session. Ladies

and

gentlemen we will wait for a moment while the question queue assembles. The first question is from the line of Sandeep Tulsiyan from JM Financial. Please go ahead.

Sandeep Tulsiyan : Very good afternoon. I have a couple of questions, firstly on the overall order book I think we announced that the order book is now 3200 Crores which is very heartening and we have booked orders of 1900 Crores, just wanted more details as you mentioned there are two FGD orders over here that you have won worth of 1450 Crores if you can share more details of who are the clients over here, what is the size of each order in terms of rupees and Crores and in megawatt if you can give those details and the other large orders that you won which is part of this 1900 Crores inflow ?

P.P. Gupta : Are you complete or may I participate now?

Sandeep Tulsiyan : Please, Sir, that is the first question, I will follow up with the other questions after this.

P.P. Gupta : There are two stations for which FGD order is received one is Jhalawar and another is Kota from Rajasthan, Kota is 3 x 200 megawatts each or 250 you can say per se and Jhalawar is 2 x 600 megawatt likely and Jhalawar order is worth about 750 Crores and Kota is about 700 Crores so both put together is 1450 Crores and other order we have received is from Power Grid for 300 Crores for their transmission works in the state of south for Tuticorin and another in Rajasthan, so these are the key order achievements in this quarter and one is from Techno Electric & Engineering Limited

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Page 6 of 20 Chhattisgarh we are going to do 400 kV station for 150 Crores approximately, so these altogether is a round 1900 Crores in this quarter, so we are seeing good traction starting from previous quarter to this quarter now and most of these are new businesses are happening, so obviously it will take some time for completion of engineering, ordering and they will fall in time wise also I will say as the commodity cycle is cooling down, getting more affordable, so we prefer to use this quarter in closing out most of the old obligations, which got spilled over from the last quarter, so we must have close no less than 12 projects and realized final dues. Our receivables are all time low now almost around 130 Crores and creditors are also almost below 300 in that sense, so there is a lot of clean slate we are beginning going forward and we see a great growth happening in Q3, Q4 in this year and we maintain our target of topline, but first two quarters will be like -to-like of last year maybe a little better here and there.

Sandeep Tulsian : Related to your press release that you have put on BSE that we have announced orders of 618 Crores, but there is no announcement for this balance 1450 Crores that you have mentioned, just wanted to understand these orders are still in L1 stage or all they confirmed?

P.P. Gupta : No, these are all confirmed and advances are in process not to be received shortly I do not know what is we have filed if you go to our exchange site you may find all the details, maybe the exchanges in their transmission may not be showing the whole of it, but if you go to the site of the exchange you will find all details.

Sandeep Tulsian : Understood, this 1450 Crores of FGD plus 680 Crores what you have announced on transmission side adds up to 2130 Crores but you are stating in the quarter that is 1900 Crores, so the difference of 230 Crores or 250 Crores is it post June 30, 2022 or like how do we add up that?

P.P. Gupta : No, we have only said in this quarter it is 1901 Crores comprising basically three clients Power Grid, Rajasthan and Chhattisgarh and breakup is 1450 Crores from Rajasthan, 300 Crores from Power Grid and 145 Crores from Chhattisgarh, maybe some confusion over the rollover of last quarter business which was also again another 500 Crores

to 600 Crores in last quarter.

Sandeep Tulsian : That 230 Crores would have got booked in the last quarter?

P.P. Gupta : Yes, absolutely.

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Page 7 of 20 Sandeep Tulsian : Sir, secondly, I have heard you saying that you are maintaining your revenue guidance of this year for FY2023, so that growth expectation is still at 30% for the EPC segment and margins in that 12% to 13.5% range?

P.P. Gupta : Absolutely right, topline will grow by 20% to 25% without considering data center topline let me be clear, so far we have not decided in which year we will take our own development revenue maybe we spill over to next year or we may book in the last quarter this year, but without data center we are targeting for third customer business, a growth of about 20% over last year so that will be around 1250 Crores to 1300 Crores.

Sandeep Tulsian : The margins are same because you have done better in first quarter..

P.P. Gupta : We are hopeful to improve. First quarter if you see an issue where not much procurement was involved to be honest because they were lost like works left in the projects and then you get some kind of PV revenue also in this quarter in the closing of the projects, so it is all hybrid I will say in a sense, so actually in our business to be honest Sandeep quarter-on-quarter makes a little sense because if you truly ask me as a personal experience in this segment I will say project specific return is more important than quarter-on-quarter per se, but nevertheless we have to perform this role and at times which quarter is hit by what we never know, but intentionally strategically also wanted to play this role when the high commodity cycle impact is there so that we do not make any high cost commitments and find opportune time to move forward in booking new supplies or new engagements, so it is all a blended solution I will say Sir.

Sandeep Tulsian : So, that is POC completion revenue understood. Just on the order inflow guidance for this year in the past call you had guided say somewhere around 3500 to 4000 Crores of inflow we should be able to get because 3000 Crores you mentioned is already booked for L1 and some more orders can come in, so what is your guidance refreshed which you think surely you will be able to book in FY2023 and also all these orders which you won of 1900 Crores of course they would have won after some negotiation over the last two to three quarters, so do you see margins for these orders should be in line with your company level margins or should be the higher or lower if you can give some perspective on that?

P.P. Gupta : No, in line with the company guidance of 13%, which we have given, but we will try to

improve on it let me say that number one and on order I maintain the guidance that we will attempt to book orders about 3000 Crores this year plus another 1000 Crores to 1500 Crores further orders should flow in over the next three quarters where we are L1 or we intend to pushing our projects in these segments, but most heartening part now is that my dream of Electricity Act getting through and creating vibes in the sector is going to happen, so that is Techno Electric & Engineering Limited
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Page 8 of 20 going to be a long-term driver, which happened in 2003 when the Electricity Act was enacted so exactly down 20 years we are again getting into that opportunity I would say.
Sandeep Tulsiyan : Understood, so I have a couple of questions on the data center, firstly on this Chennai data center if you can guide us how much capex because this is guidance or the path that you had guided is on getting the technical partner on board and getting the construction kick started it seems to be a little bit delayed than what the initial timeframe was although we are still

maintaining using commission by June of next year, so how much money you will be spending over there in this financial year, do you still think you will have the partner in place by September quarter or December quarter, what is the timeline an investor should expect out of this?

P.P. Gupta : The phase one of this project which we intend commissioning by June 2023 is around 550 Crores in total out of the whole project capex, by now we have spent about 100 Crores already, so you can say it will be another 100 Crores for each quarter in the next two quarters and balance 200 Crores in the last quarter of January -March, but we have some term sheets on board where we have a non disclosure agreement so I cannot share with you, hopefully that should also get finalized by September, we have interest from very reputed global entities I can say that much.

Sandeep Tulsiyan : Understood and the revenue booking, which you had guided, will start from FY2024, so what kind of revenues should start coming in from the first year on this one ?

P.P. Gupta : Gradually it is a four phase divided center each of 6 megawatt IT load and each quarter thereafter we will be completing one phase of the project so that the total station is commissioned no later than March 2024 in totality or earlier depending on how our partners is able to get it engaged or find a tenant to it , so you can say that other than the power revenue, which I will like to keep outside generally the rentals, which go in the segment is around \$100 per kW plus or minus per month, so you can calculate that way it will be achieved accordingly.

Sandeep Tulsiyan : Understood and last question Sir I have on the balance sheet side, you did highlight the cash and investments are 1200 Crores, but on the receivable side just want to understand is there any pending which is left from the metalloid and the other slow moving receivables what we had anything pending or those real estate companies where we had given some ICDs anything is pending over there and on this wind asset you mentioned other than that (audio cut) 30:40 you will be liquidating, so what should we assume like will it be in line that 5 Crores per megawatt kind of a deal value what all the transactions you have done or has it improved or has it gone down, where the market is in terms of your expectations, if you can give some broad guidance, not exact numbers, but a broad guidance for that?

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Page 9 of 20 P.P. Gupta : You see firstly when I say 36 megawatt I always mean like a demand load and which will also be growing in the segments as we commission and this 36 megawatt is required when full station is commissioned between you and me, when we have complete 24 IT load on the station then we will be needing 36 to 40 megawatts, which is equivalent to around 80 to 85 megawatt on the wind power capacity as a CUF comparison or like -to-like, so we will be targeting first to sell out around 40 to 50 megawatt of the wind power assets bringing down our capacity to around 80 megawatt, 80 to 85 megawatt or little more and that kind of MoUs we have already entered into and the price realized will range between 4 Crores to 4.5 Crores not 5 Crores I will say, but definitely whatever power we are able to put to our own captive shoes that will be more valuable, but going forward if Electricity Act happens and open access as happens we do see some kind of more competitiveness in the power rate in the market.

Sandeep Tulsiyan : On the receivable part, both the private ICD side and the Tamil Nadu SEB side and the slow moving receivables out of these 130 Crores ?

P.P. Gupta : In Tamil Nadu now the bills are in process and we are hopeful of getting payment something in this month and something next month by virtue of High Court intervention also and government is also

o facilitating payments from DISCOMs, but definitely

TANGEDCO is bit of a concern which has remained over the past, but we are able to make our presence felt now number one. As far as ICD is concerned we have cleaned up our balance sheet already full as all the amounts more or less stands realized, so there are no more outstanding, but you can say claims of certain kind of penal interest or legal expenses still stands outstanding with metalloid where we hold their post dated cheques and in due course we may be getting it.

Moderator : I am sorry to interrupt Mr. Tulsiyan, I would request you to rejoin the queue, please, and as there are other participants are waiting for their turn. Thank you.

Sandeep Tulsiyan : Sure. Thank you.

Moderator : Thank you. The next question is from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal : Good afternoon, Sir. Sir, my first question is if we see during this quarter there seems to be some slow down in the EPC revenue, so what has impacted the execution I understand there is seasonality, but even comparing with the past trend there is a weakness, are there any specific reason?

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Page 10 of 20 P.P. Gupta : Firstly if you understand our sector little more closely I will not say it is a slow down, actually project is always a two to three cycle to deliver fully and any new business take some time in terms of the documentation, engineering, approvals, collaborative before it becomes revenue oriented, it is all generally around six to eight months and it is always productive between 8 to 20th month and then it starts tapering down towards the closing part, so this revenue streams per project are always a cycle I will say and this quarter I will say that it is most productive quarter for the company may not be as numbers, but in terms of managing the working capital and other related commercial risk and all that because closing a contract is more important in our business than bagging a new order firstly that must also be appreciated, so we have significantly brought down our receivables, closed no less than 12 projects and realized all their dues, paid off the creditors, so it is a lot of cleaning, which always should happen in our type of options before you start again getting into the new commitments, so now we are getting into a new cycle and Q3, Q4 will catch up whatever we have lost in Q1, Q2 in the process because almost 3000 Crores worth is a new business with us or even 2700 Crores you may say in last quarter and this quarter, so all this will be productive in Q3, Q4 now and onwards thereafter, so it is not a slowdown, but I will say that it is wrapping up of the leftover jobs, works, businesses, payments, realization of bank guarantees, claims, dues and whatever you say it is a more hard work in our business, bagging a business is simpler than closing a business with no claims on either side, so this has been a very, very productive quarter for us.

Deepesh Agarwal : Understood, Sir. Just one clarification, this Bhuj transmission line is not included in the 1900 Crores inflow which you have mentioned, right?

P.P. Gupta : We do not do line watcher.

Deepesh Agarwal : In the press release which you gave last week you have got some work on the Khavda -Bhuj line worth of 233 Crores so that is not included right?

P.P. Gupta : That we booked in last quarter that is from Adani Khavda and Bhuj, it was already bagged in March quarter.

Deepesh Agarwal : Understood and what is the execution timeline of our order book, so do you think the guidance of 20% plus growth this year can also be replicated next year based on the current order book that was expected in Q2?

P.P. Gupta : It has to Sir, I have no choice, if I have to complete a project in time then only you can say as a thumb rule year -o

n-year we must achieve top line which is 50% of the order backlog with us so if order backlog is presently at 3200 so truly speaking I should have achieved 1600 Crores this year where we are targeting only 1250 Crores now this year, so the 350
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Page 11 of 20 Crores impact will be visible next year and with the growth in further order book, so next year has to be 1500 Crores the 1600 Crores in anyway and I have already told you in the last March quarter results that we are definitely going to develop our top line by the year 2025 Sir.

Deepesh Agarwal : Sir, given that we have got these orders in the FGD segment wherein we have seen lot of competitors struggling on the profitability do we expect any kind of a dilution in the profitability on the new orders?

P.P. Gupta : Not at all because those who are suffering in FGD they were the start, they all happened when they booked orders two, three years back and they all got delayed and affected by the commodity cycle also and even otherwise the prices at which they bagged the business was

very low, if you read the CA report on it if you are tracking it initially these packages were all going at 35 Crores to 40 Crores per megawatt, which today has come to almost one Crore per megawatt close to that like our Kota station is 750 megawatt only and order value is almost about 720 Crores, so as you go along you are able to price it closer to the market realities and also these orders are protected by PV clauses additionally.

Deepesh Agarwal : Understood. Sir, what would be the EPC position of the data center revenue which we will be booking this year because if you are doing a much of data center capex this year then there would be equivalent or say some 60% to 70% of EPC revenue also getting booked, right ?

P.P. Gupta : No, we are not intending to book this year, we are basically carrying it as work in progress only, and we will take a call in the last quarter or next year additionally whatever numbers I am talking to you at the moment is mostly EPC business of third parties.

Deepesh Agarwal : Understood. Sir, what is our cash balance right now and the current investment number?

P.P. Gupta : 1200 Crores.

Deepesh Agarwal : Outstanding receivables on wind?

P.P. Gupta : About 130 Crores as a running account bills and another 200 Crores as a retention money, which is yet not due.

Deepesh Agarwal : Sir, any other slow moving receivables?

P.P. Gupta : Wind power we have to receive about 150 Crores to 170 Crores, which we are expecting to be liquidated this year.

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Page 12 of 20 Deepesh Agarwal : Understood. Thank you, Sir. That is it from my side and all the best.

Moderator : Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Fund.

Please go ahead.

Charanjit Singh : Thank you for the opportunity. Sir, first question is regarding these new FGD orders, can you please help us understand the payment terms are they better than what we have seen in the previous orders or how are the payment terms for these orders?

P.P. Gupta : They are relatively better, but not as good as we experienced in transmission projects like Bokaro we picked up with a retention of almost 30%, which is 15% in this case now, so it is 85:15 by and large you can say, but plan properly we will make sure that it is like 90:10 only as we experience in normal business because staggered commissioning is feasible in these projects, some facility wise, so you are entitled to get some payments progressively like that.

Charanjit Singh : Sir what is expected completion timeline for these two projects?

P.P. Gupta : These projects each are 30 months as per the order, but we will try to do it early.

Charanjit Singh : But you talked about there

has been some delays in terms of FGD in overall implementation and there might be some push out on the timeline from the Ministry side, so does that also apply to these customers and they may look to delay the execution and that also leads to sometimes increase in the cost?

P.P. Gupta : No, you see whatever station gets sorted out they are equally keen to complete it early because they can claim to be the compliance part and I am sure Rajasthan government will be very sportive to achieve it before 2024 April-May because that is their election year also by and large, so they would like to be pro climate change and pro compliance to all the regulators, so customer is well supporting these projects and we do not expect any kind of delay happening in this.

Charanjit Singh : You also talked about this electricity amendment bill and a lot of positives, which can come out of this and as we are focusing also on the distribution side of the business can you touch upon what kind of an opportunity it can open up for us and which segments within that we would like to target?

P.P. Gupta : See, basically it will be expeditious execution of the AMI solutions and also they have come out with a scheme called RDSS reform and system strengthening scheme of the distribution systems, so all these augment use investment of 3 lakhs, 3 trillion they call it

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Page 13 of 20 Crores over next five years that is a program of the government has announced it is available on the MOP website, and states have already started coming out with tenders in this segment as it happened in 04-08 when first time APDRP solutions followed with rural electrification programs all were rolled out in the country, similarly now in the next phase we see that a lot of distribution system strengthening and reforms will be integral part of it and we are regularly part of it in this business, we did a lot of jobs in Bihar, Assam, and J&K and many other parts of India, presently also we are doing similar works for the city of Jammu and Srinagar, so I will say that there are great opportunities countrywide, we do not

intend doing much in this segment, we will be happy to pitch in only 1% of the market, which may be around 3000 Crores out of 3 trillion budget of the government spread over next four, five years and transmission we will obviously continue to provide as 500 Crores to 650 Crores per year apart from FGD and metering solutions, so once data center business becomes part of your topline in 2023 -2024 and 2024 -2025 we are sure to double up our topline.

Charanjit Singh : Sir, the other thing we have talked about 1 000 Crores to 15000 Crores of incremental order inflow, if you can touch upon the nature of these orders what you intend to pick up in the remaining part of this financial year?

P.P. Gupta : Yes, basically we are looking for one more FGD order down line about 500 Crores plus or minus plus we are eyeing another transmission business of another 300 Crores to 400 Crores and another 500 Crores to 600 Crores we will be eyeing from the distribution business including AMI I will say very easily mix may change here and there, but by and large this will be the segmentation in this and we may also be taking opportunity to have one TBCB project also for us about 400 Crores to 500 Crores to be implemented over the next two years.

Charanjit Singh : Sir, lastly on the power transmission side if you can touch upon the opportunity size whether we can see a further increase or it may remain stable levels, how you are seeing that outlook going forward on the power transmission specifically that is my last question?

P.P. Gupta : Power sector is in transient and nobody can give you very perfect answers, whatever we experienced over last two years if you project that forward I will say that transmi

ssion

business will be a status quo for us, but if this Electricity Act approved by September also then from 2023 -2024 onwards I see a lot more activities happening in transmission because the pockets of demand and the pockets of generation have to be married more efficiently that being presently done by the distributed looking players like CPSU or private players or state government, so a lot of harmony will happen as a supply chain amendment and achieving economics of the supply chain by strengthening those transmission links with generation closer to the demand pockets and the generating pockets, which is not the cause

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Page 14 of 20 presently, a lot of power is being cycled in a gross wheeling manner may lead to meet quotas or allocations or prior PPAs whatever you call it, so it is still not a free market per se it is still a market based on bond ages historically as we have evolved in power sector, so all those attempts will be to minimize the inefficiencies, improve the quality of the networks more efficient and strengthen ed networks so the technique losses are brought to bear minimum and also networks capable to ensure least threats or no threats on the highways so I see multiple technological growth network growth, I am very upbeat if it happens that is what I can say.

Charanjit Singh : Great Sir. That is all from my side. Thanks for taking my questions .

Moderator : Thank you. The next question is from the line of Vinod from Bank of Baroda. Please go ahead.

Vinod : Good afternoon, Sir. Thank you for the opportunity. Actually, my question also was similar to what Charanjit asked just now in terms of the specific areas where you can see a large capex as per the new bill, so I think since you answered that comprehensively what I would like to understand is your thought there is a lot of protest against this Electricity Act bill, so how do you see the final shape of the bill, do you see a more diluted version that might possibly come in or do you think we will be able to push through the bill the way it is today?

P.P. Gupta : Sir, I am not neither a power minister nor the finance minister of this country, what is happening today in my perspective should have happened 10 years back if you ask me, we prefer to go for with one, two, three, four, but every time we saw sunset only, you see the question is you have to bring market reforms to a sector like telecom, aviation, ports, highway s, which never happened in power that is the key question rather when will consumer benefit, rather I generate and supply power at Rs.2.5 or Rs.4, in my house or your house power comes ultimately and Rs.9 to Rs.10 only, so no citizen ever have asked this question in this country where is this Rs.6 going Sir, who steals this Rs.6 on the highway, so that is the key question, which any sector has to answer, like telecom I can talk for hours with you Sir in 1995 maybe how old you are I do not know in my heydays I remember we used to pay Rs.30 a minute , used to have (inaudible) 53:38 call wait for hours for a call to happen, connection to be given in my house and whatnot and where we are now you can see voice is free now whatever you are pay is for data, Smartphone is so smart, it is so efficient so that kind of technology interventions happens in markets only when there is a competition, there is a market reforms , everybody wants to smartly serve the consumers better than the others, that has never happened in power sector, it remains a pseudo

competition by and large, so if true competition happens at the last mile delivery of power to the consumers at B2C segment become stronger that B2B has experienced till now you
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Page 15 of 20 will see it will grow like telecom or like

aviation you will have so many choices and so many if somebody wants receivable power s why I have to buy a conventional power must enjoy as a segmentation tomorrow I want only solar power, I want only hydropower in my house why not. All those solutions are feasible and your smart meters will be able to tell you also how you consume power, what is the pattern of consumption of power, from where power is coming, what is the hourly cycle of consumption of power in your house, so many things have yet to happen in power, we still take it for granted that oh power is available, it is coming and nobody cares other than availability.

Vinod : Telecom and aviation they probably centrally controlled, power I think being a concurrent subject is I think where the road block is always there, but there are reforms, we will start with good intent, but they never see the light of the current .

P.P. Gupta : My take away is I think these are stupid excuses ultimately power is now becoming energy and the whole world knows how to manage energy, energy can never be a subject of a state let us be clear, number one, it is beyond their capabilities, they are not capable to manage energy let me say historically yes, they had a role , they have been part of the segment, but now with technology interventions when all of us are coming out of the coal, commercial cycle, going more and more to renewables, climate change, and more new sources of energy and power, more electric vehicles, electric engines, drives, so you have to understand that unless it bureaucratic administratively politically influenced DISCOMs cannot be technology-based solutions in the country at the end of the day, they are outdated, they are done with, sooner this realization happens with the government s that it is for the people and the country, I will say that, so central government have to have political will to dominate this transformation and they have plenty of ways to achieve it, but ultimately you are right, I will say that the sector has become more a part of freebies today that a part are progressive development so let us hope for the best.

Vinod : Thanks a lot Sir.

Moderator : Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta : Good afternoon Sir. First question on this current FGD orders which you said that we have booked at one Crore per megawatt, so like earlier players might have lost money because they would have come at low price and on the flip side had to face the grunt of high commodity price, but with commodity prices now cooling off do you envisage some sort of a super profitability on the current orders that we have achieved or we will have to pass it on and to that extent 13% looks to be on the lower side given the equation of raw material versus price that we have got, so that is question number one?

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Page 16 of 20 P.P. Gupta : Look, these are speculative I will say , at the moment I will only say that we are protected as far as the future commodity cycles are concerned and our experience of last 30 years in this industry any softening of prices of commodities always benefits CPC in some way or the other even if I am sharing the decline with the buyers through a PV formulae, so I will say that we are definitely not going to worsen from what we have talked if at all it will be better only, but other commodity cycle will really soften more aggressively so there are all type of global calls if tomorrow Taiwan China goes to war or Russia further becomes a more aggressive in taking away part of hived off countries around it, global situation is very, very delicate at the moment, so I will not like to hedge on it and secondly you see most of the electrical commodities are also becoming part of the new generation solutions like

transformers we used to use CRGO if you were connected with the industry. Now we intend to produce more CRNO not GO because NO is more valuable and it is a part of the batteries used in EV vehicles so some segment can always pay better price than the traditional equipment so we have to keep our fingers crossed.

Sarvesh Gupta : Book any forward contracts on the raw materials side to protect us or to enjoy the better margins?

P.P. Gupta : So, generally our requirements are not much number one because they come through the equipment itself, we are not a commodity company by and large, still there is no forward markets even today between you and me, but non-ferrous metals you do have forward contracts, but our most of the consumption happens in the form of equipment s with us like

transformers, switch gears or cables, so they themselves stay, each manufacturer takes care of it, it is on merit.

Sarvesh Gupta : Understood, secondly on 1900 Crores of orders have been booked, but in these 45 days after June 30, 2022 there is no order booking is that correct assumption?

P.P. Gupta : I will say that we are definitely bidding and we are L1 in one or two tenders, we can only claim and we have orders in hand with us because generally we have not claimed like that, but tendering is happening, I can only share with you the tendering is happening.

Sarvesh Gupta : You were L1 in these two orders right, so similarly what will be the L1 amount as of now?

P.P. Gupta : That will be about 700 Crores to 750 Crores.

Sarvesh Gupta : So that most likely will come to us?

P.P. Gupta : Should, ultimately these kind of price levels are acceptable to the customer and many customers finding that commodity prices are likely getting better they may prefer to have

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Page 17 of 20 some kind of snap bidding that is also becoming a way of life with Power Grid now, they are opting for snap bidding in between.

Sarvesh Gupta : Sir, on the DC side why are we taking so much of discussion as to when the revenue should be booked ideally if the EPC work is currently going on and the contract is awarded to the parent, then the parent should book DC revenue as per the schedule of construction?

P.P. Gupta : Look, there is no fine answer to your question, when we do a third party contracts you go through the whole servicing of the contract and managing it from the ground to finishing whereas in DC you are more of a developer in this and many services are outsourced by you, many companies do it in the past, but we are conservative in this regard I will say, we do not want to overshoot the performance which we have yet not put efforts strongly in it or revenue is not reachable we like to book that capex closer to the revenue happening between you and me that is the only takeaway.

Sarvesh Gupta : Understood, Sir. Sir, on your cash side you are already literally floating in the cash you have 1200 Crores, you are also going to sell a major chunk of your wind power assets which will further give you 300 Crores to 400 Crores or whatever or maybe 200 Crores to 250 Crores in addition to that we are also generating significant amount of interest income so what is the solution to the cash that we have because even in the DC business there is a debt to equity we are looking for a partner so again our equity contribution would be pretty less and see we are pretty conservative in terms of how we are building it out so as to not affect the overall performance of the company, so given these things where is the cash going to be used and this 1000 Crores odd cash will always remain with the company, so what is the solution for this excess cash that we have, should we not give it out or there any other thought process around this area because there is just too much of cash which is going to remain with you

for the foreseeable future?

P.P. Gupta : Look we have talked briefly in the last meet probably you may not be there wherein we very clearly categorized that around 500 Crores we are returning to the investors over the next three years one buy back is already in process now where we are paying out almost 160 Crores inclusive of tax, additionally we are paying out about 25 Crores of dividend so over three years we are returning 500 Crores to the investors number one, we have kept another 500 Crores to 700 Crores for our data center business and another 250 Crores for growth in EPC business, so it is fairly balanced a approach and if this Electricity Act gets approved then more and more EPC business will transform itself to the capex based business where you will only be called upon to make a solution like Europe commission, performing and then only the asset owner will buy it, so a lot of cash requirement will be there as a way of life and we hit that because we have no place to be at the cost of in EPC business at least and that is what is our focus that I must close my contracts, I must realize my last mile

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Page 18 of 20 payments, so that our phase and expenses are fully funded by the closing of the contract, which we did in this quarter and last quarter that we have realized a lot of cash, closed many contracts and we are again back to the new business in EPC with clean slate that is where techno has always kept the cycle going for the last 10 years and yes I am not the largest, but I can assure you technologically and working capital management we will be one of the most efficient one.

Sarvesh Gupta : Understood Sir. Thank you and all the best for the coming quarter.

Moderator : Thank you. The next question is from the line of Amber Singhania from Nippon India AMC. Please go ahead.

Amber Singhania : Sir, just a couple of clarification wanted to check on the revenue side you mentioned that a lot of projects were under completion and that is why the supply content was less and that is

why the revenue number is looking slightly lower, am I correct Sir?

P.P. Gupta : Yes, you are not very wrong I can say, services content is larger because whatever number we put it, it is a composite of supply cum services, so cost side service is almost 50% in that.

Amber Singhania : Secondly out of the total order book 3200 Crores odd currently which we have roughly what kind of proportion is yet to be started or in a very early stage of starting?

P.P. Gupta : Right.

Amber Singhania : What could be that proportion Sir?

P.P. Gupta : Almost 80% of the business is new with us which we have booked in last quarter and this quarter now and the revenue will start from Q3 of this year and continue for next six quarters you can take it those will be the peak quarters starting from Q3 of 2023 ending with the Q4 of 2024 by and large out of this business and then it will start again tapering in 2024 -2025 and unless we have again a new business accrued by the close of 2023 which we hope to.

Amber Singhania : Out of the total FGD orders roughly what kind of booking we might have already done from the old projects of FGD?

P.P. Gupta : Presently we have an unexecuted FGD business of around this other than 1455 Crores as a new business the unexecuted of DVC is around 68 Crores, so we can add 68 Crores to this, which will be around 1520 Crores.

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Page 19 of 20 Amber Singhania : Got it and lastly on the wind side you mentioned that this kilowatt equivalent to 80 to 85 megawatt of capacity will be transferred to a separate company which will be leading to the data center, so what is the timeline we have seen to do that transfer and are we already started the process of cancelling the PPA on that account or

when we will see the Tamil

Nadu will keep on receiving the surprise from our end in that case?

P.P. Gupta : This transfer will start from October because we do not want to lose out on the peak season presently as happening, it contained a wind season, wind is a seasonal industry which is almost there till mid October and thereafter till March it is a slack period so we will start it around October mid and completed by March end, so that this peak season is fully built out to the government only.

Amber Singhania : So, this year it will be basically government billing and next year onwards it will be ..

P.P. Gupta : But we are selling of around 40 megawatts now to third parties which contracts are nearly concluded and we expect to be out of that capex.

Amber Singhania : At what price this separate SPV will sell the power to data centers any kind of ballpark numbers from that line , how that agreement will be worked out?

P.P. Gupta : Sir, it will be obviously market determined tariff only, dynamic tariff only, which itself is under quite dynamically changing, if this Electricity Act goes through and open access in the renewable power becomes a way of life then tariff is likely to be lower than the generally DISCOM determined tariffs and if all tariffs are alike there may be consumption, otherwise we will like to transfer power to the data center at the market determined rate or at the DISCOM regulatory approved tariff whichever is higher .

Amber Singhania : This will be 100% held by Techno or there will be coming in from data center or any other?

P.P. Gupta : Presently in our country we have to give a group captive status, a group captive status necessitates 26% of the equity must be owned by the buying entity, it means data center company has to buy 26% equity of the power company and balance 74% will remain with Techno only, but the capital side will keep very low so that there is no larger engagement of the data center company in the capital side, so generally the arrangements are it will be kind of a deposit which any electricity board takes to supply power of a month to two months as a security deposit, so that will be taken in the form of the equity.

Amber Singhania : So, there would not be any money inflow really to Techno if we are transferring 26% stake to the joint venture or it will be?

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Page 20 of 20 P.P. Gupta : Yes, there would not be any inflow, but at least we would not have in future power dues from the state DISCOMs by revenue side will improve month-on-month.

Amber Singhania : Lastly, Sir, how much total equity you are planning to infuse in this Chennai data center of 24 megawatt all put together from the Techno side, is there any gap or any ballpark number, which we have kept beyond which we will not grow and wait for the strategy to come in?

P.P. Gupta : No, you see are going in four phases in this project, each phase is 6 megawatt, the first phase capex is 550 Crores and we will definitely not envisaging to invest more than 150 Crores to 200 Crores as a capital in this, and when a partner joins and full capital of the SPV will be around 450 Crores to 500 Crores, generally these foreigners look for a little

majority, so it will be either kind of 51:49 or maybe 55:45, so it means Techno engagement will never exceed to 100 Crores in one data center like Chennai, but we will be starting data centers in other pockets also where again development cost will continuously be engaged, so we have definitely allocated around 500 Crores for this business spread over in the next three to four years.

Amber Singhania : Thank you. That is from my side. Thanks a lot and all the best for the future.

Moderator : Thank you. As that was the last question for today, I now hand the conference over to Mr. Gupta for closing comments.

P.P. Gupta : Th

ank you all. I will say thanks a lot once again for joining the conference call with us . We with the best of our ability have tried to satisfy most of you and those who still have more queries on our performance or on any of information they are most welcome to send us a mail and we will be prompt to attend and it can be addressed to Mr. Vishal Jain, our IR person and if you happen to be in this side of the country you are most welcome to visit us and see how we do our work hands on, it will be our pleasure to take you around our office or any project like you want to see, please just write us, we will be happy to arrange that. With this I would like to close the conference and thank everybody once again for joining the same.

Moderator : Thank you. On behalf of Asian Markets Securities Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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"Techno Electric & Engineering Limited
Q2 FY2023 Earnings Conference Call "

November 15, 2022

ANALYST : MR. KAMLESH KOTAK - ASIAN MARKET S SECURITIES
LIMITED

MANAGEMENT : MR. P.P. GUPTA - MANAGING DIRECTOR - TECHNO
ELECTRIC & ENGINEERING LIMITED

MR. ANKIT SARVAIYA – DIRECTOR - TECHNO ELECTRIC
& ENGINEERING LIMITED
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Page 2 of 14 Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY 2023 Earnings Conference Call of Techno Electric & Engineering Limited hosted by Asian Market Securities Limited . This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections , etc, whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' the n '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kamlesh Kotak from Asian Market s Securities Limited . Thank you and over to you Sir!

Kamlesh Kotak : Thank Pooja. Good afternoon everyone . On behalf of Asian Markets we welcome you all to the Q2 FY2023 earnings conference call of Techno Electric & Engineering Company Limited. We have with us today Mr. P.P. Gupta ji, Managing Director and Mr. Ankit Sarvaiya , Director, representing the company . I request Shri. Gupta ji to take us through an overview of the quarterly results and then we shall begin the Q&A session. Over to you Gupta ji! Thank you.

P.P. Gupta : Thank you Kamlesh. A very good afternoon to all of you and I once again welcome everyone to discuss our financial results for the second quarter and first half year ending September 30, 2022 . Anything said on this call, which reflects our outlook for the future or that could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces .

Let me quickly highlight our performance which you might have seen in the papers and papers filed with the stock exchanges. The total revenue for Q2 stands at Rs.228 Crores , the revenue of EPC is at Rs.180 Crores, revenue from wind segment is around Rs.47.5 Crores , EBITDA stands at around (audio cut) 2:42. The operating profit in the EPC segment is

around Rs.28 Crores. We have experienced some pressure s in EBITDA due to high commodity cycle and also partially c orrected overseas freight , but still higher than (inaudible) 3:06. Additionally some topline also is compromised to protect the bottomline. The other income stands at Rs.19 Crores compared to Rs.10.28 Crores last year , the PBT is at Rs.78.43 Crores, PAT is at Rs.59 Crores approximately and EPS is at Rs.5.35. When we look on in totality for the first half of the year the revenue is just over Rs.400 Crores which includes EPC around Rs.325 Crores , revenue from wi nd segment is at Rs.78.3 Crores, EBITDA is at Rs .120 Crores approximately, t he operating profit of EPC segment is around Techno Electric & Engineering Limited
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Page 3 of 14 Rs.50 Crores, from the wind segment is at around Rs.70 Crores , the other income is at Rs.32 Crores comp ared to Rs.47 Crores last year, t he profit before tax for the first half year is at Rs.

127 Crores, t he profit after tax is around Rs.94.5 Crores, EPS is at Rs.8.58 Crores . The current investment value of cash and cash equivalent stands at Rs.12 00 Crores that is almost more than Rs.100 per share. During the quarter we got additional bu siness worth about Rs.400 Crores and recently we have booked one more order of Goa TBCB project of Sterlite Rs. 126.2 3 Crores. We are also L1 in one of the DBFOT projects of J&K for supplying and installing 2.5 lakh meters for Rs.338 Crores. So all put toge ther business in hand as of today is around Rs.3600 Crores and business in pipelin e is another Rs.500 Crores , but there are lot more opportunities in the market p lace. We ar e confident to book additional business of no less than Rs.1 250 Crores and this is all time high in the company . Coming on the outlook as committed in last quarter we have been able to ti de over difficult times and sho w growth despite marginal growth last year. We foresee significant growth for this year, but prima rily in the coming two quarters, but majorly in the last quarter. We expect the growth momentum to be stronger than this year in FY2024 and 2025. We expect more businesses from the segments like FGD, AMI and data centers. The order book, which I talked earlier do not include ou r own in -house order of data center which will be another around Rs.1250 Crores . In the coming years we expect strong power sector reforms as I have been discussing and part of our printed documents on the annual accounts . As power and energy are convergin g additionally there is a significant focus and stre ss on availability and re liability of power supply , the cost of power and stress on the improvement of overall financial health of the sector. While the focus will continue to be based on renewable power and i ts related infrastructure there is a significant focus on bringing reforms in the distribution segment called RDSS which are Distribution Reforms cum System Strengthening. The trans mission infra structure for renewable power is required for 500 gigawat ts by 2030 will continue to be way of life . Additionally we may expect our energy storage solutions becoming part of the forward going energy sector and I see more and more future about logistics, transport ation sector, electric vehicles, all going electri c, so lot of energy based consumption should grow in the coming years. I am sure it will be doubled by 2030 if not 2.5 times per capita .

Especially coming to FGD segment the segm ent will continue to be focused, the Government of India has already extended the deadline from December 2024 to 20 26. There is a considerable progress with CPSUs and some of the states forward looking states in ordering the projects for implementation, but the same will be further strengthening and happening in SEBs a nd private se ctor also in near future. The government and M inistry of Environment and P ollution says that the plots near populous regions and capital towns will have to com ply all the orders by 2024 or may be earlier while utilities in less polluting areas Techno Electric & Engineering Limited
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Page 4 of 14 they go up t o 2026 or beyond depending on further notifications by CEA . Supreme Court also refused to entertain the Delhi Government 's petition seeking direction s to tech allegedly polluting coal -based thermal power plants in Uttar Pradesh, Punjab and Haryana to immed iately stop operations till FGD technology is install ed to reduce harmful emissions. We have got the orders worth Rs. 1450 Crores for FGD during this year and this level of business is expected to continue at least for the next four to five years as 80 to 1 00 gigawatt is yet to be ordered by CPSUs, SEBs and private sector. In transmission segment we largely expect that there will be a status quo in transmission side in the int erstate regio

n while intrastate region there will be more emphasis on strengthenin g our transmission networks and addi ng more transforming capacities closer to the lo ad sectors. TBCB bidding for the last slot of 60 gigawatt of renewable energy out of 175 gigawatt has started and we expect it to be completed before March 2023. In the pas t

the dates for distribution are getting extended I trust it should close shortly. Allocation for strengthening of power system has been doubled to 29.8 million in union budget 2022 -2023 from 40.55 million, but government also has a program to spend Rs.3 Lakh Crores over the next five years in our DSS scheme and has also extended many kind of such instructions for state governments and DISCOMs. We have also seen good interest from headwinds and large investors by making the projects bankable and portable on the financial side, project would be in the renewable power as well as on the transmission side and it may include AMI segment also going forward.

Metering segment the government has a plan of installing almost 250 million meters in the next seven years with prepaid and smart metering features which are automatic and having communications on both sides. We are witnessing strengthening our power distribution networks to make them both smarter, reliable and less loss, loss oriented. The main aim of all these steps is to improve efficiency, contain losses, so that the health of the DISCOMs could be improved. We are already stated in a smart meter order in J&K for 2.5 lakh meters about Rs.338 Crores at the DPA -40 model. The government has also gone ahead with the Electricity Amendment Act in August 2022; the government wants to give consumers their choice power supplies as well as enabling DISCOMs to provide for timely and adequate tariff revisions. It also seeks to amend Section 42 to facilitate non-discriminatory open access to the distribution licensees. It also seeks to amend Section 40 to facilitate users of distribution networks (audio cut) 13:53. It also seeks to amend Section 62 to provide a graded revision in tariff over a year besides mandatory fixing of ceiling and minimum tariff by the appropriate commission. We are hopeful that power sector is at a very critical junction and going forward only it can become better both to the stakeholders as well as to the consumers.

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Page 5 of 14 In the wind we have a generic resolution to exit wind assets Techno has 129 megawatt of wind power in three pockets, 61 megawatt in Tirunelveli, 51 in Coimbatore, Madampatti area and 18 megawatt in Karnataka. In view of the present challenges prevailing in power sector due to coal shortage the good grid availability as well as offers for our wind assets from local industries for captive power use. In view of this we consider prudent to sell a part of the capacity as feasible. The capacity of around 51 megawatt is going to wind part in our own estimate to facilitate our data center operations.

COVID -19 has impacted life in multiple ways but one positive outcome of this is the growth in the digital space. With the growth in digital space backed by thirst on data protection and also the IT service is being provided on cloud, it is expected that third party data center industry will grow significantly from the current levels of 500, 600 megawatt to 2 gigawatt in the next three years and at least 5 gigawatt by 2030. Till date most of the data centers were located in Mumbai and now it is happening in Chennai due to the undersea cable available. Kolkata is also awaiting the under sea cable which is scheduled to be here by March 2023. We see lot of data centers coming around our location in industrial estate, in SIPCOT IT Park by other competitors like Equinix, Sify and others validating our choice of the

location. Our data center is progressing very strongly and as you know already it is 24 megawatt IT load, ultra scalable, hyperdensity nature, features that project is in full construction as of now, we have already completed all the foundations and ground floor work and approaching to finish and are now preparing to cross the first floor by the end of this month. We have already spent about Rs .55 Crores of the project apart from the capex on the land. We are hopeful of commissioning the project by third quarter of 2023.

Additionally we will consume renewable energy from our operating wind energy capacity to classify the data center as green or sustainable as is the major requirement of hyperscale customers like Amazon, Google, Microsoft, etc. Furthermore we are seeing aggressive interest from strategic partners to have a JV for data centers in India; we are evaluating the available option and shall definitely be concluding shortly the way forward.

With a capex of around Rs.1300 Crores that is around Rs.50 Crores per megawatt of IT load and 60% to 65% capex in electromechanical works which is our in-house expertise of Techno, we will be able to leverage on our capability and relationships for executing such works. With in-house renewable energy, EPC capability and prior experience of developing infrastructure projects in power sector we are in a unique position compared to many new players in this industry. With this I will look forward to participation from high esteemed investors and I am available to all of you.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Sandeep Tulsiyan from JM Financial. Please go ahead.

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Page 6 of 14 Sandeep Tulsiyan : Very good afternoon Sir. Definitely we have reported very good inflows in the first quarter, but for this quarter you highlighted there are Rs.400 Crores of additional inflows that have already come in, I presume these Rs.400 Crores is over and above the Goa T BCB Sterlite and J&K Rs.338 Crores is what you mentioned or that includes these orders as well?

P.P. Gupta : No, Goa at Rs.338 Crores is not included.

Sandeep Tulsiyan : Can you share the breakup of this Rs.400 Crores and also the exact order backlog at the end of September?

P.P. Gupta : We got one order from (inaudible) 21:00 and we also got Tripura Electricity Board for about Rs.237 Crores and PGCIL Rs.157 Crores, so these are around Rs.400 Crores.

Sandeep Tulsiyan : Got it and the order book what would that be at the end of the quarter?

P.P. Gupta : Presently you can say it is Rs.3600 Crores in ALT which will further grow by induction, in this month we should get another Rs.400 Crores, Rs.500 Crores rather, but definitely we expect another Rs.1000 Crores to Rs.1500 Crores over year. We should close the year with the order backlog of no less than to my mind around Rs.4500 Crores without data center order, this does not include our in-house project.

Sandeep Tulsiyan : Understood. Sir, please allow me to just reconcile these order numbers because it was Rs.3200 Crores at the end of Q1, we have received these Rs.400 Crores new orders and we have done roughly Rs.180 Crores of execution, so closing order should be around Rs.3400 Crores otherwise inflows should be around Rs.570 Crores odd so are there any more orders or...

P.P. Gupta : There are some amendments which continues in so many orders and getting under that Rs.50 Crores some by Rs.30 Crores, some by Rs.40 Crores.

Sandeep Tulsiyan : Understood.

P.P. Gupta : Like power grid one job was not going forward, now it is (inaudible) 23:11, so we were not taking in the order book because they would not acquire the land which they are now ready to acquire, so those kind of orders gets revised which were not acting.

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Sandeep Tulsiyan : Okay, understood and besides this, Sir, you also mentioned there is a pipeline of another Rs.1000 Crores to Rs.1500 Crores for balance part of the year which is over and above this Rs.500 Crores pipeline details that you shared, is it possible for you to share some of the major orders from that also possible in which area they are coming from?

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Page 7 of 14 P.P. Gupta : Basically I have already said there are three areas now we are targeting other than normal areas. We expect one FGD order indefinitely for Rs.500 Crores, at least 10 lakh AMI meter work, number of tenders are in the pipeline and similarly some work for the power supply, for the ongoing data centers by third entities and we may also substituting some of the RDSS factors which are already in market for about Rs.25000 Crores as first slot.

Sandeep Tulsiyan : Understood. Sir, based on this how do should we look at the overall revenue growth target for the next two years for the EPC?

P.P. Gupta : I will say at least 30%, 40% a year from 2023 -2024 onwards, but our order book we have to execute Sir. Best year is going to be 2024-2025.

Sandeep Tulsiyan : So 25% by next year we should be able to go in EPC division right?

P.P. Gupta : Yes, absolutely and I think you can expect Rs.1750 Crores to Rs.2000 Crores in 2024 -2025.

Sandeep Tulsiyan : Okay and in the past Sir you have highlighted that the margins are definitely coming under pressure and I do not know being conservative or the way Techno operates you have guided that the margins should be lower their expectations we are expecting 15%, 16% where the company is to operate historically, would you still stick to that 12% odd guidance or based on these orders would you want to revise it upward, downward either?

P.P. Gupta : For this year I think I would like to keep it 12.5% to 13% as I instituted, but let us see how the commodity cycle behaves, if China slows down and Europe gets into the session may be we have more stable commodity cycle in our country, but if we are troubled more on the CRGO for transformers which you may have found with the other transformer makers also, CRGO prices are almost 2.5x to 3x of two years back, so prices are normally reasonable there because more CRGO issues there is a CRNO for EV vehicles and other applications, batteries, so let us see how it behaves. Nickel is very pricy that is one element, steel may remain stable or I do not know if government removes the ban on that the exports and some market cycle may change, but still I will say that steel is higher by about 10%, 15%, but our present day orders are all based on current cost of steel so we would not see that kind of impact. So it should come back in 2023 -2024 I think we should be back at 15%.

Sandeep Tulsiyan : Understood. Sir, couple of more questions from my side if I may ask the main one is on the wind side what I understand from your commentary is that you are going to carve out one portion of about 51 megawatt into 100% subsidiary for in-house data center and the balance around 79 or 80 megawatts will be disposed off, is that the correct understanding?

P.P. Gupta : Attempt is like that Sir absolutely.
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Page 8 of 14 Sandeep Tulsiyan : Okay and second thing was on the data center, if you can just highlight a little bit where we are exactly in terms of forming a joint venture partner do you think if we are not able to strike a partnership in the next six months will the execution timelines get pushed or you will anyways go ahead with and put your own capital for this whole data center of Rs.1300 Crores how would that work out if you can just share some more details on that?

P.P. Gupta : Firstly we are in a fairly advance

stage of partnership and a kind of term sheet is needing closer, but we are in a silent period with that, so I cannot share the details on that side number one. Number two but irrespective of whether we are able to have a relationship or not because they have locked up implications for any investment we definitely will be going ahead and completing phase 1 by the end of second quarter or third quarter of 2023.

Sandeep Tulsiyan : Okay, understood and on the cash balance Sir I think the buyback that we are currently doing is of course not progressing, we may not reach the entire target or the capital that you allocated for that, so what is the overall plan, how much of this do you plan to dispose of, is there any other alternate method will we increase the buyback price or do you want to give out a dividend any thoughts on that side?

P.P. Gupta : Firstly, I am not with your view, as of today we have already achieved 17.5 lakh shares buyback for Rs.50 Crores and we are actively in this market and I am sure still two months to go more than two months, we will be able to spend the whole of the money, but if any sum is left out post buyback closer it will be paid out as dividend.

Sandeep Tulsiyan : Okay and one last question from my side Sir is on the outstanding debtors, is there anything which is still sticky, slow moving, how much of the balance portion that you used to update every quarter is still pending and how much is yet to come in from the doubtful receivables?

P.P. Gupta : There is no doubtful, sticky yes, only in Afghanistan in one of the contracts still continues to be in force majeure for the last one year that was ADB funded project with us and nearly 80% plus performed, so it is a Central Asia project I am sure world bank and ADB will come forward to support the project along with us KPTL, KEC all are involved and Government of India is also working through Ministry of External Affairs as well as through its political networks. I am sure this project will happen, but at the moment I can say that it is a sticky part, there is no concern, no large concern I will say.

Sandeep Tulsiyan : What is the value of this order Sir?

P.P. Gupta : This was 35 million value of the order we have executed already 29 million.

Sandeep Tulsiyan : \$35 million?

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Page 9 of 14 P.P. Gupta : Yes.

Sandeep Tulsiyan : Which is still pending the receivable value right?

P.P. Gupta : The pending part is only about Rs.45 Crores.

Sandeep Tulsiyan : Pending is Rs.41 Crores ?

P.P. Gupta : Rs.45 Crores you can say.

Sandeep Tulsiyan : Okay, got it and on the investment side any investments where that ICDs or anything you lent which is still pending?

P.P. Gupta : God grace we are through, we are all done.

Sandeep Tulsiyan : Got it and if I may ask one more thing on these overseas projects I think there was some update that you had shared for that project in Afghanistan if you can just update us on that what is happening exactly over there?

P.P. Gupta : That is what I sharing Afghanistan only the thing, ADB funded that is what I shared with you 35 million, 29 executed.

Sandeep Tulsiyan : Thank you so much for patiently taking all these questions and wishing you all the best.

Moderator : Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital.

Please go ahead.

Sarvesh Gupta : Good afternoon Sir. First question is on the revenue sort of a target for FY2023, so I think earlier we were looking at 25%, 30% sort of a growth for this current financial year, but given that we have done only Rs.400 odd Crores in H1, so what kind of number are we targeting for this financial year in the remaining two quarters?

P.P. Gupta : It continues to be same Rs.1250 Crores and we should be able to do another Rs.800 Crores, minimum if not more in the next two quarters.

The fourth quarter will be really having this

time, it will be little bulky because lot of things may happen in those three months, but third quarter will also be better of the last two quarters.

Sarvesh Gupta : Okay and on the wind power side, so this remaining 79 megawatt let me want to sell, so where are we in the sale process because last quarter concall also you had discussed this, so
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Page 10 of 14 have we neared any progress in terms of selling it and where are we and how much money do we expect to realize in this financial year and how much in the next financial year?

P.P. Gupta : I think sale should happen mostly in this year only and money to realize, we have binding contracts now for 35 megawatt out of which we have already received money for 6 megawatt and another 28 megawatt, 29 megawatt we maintained in this month or next month they are the binding contracts, balance are in negotiations.

Sarvesh Gupta : So you expect the entire apart from 51 megawatt everything else to be sold in this financial year and money to be realized this year itself?

P.P. Gupta : I wish, but I am not sure, you can say so maybe 20 megawatt here and there.

Sarvesh Gupta : Okay and what is the average pricing that we are getting when we are selling these assets?

P.P. Gupta : Around Rs. 4 Crores per megawatt plus Rs.4 Crores plus.

Sarvesh Gupta : Okay. Sir, you mentioned about the cash balance I did not hear it correctly, is it Rs.1200 Crores plus right now?

P.P. Gupta : Absolutely right.

Sarvesh Gupta : Understood Sir. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Soniya from Dalal & Broacha . Please go ahead.

Soniya : Thank you for the opportunity. Sir firstly I just wanted to confirm we have not shared a quarterly presentation this quarter?

P.P. Gupta : Pardon.

Soniya : Our quarterly presentation which you generally share every quarter that you have not been shared in this quarter?

P.P. Gupta : We will share tomorrow Madam; it will be put on our website.

Soniya : Okay. Also my next question is on the order inflow growth you are expecting around Rs.2000 Crores of fresh order inflow, so I would like to understand since many things are happening in power sector the capacity is likely to pickup as a whole so what kind of fresh order inflows we are expecting over the next two, three years?

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Page 11 of 14 P.P. Gupta : This trend should continue because power sector is focus area of the government now more stronger than ever and definitely COVID has also impacted and in India manufacturing and industry we have to become \$5 trillion economy power cannot be lagging behind, so all these areas have become major capex in power which you can measure easily, (inaudible) 38:12 where government is spending Rs.3 lakh Crores, the AMI metering system solutions where government want to have about 250 million meters by 2030. Similarly climate change so lot of pollution issues in the thermal capacities like FGD solution, Sox NOx , water pollution systems, they are all going to be futuristic way of life as well as green power target of 500 gigawatt which I discussed, so you have to build lot of green corridors to transmit the power , balance out the load consumption and so much of stress on the electric side now going forward on consumerism now like logistics, transportation, electric vehicles, it is all becoming power driven economy more than any hydro carbon based anymore, so all this is going to make power consumption to be at least 2x to 2.5x of our present consumption which is no more than 1200, 1250 units per capita, so you can understand that power networks have to be strengthened, power has to be metered , power

sale has to become two times in the next seven years, so all this is sounding good and capacities and liability, availability, sustainability have to be taken care of.

Soniya : Okay, thank you Sir and my second question is on the margins on EPC business, historically we have done around 17%, 18% margin on EPC, now it has come to around 15%, 16%, so I just wanted to understand like now currently it is low do you see it is expanding in like the next three, four years or you expect it to continue at the same level?

P.P. Gupta : This is the very difficult question to project and predict because it is all linked to the commodity cycles in our country and inflation, but we are hopeful you know that commodity cycle which impacted us strongly last year and even we sacrifice some of the topline to save the bottomline will not be impacting strongly going forward, but I like to be conservative in giving my guidance. If anything good happens by virtue of Europe going in recession , China slowing down, commodity cycles becoming more easier and affordable, definitely there is a scope to do better Madam.

Soniya : Thank you.

Soniya : Thank you. The next question is from the line of Prolin Nandu from Goldfish Capital . Please go ahead.

Prolin B Nandu : Thank you Sir for taking my question. If I look at your past history in terms of your EPC execution in all the last five years we have reported an ROC E on an average upw ards of 50% odd and now if I look at your order book the nature of order book is slightly more heavier towards NCD projects towards its smart metering project, do you think going Techno Electric & Engineering Limited
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Page 12 of 14 forward with the change in order book mix will we be able to maintain similar kind of ROC E number?

P.P. Gupta : Yes, definitely, because earlier our projects were distributed on a number of locations, so any number of location is a cost center and definitely adds to the cost, but if you are doing larger volume of work in one locatio n, it does bring the scale of economy associated with it, so it helps both ways and we are confident that we have been able to retain these kind of margin guidance.

Prolin B Nandu : I wanted to check on ROC E rather than margins and you had also mentioned FG D at least first round wa s very competitive, now if I am not wrong things are not as competitive as they were in the past, so my question was more on the ROC E part, not just on the margin part in terms of saving the money because there again we have expert ise right in terms of we have already mentioned in the past that it is not about getting the project it is about executing on time and getting the money on time, so in all these parameters do you think that given the change in the order book mix will we be able to maintain the similar kind of return ratio as well?

P.P. Gupta : ROC E of the capital deployed in EPC business yes, but we have many verticals, they keep migrating from one vertical to another so capitals are deployed differently, so (audio cut) 44:18, but if you are referring only to the element of EPC yes.

Prolin B Nandu : Great. I was referring only to the element of EPC. Sir my second question is on data center. Now in the past two, three calls we have mentioned that there ha ve been some terms whic h you are evaluating, is it certain milestone in terms of completion which we are waiting for us to execute these term sheets and for us to go ahead with these term sheet s or is it just we are looking because as we probably have the completion milestone, t he evaluation which these things will happen will also improve, so are the re certain milestones which you want to complete before close the deal and that is the reason why we are taking longer for this?

P.P. Gupta : Ankit would you like to answer this quest ion?

Ankit Sarvaiya : As I w as saying that the term sheets has been

coming frequently to us over the last one, one-and-a-half years since we started interacting with franchise p artners, but over the period of time as the project is progressing you rightly m entioned that with each phase the development risk is reducing and therefore the valuations and tu rns are also constantly improving and that much more visibility is also being gained an d therefore stronger partner is aligning up and we have been keeping up patience that at some point of time we will achieve something superior than what has been achieved in the past through these terms sheets and that is the reason why we are taking more time and hopefully we will have Techno Electric & Engineering Limited
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Page 13 of 14 something on board once we have a term sheet to our satisfaction and which is reasonable in nature as far as the term sheets are concerned as well.

Prolin B Nandu : Okay, that is very clear Ankit, but do you want to give some timeline by which you can finalize may be this year or would it be fal ling another next year I know that it depends on the quality of term sheet, but still some timeline which we are working with?

P.P. Gupta : By the close of this year we should be completing it.

Prolin B Nandu : That is it from my side. Thanks a lot for answe ring the question. Thank you.

Moderator : Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital . Please go ahead.

Sarvesh Gupta : Sir, on the dat a center, one question I think in the last concall we had mentioned that the first phase of the Chennai data center we wanted to commission by June 2023 and I think in this call you have said that it is third quarter of 2023 so do you mean that it has been sort of delayed by another six months from June 2023 to December 2023?

P.P. Gupta : I only meant third quarter of the financial year that is ending September, I have said second or third quarter of year 2023 -2024 that is between June to September, but it may be around June, July only.

Sarvesh Gupta : Okay and secondly Sir regarding this p revious discussion on the term sheets, I think earlier you had given us an understanding that you would want to issue the shares to a prospective party strategic partner without a premium because this is more like a long term strategic investment, but are we now looking for a premium to the book value for this business and hence we are getting delayed on the acceptance of the term sheet?

P.P. Gupta : Ankit, would you like to answer?

Ankit Sarvaiya : There are multiple quality partners (inaudible) 48:53 depend s on the entire structures and the potential opportunity that w e gain out of the strategic partnership, at this stage it is little too early to make a remark on it, but I said that with the pass ing time and with the development it is producing one can expe ct better than before .

Sarvesh Gupta : But we are still intending to offload 51% or more stake in this project right?

Ankit Sarvaiya : Absolutely.

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Page 14 of 14 Sarvesh Gupta : Thank you. That is all from my side.

Moderator : Thank you.

Kamlesh Kotak : GuptaJ i Kamlesh here. One question I just wanted to have your understanding is that about the data center have we started booking a ny revenue from that?

P.P. Gupta : No.

Kamlesh Kotak : The execution part of the EPC part .

P.P. Gupta : Not yet.

Kamlesh Kotak : How much revenue are y ou expecting to accrue from this commissioning in terms of the EPC revenue for the company?

P.P. Gupta : First phase will be around Rs.600 Crores plus, minus which we may like to book n ext year only going forward as soon as possible, but we will take a call by February, March are in progressing.

Kamlesh Kotak : Thank you. That is it from my side.

Moderator : Thank you. As there are no fu

rther questions from the participants I now hand the conference over to the management for closing comments.

P.P. Gupta : I thank you all of you for joining the conference and participating with searching questions and you are most welcome. If you have any queries still left related to our performance or operations, you are most welcome to mail us to Vishal Jain in our office, ou r IR person and also if you happen to be in this side of the country then you are welcome to drop in and we will be very happy to take you around our office and how we work. I can only share that we have a great future and despite all challenges in the pas t the future is very bright and we definitely see a growth momentum coming once again in the sector with all multiples which we lost in last three, four years due to sluggishness of the government or COVID, we are all behind us and with this optimism I wou ld like to close the conference and thank you everybody once again for joining. Have a good day.

Moderator : Thank you. On behalf of Asian Market s Securities Limited that concludes this confe rence. Thank you for joining us. Y ou may now disconnect your lines .

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"Techno Electric & Engineering Limited
Q3 FY '23 Conference Call "
February 15, 2023

MANAGEMENT : MR. P. P. GUPTA – MANAGING DIRECTOR – TECHNO
ELECTRIC AND ENGINEERING LIMITED
MR. ANKIT SARAIYA – WHOLE TIME DIRECTOR –
TECHNO ELECTRIC AND ENGINEERING LIMITED

MODERATOR : MR. KAMLESH KOTAK – ASIAN MARKETS SECURITIES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 and Nine -Month FY '23 Earnings Conference Call of Techno Electric & Engineering Limited hosted by Asian Market Securities Limited. Please note this conference call may contain forward -looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections, etcetera, whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr . Kamlesh Kotak from Asian Markets Securities Limited.

Thank you, and over to you.

Kamlesh Kotak: Thanks, Yashashri. Good afternoon, everyone. On behalf of Asian Markets, we welcome you all to the 3Q FY '23 earnings conference call of Techno Electric & Engineering Company Limited. We have pleasure in inviting Mr. P. P. Gupta, Managing Director; and Mr. Ankit Saraiya, Director, from the Company. I request Shri. Gupta -ji to take us through an overview of the company's quarterly results and then we shall begin the Q&A session.

Over to you, sir. Gupta -ji? Thank you.

P. P. Gupta: Thank you, Kamlesh. A very good afternoon to all of you, and I welcome everyone to discuss our financial results for the third quarter ending December and nine -months results for the nine -month period ending 31st December '22 and future potentiality of our sector and company in this sector.

Before I go through the details, I will like to share that anything said on this call, which reflects outlook for the future or that could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the sector faces and in turn your company faces. To bring to your knowledge that we have sold all the wind assets in the state of Tamil Nadu aggregating about 110 megawatt and have signed them. With regard to this, the operation of this segment has been disclosed as discontinued operations in the results as per Accounting Standard 105.

Let me take you through the highlights of our performance. The most important, again to repeat, is to bring to your knowledge that we have carefully sold major or all the capacity of the wind in the state of Tamil Nadu and have already realized around 50% of the money against the assets structured as reported in the exchange, and also advanced we received from various MOUs which are to be paid out by the end of this month. With regard to this, the operation for the same has been disclosed as discontinued in our results in compliance to the Accounting Standard 105. The total revenue for this quarter stands at around INR 190 crores. The revenue from EPC is around INR 185 crores.

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The decline in revenue in EPC is purely incidental, which are largely because of the delay in landing over of these new sites by partly at Sikar and Goa at -- by Sterlite. And the supply chain

remains a bit disrupted due to non -availability on semiconductor, electronic components and particularly 765 kV GIS modules from our Chinese manufacturers who are eligible to supply the same in India.

The FGD execution has just picked up and its impact will be felt in the coming quarters. Due to above reasons, we wish the revenue

by around INR 100 crores, which will be largely made up in next quarter or the ongoing quarter, Q4. This is what I believe -- due to the above -mentioned reasons, the results do not reflect our outlook for the future as we continue to be all -time bullish for the current year as well as for the coming years.

The EBITDA for the Company stands around INR 25 crores. The operating profit for the EPC segment is around INR 23 crores. We experienced some pressure in the EBITDA margins due to high commodity prices, which are lately correcting, and also high overseas rate for our export contract. The other income for this quarter stands at INR 40 crores compared to INR 120 crores for the last year.

The last year income has included profits realized out of the sale of our joint venture company with KPTL, the assets at Kohima, Nagaland for INR 110 crores. You may expect this to happen now in Q4 out of our wind assets. The profit before tax for the quarter is at INR 41 crores. The PAT is at INR 31.5 crores approximately. The difference in bottom line was majorly due to other income as stated earlier. The EPS for this quarter is at INR 2.9. Coming to nine months results, our top line is at around INR 600 crores and EPC is at INR 510 crores. The EBITDA for the Company stands at around INR 145 crores and EPC segment is at around INR 72 crores. And operating profit margin for the EPC segment is at 40.2% which is 40 -plus. The other income for nine months is at around INR 52 crores as against INR 148 crores last year. The difference continues to be basically because of the profit booked in Q3 last year out of the sale of Kohima asset which of under INR 10 crores , which this year will happen in Q4 by exit of the wind assets. The profit before tax is at INR 168 crores and profit after tax is at INR 146 crores. EPS is at INR 11.65. The total cash in hand after meeting expenses as well as other diversifications is at INR 1,200 crores that is more than INR 110, which is around INR 110 per share. The wind power asset sale will further add up to about INR 450 crores of cash surplus in our books, which will strengthen us to bid for smart meter projects on contracts basis or DBFOT model and our datacentre projects.

During this quarter, we have booked further business worth about INR 500 crores, as major orders are from Sterlite Power at Goa for about INR 130 crores and from REC Power Distribution Co. to install 2.5 lakh smart meter under TOTEX model or under DBFOT model for INR 338 crores.

But to achieve this, we have floated a holding of subsidiary the night we choose to do transmission assets Techno AMI solutions. The order intake over the nine months is approximately INR 3,000 crores, and unexecuted order book has on this upper end is at around Techno Electric & Engineering Limited

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INR 4,000 crores. We have bids in the pipeline for over INR 5,000 crores, which are yet to be opened. We are hopeful of making at least INR 2,000 crores business out of the same. The outlook is extremely positive as I've been sharing with you.

I trust the difficult tie -ins are behind us, and we have shown growth in business bookings and we foresee significant growth in our top line and bottom line too in the coming quarters. We expect this growth momentum of business as well as execution to continue for the coming three years. At least for the year '24, '25 and '26, we expect larger business at present out of FGD segment, AMI segment and datacentres and status quo in our transmission and distribution business. As you are all aware that power sector reforms are strongly pursued by government and additionally the Electricity Act pending for last three, four years, has been approved as of the December end '22.

This will bring new opportunities to the Company as the consumer now stands provided with the choice of the multiple power suppliers as in case of

the mobile and internet services. And

also, that shows slight repayment to the generators and onshore adequate tariff, the reasons to ensure financial viability and health of discoms.

On the business side, I will take you through each segment we are catering to. The FGD segment continues to be focused. As per notification of Government of India, all coal -fired customer power stations need to limit their sulphur and nitrogen emissions as notified by the Pollution Department. There is a considerable progress already as informed by CPSUs and we see now strong traction by these solutions by the private sectors and at CPSUs.

We have already got orders worth INR 40 crores, INR 50 crores, and we expect this level of business to continue for next three, four years. In the transmission sector, the renewable power

target of 500 gigawatt by 2030 is already in place, and I expect this maybe more than -- the evacuation or transmission networks for which the bidding is in pipeline for about 60 gigawatt should be completed by 2023.

And now I think that is going at a faster pace with no extensions. The interstate transmission system for evacuation and grid integration of 13 gigawatt renewable energy from the Ladakh has been progressing well and we are already part of it. The total -- involved in this is about INR 207 billion with central government INR 83 billion.

AMI segment. Apart from RDSS, the major element of the power sector reforms is installation of smart metering solutions to contain the losses, metering of power properly had a powering the consumers to view their power consumption, quality of power supply to them, and also regulating their total power consumption and timely payment of which. The budget 2023 provides for all these incentives to the SEBs and to the discoms.

We are witnessing strong focus on distribution network strictly and making them more smarter and intelligent through RDSS scheme for which government has allocated INR 3,00,000 crores for the next five years to be funded by the addition of PSU. The main aim of the government is now to improve efficiency, contain losses, improve the financial health of discoms. And out of Techno Electric & Engineering Limited

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this, we have already got one order from J&K for 2.5 lakhs smart meters for INR 338 crores under TOTEX models.

The Electricity Amendment Bill 2022 is already in place at which we will see the implementation. It will facilitate non-discriminatory open access to the generators as well as multiple power suppliers as well as scrutiny in consumers. This may open up new areas of power distribution licensing and private sector investments in distribution as it has happened in the generation and transmission in a big way.

This scheme provides for the use of existing networks by new licenses also, and the handling fee to be provided to be decided by the regulators. Even the tariff of the power can be upgraded not once in a year, but maybe more than once in a year going forward. We are very, very hopeful that power sector is now at a very critical juncture and only something good should happen going forward.

The checkpoint we have taken a generic resolution to sell our wind assets in the state of Tamil Nadu. We have already told that by announcements that Techno has transferred and sold 37.5 kilo megawatt of wind assets out of 110 megawatt situated in Tamil Nadu at a consideration of INR 159 crores and entered into MoU with commitment to buy and with the advancement of 25% for another 71.4 megawatt.

This will add around INR 415 crores to our balance sheet with a way similar to last year as given in Kohima exit. The sales of wind power assets announced today is likely the one strategy to exit the grid -- to exit the generator business and investing in our high rewarding growth areas, which includes like datacentres, AMI as well as our overseas bu

sinesses. Techno remains

focused on executing its strategy for pursuing growth, a targeted core EPC businesses, and also developing new capabilities in areas like -- or moving our capability in areas like datacentres, smart metering, power distribution, etc.

Now the third segment where we are present is datacentre now. We have already stated that datacentre business will see multiple growth in coming five to seven years. The capacity in that three years is likely to grow from 500 megawatt to [inaudible 0:18:59], and over the next seven years to 5 gigawatt. Most of the datacentres are located in Mumbai and Chennai.

Airtel, Adani, Equinix, Sify, STT are already in the process of setting up of datacentre at SIPCOT IT parks, Siruseri, Chennai, where we were the first mover and this also validates our choice of the execution. Techno is in advanced stage of completing these datacentre of 24 megawatt IT load of ultra-scalable, hyper density nature.

We already achieved the progress up to the casting of this slab of second floor and we have spent around INR 100 crores on this project right now apart from the land cost. The long lead equipment already stands order to the extent of 50%. All that sale of datacentre building will be completed by May '23 and we are hopeful of commissioning first phase of the datacentre by September '23. We are seeing aggressive interest from strategic partner to enter into a JV with us for developing datacentres in India. We are evaluating the available options and will be concluding the sale soon forward.

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With capex of around INR 1,400 crores that is around INR 50 crores per megawatt, about 60% to 65% capex is involved in electromechanical works contractors about, which is our in-house

expertise. And we would be able to leverage on the same for executing the works. With EPC capability and prior experience of developing infrastructure projects, we are in a unique position when compared to the industry and we are approached by others developers now to take up EPC for them for datacentre works.

With this background, I would like to invite your questions.

Moderator: Should we begin the question -and-answer session, sir?

P. P. Gupta: Yes. Yes.

Moderator: We have our first question from the line of Sandeep Tulsian from JM Financial.

Sandeep Tulsian: Sir, first question is on the revised revenue guidance. You said it is started by INR 100 crores. If you could also share the absolute numbers, what you are expected to do close FY '23 by? And also, what is the expected number for FY '24 in terms of revenue?

P. P. Gupta: Sandeep, I trust, this year, we should conservatively INR 2,000 crores to INR 1,100 crores in EPC business and another INR 100 crores will come out of the wind business, which we are exiting and built already. As regards, '23 -'24, you can safely take a top line of INR 1,600 crores, at least INR 400 crores per quarter.

Sandeep Tulsian: So sir, we have not done such high execution in any of the quarters with INR 500 crores. So we are targeting INR 500 crores to INR 600 crores in the fourth quarter. So based on the current employee strength and the contract workers that we have at various sites, you think we can ramp up revenue so sharply in the fourth quarter?

P. P. Gupta: You see, let me first highlight to you what happened in Q3. You see, we are ahead in the field progress, where there is no decline in work. All sites are ready to receive equipment. But somehow, we could not match up the supplies with these site requirements. So our field progress of INR 250 crores is intact for the year already, out of which we have already built about INR 175 crores by December end. Where we lag is supply content. The supply of INR 50 crores we could not take delivery because they were meant further projects where sites were not handed over

to us.

We are promising, next week, next week, by power cut at Rajasthan, in Sikar as well as by Sterlite in Goa project. And another INR 50 crores got suffered because of the varied components not being there with the -- because of the semiconductors, our electronic components, procurements of GE or AVB, all of them raise their hands stating we are scarce supplies, which reasons you can also collaborate with them.

Thirdly, some GIS modules which were expected to be delivered. You see, after Chinese are out, the suppliers left for 765 kV countries only two now. One is GE and other is Hershall, which is acceptable to the government. So these are all overloaded and their modules are also not

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complete because of, again, electronic components not being with that, and they are not able to make ready their LCC banners than others despite promises.

So supply side has let us down in Q3, not the field side. Techno has always been strong in the field, as you know. I am a services company. I'm not a manufacturer of any equipment. So supply from that point is all sourced, whereas field is our reporting. We have the capability to do work at 30 sites at one go, and we have sufficient manpower for that, which are always underutilized over the last two, three years.

So whatever growth is coming is mostly out of the component of the solution as a know-how capability, component, design component or your supply component additionally with it. So we are not ready to achieve. We could have easily done if you include free supply materials from the customers. We are very happy with like transformers, power grid or many other private, Adani, they prefer to supply transformers themselves. So we prefer that.

Why have that in the top line unnecessary with low margins? So in the past also, the top line has never been our belief sir, nor we have bothered to be the largest in the country. My belief is to be best in the sector, which I have always been claiming in terms of technology, solutions, latest solution for anticipating what our requirements in the emerging solutions. We want to be there. We want to be the lead player in those areas and ahead of others. That is where Techno is always there over others. So bottom line is my key sir, which we must achieve. And that is why we want to be shareholder. If I can deliver the bottom line with lesser risk and with a lesser top line, I don't think it should worry my investors.

Sandeep Tulsian: Right. Fair enough. Also, attached question is on the margin side. You have been guiding conservatively that your margins will be lower in future as FGD execution picks up and you have guided ahead that there is some commodity cost pressure as well on the company because of which margins are trending downwards. Sir, how should we build in the margins?

And if you look at margins for nine months, they were at 14.5% in EPC, but they were at 12.2% in third quarter. And your guidance in the past has been somewhere about 12.5%, what I recall from earlier calls. So should we still stick to this 12.5%? Or do you think because of this

commodity price pressure they can further trend downwards in the future?

P. P. Gupta: No, sir. I will say, sir, that you keep 14.5%. This 12.5% has happened only because of our overhead appropriation over lower top line. With the commodity compression, our margin at 14% is already assured for you, and we've maintained that. And next quarter, it will be again distort because we have built up the organization, overheads we are transforming. We are evolving in new segments.

So a lot of new people are joining our company as a manpower resource, both at Delhi and Kolkata. Delhi has been -- wherever IT and power are bulging together, we are undertaking more growth in Delhi office now. So this compression in pressure is basically because of our over-

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counting and other expenses. It has nothing to do with the commodity side in the third quarter.

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Sandeep Tulsiyan: Even in the past, you have guided actually for 12.5%, 13% margins. So I was just alluding to that for FY '24 also or FY '25. So maybe that is being conservative on your side, but this 14.5%, is it your guiding it from next year now? So is it like an upward revision in that margin guidance?

P. P. Gupta: Yes. This year also, you take 14% minimum, if not better. We have tied up all the supplies and our field costs. We are very confident to be at 14% this year also, sir.

Sandeep Tulsiyan: Right. And one more question from my side, sir, is on this wind power asset sale. In the past, you had guided that we'll reserve some 50 megawatts for in-house captive consumption for the datacentre. But now it seems that you have off-loaded almost 80% of your capacities, only 20 megawatts will be left with the company. So where will that captive power requirement will come from?

And also, in terms of utilization of the funds, we'll, of course, spend some INR 200 crores, INR 250 crores each year on datacentre and maybe another from INR 300 crores to INR 500 crores amount on distribution projects. Still, there will be a substantial amount, which will be there on the balance sheet out of the INR 1,500 crores balance. So what is your pay out policy going to be? Is it going to be stepped up? Because right now, pay out is still very low, include in terms of yield, but out of the INR 1,500 crores balance sheet, you are still paying less than INR 150 crores a year to the shareholders. So where do you foresee that amount going to be? Last question.

P. P. Gupta: Sir firstly, I would like to answer your three, four questions in equal steps. Firstly, I could not have got a better time than now to exit my wind assets. You see, due to energy crisis and change of government in Tamil Nadu and this business has been so local, we are able to realize now almost 80% of my purchase value. Having used these machines for 12 years, I could not have expected like that ever, between you and me.

So number two, the renewable power in the country now is growing multi-fold and open accessing renewable power has been allowed by the Amended Electricity Act already. I can buy this power in power exchanges, I can get into a group prepping model in intrastate with some generators there who already are well known to us. So keeping your money locked in assets was no more making a sense with the present times, I will say.

Even if I want to come back, I may again come back now with the solar, some joint venture with some generator taking an interest of 26% in solar capacity, or even in wind with the latest technologies, which have gone a long way in improving CUFs over what we add CUF with our machines where we procured in time. So all those factors are properly taken care by us.

Our datacentre will be fed more competitively by procuring power from other eligible means than holding on to your own generating assets. It was not making business sense any more.

Given the present I would say, the direction in the market in buying these assets by local industries market peoples. Number one.

Number two, now coming to the cash in our books, sir. Obviously, cash belongs to our investors.

They are very valued to us. If the pay out will also go up, buyback will also continue. And I can assure you and all the investors will be multiple in the years to come. You see the more important Techno Electric & Engineering Limited

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part where I'm excited now is which I never see in my 40 years of career in this sector, sir, that we got this company was no more than INR 100 crores when Electricity Act 2003 happened. Today, we are at INR 1,000 crores plus, minus. Now another amendmen-

t has come. So there is

no reason why Techno should not be INR 10,000 crores top line and a bottom line of at least INR 1,500 crores by 2030. I see no reason. Every year, we will see magical growth in this company now. In my lifetime, I have not seen these types, the kind of business available in the

market, the kind of cash, eligibility we have, sir, which most companies don't have in our sector today.

They are starved off their own capital, they have starved off their own execution phase, and they are starved off their own eligibilities to commit more in this sector. So it is a very exciting time now. And Techno has all kinds of experiences, EPC, developer, asset owner, O&M, what is required to be in this market now and play with so many technologies around us. We have been always up to date with the technologies all beyond. If any technology a multinational knows among EPCs, I can claim it with pride, sir, that it is only Techno who matches that.

Sandeep Tulsiyan: Sorry to continue, but the only question over there was, we were always an asset-light company focusing on high ROICs. And with this DBFOT investment and datacentre investment, we might become a bit more asset heavy in future. So I just wanted to get your more thoughts on this capital allocation because one thought maybe that these are temporary investments and you may monetize them or we may continue to run some of them for a longer period of time. So, just wanted to get your thoughts on capital allocation part of it?

P. P. Gupta: I'm coming to you, sir. My capital allocation in this business will never be more than INR 500 crores, even if it is DBFOT model or any model, sir. There is a concept called securitization on the deferred bids. Once the project has achieved the COD, sir, you can securitize your bids. That is what we intend to do. We already have to -- to securitize our bids of this particular order also because there are many financials who want to wrap up the book.

There are many PE funds who are approaching us to invest in our AMI subsidiary to scale up the books. Funds like NIR and others. So there is no dearth of funds now to fund these kinds of operations. And definitely, I'm going to keep my balance sheet asset light, that's why we quoted a subsidiary and let that subsidiary take care of its business in its own merit.

Moderator: We have a next question from the line of Ashwani Sharma from ICICI Securities.

Ashwani Sharma: Yes. Good afternoon, and thanks for the opportunity. Sir, my first question is again on the revenue. So Q3 was impacted because of the supply chain, as you mentioned. But what gives us the confidence on the supply chain that we will be able to do INR 500 crores in the Q4?

P. P. Gupta: First of all, I'll say that in EPC business quarter-on-quarter, it's a very big puzzle, number one. And number two, definitely you can appreciate that not being getting supplies in Q3, definitely we called for our intensive meetings, all reputed vendors have definitive progress with them, have backup LCs with them from us.

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Now the priority is programs are all fully committed and tied up in whichever format they support our projects and how much they mean as a value to us. So definitely, you cannot give a homework to the market forces anymore. In Q3, we were believing in the normal course things will go. So slippage has happened, but we cannot continue to happen. So now all programs are committed and tied up with them, sir.

Ashwani Sharma: Sir, my second question is on the datacentres. What is the update on the JV partner that we have been scouting for quite a bit some time now?

P. P. Gupta: Ankit, will you like to answer this question?

Ankit Saraiya: Yes, sure. So as far as JV partner is concerned, we are in active discussions as mentioned earlier. We are already in receipt of a term

sheet from one of the JV partners. With confidentiality, obviously, we cannot disclose right now the details. But we are in progress, and we are finally in discussion with at least two or three more datacentre operators, one based off of Singapore and a couple of them based off of US, while we have a term sheet from another JV partner based in Singapore itself. That said, we're quite confident that we should be able to close something over the next six months to eight months time.

Ashwani Sharma: Sir, thirdly, again, one more question on the datacentre. The capex is INR 100 crores. I think it's been there for a couple of quarters. How is the construction or execution is happening at datacentres at Chennai?

Ankit Saraiya: Currently, you see, capex will obviously take time to build up because most of the purchase orders or letter of awards which have been given out to various suppliers, vendors or contractors on field do not contain heavy upfront payment to them. Therefore, the capex is not building up. But today, as we speak, we have completed construction up to the second floor of the datacentre. Two more floors are left to go. They should get completed by mid-April or end of April. So the core in shell of the datacentre will be completed by end of April. And we should start architectural commission works from mid-March onwards. Procurement of equipments are almost completed up to 50%, 60%.

And these equipments will start getting delivered in the next four months to six months time. And the remaining portion of equipments should also get ordered out within the next couple of months. So we are hopeful that we'll be able to bring this project into commissioning around the month of August.

Ashwani Sharma: Okay. Sir, coming back to...

P. P. Gupta: What I mean by INR 100 crores is the spend money paid out in cash and committed capex already by ordering is around INR 400 crores by now, as far as commitments are concerned to the vendor arrangements. So it is going on track. And the first phase of our project is around INR 650 crores, Phase 1, which we tend to making it ready by August, September this year. Another INR 200 crores will get settled by March end. So that is the update. But pay-outs will happen by September only, progressively I'll say.

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Ankit Saraiya: Yes. And sir, coming back to EPC revenue guidance for '24, the INR 1,600 crores revenue guidance that you gave, how much will it be from the datacentre EPC? And from the metering and the FGD, if you can just give us some sense?

P. P. Gupta: Yes. By and large, I gave this breakup last time also. You can take FGD around INR 500 crores to INR 600 crores, and transmission and other around INR 400 crores and another datacentre will be another about INR 350 crores. And you can say an other INR 250 crores to INR 300 crores will be from AMI.

Moderator: We have a next question from the line of Keshav Garg from Counter Cyclical PMS.

Keshav Garg: Sir, I wanted to understand, we have over INR 1,500 crores of net cash. And sir, there is a company GE Power India. So you must be knowing that company in and out. So the promoter wants to exit that business, and so the share price has fallen below 2005 levels. Sir, so is there any opportunity for us to acquire that asset at a throwaway price and turn it around? So what are your views on this, sir?

P. P. Gupta: Sir, I've not examined the company numbers. If GE Power, you are meaning the company of US GE, I don't what it is or it is some Indian company, I have no idea...

Keshav Garg: Sir, it is GE Power India, it is a listed company. Sir, so you can kindly check it out. And sir, the market capitalization is INR 800 crores as of now. And the promoter has stated that they want to sell off this company and they want to exit this line of business. Sir, so...

P. P. Gupta: What do

they do, sir? Can you update us? I am not fully informed.

Keshav Garg: Sir, they are doing EPC work for thermal and hydro power plants in India. And they also do FGD, etc. Sir, so since it's a listed company and everything is publicly available, sir, you can kindly check it out if it makes sense for us to acquire it at a throwaway price.

P. P. Gupta: Thank you very much for bringing it to our knowledge. We will examine it, sir...

Moderator: We have a next question from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Very good afternoon, sir. Sir, first question is on your revenue guidance of INR 1,600 -odd crores. So I think earlier calls, you had said that this INR 1,000 -odd EPC crores -- INR 1,000 crores EPC revenue will scale up to around INR 2,000 crores in the coming two, three years, right? And this never included the EPC business from the datacentre business.

And now in the INR 1,600 crores, you are including that as well. So that was something that I could not understand because already you have around INR 4,000 -odd crores of order book from the non -datacentre business itself. So why should this INR 1,600 crores sort of a guidance include that as well? Because then it means that the execution from INR 4,000 crores order book will be just INR 1,200 -odd crores so that looks like a very small sort of a number. So if you can throw some light on that, sir?

P. P. Gupta: You see, there is no specific line to be communicated in this. Our target is to achieve INR 2,000 crores by '25. And definitely datacentre is a part of our business. It is quite likely in '23 -'24

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itself, we may exceed INR 1,600 crores also. But my nervous system says that presently I have to soothe the nerves out of this quarter outcome. So market must believe that whatever INR 1,600 crores I'm saying has the scope to improve by another INR 250 crores, but do not go down by INR 250 crores. That's more important to all of us, Sarvesh?

So that is the purpose I said that even if you take a worse scenario because we have to book that EPC also while commissioning Stage 1. So whether it will be INR 1,500 crores plus INR 350 crores or INR 1,600 crores includes this INR 350 crores makes no difference as long as top line stand is achieved by us. So what I want to communicate is the comfort that next year of '23 -'24, whatever growth we could not achieve this year will definitely be made up next year.

Sarvesh Gupta: Secondly, so this wind power out of this INR 450 crores, the remaining INR 300 -odd crores, INR 75 crores will be realized in month of February and INR 225 crores remaining, when can we expect to realize, sir?

P. P. Gupta: No, I said we have already realized INR 250 crores, sir, and only INR 200 crores more to be realized by February end.

Sarvesh Gupta: Okay. So everything is coming in this quarter itself. Understood.

P. P. Gupta: Absolutely.

Sarvesh Gupta: And sir, last quarter, JV partnership in the datacentre business. So that seems to be like -- we are always saying that we are getting something finalized. Even in last call, we said that we are in silent period and term sheet is getting finalized. Now I think the revised guidance is another six, seven months will take.

So what exactly -- are we just sort of biding the time so that we get the sweetest deal or are we not getting the deal from someone who we really want to quote for this business? Or are we not getting the required valuation? So where is it taking so much time because almost like last eight, nine months, our commentary has been that we are going to be finalizing the deal soon, but it is never happening?

P. P. Gupta: Ankit, will you like to address?

Ankit Saraiya: Yes. You see, the reason why we've not been able to conclude even though we have said in the past that it could not take more than six

to eight months is because this industry is still very --

what do I say, very, very new to the country. And there is a lot of activity around the industry, which is ongoing. So every day or almost every alternate day, we would new statements, some announcement of the other in regards to the datacentre industry.

Now with this announcement, obviously, the quality of term sheets and quality of partnerships are changing along the way. There is more interest from many other datacentre operators, which were not looking into India earlier, but have started looking into India today. And very, very large datacentre operators, who we were in probably in discussion in the earlier days, who we were introducing the Indian market to, but did not take that interest. And today, they are looking to jump into it.

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And the second thing which has happened in our favour is that, especially with this project, is that the project has progressed really very well, whether it is the design engineering, whether it is the progress that we've been able to make on the field because many industry players did not expect Techno to find success in execution or in design to begin with without a strategic partner, but we've been able to demonstrate that. Now this project is looking to get commissioned over the next seven to eight months' time.

Having said that, the confidence level in the market for Techno has improved, and therefore, the quality of investors chasing us or behind us has also improved. And the term sheets on -- along the way are a lot to that extent improving. So this dynamic change in the industry plus newer interest that we are seeing come into the project and with the project progress, the quality of term sheets included, all of this is constantly making us look at the next best thing.

Today, we are in discussions with, as I mentioned, a couple of datacentre operators from the US and then a couple of them from Singapore. And none of these datacentre operators -- I would say, at least three of them are sitting on a balance sheet size of more than \$10 billion to \$15 billion, which was not the size of operators that we ever targeted to begin with, though we hope for it. So things are looking brighter and better as project is progressing and as the industry is opening out more. So it's that we are just keeping patience to see how we can make better of the situation that we have.

Sarvesh Gupta: And then my final question is that you said that obviously the opportunity that you are seeing, you are saying that it is probably the best that you have seen in your career. And now, of course, we have a very strong balance sheet also. But from an organizational perspective, sir, are we doing something every quarter to sort of strengthen our top level and senior, as well as mid-level management so that we are able to -- because such a large scale, of course, if you're looking at 10x scale, cannot be achieved without the proper sort of management talent at every level in the organization.

So if you can sir, update something that we have done because now we are seeing so many opportunities in multiple directions, but do we have that talent to sort of take advantage of this, especially given the changing scenario, Electricity Act and everything, sir?

P. P. Gupta: I really appreciate your question and very, very appropriate in the evolving, developing situation.

To address -- you see, no quality at quantum of manpower is ever complete in an industry like ourselves, number one. Number two, to achieve this part, Ankit is now operating out of Delhi and not Kolkata anymore. And our daily office is getting strengthened by every passing day.

And we want to build it more strongly, wherever IT and power combination is going to be a way of life. But regionally, building around conventional traditions will all co

ntinue to be handled

from Kolkata where manpower is already available.

I will say that in last two months, we must have added about 30 people at senior and medium

level in our company, sir. So this recruitment really is very strong, and it is going on. But I'd like to say, at the same time, I'm also seeing some iteration, which I have never seen earlier also. We have lost about 10, 12 people also from our team who are willing to be located outside our company.

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So tail -end hunting will be ongoing requirement of our business, and it is going to be very specially performed. We have created a strong HR setup at Delhi. We have engaged all good HR consultants with us, who are working in tandem with us. So your question is well taken, sir, and I respect for very, very appropriate question.

Moderator: Thank you. We have a next question from the line of Deepesh Agarwal from UTI AMC.

Deepesh Agarwal: Yes. Hi, good evening, sir. Most of my questions have been answered. Only two bookkeeping questions. Number one, sir, what would be our equity investment in the smart meter subsidiary?

P. P. Gupta: Sir, firstly, you see, the SPV will hand over EPC to Techno. So we are not going to invest much equity here other than maybe INR 5 crores or so. Now if we see receivables will be there from the SPV, which will be securitized with one of the financial companies, and all EPC bills will be paid off from the SPV. So we don't see much equity to be provided from the parent company.

Deepesh Agarwal: So, sir, the receivables will be realized over a period of six or seven years, right?

P. P. Gupta: No, I'm sharing with you, Deepesh, what should I say, securitization, what you call in the financial markets, that some finance company will securitize those bills and pay us with discounted value today by rate of interest, whatever is applicable 8%, 9% out of that. So once we have our payments upfront made to the EPC, the same will be paid out to Techno Electric. So in the intervening period, you could say the Techno's engagement as receivables will be lifted to INR 100 crores, no more than INR 100 crores...

Let me complete, Deepesh. Because 30% is capex that utility is paying us. In a TOTEX model, it is a 30 -70 model practice in Jammu Kashmir. So 30% payment they are paying us with every progress, every build progressively like EPC. So what we are funding is only 70% part of it to be paid over nine years or so.

Deepesh Agarwal: Sir, the other question is, so we had a lot of wind receivables with us. Now when you are selling the wind assets, who will get those receivables would it be the new buyer or Techno will get the pending receivables?

P. P. Gupta: So those all belong to Techno, sir. Whatever issues until the date of sale, Techno has the right under the agreement to pursue that with the utility, with the [inaudible 0:58:28] and any other jurisdictions. We have no bar on it. They all belong to us because the many bills are also lying in our name only with them. So generally, the utility pay to the very entity in whose names bills are outstanding with them.

Deepesh Agarwal: And what would be the outstanding amount right now?

P. P. Gupta: About INR 200 crores, sir.

Deepesh Agarwal: And is there any expectation by when do you expect this to be received?

P. P. Gupta: This is a million -dollar question, sir. We are contesting with the utility to pay it upfront. We have all high court orders in our favour . We have all the regulatory orders in our favour. Utility is also promising us to pay us day in, day out. But there is a parallel scheme running in the Techno Electric & Engineering Limited

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country to pay in 48 instalments . So we are already -- they are adapting to pay us under 48 instalments , which we are getting regularly from them, about INR

2 crores per month. But we are protesting it. So hopefully, some success will come. We are hopeful to wind up this issue as fast as possible, sir.

Moderator: Thank you. We have a next question from the line of Akhilesh Bagri, an Individual Investor.

Akhilesh Bagri: Sir, we have some pending receivables from Afghanistan also. Has there been any update on that matter?

P. P. Gupta: Yes. The update now is the local government has more or less accepted the situation that the funding body like ADB or World Bank may not come back to Afghanistan because of their issues on the human rights or other religious issues as practiced there. So they have lately approached us to take up this project possibly at a rupee arrangement between the Government of India and Afghanistan Government. They have started discussing with us.

Three projects they have identified. One belongs to us, one to KEC and one to KPTL. These three are important to the country because they cater to Central Asia and not only to Afghanistan. So hopefully, some settlement may happen in the next two months. So how to go about it? Because the best part is, 80% of the project stands built at paid part. So we are in a very strong position this project needs to be completed. No government will leave it half done by having

spent 80% capex on it. And secondly, it is being of strategic interest to them.

Akhilesh Bagri: And as on date the outstanding was around INR 45 crores, right?

P. P. Gupta: Right. Right.

Moderator: We have a next question from the line of Karan Barmecha from Pinkbull Investments.

Karan Barmecha: I was actually a little late on the call, but my question was primarily to do with this financial year's revenue target. So with the third quarter result, it looks a little off versus the INR 800 crores we were supposed to kind of earn including this quarter — in the last two quarters. So where do you see the final numbers for the last quarter of this financial year?

P. P. Gupta: I've already replied to this question to charge query that you can expect our top line to be anyway at around INR 1,100 plus finals this year. And next year, it will be INR 1,600 crores.

Moderator: We have our next question from the line of Shreyans Gathani from SG Securities.

Shreyans Gathani: My question is on the datacentre business. If I look at the website, you also mentioned about Mumbai and Kolkata datacentre. So I just wanted to know what the strategy is there? Is it going to be EPC? Or — because, as I understand, the first Chennai datacentre was like more of a pilot demonstrating Techno's capabilities, so we need more capital in there. So the next projects, do you look at them as capital-intensive projects? Or is it more on a lighter side once we already have capabilities set up from the Chennai datacentre?

P. P. Gupta: Ankit, will you like to answer this question?

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Ankit Saraiya: Yes. So basically, Calcutta most likely is going to be our next project after Chennai. And Calcutta is starting to see great potential for datacentres, because that side, which is the east and the northeast side of the country, is completely uncatered by datacentres. As we speak today, over the last three months, Airtel and NTT, which the telecom company from Japan have both broken ground and started construction of datacentres in Calcutta, then Singapore Telecom, Adani, CtrlS also looking to come up with datacentres in Calcutta.

And we follow a very similar strategy in Calcutta as what we've done in Chennai, wherein we will develop a datacentre of a similar nature, most likely of a similar nature, that is there in Chennai and ultimately look for a strategic partner to come in and take over the datacentre for operations and customer acquisitions. So it might go on a very similar line with Chennai, and hopefully, the partner that we are

able to engage for in Chennai should show interest in Kolkata

as well with Kolkata becoming a very important market for datacentres.

Shreyans Gathani: Sir, my next question is just on the order pipeline. So what kind of order book do you expect to close? And I remember you mentioned about INR 5,000 crores in the last con call. So I just wanted to know if that is unchanged or are we L1 on any orders currently?

P. P. Gupta: No, we still received INR 5,000 crores. We have participated in bids worth INR 5,000 crores which are yet to see opening. We are hopeful that in the balance period, we will be able to book another bid of INR 1,000 crores safely. So we maintain INR 5,000 crores as the order by close of the year, sir.

Shreyans Gathani: And we expect to execute around INR 1,300 crores, INR 1,400 crores out of the INR 5,000 crores is what...

P. P. Gupta: Not this year, sir, next year.

Shreyans Gathani: Next year. Sorry. Sorry. Yes, next FY '24.

P. P. Gupta: Yes. Absolutely right.

Moderator: Thank you. I would now like to hand over the call to management for closing remarks. Over to you, sir.

P. P. Gupta: Yes. I will once again thank you all of you and like to reiterate my commitment that this quarter is a one-time blip due to difficult supply chain challenges and also delay in handover of the sites from the developers, although filed works in other locations are in good progress. But there have been some time lag in take-off of the projects recently awarded to us.

From the current quarter onwards, we expect a top line of almost INR 400 crores to INR 500 crores per quarter, with Q4 ending with no less than INR 500 crores and the bottom line of this year should be at par with the previous year with other income remaining alike and definitely growing in future years with the growth in the top line.

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With this, I would like to thank all of you once again in joining the conference call with us. In case you have further any query related to our performance, please drop a mail to us. With that, I would like to close the conference and thank everybody for joining.

Moderator: On behalf of Asian Market Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2023

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"Techno Electric & Engineering Company Limited
Q4 FY'23 Earnings Conference Call "
May 31, 2023

MANAGEMENT : MR. P. P. GUPTA – CHAIRMAN , MANAGING DIRECTOR
– TECHNO ELECTRIC & ENGINEERING LIMITED
MR. ANKIT SARAIYA – DIRECTOR – TECHNO
ELECTRIC & ENGINEERING LIMITED

MODERATOR : MR. KAMLESH KOTAK – ASIAN MARKET SECURITIES
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Techno Electric & Engineering Company Limited Q4 FY'23 Earnings Conference Call hosted by Asian Market Securities Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kamlesh Kotak from Asian Market Securities Limited.

Thank you. And over to you, sir.

Kamlesh Kotak : Thanks, Ryan. Good afternoon, everyone. On behalf of Asian Markets, we welcome you all to the 4Q FY'23 Earnings Conference Call of Techno Electric & Engineering Company Limited.

We have with us today Mr. P. P. Gupta ji, Chairman and Managing Director; and Mr. Ankit Saraiya, Director representing the company. I request Shri. P.P. Gupta Ji to take us through an overview of the quarterly and the yearly results, and then we shall begin the Q&A session. Over to you, Gupta ji. Thank you.

P. P. Gupta : Very good afternoon to all of you. I will say a very good morning. And welcome everyone to because our financial results for the quarter and full year ended 31st March 2023. Anything said on this call, which reflects our outlook for the future or that could be construed as a forward-looking statement must be reviewed in conjunction with this industry or sector faces as much reflects on our company.

Let me highlight our performance. Firstly, I would like to seek your apology as this year results are not very -- as simple as they have been in the past because basically, these results comprise 3 segments now; one is where EPC, second is Wind, discontinued business in the State of Tamil Nadu and the thirdly the upcoming subs or subsidiaries in form of data centre and AMI works we are doing now.

As all of you know, and we have been waiting for the last 3 to 4 years, we are happy to now acknowledge and bring to your knowledge the wind assets in Tamil Nadu stands sold, and we have parted with 105 -megawatt capacity and accounted further out of 112 -megawatt, the balance to another 4.2 megawatts and sold or 3.6 already stands sold in April and balance 4.2 is remaining due to land title challenges, we are trying to sort out fast.

Total revenue for the company from the EPC segment stands at around INR450 crores plus, which includes the execution of the works on data centre as well as the AMI sub at cost. We expect a similar level of forthcoming outputs in quarter -- in forthcoming quarters, but maybe be with a plus/minus of another 10%. The EBITDA for the company stands at INR38.78 crores.

EBIT for the EPC segment stands at INR39 crores.

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We have taken, as required by accounting codes the work done in data centre as well as the AMI

at cost due to which the EBITDA margin, may apparently seems to be a little low or misguided but if you compare with the third party billing, which is INR312 crores in the consolidated accounts, you will find the EBITDA margin to be at 12.5% plus.

The other income is at INR22.14 crores compared to INR7 crores. The profit before tax from continued operations is at INR52.75 crores and VAT from continued operations is at INR36 crores. The VAT was lower from the last year basically because of higher tax outflow expenses.

And also due to the increased deferred tax incidence. The profit from the discontinued business including capital gain on sale of wind assets is at INR56 crores. The total profit for the quarter is at INR92 crores, and EPS for this quarter alone is around INR8.55.

Now taking at the full year results, the revenue for the full year is at INR66 crores excluding almost INR80 crores for discontinued operations. Otherwise, it would have been around INR1,050 crores. Revenue from EPC is at INR959 crores. EBITDA for the company stands at INR118 crores. EBIT for the EPC segment is at INR113 crores. EBIT margin for the EPC segment is at INR13.78% on third-party business, excluding our in-house subsidiaries which includes data centre and AMI.

Other income for the year is at INR74.30 crores compared to INR150 crores last year as you all know we took exit of our one subsidiary developed jointly with KPTL at Kohima and that gave us other income of almost around INR100 crores plus/minus. That is under INR10 crores is the profit of a Kohima as it partitioned last year. So the profit before tax for the year is at INR175 crores, the PAT for this year standalone is at INR128 crores and profit from discontinued operations is at INR90 crores. The total profit for the company is at INR218 crores. The EPS is INR20 plus.

The current investment values in all cash and cash equivalent is all-time high in the company at over INR1500 crores, that implies INR140 per share. This is after company has done a buyback of INR70 crores and have paid a dividend of INR22 crores of last year. And we have declared a dividend this year of INR6 per share to compensate for the buyback amount not utilized.

For current financial year we have taken order intake of INR3,300 crores and our closing order book is at the INR3,800 crores, which is all-time high. We are L1 in INR1,250 crores business in transmission and AMI orders and we are also in active negotiation in FGD business with private segments, so private players, whose numbers we cannot quantify at the moment. But we are hopeful of bagging at least no less than INR4,000 crores business during this year also on an ongoing basis or more.

The outlook, I will say, is extremely promising. The past legacy or the bad patch of last 3 years, COVID impact, is all behind us, I will say 4 years rather, the election year and year thereafter.

And we are in altogether new segments of business which are very, very promising.

And not only this, we believe that going forward there is a significant growth for the company.

So whatever we have lost out and I have been promising for the last 4 years. We will have to -- we will be rightly placed to make up in next 3 years.

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We believe the growth momentum had just begun. Good morning in the company has happened and it will continue for the financial year '24, '25, and '26. We expect larger business out in our FGD segments, AMI segment and data centres. And in transmission also, we see more of technological high-end solution provisions going forward.

In the coming years, we see strong power sector reforms as power and energy converge.

Additionally, there is a focus on stress on availability and reliability of power supply. And additionally, our grid has to be prepared to accept the renewable power injection up to 30% in next 5 years, from existing 14%, 15% on these.

While the focus will remain on the renewable power and related -- it's related infrastructure, but when I say, related infrastructure of the renewable power, the grid has to be strengthened strongly by backing up with pumping storage solutions or by voltage source converter solution, VSC solution as we call. These are all digital and ICD based.

There will continue to be a strong distribution segment based reforms, the transmission infrastructure is required for 500 gigawatt

att by 2030 will continue to be in place. FGD segment is going very strongly, and we are hopeful of bagging at least INR1,000 crores business every year from this segment. And we already have business worth INR1450 crores in hand, which will see execution during the current year.

And in our perspective, almost 100 gigawatt of thermal capacity is yet to be ordered out by SCBs and private sector mainly, which implies a business scope of no less than INR100,000 crores.

On the transmission sector, the TBCB bidding for 50 gigawatt of renewable power out of 175 gigawatt is in progress, and we are hopeful of our share of business, whether it is backed by

power grid on private players, the inter-state transmission, ISTS of 13 gigawatt in Ladakh has been proposed with an investment of INR207 billion, and we expect major share here. We are already L1 in one package, which we are talking in this region and one is in execution. The total bids for transmission is expected to be around INR40,000 crores, out of which Techno expects to book orders worth, I will say, about INR3,000 crores spread over 4 to 5 years. So we are not seeing very major growth for Techno in this segment. The distribution side, we see a huge growth with PMDB Package B in execution, along with AMI being integral part of these solutions and government has also allocated INR300,000 crores to be spent over the next 5 years, we see a major business growth in this segment going forward. AMI, we are already part of and this business is being done in a TOTEX model, and we are parking it in a subsidiary to be hiked off to some strong investors going forward as we did in case of transmission assets. We expect to get orders worth almost no less than INR1,000 crores to INR1,500 crores per year on next 4, 5 years. So in total, we would like to do about INR1,000 crores -- INR10,000 crores business in this segment. And we are already L1 in one package in this and one is in execution in the State of J&K about 2.5 lakh meters. The Electricity Amendment Bill is already in place and gives consumers Techno Electric & Engineering Company Limited
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multiple type of empowerments. And we believe the government will walk the lateral edge spirit imbibed in these amendments. It should provide non-discriminatory open-nesses to the power generators as well as to the consumers. It should also facilitate the choice of power supplier to the consumers.

And it should also bring competition to bring down the tariffs going forward so that the gap between the cost of very generated power versus cost of the new add power is adjusted. We are hopeful of good days ahead in this sector as it is at a very critical juncture, and going forward, something good on this should happen.

As a generator, we have taken a total exit in the State of Tamil Nadu. Out of this, we have sold off 108.9 megawatts out of 111.90 megawatt, which has left only 2 machines with us of 1.5 megawatt each. This has added around INR425 crores cash to our balance sheet. In data centre, the COVID, as I have already stated, COVID has impacted our life in multiple ways, but the positive outcome is the digitization. It is growing multiply in the country.

With the growth in digital space backed by trust on data protection, it is expected that the third-party data centre industry will grow significantly from the current level of 500 megawatt to 2 gigawatts in next 3 years. There I ask Ankit to take up these all data centre development, market and prospects for Techno.

Ankit Saraiya : Yes, sure. So, till date the most data centres have been located in Mumbai and Chennai. We selected for ourselves to be part of the Chennai market. And we selected the location in Chennai as Siruseri. We were one of the first movers to capture the market of Siruseri at Chennai. While there were only 2 data centres before us, that was from Airtel and Ad

ani and over the -- post our

acquisition, post our development, we've seen entry of Equinix, Sify, STT, to name a few. So this has further validated our choice of location and location is extremely important and key when it comes to data centres because they have to be located [inaudible 0:18:45] infrastructure so that they are well connected to the cable landing stations or the fiber network that is laid down domestically in the country.

Having so many data centres around us has us connect to the ecosystem and has further validated our choice. [inaudible 0:19:07] the data centre of 24 megawatt IT load because we have control over cost, quality and the timeline of the project having our OPPC capabilities; almost 60% to 70% of the capex in the data centre is towards electromechanical works.

And with Techno's inhouse capabilities to deliver high-quality electromechanical works, we are able to have greater control over the time of the -- schedule of the project, the quality and the costs, and that itself would be extremely advantageous for us. And industry has started recognizing slowly and steadily the advantages that Techno brings to the industry.

We have almost completed, one can say, 50% of our long-need equipment ordering, expect deliveries of equipment starting from the month of July. As far as civil works are concerned, ordering has been 100% completed, and we have completed casting up to the third floor of the building.

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The total building is 4 floors and only 1 floor is less, and we are hopeful we should be able to complete the casting of the last floor also by the month of July. So we will start the mechanical work from the month of July onwards. And in 3 months down the line, we should have the complete project or the project almost ready for testing, commissioning, and operations. Ideally we are looking to develop a couple of more data centres across the country. We have shortlisted a couple of more cities for similar sized projects, one of these is in Kolkata, while the other is still under discussion and -- but in advanced stages, so we shall be able to speak about it during the [inaudible 0:21:20] still in active discussions with a few potential strategic partners. But in meanwhile, there have been significantly positive developments, where we have [inaudible 0:21:34] we have started indirectly and directly engaging with the end customers. And we might just be in a position to be able to lease the space in the data centres directly, but continue to scout for strategic -- we continue to engage with them. And at the right time, we shall be able to bring someone on board to reduce our exposure. Capex for the Chennai project is at approximately INR1,400 crores, that is about INR45 crores per megawatt. And we are still hopeful that we should be able to complete the project [inaudible 0:22:25] .

P. P. Gupta : Ankit, are you through?

Ankit Saraiya : Yes.

P. P. Gupta : Thank you.

Ankit Saraiya : Yes. Thank you. And I'll only add to this that the national payment centres of India catering to UPI and other applications is very close to our data centre that has also added -- adding more value to the very location or pocket we are in. With this background, I'll now seek participation from the members to further clarify our any of the details or prospects.

Moderator: Our first question comes from the line of Gunjan Kabra with Niveshaay.

Gunjan Kabra: Sir, I'm little new to the company and I have few queries regarding the business model. So firstly, result wise, there is difference between consolidated and standalone numbers because standalone is higher than consolidated. So is it because of the data centre EPC or how is revenue recognition? And going forward, how are we planning to recognize this revenue, because there is some loss and unallocable cost with

segment also. So I wanted to understand why is there such discrepancy with the standalone and consolidated?

P. P. Gupta : Mam, I think all of you know, this is a requirement to consolidate the accounts as per the Accounting Standards and SEBI norms. And work done for your own wholly owned subsidiaries like data centre or AMI, the cost incurred on those projects, we have to account for it in the stand-alone accounts. But they are taken largely at cost till a significant stage is achieved. In the very project, we can add profit margin thereafter .

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But it does not make larger sense as a business to pay out more taxes to show only -- and we would like to capitalize this work done in our subsidiaries when the opex or operating revenue visibility is close by. So this is a better way to manage your -- efficient way to manage your cash and consolidation is a requirement.

Gunjan Kabra: So actually, I was wondering because the stand-alone sales are higher than consolidated sales, that is why I was wondering, Okay.

P. P. Gupta : They will always be, mam, because as long as you are working, carrying out some assignments of the subsidiaries, the output generated by work done there will be part of stand-alone but not in consolidated. They will be a part of the -- separately in the subsidiary accounts prepared for each company.

Gunjan Kabra: Okay. Sir, also, how are we placed in the data centre industry, though it is a very emerging and growing industry right now. So in terms of competitiveness, how were we placed, because there are quite a few competitors also who are building -- who are also in the same model. So how are we placed in terms of firming of what cost? What is it for us? And how is the rental model work going forward? And have the -- I mean going forward, then are we planning, how this model will work going forward is what I wanted to understand in terms of revenue and profits?

P. P. Gupta : Well, Ankit. Will you like to answer this?

Ankit Saraiya : Yes. Yes, I'll take it. So as you rightly mentioned, the data centre industry is still very, very nascent, and still maturing. The -- there are very few companies that we can consider to be mature companies in data centre industry, but they have also been in existence for only last 10 to 15 years, and they can be counted as 2 or 3 at best.

Market will always be competitive when there is -- we'll keep getting more and more competitive, obviously, because there is a demand-supply gap. Today, where just to give on broad numbers, where the supply would be at about 650-odd megawatts, the expected demand in the industry is close to around 1,100 to 1,200 megawatts.

So there's almost 100% gap over here. And till the time this gap remains, we'll keep hearing more and more players jump into the industry. But being a very high capex industry and requiring specialized skillsets to be an operator of data centre [inaudible 0:28:42] as much as we see around the industry, we won't be seeing deliveries happen on the ground.

And for a company like Techno Electric, we are not trying to compete with established data centre operators. We don't need to compete with them until and unless we are able to build those operational skillset, which we are parallelly working on. But till that time, we will be ones who will be able to address the challenges that the industry at large is facing such as sourcing of power, finding quality EPC contractors.

And also delivering quality project to the end consumers because even today, it is only lately that high-quality projects have started getting delivered. Until today, the kind of skillset required to deliver high-quality projects were not available. But slowly and steadily, industry is maturing

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towards it and customers have s

tarted pushing the operators towards delivering better and more reliable solutions.

So that's the way industry is. And we understand that today, Techno may not directly want to take any kind of business risk out of data centre that is going into the market to lease the space.

We would like to first attempt to find a strategic partner and investor who can help us in achieving those relationship with the customers that will ultimately lease out the sale and kind of derisk Techno out of those business risks. And Techno would like to play on its strength, which is EPC and power, because power is the raw material for any data centre at least today.

So we'll continue to play on our strengths whilst find a partner who can derisk us off the business; risks, which come along. And that's the strategy we would like to adopt till the time we develop our own operational model, which might take another couple of years.

Gunjan Kabra: Okay. Sir, when is the -- when is it expected to operational -- I mean, commence the operation, I mean, when will the rental and the income start from the data centres; is it in FY '25 that you will see the revenue coming in from that?

P. P. Gupta: Absolutely.

Gunjan Kabra: Okay. And sir, you also mentioned the INR3,800 crores of order book, we closed it on March 31. So I wanted to understand how much will we be able to execute it this year? I mean to -- like FGD takes down 2 to 3 years to execute. So the total order book, at which stage are we in terms of execution, if you can tell like how -- if you can tell that. And for the smart meter also, if you can explain what's the order execution cycle?

P. P. Gupta: Maam, I will say that the first visit our office, number one. But coming to your question specifically...

Gunjan Kabra: Sir, I would love to visit your office...

P. P. Gupta: Yes. You are welcome, and we'll be happy to host you. So firstly, the business of order of FGD is nearly a year old, and now it is right to execute. Last year, we have not booked any output of this work, although we got this order sometime around June, July of last year. Now this year, it is ready, and we hope that at least 50% of work will be completed this year and another 50% next year. You are perfectly right; it is a work of no less than 2 to 3 years.

As far as AMI is concerned, it is a very fast-track job. The present 2.5 lakh meter job we are doing is only at 12 months execution cycle, which has already started. Out of 2.5 lakh, we have already supplied 1 lakh meters. We have installed about 15,000, 16,000 meters by now, and we have to complete this work by no later than December this year. So this entire work will be completed of the present AMI order in hand by this year.

Gunjan Kabra: Okay, got. I will come back in the queue and good luck.

P. P. Gupta: Thank you.

Moderator: Our next question comes from the line of Sandeep Tulsiyan with JM Financial.

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Sandeep Tulsiyan: Good afternoon and congratulations on completing the execution of the site. I hope you are doing well.

P. P. Gupta: Now is the future, sir. Now it has started. We have boarded the bus.

Sandeep Tulsiyan: Sir, I have a couple of questions. Firstly, the way this entire reporting is done, the margins in EPC are booked at INR39 crores. And on top of that, we have booked other income of INR23 crores. But because of some loss, the overall EBIT, that we have shown is just about INR24 crores. So I'm not able to understand this math, if you can explain that, it will be great, sir?

P. P. Gupta: You are asking a wrong maths, Sandeep. I think we have boarded a grand trotter on board, as per your requirements. We want to be best of the best in accounting. And just one quarter results do not -- will always be a little juggle here and there because discontinued business, sub business, third-party business

s, they all classify differently.

But when you look overall as annually, so a lot of mud is out in the company now. And we are now the good -- I always say in the company now my message is a good morning has happened, and we must see the bright sun ahead, and company must grow at no less than 30%, 40% a year now. So that in the next 3 years, we have doubled top line and at least doubled PAT. So that is the mission we are on, sir. And for any specific details, you are welcome to my office, sit with my accountants. They will take care of it. No issue.

I can say overall, let me complete Sandeep. My accounting start with cash, ends with cash. But, my accountant tells me Gupta Ji's accounting do not happen in cash, it happens on mercantile system.

There is a huge disconnect between their way of looking on accounting and my way of looking on this business. I still trust EPC business should be purely based on cash, at cash flows; what I have earned in cash and what I have spent in cash and what I have paid out in cash. So that is my way of life, and I've done it successfully. And I think I'm no worse than others. I leave that judgment to you; we have won cash in this business.

We are sitting on a cash of INR1,500 crores. We have paid out all taxes. We have paid out all buybacks and dividends of INR1,000 crores in the last 10 years. So we are cash positive and cash generative company. That's all I know as a business; rest is accounting numbers.

Sandeep Tulsiyan: Sir, just because should we just add these numbers, it seems some INR35 -odd crores...

P. P. Gupta: Discontinued business tend to account for and then secondly, tax outgoing more, because of the wind assets, the capital gain tax itself has taken away INR55 crores. We have paid out a tax of this year, INR110 crores, all -time high which I think was never more than...

Sandeep Tulsiyan: So I understand the discontinued part. My question was more on the EBIT prior to the entire tax outgo and continued itself because our corporate segment shows a loss -- EBIT loss of INR14 crores on income of this INR22 crores that we have got. So it seems that the INR36 crores is something like write-off we have taken on an account?

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P. P. Gupta: They may have offset some deferred tax here and there -- that is how it goes -- you are welcome to come to office and...

Sandeep Tulsiyan: Yes. I think we'll connect separately on that one...

P. P. Gupta: Overall, we are positively INR218 crores net of taxes. That is more vital to us and it is all in cash.

Sandeep Tulsiyan: Sir, second question was on the data centre part. We have booked this INR150 crores of top line in this quarter. And I think the initial guidance that you had given was roughly about 60% of this INR45 crores should be EPC work. So if you could quantify what will be the total EPC order execution that we'll do over the next 2 quarters, where we expect to finish this. What would be that size about -- should it be INR800 crores, INR850 crores or will it be larger than that?

P. P. Gupta: But Phase 1 order on us is about for INR540 crores if I am not wrong. That is Phase 1 order out of this. And so far, we have invoiced, spent rather not invoiced, about INR120 crores and the balance, you can say, about another INR200 crores or INR250 crores will be in next 2 quarters and balance will be in third quarter, another INR150 crores.

Sandeep Tulsiyan: Got it. I understand. Then balance part of cost, Phase 2 will be after that, which will form part of the total INR45 crores project, right?

P. P. Gupta: That is -- we are only at the moment working on Phase 1, which is Ankit referring to be ready by October.

Sandeep Tulsiyan: Understood. And sir, one question is on these sticky receivables of Afghanistan project, Bengal from execution done TANGEDCO INR80 crores receivable. Sir, what is

your entire outlook on

this? How soon can you realize this total INR150 crores, INR160 crores of receivables which are sticky. Over what time period can this be realized by the company?

P. P. Gupta: I trust it should not take us more than 1 year maximum because now we are in a closeout mood and we will put all possible resources and influences. Dealing with Discoms has always been a pain. Had it been what our Central Government makes us believe, there was no concern to exit here. The very pain to exit lies there that we don't implement what we say. We don't mean what we do. That is [inaudible 0:40:15] in my life. So -- but you take it 1 year, the perfect answer to your question is 1 year, it will all be liquidated. Rather we have to get much more, Sir. We don't want to put it in books. We'll count on cash basis as and when received.

Sandeep Tulsiyan: Understood. And sir, on this -- next question is on this AMI business. In the past calls, you had highlighted that when you come closer to execution, you'll be able to give more colour on the business model. If you could explain that briefly to us how the revenue bookings and what will be the typical cost margins in that segment? Exactly how the P&L of this entity Techno AMI will look. If you could give a broader sense of the business model that will be helpful?

P. P. Gupta: Sandeep, I think I'll be better placed to explain you in June quarter results because if the -- as I explained, they are like to have some accounting process called HAM which was used in highways, which will be a similar model of accounting here -- but we are a little more -- will be Techno Electric & Engineering Company Limited

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innovative because of our comfort with the lending bodies. Going forward, we'll examine how we can, apart these receivables, win some of them.

Sandeep Tulsiyan: Okay. So fair enough. I understand that. So we'll probably connect on that in the quarter after that. And lastly, just for reconfirming the wind assets, which are in hand. So now we have some 6 megawatts in Andhra Pradesh and around 3 megawatt, 3.5 megawatts in Tamil Nadu. So 9.5 megawatts will be left after this entire transaction is completed, is that right?

P. P. Gupta: No, sir. 18 megawatts in Karnataka we are left with and another 3.3 megawatts left in Tamil Nadu. We never had any asset in Andhra. So 21 megawatt is presently with us, 3 megawatt we had a volume we could not execute because of the lag issues. Digitization sometimes can be a blessing and a victim both. You can see that.

So all that data are digitized now and multiple people have registered the same land parcel, on which our windmills are lying, although we have assurance Suzlon, the ultimate challenge that it belongs to them. But we'll be able to unlock it, sir.

There was a company in Chandigarh called PAPCL, they did some kind of teak farming claims and collected a lot of money from investors. SEBI knocked down on them. There was a Lodha committee and whatnot. It was a mixed up of all type of scam you may be knowing it. So we have to go through all the processes to unlock that land parcel from there, sir. But we'll be able to do it.

Sandeep Tulsiyan: 21-megawatt entirely will be sold and -- or we will retain something for in-house consumption in Karnataka?

P. P. Gupta: No, we are not retaining anything for consumption now, sir, because a lot of policy changes have come. With the very amendment to the Electricity Act, where renewable power enjoys open assets now already over conventional power. So buying power in open assets with, ISTS charges being not there, makes this power more competitive in buying out than generating yourselves.

So these regimes are changing every month, Sandeep, and we have to catch up with that regulatory side. It's highly regulated business. Government is keen to promote this business in India, decarbonize India. So

all these kind of facilitations will continue. Like yesterday, only notification has come from CRC that our next 25 years ISTS charges waived for generators.

Sandeep Tulsiyan: All right, sir. All the best to you.

Moderator: Thank you -- our next question comes from the line of Sarvesh Gupta with Maximal Capital.

Sarvesh Gupta: Sir, first is on the revenue guidance for this current fiscal year. So I think this year, despite having almost INR3,000 crores, INR4,000 crores order book, the overall EPC execution of data centre has only been like INR830 crores. So it has been much lesser than last year also. But going forward, if you can just help us understand how the execution can be on the INR4,000 crores order book that we have, excluding data centre, sir, that would be helpful.

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P. P. Gupta: Minimal. We're talking very conservatively; you can take it almost around INR300 crores plus/minus third party business other than our own works to be carried out for data centre and AMI.

Sarvesh Gupta: Okay. So that is INR1,300 crores. And then as you were mentioning, out of the INR540 crores of data centre, I think INR130 crores, we have already done INR140 crores, we have already done. So INR400 more will come from data centre?

P. P. Gupta: Right. It should come INR350 crores further.

Sarvesh Gupta: Okay. And on this INR1,300 crores, sir, how do we see the margins playing out for this financial year?

P. P. Gupta: I will continue to maintain guidance at 12% plus for this year also, but I'm very hopeful it should be a little better, may be not quarter-on-quarter, but prices are softening at the moment because of China backlog. Even steel prices have softened by INR3, INR4 in the last 1 month. That's

very positive. So if commodity prices are softening, inflation is going down, we are very hopeful that it should be something better than 12% only.

Sarvesh Gupta: So the last call, we had mentioned around 14.5% for the EPC side. So are we guiding for a lower sort of margin this year?

P. P. Gupta: I'm not saying lower or higher, sir. You see it depends on very, very job-specific interactive part. Ultimately 12% may become 14% because last year, when we guided 14 we had that kind of PV provisos in our contracts additionally available.

Now under TBCB model, the order becomes by and large future price with the developers. So if commodity cycle remains softened, it will be better only. But I must give you something which I cannot breach, like you can see last year also, we are nearly 14%, which I told you on an average for the year. But quarter-on-quarter, we have been coming down a bit, like last quarter is now 12% or 12.5%. So similarly, you take 12.5%; 12.5% to 13% will be safe enough.

Sarvesh Gupta: Understood. And on this INR400 crores, rather this INR540 crores data centre project, now this quarter, we have not booked any margin, so that is 0. So going forward, as the milestone comes, what is the strategy to sort of book profits here?

P. P. Gupta: It will be guided by the accounting norm, sir. We cannot apply our own mindset on this. I'm not sure how margins are taken care of. If eligible, it will be taken. Otherwise, it will be zero only, it will be cost-to-cost.

Sarvesh Gupta: So even after the completion of the Phase I, there is a...

P. P. Gupta: You see once you have completed, COD has happened, as it is capitalized in the subsidiary and it is no more work-in-progress, then it is a final billing, then it is a close-up. COD has happened. Once you have executed the whole contract, margin flows in. I have no doubt. But progressively, at what stage that is eligible for margin, I'll have to see guidance from my accountants.

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Sarvesh Gupta: Understood, sir. And sir, finally, on the

order book side. So currently, we are at INR4,000, INR3,800-odd crores. And did I hear it correctly that you said that as against INR3,300 crores of order flow in FY '23, you are expecting around INR 4,000 crores of order flow in FY '24. And what will be the breakup of that, sir, in terms of various segments and especially if you can highlight the L1 also INR1,250 crores, where is that?

P. P. Gupta: One is, as I said, is a [lay 0:50:16], we are L1 we founded in transmission asset business, and another in AMI business. These are the two businesses, where we are L1, and we are also seriously engaged in FGD business with a private developer, whose name I cannot disclose at the moment. So definitely, we are looking for a year-end order close of no less than INR6,000 crores by the year end of '24.

Sarvesh Gupta: Okay. So INR3,800 crores and INR4,000 crores more this year and lessened by maybe INR1,300 crores of this year?

P. P. Gupta: INR1,800 crores including data centre and AMI and third-party business. So INR1,800 crores, you can minus out of it. INR1,150 crores [inaudible 0:51:09].

Sarvesh Gupta: Understood, sir. Thank you, sir. Thank you, sir. All the best.

Moderator: Thank you. Our next question comes from the line of Mohit Kumar with ICICI Securities. Please go ahead.

Mohit Kumar: Good afternoon, sir. My first question is on the inquiry pipeline for the transmission side. Are you seeing any -- I understand there is a -- the bidding pipeline is very large. So, can you please comment on that?

P. P. Gupta: See, I will say that pipeline is long sure, but not the value in transmission assets because these are largely limited to two states as of now, which is Rajasthan and Gujarat. That is where most projects are happening as of today. And it is already densely populated with transmission assets, but we still see a lot of scope in intrastate business in augmenting their own capabilities, capacities. And also grid need technological improvements in injecting more renewable power vis-a-vis conventional power.

We are already at around 12%, 15%, which need to improve to 25% to 30% in the coming four years, five years. So that will give a lot of challenges to the grid, which has to be backed by many new technology solutions as well as pumping storage backups or gas-based stations. Any ongoing technological innovation, but we, at the time, are taking this sector a bit conservatively at least for this year.

Mohit Kumar: My second question is for intrastate. Are you seeing -- are you reasonably hopeful of intrastate transmission activity picking up in medium term? And does that create an opportunity set for us?

P. P. Gupta: Yes, if there is opportunity, it is for us, sir. Whether it is corporate or private, that's not an issue. The question is the very opportunity happening in a right manner and right time, and government is time and again postponing the biddings, number one. The ground reality is little different than,

what you see is the media or what minister talks about, that is my takeaway. Because still they are not able to sign it, they are counter party, which are mounting with every day. So challenges are also growing within these sectors, sir, because I've always mentioned to you, this sector needs market reforms, not regulatory reforms.

And regulatory reforms are not going to take us anywhere in this sector. 20 years of electricity act, what has happened to consumer, where you produce electricity at INR3, you tell me. And at your house, it comes at INR10, and you are still in loss, sir. And that DISCOM is in loss. How do you define the balance sheet of DISCOMs, by reforms in this sector at the end of the day. So, these are all the cosmetic progresses, I will say. So we are all going along with it happily. But if they leave this sector like aviation, telecom,

highways, to the market forces, you see what kind of changes happens. It will be entirely different, sir.

Mohit Kumar: Sir, my third question on the data centre, of course, we are building up our data centre. Is there a faster way that, we can participate or build data centre for third party?

P. P. Gupta: Yes, absolutely.

Mohit Kumar: What are our capabilities, sir? In the sense, let's say, for this INR1,400 crores which is spent, on our -- what is our scope?

P. P. Gupta: Ankit, will you like to address this issue?

Mohit Kumar: Can you make up the data centre cost between the various parts and let us know of the scope, which -- where you can work?

P. P. Gupta: Yes, we will be largely having the scope in electromechanical and multi-layered power supply solutions, sir, that will belong to Techno. Data centre is defined in terms of megawatt, number one. So -- and it needs to have a reliability of power supply. So it has a multi-layered power supply solutions around it. Two grids and two backups then [N plus one 0:56:16] in backups then you need a lot of renewable power storage solution, if you can afford going forward, that will be a way of life, then all kind of electromechanical solutions from medium voltage to DC voltage, they will be digitally part of the solution. So then safety solutions around it. Security surveillance around it.

So these are highly secured, reliable 99.99% available installations. They're not like power stations, which are configured around availability only. They should not have latencies, that's a very big thing. You have to have an internet exchange very close by, to your data centre to avoid latency, which we often experience in our line. So OTT is growing, apps are growing, e-commerce is growing. So this has quality demand of data centre and cloud services are growing. So all this will mean a lot more use on data centres.

Mohit Kumar: Sir, my last question is, sir, have you tied up -- sorry, I missed out, but have you tied up with the client for the renting out our data centre? And what is the kind of utilization level, you expect to achieve in, let's say, two years to three years?

P. P. Gupta: Ankit, will you like to answer this?

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Ankit Saraiya: Yes. So as I started the call -- we started the call, we explained the progress at that point of time. We are still in discussions with a few that we are looking to tie up with customers or client directly for this project because we do not have those kind of skill sets, which are required for operating a project, to the satisfaction of a client. But rather have a partner on board that can help us operating these projects, and who can help us tie the facility or the space available in the data centre by leasing it to those specific end customers.

So we are trying to de-risk ourselves from those aspects of the business, which we are not fully conversant with or yet comfortable with. So the whole customer time part should all be taken care by the partner that we finally shortlist for the project. As far as Techno is concerned, we'll continue to work on what we are very strong at, which is ensuring that, the project gets reliable power and the project is built to the best specifications possible for the end customers.

Mohit Kumar: Understood. Is it fair to assume that you'll have, you'll be tying up in the next couple of months?

Ankit Saraiya: I wouldn't want to put a timeline because we not added for last two years and -- or, let's say, last 1.5 years. But as the project is progressing, we are seeing better quality of interest and better terms as well. So, maybe once we are more closer to commencing the project, I'm more hopeful that, we have a position on the table that we'll finally be able to accept and go ahead with.

Mohit Kumar: Understood, sir. Thank you and all the best, sir...

Moderator: Thank you. Our next question comes from the line of Chirag Shah with ICICI Direct. Please go ahead.

Chirag Shah: Good afternoon, sir. So, just one clarification. When you mentioned that, you're looking guiding for INR1,800 crores of stand-alone revenues. So the margins that you mentioned, 12% includes the margin on the revenues book on both the subsidiaries of AMI and data centre, right?

P. P. Gupta: No. No margin. It's at cost.

Chirag Shah: But, sir, as you mentioned, whatever I understood that, if you book out the whole order in FY '24, at the end of the order, you'll book some margins, right? So that...

P. P. Gupta: Yes, absolutely. That will be a part of the bottom line. Absolutely, for the year end of '24. You're right.

Chirag Shah: Okay. So in that case, sir, what will be our margins look like, if I just look at the stand-alone piece per se?

P. P. Gupta: Look, sir, then I will not say margin, which overall, will remain same 12.5% to 13%. I'm not going to make a profit-eating out of my subsidiary. But our top line eligible for margin will become larger. That's all I'm saying. Everyone has not met. Presently, the margin which I'm saying is, on the third-party business as an accounting norm.

Consolidated will speak better in that case. But once my own sub business becomes eligible for profit booking in the top line, then margin percentage will remain same, but the top line eligible for margin grows.

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Chirag Shah: Because I was coming from the point that tomorrow, if in future, if you take a third-party data centre execution project, so what kind of margins one can, I can [inaudible 1:02:07]. So I was just trying to understand that?

P. P. Gupta: You can expect around 15%, sir, easily, if not 20%.

Chirag Shah: And, sir, my second question is more on the FGD side of the business because you mentioned that, your commentary suggests that, you are quite gung-ho, on that segment. But if you look at the market per se, few of your competitors are mentioning that FGD market is slowing down.

And if you look at NTPC, it is almost done with its FGD ordering. So, where is the scope or where is the opportunity that you are looking at?

P. P. Gupta: Sir, government has fixed a date by which, everybody is to do the business, you are very right, NTPC is more or less completed its assignment. But states and private players are still lagging. They are usually backlog with them. Almost 100 gigawatt is yet to be fitted with solution on NOx and SOx solutions.

You're right. So it is a time to address market emerging out of the captive power, private players and [BHV 1:03:19] State Electricity Boards. And something to do with the ICBs also, CPSU also like DVC. They have just now come out with the tender in one of their units now.

Now, they are further expanding the capacity in thermal world, which government has recently approved to the extent of about 25 gigawatt. Those projects will also be retrofitted with these solutions additionally. So the market for next four years, five years exist. Yes, there is a bit of a slow start because government has already granted them time extension up to '27.

Chirag Shah: Got your point, sir. Thank you also. That's it from side.

Moderator: Thank you. Our next question comes from the line Dhavan Shah with Alfaccurate Advisors. Please go ahead.

Dhavan Shah: Yes. Thank for the opportunity. So I would like to understand more from the order book side. So, we ended up roughly INR3,800 crores of order book. Can you break it up between the generation, transmission, distribution, what is your end order book for these three segments, sub-segments?

P. P. Gupta: Yes. INR1,500 crores in generation, taking FGD as a part of the generation and another about INR1,000 crores is in transmission, and about INR300 crores is in AMI, and fu

rather our data

centre order is about INR400 crores or INR425 crores. And AMI business for our own totex market is about, you can say, INR250 crores.

Dhavan Shah: Okay. And normally, you mentioned that roughly 50% of the FGD contract work is already completed. And the 50% execution would be completed this year and the rest would be next year. So in the transmission wise, the execution cycle would be four years to five years, right?

So including all these things, you mentioned that, we will end up the revenue of roughly INR1,300 crores odd, for this fiscal, that is what we have mentioned, right, excluding data centre?

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P. P. Gupta: Your well [inaudible 1:05:59]. I never mentioned that. Today, renewable power generation starts within a year, sir. The days of three years, four years or four years, five years are over.

Transmission system has to be in place by one year, number one. Number two, I mentioned that, FGD do take two years to three years, but the order is one year old, where we have not booked any revenue so far. So this year, second year will be the first year for the revenue booking ending within next year, that will be the third year of the order and '24, '25 of the company. That is what I was explaining.

And I also said that, the metering order we have with us today, is only to be completed within 12 months. But as per the government scheme now, they are generally giving us about 27 months in [inaudible 1:06:52] for schemes in new metering solutions. The old work, which I am doing for 2.5 lakh meters is to be completed in 12 months, that is by March '24. So, all of this will get executed, in this year.

Dhavan Shah: Okay. And the margin-wise, can you share the sub-segmental margins, how are the margins between this FGD transmission and data centre, should we assume the average 12% or is there any difference between these 3, 4 sub-segments?

P. P. Gupta: On average, you can take 12% to 12.5% easily, but they are differentially distributed. Transmission is 10%, FGD is 15%, EMI is another 13%, 14%. So average out is about 13% plus/minus, you can say.

Dhavan Shah: Sure, sir. That's it from my side. Thank you.

Moderator: Thank you. Our next question comes from the line of Shreyansh Gathani with SG Securities. Please go ahead.

Shreyansh Gathani: Hi, good afternoon, sir. I had a question on the data centre, basically. So, I wanted to know, are the -- is the partner just waiting for Techno to demonstrate like certain capabilities in terms of construction of the data centre, which is why, it is getting delayed and terms are, like you said, getting better or like, why would the contract signing not happen today and would happen at a later stage, and also like, if the clients, that you're talking to like you mentioned, like, since the last 2 or 3 calls that, there is a term sheet and back and forth. So are they the same people you are talking to? Or is there different people, in terms, of the partners that you are considering.

P. P. Gupta: Ankit, will you like to articulate the answer?

Ankit Saraiya: Yes, I'll address it. So basically, what we are trying to say is that, every project goes through its own cycle. And today, it's at a place where, most of the development risk is behind us. When you look for a partner at the very concept stage where it's a barren land, it's very, very blank. It's like both the developers coming together and setting up a project and taking on the development risk equally. I think, by that much more development risk is getting behind us. And therefore, the expectation of rewards are constantly changing and how the market perceives the project also changes. Second, the industry timelines, it helps you sometimes because...

Moderator: Sir, your voice is breaking. Hello?

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Ankit Saraiya: I'm saying that with time, obviously, industry dynamics also changes. And today, we are at a position where -- you see for the year 2024, there will hardly be any space in data centres available in the Chennai market. This probably will be the only project that will be available with this kind of a space. So most customers should prefer this project. And the competitive advantage that, we would have in compared to the industry would be much better. Many projects, which were planned to get executed or completed in 2024 for obvious reasons have got delayed to 2025, which gives Techno Electric better edge in the industry.

Third is that, sourcing power is always a very big challenge, especially in a state like Tamil Nadu. And somehow Techno's experience has helped us in securing the required amount of power for the project, which is significantly unique to other projects. While some are struggling to even secure power, we have that security available. So as we are progressing, we are unlocking certain challenges. And that is improving the prospects of the project and the -- one can say the valuations one can command with the partner.

And the quality of partner also changes because at the time, when you discussed for the first time, they also see that the project is at a very decent stage. There's still time for capital deployment or the availability of the project in the market.

So those discussions take time to mature out, but now that we are coming close to completing civil works and coming close to commissioning and these development risks are behind us, there are more serious conversations that have started taking place. And it's just a matter of time, when we decide that, okay, this is the terms and valuation at which we are comfortable now closing at it.

Shreyansh Gathani: Got it. So you had mentioned like around an 18% IRR for this. So that was, in the September

con call last year. So like should we assume that we should do better than that, given that you're looking for better terms now or does that remain the same?

Ankit Saraiya: You see ultimately, IRRs are obviously about the amount of risk, which we want to keep on our table. If -- till the amount of revenue risk that we are willing to take on the table, that much more the returns obviously improve for us. But that much businesses is also Techno goes through. So the final call, we will take on the basis of what kind of revenue risk is Techno willing to take on the table. So the IRRs are ultimately dependent on what kind of a lease, if we don't want to take leasing risk of the project and we wanted to be 100% borne by the strategic partner, obviously, IRRs would be much different than in case, if we are willing to take the lease risk on our table.

Shreyansh Gathani : Got it. And are we still talking to the same partners? Or have we got additional partners or some of them have changed or...

Ankit Saraiya: We're in discussion with three partners.

Shreyansh Gathani : Okay. Got it. Thank you. That's all from my end.

P. P. Gupta: Let me add here, sir, for all of you, whatever assets, we developed 10 years back or five years back or we are developing now, we have always aggregated, had a huge gain and never had haircut, whether it was transmission assets or it is wind power or going forward, our own AMI assets.

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We are very sure, we understand quality and life cycle of an asset in performance in this business. That is the biggest forte, we have.

We are not commercially scaling up or building up some issues, to be party tomorrow to third-party at some margin. If market supports me, I make a gain, if does not, I take a haircut, that is not the business of Techno, sir. My business is to excel, first technically and then financially. So I have always, finance has followed me, my excellence

in technical application of the solutions

more than other way around. So finance is not a criteria, when we work on a project. But it is important and we have always been positive on it, benefited with it.

Shreyansh Gathani : Got it. That is helpful. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing remarks.

P. P. Gupta: I will like to thank all of you for joining our investor conference and asking very -very stimulating, stimulating questions, and you are welcome to visit our office. I will only say that, with the lapse of four years and stagnating work all years is behind us. The sunrise in the company has happened now. And we are on a strong footing to grow in next three years. And you will find our top line and bottom line doubling out in next three years to four years. And we'll be building more modern day technology -based solutions, both in data centre, transmission, AMI and whatnot all we like.

We are very excited for our tomorrow today, I will say. With this, I will like to thank all of you for joining the conference and if you are still left with any query related to our future technology journey, our performances, please drop a mail to us. If you happen to be on this side of the city or in Delhi, we have now large -size office added by Ankit in Delhi in Gurgaon, you are welcome to drop in and call on us. We'll be delighted to host you. Thank you very much, once again.

Moderator: Thank you. On behalf of Asian Markets Securities Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

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"Techno Electric & Engineering Limited
Q1 FY2024 Earnings Conference Call "

August 16, 2023

ANALYST : MR. SURAJ SONULKAR - ASIAN MARKET S SECURITIES
LIMITED

MANAGEMENT : MR. P.P. GUPTA – CHAIRMAN & MANAGING DIRECTOR
- TECHNO ELECTRIC & ENGINEERING LIMITED
MR. ANKIT SARAIYA – DIRECTOR - TECHNO ELECTRIC
& ENGINEERING LIMITED
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Page 2 of 17 Moderator: Ladies and gentlemen, good day and welcome to Q1 FY2024 Earnings Conference Call of Techno Electric & Engineering Limited hosted by Asian Market s Securities Limited . This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections , etc, whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Suraj Sonulkar from Asian Market s Securities Limited . Thank you and over to you !

Suraj Sonulkar : Thank s Yashashri . Good afternoon everyone. On behalf of Asian Markets we welcome you all to the Q 1 FY2024 earnings conference call of Techno Electric & Engineering Company Limited. We have with us today Mr. P.P. Gupta Ji, Chairman & Managing Director and Mr. Ankit Saraiya , Director, representing the company. I request Shri P.P. Gupta Ji to take us through an overview of the quarterly result and then we shall begin the question and answer session. Over to you Gupta Ji! Thank you.

P.P. Gupta : Thank you Suraj. A very good afternoon to all of you and we are really grateful that you have spared your busy time to be part of our conference and I welcome everybody to discuss our financial results for the first quarter ended June 30, 2023. Anything said on this call, which reflects our outlook for the future or that could be construed as a forward -looking statement must be reviewed in consultation with the risks that the industry and the company faces .

Let me first highlight our performance for the quarter. Just to update what we discussed earlier that our March end balance sheet was little difficult balance sheet to understand because we exited one strong business of the company namely wind assets in Tamil Nadu and it was classified as discontinuing business for the company by our auditors. Similarly company created two subs to promote its new business verticals namely number one data centre and number two AMI business. In both we are now in the process of setting up of the business still. They are not operational nor they are generating any revenue or bottomline in their SPVs, so as such I would like to say that our consolidated results do not reflect our complete situation. It is not a consolidation of operating companies or matured businesses, so as such I reiterate that our standalone business brings the true and clear operation and Techno Electric & Engineering Limited
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Page 3 of 17 picture of the company and the same may please be viewed accordingly and while going forward I will be discussing the progress on both the subsidiaries in addition to what we are doing in the parent company.
The AMI business will be come operational earlier than data centre

because it is executed

progressively by number of meters to be installed at number of consumer premises, so as many meters become operational they become eligible for revenue accordingly. The total revenue of the company from EPC business in a standalone mode is around 343 Crores in the quarter which we highlighted in the last meet also between us which is up by 135% year-on-year. We expect the similar level of revenue for the forthcoming quarters as well, as company is having lot of business backlog now to execute and continue to experience same kind of traction in the market. The EBITDA for the company stands at 47.48 Crores for EPC business that is under 110% year-on-year, EBIT for the EPC business is at 45 Crores up by 91%, the other income is at 30.64 Crores compared to 15 Crores nearly last year, the profit before tax is at 72 Crores approximately almost double of last quarter, the PAT is at 54 Crores approximately which is 150% of the same quarter last year. There was a loss in the discontinued business operation marginally because of the expenses in winding up of the establishment which is around 2.5 Crores and it is not comparable but still like-to-like the profit was 14 Crores in this business last year. The total profit for the company for the quarter stands at 51.3 Crores which is up by 42.6% year-on-year and EPS is at 5. The current investment value in the books of the company is around 1500 Crores which is about Rs.140 per share. During this year we have L1 status in active award of the contracts. In transmission business alone worth about 1500 Crores out of which we have already received a prestigious order of 350 Crores from PGCIL and another business of around 500 Crores from PGCIL is expected before September end, which are in various stages of approval where we have been established L1 and competitive. Similarly we are also placed L1 in business worth about 3650 Crores apart from the order backlog of around 3824 Crores as of Q1 unexecuted business which largely comprises of two AMI orders worth about 2000 Crores and rest is the transmission side. We have used bidding pipeline and we are hopeful of bagging at least further business of around 2000 Crores but we will like to assure you that as committed in the last review at least 4000 Crores business will definitely be further achieved this year and we will close with the order backlog of about 6000 Crores by March 2024.

The outlook is very promising I will say that all difficulties of last three, four years are behind us and as I said that morning has arrived and we will focus on growth that is what we are looking on. We expect the growth momentum has begun but it will also not only continue for the next three years but it will also make up for the loss three years. We expect larger business out of transmission, AMI segment as well as higher technological solution

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Page 4 of 17 applications in transmission due to larger injection of renewable power in the grid and also data centres. The FGD segment is a bit subdued because of the energy issues country is facing at the moment, probably this is the first year when energy demand is going to grow in double digit growth, which in the last three years we have seen no more than 3-4% per year or maybe stagnating growth, so government of India has promised another thermal capacity of 30-40 gigawatt but it will largely be Brownfield and in PSU segment. We are also seeing strong power sector reforms as government desires to ensure timely payments to the generators as well as wards to contain losses of the DISCOMs. Strongly the amendment to the Electricity Act December 2022 is also in place now and central government is trying to take a larger role and powered out of the amendments ensuring availability and reliability of power supply as well as

billing and last mile money collection out of the sale of power.

The overall financial health of the sector is likely to improve in the coming years if this focus really stands implemented in more than later I will say in spirit also. While the focus will continue to be on the renewable power and addition of almost 500 gigawatt by 2030 as committed by the statement of our Prime Minister as well as government of India to have injection of 500 gigawatt in the grid we will definitely need energy storage solutions like battery base or pumping storage of no less than 5% of this capacity and this will also have to be additionally supported by many kind of active-reactive power management solutions in the grid and we see significant activities where your company is fully qualified and competent to provide solutions in this space both to power grid or to any private player in this segment and additionally our business of doing offsite works or balance of plant works in the thermal powerhouse will also be somewhat back but we have not considered in our order book or as an opportunity so far.

The FGD segment continues to be a bit subdued at the moment I will say but lot of work is still pending. Thermal capacity being largely in private sector, probably the owners believe that they may get more time up to 2030 in future, so they are definitely reviewing and waiting for commodity cycle to be subdued further so that the solutions can be rolled back to sub 50 lakhs per megawatt as was happening four years back. Our order which we have got in Rajasthan is progressing normally.

In the transmission sector we will say that after a long gap the transmission sector is back. There is a TBCB bidding happening which is not limited to 50 gigawatt now it is larger than that maybe 100 gigawatt or maybe 75 gigawatt or more but a lot of bidding is in progress at the moment and we are finding that every month four to five concessions are being awarded to power grid or to the private sector. The interstate transmission system for evacuation of around 15 gigawatt of renewable energy from Ladakh has been proposed by the government with a central government support of Rs. 83 billion with a capex outlay of around 20 billion and we are already part of it at (inaudible) 15:17. The total bids open for

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Page 5 of 17 transmission now submitted I will say is no less than 40000 Crores and secondly I will say that in the present networks as renewable power is consulted it is only six states in India and the rest of the states have to be fed by transmission networks only out of a generation in these six states. The substation allocation is larger than what we have experienced in the past. It is almost around 25 to 30% so we can expect substation business out of this transmission business of 1.4 lakh Crores rather. It will have substation business of around 40000 Crores by 2030, so we can at least hope to get business worth about 1000 to 1500 Crores every year over the next three to five years. As I said we are already placed L1 in 1500 Crores in this segment first time after the lapse of about three years and our presently unexecuted business in this segment is already 1000 Crores plus.

The distribution side reforms are really flying in the country I will say there is a lot of stress on RDS scheme implementation in the country. Government have allocated 3 lakh Crores for this scheme and tenders are being called every passing week and there is a strong focus on AMI system strengthening as well as in the intelligence upgradation of the networks installed in the system by installing lot of SCADA, ADMS solutions additionally in the distribution management as is being done earlier for the transmission networks. We expect business worth no less than I will say 2000 Crores out of this segment at least every

year.

We are executing order of 4.5 lakh metre in Jammu and Kashmir city worth about 300 Crores under DBFOT model but under PMDP scheme which is different than RDS and we are also L1 in 2000 Crores worth business for another 20 lakh metre supply in the state of Jharkhand and Kashmir itself. The Electricity Act amendment have promised I will say a choice of power supplier as in case of mobile or internet services, but this is still to my mind a larger promise than the LT let us hope that it happens. Similarly, there are promises on the open-nesses also and a lot of renewable power is being sold through the power exchanges as amendment to the Electricity Act, so you can expect going forward that more and more trade growing in multiples in renewable power over conventional power in power exchanges so it should in a way what could not be achieved by central government directly because of the concurrent list issue in power sector is being attempted to be achieved indirectly by intermediaries and also making consumer feel more comfortable and getting power at more competitive rates. The system also allows provisional or revision in tariffs so that electricity boards can also share their updating of the costs more frequently with the consumers through the regulators and regulatory mechanisms are also expected to be ramped up and made more robust and pro consumer more than the influence politically as in the past. In totality I will say that the power sector continues to be at a critical juncture as uptake, which we have been hoping for last five, seven years and I am very hopeful that something good is going to happen going forward and which is visible now. The data centre industry is growing multiply, the trajectory in the market is larger than we had anticipated

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Page 6 of 17 and I will also ask Ankit later on to add some more space to it. Ankit are you able to hear me.

Ankit Saraiya : Yes.

P.P. Gupta : Can you speak out on data centre influence due to artificial intelligence and what all is going on in your data centre territory?

Ankit Saraiya : Yes sure. So just to give some idea about the industry until today we all believe that cloud is the most prominent reason why that has led to the growth of data centres and demand of data centres apart from other reasons such as 5G and many more but then I guess over the last six months the industry has taken a very dynamic position especially because of the way AI and machine learning has become as it has become more prompt and accepted on day-to-day life especially generated AI what we understand as chat GPT, so that has specially led to a change in the way infrastructure of data centres are thought over design because as the world moves towards adopting AI on day-to-day basis the requirement of infrastructure to cater to those kind of computing requirements will also change and just to

give an idea I think it is expected that about \$75 billion of investment will go into developing AI models over the next five to seven years by all the companies involved in this sector and to cater to that requirement almost \$500 billion of data centres are required by 2030 and this is limited to just AI and I would expect that at least the Asia Pacific region should attract 20 % odd of this investment and it can be more but on a conservative side let us say about 20% odd and India alone is in a sweet spot to attract nothing less than 30-40% of the entire investment in the APAC region . Given the kind of land bank we have compared to other countries this region and secondly the renewable energy capacity that we have plus very recently last week to understand about the digital data protection bill and I am sure that it is also further going to aid in demand of data centres specifically in India because

use it starts the journey of data localization and slowly and steadily , hopefully, the data belonging to the Indian citizens, at least their personal data will continue to reside in India . So that is the few developments that have been visible in the industry over the last six months.

P.P. Gupta : Can you update on progress in Chennai project?

Ankit Saraiya : Chennai project is moving smoothly. The construction is at its peak . We should be able to complete the civil and structural work for the data centre building in the next two to three weeks ' time and then start focusing on the electromechanical works, which would take us about another six months to complete . Given the first data centre there has been significant learning curve on the construction side, but we are well on top of it. We have not let it have Techno Electric & Engineering Limited

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Page 7 of 17 any impact on the project itself but there might be a little shift in the commissioning timelines and we are hopeful that by December or maximum by March 2024 we should have the first phase of the project commissioned.

P.P. Gupta : Further to what Ankit has said I would like to add that we are seeing aggressive interest from strategic investors to enter into JV with us in this space as well as either the partner or buyout our Chennai data centre we are evaluating the various options and I am hopeful to continue this before the close of this financial year.

Ankit Saraiya : We would be very happy if any of you would like to visit the project we will be happy take you around the project at Chennai and go around the different aspects of this data centre.

P.P. Gupta : Yes it is very strategically located and in a very beautiful pocket in IT park called Siruseri in Chennai very next to the TCS campus for IT services , huge campus they are employing about a million people at Chennai so we will be happy to have you there. Closing with segment I will like to say that whatever money we realised about 450 Crores out of the sale of these wind assets they all are part of our cash for the balance sheet. With this I will now like to invite question and answers.

Moderator : Thank you very much. We will now begin the question and answer session. We will take our next question from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal : Yes good afternoon Gupta ji and Ankit . My first question is, is it fair to say that difference between EPC segments consolidated and standalone is primarily a data centre execution ?

P.P. Gupta : No, it includes both now AMI and data centre .

Deepesh Agarwal : The consolidated number would be purely which is external, right?

P.P. Gupta : Yes it is third party .

Deepesh Agarwal : Because if we see the consolidated margin in the EPC segment that seems to have been dropped meaningfully so what would have been the reason for decline in margin for external customers?

P.P. Gupta : Deepesh that is not fair to look at it because in AMI also we are doing EPC business only for the utility but mode of payment is little different than which we normally are offered in transmission segment on like -to-like basis that is number one. Number two the EPC work is only carried out by standalone basis by Techno whereas AMI carries on with the funding , O&M, SLA requirement, contractual obligations with the utilities, etc., on like -to-like basis , Techno Electric & Engineering Limited

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Page 8 of 17 so all expenses incurred in consolidated some expenses of like overheads, manpowers and related infrastructure costs they continue to be part of the consolidated as it is and not purely allocated to the job in our cost accounting, but coming to the comfort part in AMI the issue with us is the billing between the SPV and the parent. Since we have

have not raised the

bill to the SPV there is no capitalization of the cost in SPV level which we want to align more or less with the revenue stream which happens more significantly eligible in AMI because the revenue is per month basis for each lot of 12 500 meter , so the time lag between

AMI subsidiary and parent is no more than three months to achieve which we call scheme or system acceptance test and it gets built by Techno to SPV and SPV to the utility, but in data centre it is a wholesome asset you create like you do in TBCB power transmission so we want to create a billing only close to the revenue stream availability otherwise you are out of pocket with GST cost that is the larger difference between the two.

Deepesh Agarwal : Understood what would be the extent of data centre revenue which we would have booked in the EPC business and also AMI business?

P.P. Gupta : Roughly you can take in data centre it is around 100 Crores. It is cost-to-cost but in AMI we have already executed work worth about 60% I will say but not commissioned as that did not happen earlier, which has happened now and billed in this month already so in case of our policy so far is that wherever we exceed 20% of the order value we can bill it at a order value till otherwise it continues to be at cost-to-cost so that is how the books are billed accordingly, so in data centre it continues at cost-to-cost so far whereas in AMI it became pro rata to the EPC order value versus cost so that is why in this one quarter only you will find there is a gap in EBITDA of consolidated versus the standalone because of AMI EBITDA getting off the books.

Deepesh Agarwal : What should be the margin we should look for the full year?

P.P. Gupta : As I have already given a guidance it should be 13% plus minus and by March 2024 you see the problems are all quarter-on-quarter. If you make an annual account you will see that all these subs will be fully capitalised and fully ready and fully executed businesses so these kind of ambiguity do not exist by March 2024, but in quarter-on-quarter it has impact and this being the first quarter it speaks a little larger impact which will get neutralised in Q2 you will see in earlier balance sheet and 100% by March 2024.

Deepesh Agarwal : Sure, also if you can help us understand what would be the execution timeline of the two AMI orders which you have got of 2000 Crores which are L1 and the transmission order of 1500 Crores would they be contributing to your revenue this year or they will start next year and what should be our revenue guidance for this year and next year?

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Page 9 of 17 P.P. Gupta : You see this is a little difficult issue in our business as usual because the pace of execution is always a partnership between the asset owner and contractor or EPC, but by and large you can take even new business will be eligible for revenue booking this year. Whatever new business we are getting in transmission and AMI anyway will be complete by the end of the year whatever presently we are executing. Now coming to L1 business they are under RDS S scheme where we get 27 months to implement the scheme all these schemes where we are L1 in AMI so obviously the revenue this year may be very marginal out of those orders, but the scheme of 300 Crores will definitely be completed fully in this year and at least I will say we should be able to execute another business of 2.5 lakh meter out of this is 2 million meter in this year additionally I will say but data centre will be fully done by March 2024.

Deepesh Agarwal : So what should be our expectation in terms of PPC business revenue this year?

P.P. Gupta : I have been suggesting 1500 to 1600 Crores, but it may go above that.

Deepesh Agarwal : Understood this is including the data centre business ?

P.P. Gupta : No.

Deepesh Agarwal : This only includes AMI ?

P.P. Gupta : Right AMI and third party transmission and FGD.

Deepesh Agarwal : Thank you.

Moderator : Thank you. We have our next question from the line of Shreyans Gathani from SG Securities. Please go ahead.

Shreyans Gathani : Hi good afternoon Sir. My question relates to the data centre business. Last quarter we mentioned that we would be operationalizing the first part in September so what changed in three months that we are pushing the implementation by approximately six months and also you mentioned that you only recognise EPC revenues after 20% completion so does that mean like we are less than 20% complete on the project or just trying to understand how that accounting works?

P.P. Gupta : You see the first phase of the project is always civil, structural and unless you have both civil and structural (inaudible) 37:02 being a high sensitive application. The electromechanical work does not happen in progress, so you are right that there has been a spill over in completing the civil structural work due to rains or local factors, labour issues

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Page 10 of 17 so definitely first phase is now targeted by December, January as Ankit has said in this presentation and although we have committed capex of about 450 Crores by now but the

spent amount is like that paid out a mount and we have to account revenue on a paid out value basis.

Shreyans Gathani : Understood and just one more thing do we still anticipate same cost for the project or is there any escalation on that due to delays just any colour on that?

P.P. Gupta : There may be some saving rather because commodity cycle so far and lot more equipments are now competitively available than earlier . Looking back I will say that there may be a saving of 5% no escalation.

Shreyans Gathani : Got it, so when are you looking to have a partner in place like last time you mentioned that you would give more colour in the next call so just trying to understand where that stands , also you mentioned that you might also consider selling the entire project out to some interested parties, so just wanted any update on what kind of talks are going on ?

P.P. Gupta : We are presently in place and a cooling off period with one very large investor and due diligence is in progress. We are not authorised to disclose more than this.

Shreyans Gathani : Got it. Thank you. That is all from mine.

Moderator : Thank you. We have our next question from the line of Gunjan Kabra from Niveshaay . Please go ahead.

Gunjan Kabra : Thank you so much for the opportunity. Sir I just wanted to confirm what is the kind of order book have we closed this quarter and the bifurcation of the total order book in terms of EPC and transmission if you can specifically mention ?

P.P. Gupta : We have got one order of Kurnool from power grid for 350 Crores already in hand and another business as I told you of 150 Crores in board (audio cut) 40:14 so those orders should be received by end of this month or maybe by September.

Gunjan Kabra : What is the total order book right now ?

P.P. Gupta : About 4000 Crores plus minus.

Gunjan Kabra : Sir first on the segment of FGD for 14 00 Crores of order book that we have how much have we recognised in this quarter and are we expecting to recognise as per your previous guidelines most of it in this year only?

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Page 11 of 17 P.P. Gupta : No I never gave a guideline of most of it in this year.

Gunjan Kabra : Within one -and-a-half year I mean this year and the next year.

P.P. Gupta : It is a two year order. This quarter contains 50 Crores out of this vertical and state government is facing elections this year if they support financially we are hopeful

of doing

500 Crores this year otherwise it may be little less.

Gunjan Kabra : Are we also seeing any new order pipeline in this segment?

P.P. Gupta : Yes there are but it is a bit slow in decision making. There is no urgency with the buyers as it was visible six months back.

Gunjan Kabra : From the AMI segment I wanted to understand this order of Jammu and Kashmir order that we got it was supposed to get executed by December so wanted to know how does the model of revenue recognition if you can explain how does the revenue recognition happen , in what stage do we get orders like for example with so many smart metre projects being awarded in the last quarter so what is the share that we are targeting because there are lot of Zenith is doing its own EPC project and there are other big AMI players also getting huge orders, so how are we targeting and how are we placed and how does the revenue recognition work in this model if you can explain in terms of accounting , also in terms of execution and also wanted to understand if there is a smart metre order getting tendered to the smart metre players then what is the lag between the AMI players who are executing the project, getting those orders?

P.P. Gupta : You see firstly your question is multiple within a question. Booking in this segment as per the terms of the contract till such time you are eligible for per meter one month revenue from the utility that particular metre is not considered eligible for revenue. So far that a process is defined that meter has to be called along with communication modules having NIC cards, gateway and loaded with software called SGR , MDM, which are further housed in data centres or on cloud as required by them and they have to integrally work with a (audio cut) 43:54 . It is able to bill that consumer they will not give you approval of that meter so it goes like that. Going forward a lot size is defined by each utility in the order like the one we are doing for 2.5 lakh meters now to be over by December the lot size given is 12500 metres per lot so that is how the minimum lot size is to be taken as a commission . So by now we have completed work for about 1.2 lakh metres already in Jammu and Kashmir and we will be completing 2.5 lakh meters by December and presently the pace of work is almost about you can say no less than 2500 to 3000 metres per day in installations so this is how it goes . When our SPV is able to achieve that with the utility it provides the same approval back -to-back to the EPC partner which happens to be the parent company in our Techno Electric & Engineering Limited

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Page 12 of 17 case. To be conservative we want to align all this on back-to-back basis unless SPV is eligible for revenue there is no good idea to book revenue in the parent company. We do not bill to the SPV till then so we will bill out only when SPV become eligible for those many metres which in others we have already achieved for 1 lakh metre already and we are hopeful of achieving it for 1.5 lakh metres by September end.

Gunjan Kabra : Sir also wanted to understand suppose we have like segments right EPC which is FGD and then we have transmission and AMI and then data centre so if in some segment if there is a slowdown in orders say for FGD is the employee capability fungible to cater to the higher demand which is coming from maybe AMI or transmission sectors or how does this work in terms of employee cost or something if you can explain ?

P.P. Gupta : Madam in our industry the manpower is intrinsically substitutable to a limited extent not the whole of it I will say. The specialist of manpower given vertical only whereas there are pool of the staff supporting those specialist who can be deployed for multiple applications from one use to the other, staff like commercial, staff like vendor development, staff like HR or even

accounting or tax compliance or field management you have lot of flexibility, but not in the

specialist role as achieving layout, detailing and specifying equipment parameters so that is a specialist role, so specialist role is always specific to the vertical whereas detailing role there is a lot of formality.

Gunjan Kabra : Got it Sir. Thank you so much and good luck.

Moderator : Thank you. We have our next question from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta : Good afternoon Sir. Sir just wanted to understand this 7.8% consolidated margin that we have received in this quarter so you said that some of it might be due to the AMI, EPC third party work, but except of that how much it will be Sir and how much is the AMI, EPC, third party work that we have billed this quarter ?

P.P. Gupta : Your question itself has the answer to my mind. The consolidated numbers of third party work you can take it and expenses are wholesome establishment I will say, our wholesome manpower all verticals of the company including data centre, AMI, EPC, third party EPC, etc.

Sarvesh Gupta : So how much is that Sir I just want to understand that if we remove the AMI and the DC which you rightly said are upcoming businesses and they might be in losses, how much for our regular EPC business, what has been the margin profile for this quarter?

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Page 13 of 17 P.P. Gupta : At least 13 % you can take, another 5 -6% is out of the AMI business, so you go by standalone that will give you the true picture as I stated you because there the expenses are more appropriated that in a consolidated level because consolidated level as I earlier explained to take away confusion that the subsidiaries are today nonoperational they are not generating any revenue, they have not made any capex or capitalise any of the revenues so that is why you find this ambiguity. They are not consolidation of matured businesses, operating businesses they are still under installation.

Sarvesh Gupta : So there is some opex in these two subsidiaries which we are booking and that is why consolidated is showing a much lower margin?

P.P. Gupta : There is no opex here it is all cost. In AMI no billing has been done by parent to that so no cost. In data centre some costs are directly incurred by them, some are incurred by the parent on where they are but costs are all taken as a out of pocket cost only with the third party and from our overhead establishments.

Sarvesh Gupta : Understood and Sir in this difference between consolidated and standalone which is around 72 odd Crores for this quarter how much is AMI and how much is data centre?

P.P. Gupta : This is 95% you can take AMI, 5% data centre.

Sarvesh Gupta : Because last quarter Sir we had said that of 540 Crores of DC order we had invoiced 120 Crores last quarter only so this quarter why has it dropped to less than 510 Crores ?

P.P. Gupta : That was all data centre last time because that is cost-to-cost we have not referred to book any cost whereas in AMI we actually did 50% profits so we prefer to take that in the books over the data centre. Data centre cost you will see happening in third and fourth quarter now.

Sarvesh Gupta : One question on the order book so we have 2000 Crores in AMI in L1 and 1500 Crores in transmission in L1 is that right Sir?

P.P. Gupta : Not L1 Sir. Out of this 350 Crores in this quarter we have booked already.

Sarvesh Gupta : So 1150 in L1 in transmission and 2000 Crores L1 in AMI ?

P.P. Gupta : Right AMI precise number is about 2350 that way.

Sarvesh Gupta : So around 3500 Crores we are in L1 basically ?

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Sarv

esh Gupta : So this 3500 Crores is in L1, 4000 Crores of order book we already have got and then you have a bidding pipeline where you expect another 2000 Crores to come ?

P.P. Gupta : Right.

Sarvesh Gupta : Understood. Sir the other question was that like in FGD DC so we are seeing delays and as you mentioned that the client side they are also waiting for the cost to come down because of raw material prices easing out so are we also sort of slowing down things from our side in go data centre and FGD so that we can be able to procure at much lower prices and make higher margins on these contracts?

P.P. Gupta : It is not fair to include data centre into FGD because FGD is always EPC business which is as much client or contractor driven so it suits both to bring down the cost but in data centre we look for revenue. If overall IRR is good why will you mind marginal extra cost of it?

Sarvesh Gupta : Because most of the cost there also will be your mechanical stuff .

P.P. Gupta : Sooner I complete and become revenue a bility more value that asset as acquired so why I would like to delay that asset.

Sarvesh Gupta : Understood Sir. Congratulations for a good show and all the best for the coming quarters.

Moderator Thank you. We have our next question from the line of Abhijeet from Yes Securities.

Please go ahead.

Abhijeet : Hello, gentlemen. My question is on the AMI business. So we are executing a 2.5 lakh order in J&K and we are L1 in 2000 Crores another order for Jharkhand and Kashmir so Sir I wanted to understand what is the total opportunity size that we are looking at , going forward maybe some other states coming up for ordering so in the medium term like 2 -3 years what is the total opportunity size in the AMI business that we are looking at?

P.P. Gupta : Sir the government of India has announced a target of 250 million metres that is a very I will say ambitious project over next five years and out of that our take away is no more than 100 million as far as our take away so we are looking for no more than 5 million out of it considering next three years.

Abhijeet: So we are looking at a number of 5 million over next three years ?

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Page 15 of 17 P.P. Gupta : Order book over three years to be executed hence over five years you take it like that.

Abhijeet : Right now what I can see is we are present in J&K and we are also like L1 in J&K and Jharkhand so these are two states, so some other states that we are looking at integrating into this AMI business ?

P.P. Gupta : We are definitely looking on more perspective states. The bidding is still pending and now we are also learning how to harness more potential out of smart metre more than merely use smart metre for revenue billing or energy billing so this subject will upgrade as application going forward technologically so it will go beyond metre incapability that is what I am trying to say.

Abhijeet : Understood, Sir on the data centre business we talked about two options, one is to be part of a JV or something and the other is to completely sell our interest in the asset so what is the thought process behind this do we want to be a part going forward in the asset or we want to completely sell it off ?

P.P. Gupta : Look ultimately we are EPC Company by core; our idea is to develop data centres for ourselves as well as for third parties. The first data centre we took up as told earlier in various meetings to prove that Techno is capable of doing EPC in this space, which was not accepted by foreign I will say entities because we have never done work in that space earlier like L&T or this Bombay company Sterling and Wilson , these two are the leading companies in data centre space earlier so both have become relatively lukewarmed in this space because they are not

very large value and they have multiple facilities as they are engineering to be handled additionally and the requirements of the owners are very stringent so that makes good business sense for Techno to be in and we were keen to prove that so that is how it is. So we do not mind for us both opportunities are alike whichever gives a higher delta we will opt for that.

Abhijeet : But we are also looking as a sustainable EPC business the data centre ?

P.P. Gupta : Absolutely going forward that is the goal .

Abhijeet : Alright Sir. Thank you for answering my questions. That is it from my side.

Moderator Thank you. We have a next question from the line of Navin Vijay from NS Capital. Please go ahead.

Page 16 of 17 Navin Vijay : Sir my question is on the data centres unfortunately Ankit looks to be disconnected, but I just wanted to know is there any other location apart from Chennai where we have bought the land and started breaking the ground Sir?

P.P. Gupta : Not yet. We are awaiting land allotment and handing over in Kolkata next and we are yet to have a data centre in Hyderabad the next location so we want to do around 250 megawatts as we have announced by 2030 and we are finding it is feasible to achieve this project and even Tier-2 cities are getting popular now with IT companies, so that will obviously give us a choice also to be there.

Navin Vijay : Got it and my second question is on the AMI business where there seems to be some additional receivables that might get added on if we start the platform kind of a business, how do we plan to tackle that Sir, do we do discounting with the financing company or is there any strategy that you have thought on that Sir?

P.P. Gupta : Yes at the moment we intend discounting only with the finance company or we have our own lot of cash to deploy we will see how competitively we are able to achieve that role and even investors are approaching us to invest in our AMI to acquire majority position like GIC has done with Genus or Polaris have done with Gram Power so those investors are approaching us also in the market let us see how it pans out.

Navin Vijay : My last question is on the FGD business it seems to have lost a bit of traction because the deadlines keep getting postponed how do you see that going forward Sir?

P.P. Gupta : It does not impact us per se financially because all contracts have its own price variation clauses, time overrun compensation clauses, so we will deal the situation as it evolves appropriately.

Navin Vijay : Thank you Sir.

Moderator : Just a note Mr. Ankit Saraiya is back on the call. If you have any questions Sir you can go ahead.

Navin Vijay : Gupta Sir has answered the question. I will get in touch with Ankit regarding the site visit to Chennai if possible. Thank you both.

Moderator : Ladies and gentlemen that was the last question for today. I now hand the conference over to management for closing comments. Over to you Sir!

Page 17 of 17 P.P. Gupta : Closing is always a painful word I will say. I will only say that from current quarter onwards you can expect a topline of 400 Crores minimum if not 500 Crores in last two quarters as we anticipate and as I stated again I will reiterate the sunrise in Techno Electric has happened and future is definitely larger than we could have ever believed. This market will be visible to us or available to us which was elusive for the last three, four years I will say so lot of new wave of growth is there in Techno in this space, high end space and we will be announcing more technology based solutions which this sector will need and we will be part of it other than multinational so thank you all for joining the conference call with us. In case

if you still have any queries related to our growing journey in this space or performance please drop in a mail to us and do visit our office whenever you are in Kolkata or in Delhi or anybody wants to visit our data center at Chennai so we will be very delighted to host you. Thank you very much.

Moderator : Thank you. On behalf of Asian Markets Securities Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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MANAGEMENT : MR. P. P. GUPTA – CHAIRMAN AND MANAGING
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LIMITED
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MODERATOR : MR. SURAJ SONULKAR - ASIAN MARKET SECURITIES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Techno Electric & Engineering Company Limited Q2 FY '24 Earnings Conference Call hosted by Asian Market Securities Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call.

Key statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections, etcetera, whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Suraj Sonulkar from Asian Market Securities Limited. Thank you, and over to you, sir.

Suraj Sonulkar: Thanks, Zico. Good afternoon, everyone. On behalf of Asian Market Securities, we welcome you all to Q2 FY '24 Earnings Conference Call of Techno Electric & Engineering Company Limited. We have with us today, Mr. P. P. Gupta, Chairman and Managing Director; and Mr. Ankit Saraiya, Director representing the company.

I now request Mr. Ankit to take us through the overview of the quarterly results, and then we shall begin with the Q&A session. Over to you, Ankit, sir.

Ankit Saraiya: Thank you, Suraj. And good afternoon, and I welcome, everyone, to discuss Techno's financial results for the quarter ended 30th September 2023. Anything said on this call which reflects our outlook for the future or that could be construed as a forward-looking statement must be reviewed in conjunction with the risk that the industry and company faces.

So now let me quickly highlight our performance for second quarter FY '24. It is to bring to your knowledge that we have sold the wind assets of Tamil Nadu in FY '23. With regards to this the operations for the same has been disclosed as discontinued operations in the results as per accounting standard.

Techno has created a subsidiary to promote business of data centre. The company is not operating and not revenue accretive. In the consolidated results, we knock-off the financials of this SPV of data centre as per the accounting standards that is the major difference in the standalone and consolidated results. As and when this asset becomes revenue accretive to the business, it will start showing its contribution in the results and hence, it would be good to analyse then.

Total revenues for the company from EPC stands at INR482 crores, including the execution of

data centre subsidiary order at cost, up by 167% year -on-year. We expect the similar level of revenue for the forthcoming quarters as well. EBITDA for the company stands at INR75.62
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crores, up by 133% year -on-year. EBIT for the EPC segment for the quarter stood at INR72.37 crores, up by 161% year -on-year.
Other income for Q2 FY '24 stood at INR28.30 crores compared to INR19.03 crores last year. PBT from continued operations for the quarter is INR98.08 crores, up by 103% year -on-year. PAT from continued operations for the quarter is INR71.42 crores, up by 98% year -on-year. EPS for quarter 2 FY '24 stood at INR6.63.
Now coming to half year results , revenue from EPC in H1 FY '24 stands at INR825 crores, up by 152% year -on-year. EBITDA for the company stood at INR123 crores, up by 125% year -on-year. EBIT for the EPC segment for H1 FY '24 was

around INR117.67 crores, up by 129% year -on-year.

Other income for H1 FY '24 was INR58.94 crores compared to INR33.77 crores. PBT for the half year was at INR170 crores, up by 106%. Profit after tax from continued operations stood at INR125 crores compared to INR60.54 crores, up by 107%. EPS for H1 FY '24 stands at INR11.64. Current investment value, including cash and cash equivalents as on 30th September 2023 stands around INR1,500 crores that is more than INR140 per share.

For H1 FY '24, we had an order intake of INR611 crores. Post September, we got 2 L1 orders converted that is one smart meter order from Indore for 5 lakhs smart meters for INR536 crores and one transmission order from PGCIL for 765 /400kV substation at Dausa for INR288.32 crores. Thus, our unexecuted order book as on date stands around INR4,361 crores.

Other than this, we are L1 in orders worth INR3,550 crores , comprising of one transmission order from power grid for INR225 crores, 1 transmission order from Sterlite for INR200 crores, 1 transmission order from NTPC for INR227 crores, 2 smart meter orders, 1 from Jharkhand for INR1,395 crores for 12 lakhs smart meters and Jammu and Kashmir for INR1,041 crores for 7.25 lakh meters, and Tripura for INR445 crores for 4 lakh smart meters. We have bids in pipeline for over INR5,000 crores, which is yet to open and we are hopeful to bag at least INR2,000 crores worth of orders out of the same.

Coming to the outlook of various business verticals , as committed in last quarter, we have been able to tie over the difficult times, and we foresee significant growth. We expect the growth momentum has just begun and should continue for FY '24, '25 and '26. We expect larger businesses out of smart meter segment, transmission and data centres .

The FGD segment is a bit subdued because of the energy issue country is facing at the moment. Probably this is the first year when energy demand is going to grow in double -digit growth, which in the last three years, we have seen no more than 3% to 4% per year or maybe stagnating. So, Government of India has promised another thermal capacity of 30 gigawatts , 40 gigawatts, but it will largely be brownfield and in PSU segment.

We are also seeing strong power sector reforms as government desires to ensure timely payment to the generators , as well as wants to contain losses of the discoms. Strongly the amendment of the Electricity Act December '22 is also in place and now central government is trying to take a

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larger role out of the amendments, ensuring availability and reliability of power supply , as well as billing and last mile collection out of the sale of power.

The overall financial health of the sector is likely to improve in the coming years , if this focus really stands implemented , while the focus will continue to be on renewable power, by addition of almost 500 gigawatts by 2030 as committed by Government of India. We will definitely need energy storage solutions like ; battery, energy storage system or pump storage of no less than 20% of this capacity and this will also have to be additionally supported by many kind of capacitive reactive power management solutions in the grid. And we see significant activities where Techno is fully qualified and competent to provide solutions.

Speaking on FGD segment, the FGD segment continues to be a bit subdued at the moment. However, a lot of work is still pending. Thermal capacity being largely in private sector, probably the owners believe that they may get more time up to 2030 in the future. So, they are definitely reviewing and waiting for commodity cycle to be subdued further so that the solutions can be rolled back to sub INR50 lakhs per megawatt as was happening 4 years back. Our orders which we have got in Rajasthan is progressing smoothly. We have got orders worth INR1,450

crores in FGD segment. This level of business will continue for next 5 to 7 years as 100 gigawatt is yet to be ordered out by CPSUs, SEBs and private sector totalling to a scope of almost INR1 lakh crores.

In transmission segment, we would say after a long gap the traction in transmission sector is back. bidding is happening for 50 to 100 gigawatts now, and a lot of bidding is in progress at the moment. And we are finding that every month, 4 to 5 concessions are being awarded to power grid or the private sector. The interstate transmission system for evacuation and grid integration, while 15-gigawatt renewable energy from Ladakh has been proposed with an investment of INR207 billion, including central support of INR83 billion.

Total bids open for transmission is around INR40,000 crores, out of which Techno expects to book orders worth INR3,000 crores over the next 3 to 5 years. We have won orders worth INR610 crores in first quarter, and we are L1 in another INR940 crores within the segment. Coming to metering segment or distribution. On the distribution side, we see a lot of activity happening going forward, particularly in the area of smart meter. Budget 2023 has also assured in a key measure for the financial health of state distribution utilities by tying 0.5% of the deficit to power sector reforms. This is an added incentive for the states to reform the discoms. We are witnessing focus on strengthening power distribution network to make them smarter and intelligent.

The main aim of the government is to improve efficiency and contain losses so that the health of discoms would be improved. Around INR22.22 crores meters are under various stages of awarding, totalling to around INR2.22 lakh crores, out of which around 88% would be under RDS scheme. Out of the above, around 73.53 lakh smart meters, 9% of total awarded meters have already been installed. We expect to get orders worth INR2,000 crores to INR2,500 crores out of the segment every year. We have already got one smart meter order in J&K for 2.5 lakh Techno Electric & Engineering Limited

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meter worth INR338 crores. And at and one smart meter order in Indore for 5 lakh meters, worth INR536 crores under model, and we are L1 in orders worth INR2,900 crores or 23 lakh meters. We are very hopeful that power sector is at a very critical juncture and something good should happen going forward.

Coming to data centre . We all believe that digitization and services on cloud is the most prominent reason that has led to growth of data centres , and demand of data centres apart from other reason, such as 5G and many more. Over the last 6 months, the industry has taken a very dynamic position, especially because of the way AI and machine learning has become more prompt and has becoming a way of life so that has especially led to a change in the way data centre infrastructure or design is conceived.

As the world is moving towards adopting AI on a day -to-day basis, the requirement of infrastructure to cater to those kind of computing requirements will also change but lead to exponential growth in investments in data centre . Given the kind of land bank we have compared to other countries in Asia Pacific region and adding to it the renewable energy capacity that we have plus the Digital Data Protection bill that has been passed in the parliament, the demand of data centres or the investment in data centres in India is going to increase significantly.

And Techno is also in advanced stages of setting up a data centre of 24 -megawatt IT load of ultra-scalable hyper -density nature. We have achieved significant progress on construction. We have completed the civil works for the data centre building. We have already invested INR222 crores on this project. Procurement of long lead equipment have been completed almost up to 80% or one can say significantly. We are hopeful

I of commissioning the first phase of the project by March 2024.

We are seeing a significant and aggressive interest from strategic partners to enter into JV for developing data centres in India. We are evaluating the available options and shall conclude a way forward very soon. With capex of INR1,400 crores, that is INR45 crores per megawatt, about 60% to 65% of this capex is invested in electromechanical work, which is an in -house expertise and strength of the company, and we will be able to leverage on the same for executing the work. With the EPC capabilities and prior experience of developing infrastructure projects, we are uniquely placed because we have great control over cost, time and quality of the project. With this, we are opening to answer your questions that you may have. So, we look forward to receiving questions from you now. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Gunjan Kabra from Niveshaay.

Gunjan Kabra: Congratulations to the entire team for such superb set of numbers. I had a few questions. First is, I wanted to understand the business size, where will be like in transmission segment supposed in particular, how much can we execute in a year, assuming a project takes around 12 to 15 months. So how much according to our manpower ecosystem and other bandwidth, how much of the total the order book or how much of the total order can we execute in transmission and

distribution in a year, I wanted to understand that?
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Padam Gupta: You have through with your question or you have some more?

Gunjan Kabra: I have some more questions. Should I ask now or one by one?

Padam Gupta: Yes, no issue. By and large, we are happy, strong in building transmission, distribution solutions in the country. And at one time, we have done no less than INR1,500 crores per year also. I think given the inflation factor and you're projecting I trust we can even expand our ability to do around INR2,000 crores per year. Did I take care of your question, ma'am?

Gunjan Kabra: Yes. Also, if you can bifurcate like in Q1 in transmission order book was around how much segment-wise you can bifurcate, and the EPC segment, how much was executed from FGD and how much from transmission and distribution?

Padam Gupta: Yes, you can take in Q1, Q2, almost 80% is from transfusion. And another you can say, 20% or 15% -- 18% may be from metering work and another 12% from data centre .

Gunjan Kabra: Okay. And sir, if we close the order book in FY '24 at around say INR4,000 crores, INR5,000 crores, then what kind of revenue from that we can target in FY '25?

Padam Gupta: Our target will be almost about INR2,500 crores plus. And this year, we -- as I have already said, we should be anywhere between INR1,600 crores to 1,800 crores. stabilizing the execution at INR400 crores to INR500 crores per quarter.

Gunjan Kabra: Okay, that's great. And I also, in this quarter, resulted in higher EBITDA margin in the EPC segment. So, was it because we incorporated some profitability from AMI business, which we used to do it on cost basis? Or is it sustainable at 15% EBITDA margin in this business? 15%, 16%?

Padam Gupta: No, ma'am, you see our guidance will continue to be 13% plus/minus depending on commodity cycle, quarter-on-quarter, sometimes you see better happening. And also, the mix of the jobs in execution. If they are take-off stage, they are a little more operative than closing phase projects. So, it's all a blended question. Commodities are, at the moment, a bit cooled down. So, that may have also helped. But the yearly guidance, we will not like to change from 30%.

Gunjan Kabra: Okay. And last question is, sir, like in STD, the demand scenario is subdued. So, initially, we were targeting around INR1,000 cro

res every year in this segment. So, now, what are we targeting in this segment...

Padam Gupta: No, we have always targeted around INR500 crores to INR750 crores of demand. Because these are little bit medium-sized construction projects. So, it involves more efforts than compared to station work. But you can take it, at the moment, around INR500 crores per year.

Moderator: Our next question is from the line of Subhadip Mitra from Nuvama.

Subhadip Mitra: Just wanted to reconcile some numbers that you spoke about in the opening comments. So, I understand correctly mentioned that in transmission we are looking at a potential annual order inflow of INR3,000 crores. And for smart metering, you are looking at about INR2,000 crores, INR2,500 crores of annual order inflow, is that correct, sir?

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Padam Gupta: I've talked of INR2,000 crores as a capacity of transmission and distribution works, not the order books. Order book is a market-driven exercise. I trust we should be able to take an order intake of about INR1,000 crores to INR1,200 crores per year as far as transmission is concerned. And another INR2,000 crores may be out of the metering work.

Subhadip Mitra: So, transmission, INR1,200 crores per annum of annual order inflow and smart metering INR2,000 crores. Is that correct, sir?

Padam Gupta: Yes. On an average, but it will keep changing.

Subhadip Mitra: Of course. I appreciate it. And similarly, in FGD, what is the annual order inflow that you would be looking at?

Padam Gupta: FGD, we are having an order of about INR1,500 crores already in the hand. In this very year, we don't see any new orders.

Subhadip Mitra: Understood. But for FY '25 and '26, given that there are a lot more orders on the annual, is there any number that you would take that at?

Padam Gupta: You can take around INR1,000 crores per year as the order book.

Subhadip Mitra: Understood. Understood. So, on an overall basis, I think you should be comfortably able to be somewhere near the INR5,000 crores mark if I put all of these 3 segments together.

Padam Gupta: Absolutely. It should be like that.

Subhadip Mitra: Perfect. Perfect. And given that, clearly, the macros are so strong on the transmission and the smart metering side and the way your order inflows and order book is growing, would you anticipate a higher growth in terms of top line, let's say, over '25 and '26? You did mention, I

think, INR2,500 crores as a FY '25 top line number. So -- can we hazard a guess, that maybe the number will be INR3,000 crores plus, let's say, by '26?

Padam Gupta: Yes, you can safely take that because '24 itself, we should be around INR1,600 crores to INR1,800 crores. And '25 our target will be less than INR2,500 crores number. So '26 INR3,000 crores seems feasible as for the order intake now.

Subhadip Mitra: Perfect. Very, very useful. And would you again be looking at naturally upping let's say, the margin number, maybe not for '24, but going into '25 and '26, would you see that there is hope for the margin to expand further?

Padam Gupta: Look, it depends on the commodity cycle. So, it is a bit speculative to my mind. The safer is to be around 13% -plus/minus. But definitely, we'd like to do better. We'd like to assure, we part 13%-plus/minus. We may change it after six months maybe, but not now.

Moderator: Thank you. Our next question is from the line of Faisal Hawa from HG Hawa & Co. Please go ahead.

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Faisal Hawa: Sir, what is our ROCE and ROE for this quarter? Second is, sir, how are we seeing the data centre opportunity as a total? So, do we see that as a good annuity income where we set up the data centre and really give it on rent to the final holder of the data?

And third is, how do you see the smart

meter opportunity. Genus has also got a very large order.

Is there any kind of tie-ups that we are looking at for smart meters which would get us these kind of orders? And even in data centres, sir, do we have any kind of tie-ups with any foreign majors to take advantage of the data localization policy of the government?

Padam Gupta: See, let me answer your questions one-by-one. Particularly, coming to smart meters, we will not like to like Genus. We trust the sector that discoms have their own risk element. And we are almost a developer here in this segment and projects are mostly of DBFO in nature. Their funding us to be also made by the very concessioner in this case.

So, our target is by and large depending on whether scheme gets executed in country over five years, seven years or 10 years or 15 years, because generally, power sector, we see the schemes are for five years, but execution carries on for 15 years. So, if it is a scheme meant for five years, seven years, our target will be collectively no more than maybe 5 million, 6 million meters. And if it happens over 10 years, then maybe 10 million meters. And if it is 15 years scheme, then we'd like to target 15 million meters. So, our game plan will be more than 1 million -meter, 1 million, 1.5 million per year on an average as a target to execute these projects, number one. Number two, we definitely are more excited about data centre, that's a very huge opportunity. It is in the building. Presently, it is more value accretive, but it will be revenue accretive post '26, more strongly but some revenue flow should start from '24, '25, with first facility, I'm happy to also inform we have also been allotted land in Kolkata now in Silicon Valley. It is very next all the prominent players in the segment like Adani, Reliance and others [SGT] and RailTel. So, we will be in a place to grow this segment post '26 more strongly we see traction coming out of it. But within renewable power also, we see more technologies becoming part of the solutions, while integrating renewable into grid more solutions or capacity ability to be part of the storage to be part of the group. So, we see a lot of things evolving. We are transforming now and as well as growing, I'd say both. So, you have to keep space for transformation and growth also, and new solutions within the space. So, we will -- we are not, as you know, as a company, we have never tried to be the biggest, that is not the goalpost of Techno. We will always like to be the best as a performer and also better in terms of the margins, bottom line. Does that answer your question?

Faisal Hawa: Sir, about the ROCE and ROE, what is the ROCE and ROE that year end? And will data centres be like an annuity income for us where we keep getting paid per monthly? And will the revenue come that way or we will be like a EPC provider to the larger companies?

Padam Gupta: Sir, it can be a hybrid or both, depending on if we get an investor, the annuity income goes to him. If we don't get an investor, it becomes [my 0:30:57] income. So, question is the long post goalpost of Techno is, not to be annuity income earning entity and more of a business development entity in this segment. But in the past also in transmission asset or in the wind

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assets, we have lived with the annuity income also on a regular basis. And we are clearly exposed to these businesses PPP or BOOT basis. So that is not the issue, sir. Depending on how asset is more demanding, we'll keep taking a call.

Faisal Hawa: You mentioned that we have INR156 per share of cash on books? Or was it INR156 crores? And do you have any kind of a plan to utilize this so that our ROCE and ROE really improved?

Padam Gupta: Yes. You see we have almost INR140 per share as a cash. And total cash in the books is about INR1,500 crores as of

today. And definitely, this is meant to develop these assets like data centres, smart meters and others because we prefer to be debt-free company. And our target to one ROCE will never be less than 15% on any of these resources in the company. Cash is reality in any company, and we will always keep it productive. Cash also does not generate money only by investing it, but it creates value accretive application also. So, we are very prudently utilizing the capital available with us.

Faisal Hawa: But no chance of any buyback or a large dividend as such?

Padam Gupta: No, not in the present business. There are so much of growth opportunities, so we don't want to spend money after buyback at the moment. But definitely, we will be larger dividend payout company as we have done in the past. Last five years, we have paid out no less than -- for four years almost INR500 crores to the investors, both through dividend and buyback. The last dividend payout was almost 300%. And it will improve in going forward.

Faisal Hawa: I really appreciate you answering my question so well, sir.

Moderator: Thank you. Our next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Good afternoon, Mr. Gupta, and congratulations on a very good set of numbers. Good afternoon, Ankit also. Sir, one question was on this L1 of INR3,550 crores. So, by when do we expect this to convert into confirmed number for us?

Padam Gupta: Out of the INR850 crores, we have already got after September. And the rest of the business, we are hopeful to have it by maybe December, January should be there. But INR850 crores we have already received in last one month or two months or 1.5 months.

Sarvesh Gupta: Out of this INR3,500 crores, sir?

Padam Gupta: Yes.

Sarvesh Gupta: So now what will be the -- including the INR850 crores, are we like at INR5,100 crores of unexecuted order book?

Padam Gupta: No, no, no. The unexecuted order book has now is about INR3,600 crores. So, if you include this INR850 crores, it becomes INR4,300 crores. As of September, it was INR3,600 crores. And if you include this INR850 crores, it will be around INR4,400 crores.

Sarvesh Gupta: L1 excluding this is around INR2,700 crores?

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Padam Gupta: Yes, absolutely, you are right.

Sarvesh Gupta: Okay, sir. And the other bid pipeline of this INR5,000 crores, and we expect to get INR2,000 crores out of this. So, what is the timeline for this, sir?

Padam Gupta: So, it is a loan tendering, we do not have a control as yet to be a participant. Sometimes government closing -- utilities close these programs earlier than expected, sometimes they take a long time. So, it is so difficult to predict. But my takeaway is that we can easily expect order intake of about INR4,000 crores per year going forward.

Sarvesh Gupta: Understood, sir. And sir, one question which I had earlier also was on a management bandwidth because now I think we are growing by leaps and bounds. So, any colour or update you would want to provide in terms of what we are doing to sort of upgrade the organization also, sir, for the huge opportunities opening up?

Padam Gupta: Yes, it is an ongoing process in the company. And we take at our lowest level almost 40, 50 trainees from good colleges of engineering, diploma holder, NICMAR in Pune, and many other good schools. And similarly, we are also literally accepting the people, our land transfer. So, it's an ongoing process, I'd say, at our own in-house development programs are there. So, training programs, exposure programs, we do send our people training to institutes to good trainers, we organize programs in-house also. So multiple techniques are being deployed to stay updated, competent and relevant to the business.

Sarvesh Gupta: Understood, sir. Sir, finally, one more question

was on the -- if I look at the pipeline, we see a lot of orders from these states like Tripura, J&K, some of the Eastern states. So, is there any geographical risk that you foresee from these sort of geographies? Because like these are not the regular ones. I mean, FGD, we have a big one from Rajasthan, but from the usual larger states, we are getting slightly lesser business, and it seems to be more concentrated around these slightly more, I think where the state governments are probably not in the best of the health or the geographies which are slightly difficult.

Padam Gupta: I think it is an issue of perception. If you see likely, the more of metering work and digitization in discoms is required by those very states who are presently very inefficient, number one. So more inefficient you are, the more prone to performance they are by installing updated solutions. So, in a mature state, the chances of reward are always lesser than these kind of states where

already the revenue collection is no more than 50%, 60%. If 50%, 60% revenue collection becomes 85%, 80% by virtue of installing any solution by us, they never like to deprive or share the benefit with you as a minimal cost of per meter, per month or even any solution given to them on the software side.

So, I trust more inefficient you are, that more prone you are to a better performance in the solutions, but for your information, we'll keep it properly blended like last order of metering this month we have got, these from a discom of Indore in MP for INR650 crores.

Sarvesh Gupta: Understood, sir. Thank you, sir, and all the best and very happy at the performance.

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Moderator: Thank you. Our next question is from the line of Ashwani Sharma from ICICI Securities. Please go ahead.

Ashwani Sharma: Yes, thank you for the opportunity and congrats for a great set of numbers. My first question is that you mentioned that you have already spent INR220 crores in Chennai data centres. So similarly, over the next two years to three years, how much -- what is our capex plan in these assets like data centres and smart metering and TBCB? How much can be outflow from our side?

Padam Gupta: Going forward, we should be investing more than INR500 crores to INR750 crores in data centre and another INR1,000 crores in meter work.

Moderator: Sir, may I request you to come a little closer to the speaker phone while speaking.

Padam Gupta: What I was saying that INR500 crores to INR750 crores in data centre for next one year or two years, and another INR1,000 crores in meter work.

Ashwani Sharma: Anything on TBCB side?

Padam Gupta: Pardon?

Ashwani Sharma: Anything on the TBCB front?

Padam Gupta: TBCB today, we are not very strongly focusing of our own. I will say, we are only TBCB there, with private developers or Power Grid. We are happy with that business with them. So, we won't be looking for any investment from our side.

Ashwani Sharma: Okay. What is the kind of return that we are targeting?

Padam Gupta: On what?

Ashwani Sharma: Let's say, on smart metering and data centres?

Padam Gupta: Yes. Data centre is a high-end solution. So obviously, everybody expects more rewards. And smart meter is a little blended business, I will say. So compared to EPC, you will always expect a little more return. It's a grid made distribution; all are not alike in terms of the risk. So, you have to blend them with the risk and rewards ratios accordingly, either with technologies or with the financial risk you are taking. and developing that asset.

Ashwani Sharma: Sir, we haven't started booking profits in the data centre. Why -- when we can -- we'll be able to start that?

Padam Gupta: When we are close to the revenue stream, sir. It is no good idea to book profit or bill out costs when it is still in the development stage.

ge. So, it is value accretive at the moment. So, we will acknowledge in our books only when it becomes revenue accretive.

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Ashwani Sharma: Okay. Sir, on the guidance, I think there has been revision. So just wanted your inputs segment wise for FY '24 and '25. If you could tell us within the EPC, how much will be from transmission, how much will from your distribution and from FGD?

Padam Gupta: I think if you please write to us, we'll give you the answers or visit us, no issue. because this kind of business is not done with this kind of accuracies or preciseness on many opportunities. Some opportunities you build up for relationships, some you build up are rewards. But overall, our guidance will say that we should look for EBITDA of about 30% at the company level to the top line.

Ashwani Sharma: Sir, I was more looking on the revenue guidance, sir?

Padam Gupta: Revenue guidance I have given already that this year, it is INR1,600 crores to INR1,800 crores. Next year INR2,500 crores. And the year after next will be INR3,000 crores.

Ashwani Sharma: Okay, sir. Thank you very much.

Moderator: Thank you. Our next question is from the line of Abhineet Anand from 3P Investments. Please go ahead.

Abhineet Anand: Yes. So just trying to understand your business model for the data centre. I mean, you are investing in it. And obviously, when there will be somebody who leases it, you will get the earnings. So, what type of investment do you expect, INR220 crores is what you had indicated that we have already put in. So -- and will this be a next three years, five-year process? Or how

is it?

Padam Gupta: No. It does not go so long, sir. But the Phase 1, will be ready by March '24, and our capex will be about INR550 crores in that by March. And thereafter...

Abhineet Anand: Of which INR220 crores has been done.

Padam Gupta: Yes. Out of INR550 crores, INR220 crores -- I don't know if commitment may be more, almost INR280 crores, out of which INR220 crores spent on this project. And this will happen over next four months, five months. And to complete this project, this whole project is worth about INR12 crores or INR13 crores, which will be completed by almost around March '25 in all the phases of the project. These I am talking of Phase 1. That our Kolkata project will catch up. We are also planning a project in Hyderabad. So, over the period now three years, you can say, the data centre capex will grow to almost INR1,000 crores per month per year by third year.

Abhineet Anand: So, every year, starting maybe in the next two years, three years, you will spend INR1,000 crores on data -- building data centre across wherever -- whichever region?

Padam Gupta: All we will be monetizing and reinvesting or we would like to raise capital at a subsidiary level to fund these expansions growth.

Abhineet Anand: And while you did mention, it's a high-end stuff and your returns will be better. But any qualitative broader number, what type of returns you're expecting on INR1,000 crores investments that you'll be making?

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Padam Gupta: Year-on-year, it may range anywhere between 15% to 20% as IRR.

Abhineet Anand: And in the smart metering, you talked about INR1,000 crores investment. What exactly will be our spending on that, sir?

Padam Gupta: No, the spending will be INR1,000 crores. That's what I said, because these are all DBFOT model, where government gives you a grant of no more than 15%. And just 80% you have to invest from your own capital, which is paid out on a per month per meter basis over 94 installments. That is the scheme of the government.

Abhineet Anand: Okay. And so, if I have to take the example of a, say, Indore smart meter project that you got for INR500 crores, INR600 crores, so th

at the revenue that you will get initial investment might be anything. Revenue will be spread over 94 months or whatever 100 months, right?

Padam Gupta: Right. 94 months for each meter.

Abhineet Anand: Yes. So -- and for that, let's assume, INR600 crores project, how much you'll have to invest?

Padam Gupta: You take it -- you see, these are bit complex. If you write to us, we can explain more because it has a tax element of 18%. It has a finance cost of almost 20%. So, all those elements once taken off, the core capex may be no more than 70% in each or maybe 65%.

Abhineet Anand: Okay. Thank you, sir. I will probably reach out to understand better.

Moderator: Thank you. Next question is from the line of Keshav Garg from Counter Cyclical PMS. Please go ahead.

Keshav Garg: Sir, firstly, I wanted to understand that out of our total receivables of around INR670 crores sir, how much are due from Tamil Nadu Trade Electricity Board being wind power receivable?

Padam Gupta: It is about INR125 crores.

Keshav Garg: Okay, sir. And sir, apart from that, we have recovered all the dues, etcetera, from the state electricity boards?

Padam Gupta: Yes, absolutely. And out of INR125 crores, also they are part of LPF scheme now, which are paid out in a strong amount, which is already being paid out for the last 15 months, month-on-month as a committed payment to REC PFC. This is a scheme of the government to liquidate them over four years. I'm talking about 1.5 years has already been over.

Keshav Garg: Sure, sir. And sir, also, sir, FY '21, I remember, you used to be very confident that, we will do at least 15% operating margin on the EPC side. But after that, the commodity prices went up post-COVID. And now again, they have come down. Sir, but then why -- and now the order inflow has also increased. So, considering that, sir, one should have expected that margins might go up from 15%, but you are still giving guidance of 15% only, sir, so that's a bit strange?

Padam Gupta: There is no strange in it. You must understand, firstly, the tariff post '21 itself has seen a decline of 20%. These are very developers number one. Number two, all commodities have not cooled

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down in last two years. Still the electronics like semiconductor-based solutions, whether it is PLCC or CRP or your SaaS or DCS, they are almost double the price of what we used to get before '21.

So, some commodities like steel, copper have bettered. Transformer prices are all time high. Nobody wants to manufacture CRG in the world now. Everybody wants [CRNO] to make

batteries, storage batteries, vehicle batteries. So, these pressures on cost as well as on pricing will always be there in a competitive market.

Keshav Garg: Sir, but now that, sir, for the new orders, when we bid for new orders, sir we must be bidding, keeping in mind whatever the cost of the latest prices are of various inputs. Sir, so even on new orders, once our old orders get executed, sir, then can we expect our margins to revert back to 15%?

Padam Gupta: Maybe, if my commodity cycle sports availability of electronic forms you please understand India is transforming now. We are opting more and more got renewable power. And these solutions are met for evacuation of renewable power and integration into our main grid. Similarly, the whole world is now transforming into the renewable power. A lot of progress are happening in U.S., Europe and other countries also.

So, demand of all the high-end elements of transmission is very high at the moment in the market. And supplies are hardly few. Weatherly it is all supplier-led market. So, we are compressed between the ability of developer to phones ones he does supply expectation of prices or they are timely. So, no cycle is always free to EPC. EPC is always a bit of a challenging business and you need ability to

make money in this market.

Keshav Garg: Sure, sir. And sir, lastly, sir, if we look at our cash flow statement consolidated, sir, then for the six months of this financial year, sir, our operating profit is down from around INR123 crores last year to INR95 crores this year. So now I understand that on a consolidated basis, we don't include the data centre EPC work that we are doing. Sir, but the point is that, apart from that data centre work that we are doing in the rest of the EPC business, sir, why is the operating profit for the first half less than last year?

Padam Gupta: So, you are comparing non-comparable, sir, that 123 includes business discontinued. That is wind business. So, you please remove it. So, then you will see that the margin has doubled over last year. See our segment results.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: My question is on the data centre side of it. Just to understand, you did say that it would be a -- revenue would be a mix of -- depending on if you have an investor or not. If I can understand what would be like per megawatt rent that can -- that we will receive per month if we rented out. So, we would have some number in hand, right?

Padam Gupta: Yes. Generally, these data centres are rented out or leased out on per month per KVA basis as an application and rates are generally ranging depending on the type of consumer you have, whether it is an enterprise or it is hyperscaler and what sort of capacity he is taking from you or

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he is a colocation customer. So, it can range anywhere from \$80 to \$110, depending on the type of consumer.

Vignesh Iyer: And is this per KVA, right?

Padam Gupta: Yes, per KVA.

Vignesh Iyer: Okay. Because one of our competitor who is into this business, did give an

Padam Gupta: So please, these are rentals only. There is no power cost built in it. Power is extra. That is at actuals.

Vignesh Iyer: Yes. So, I'm talking on the rental side only. One of our competitors gave a number of somewhere around INR90 lakhs per megawatt per month as a rental. So, I just wanted to know if our number matches on the megawatt side somewhat nearby to what they are talking?

Padam Gupta: No, no. These are not -- you can calculate, I've never calculated like that. So, I cannot indicate that, but maybe closer to what we are talking.

Vignesh Iyer: Right. Got it. Sir, just one more question. What is our cost of setting up 1 megawatt of data centre?

Padam Gupta: About \$5 million.

Vignesh Iyer: Okay. And this is \$5 million assuming greenfield, right?

Padam Gupta: Yes, greenfield. Absolutely. It's always greenfield only. Presently, all data centres are happening as greenfield.

Vignesh Iyer: Greenfield, as in I went -- this includes the land cost entirely, right? I mean if...

Padam Gupta: Yes, yes. Everything, land to ready to use. Sometime, it may depend on location. If you go to Bombay, it might \$6 million because land is pricy there, but when you go to Chennai or Kolkata, it maybe \$5 million. So, land price is a big surprise you know.

Vignesh Iyer: That is true.

Padam Gupta: Yes, in Kolkata, Chennai, we get land still \$1 million per acre. In Bombay, you may have to shell out no less than \$4 million maybe per acre.

Moderator: Ladies and gentlemen, that was the last question of our question-and-answer session. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Padam Gupta: Yes, from the current quarter, I will only like to say that from the current quarter onwards can expect a top line of INR400 crores plus quarter -on-quarter in future. As I mentioned in my year close, year beginning statement, I will say the sunrise were happened on the sector and has just happened. And going

forward, it seems to be good programs in place and at least one [XBT]

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three, four years with -- and also it is the first year when we are seeing energy growth or consumption growth in double digit as against 2%, 3% in the last four, five years.

So, all good is happening in the energy sector, power sector. All companies are moving whether it is a data or it is EPC or it is transmitter or it is distributor. All are making -- are being rewarded by this growth. And I wish India travel this journey. It is first time I'm happy to share with you the grid load have touched 250 gigawatts, which used to be no more than 170, 180 -gigawatt just a year back on an average.

So, I would like to thank you all of you for joining the conference with us. And in case you still have any query related to our performance, please drop a mail to us as we'll be or you visit this side of India, please drop in our office, and we'll be happy to receive you, take you around the way we work. And with this, I would like to close the conference. And thank everybody for joining, and wish a very happy Diwali, a very happy festive season for all of you. Thank you very much.

Moderator: Thank you. On behalf of Asian Market Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Techno Electric and Engineering Limited Q3 FY24
Earnings Conference Call"

February 15, 2024

MANAGEMENT : MR. P. P. GUPTA , CHAIRMAN & MANAGING
DIRECTOR
MODERATORS : MR. SURAJ SONULKAR - ASIAN MARKET SECURITIES
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Techno Electric and Engineering Company Limited Q3 FY24 earnings conference call hosted by Asian Market Securities Limited.

This conference may contain forward-looking statements about the Company which are based on the beliefs, opinions and expectations of the Company as on date of this call. The statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections, etc. whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Suraj Sonulkar from Asian Market Securities Limited.

Thank you, and over to you, sir.

Suraj Sonulkar: Thank you, Tushar. Good afternoon, everyone. On behalf of Asian Market Security, we welcome you all to Q3 FY24 Earning Conference Call of Techno Electric and Engineering Company Limited.

We have with us today Mr. P. P. Gupta – Chairman & Managing Director. I request Shri Gupta to take us through the overview of the "Quarterly Results" and then we shall begin with the Q&A session.

Over to you, over to Gupta sir. Thank you.

P. P. Gupta: Very good afternoon to all of you. I welcome everyone to discuss the Earnings Call for the Quarter Ended 31st December 2023 and Nine Months ending December of the Financial Year 2024.

Anything said on this call which reflects our outlook for the future or that could be construed as a forward-looking statement must be reviewed in conjunction with the risk that the industry and our Company in that faces.

Let me highlight our "Performance" of this quarter :

The Q3 Financial Year '24, as you already know that we only have left with one segment of business, post-liquidation of our businesses, that is EPC now and also developing our subsidiary with the data center.

The total revenue of the Company for EPC stands at Rs. 364.5 Cr. The EBITDA of the Company

for this quarter is at Rs. 45 Cr, which is up for 92% year-on-year. EBIT for the EPC segment, Techno Electric and Engineering Limited
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quarter is at Rs. 45 Cr, that is up by 96% year-on-year. Other income is at Rs. 41.63 Cr compared to Rs. 19.7 Cr last year. The profit before tax is Rs. 80 Cr plus, which is almost double of last year and PAT is at Rs. 77.6 Cr, which is 150% up from last year. The EPS for this quarter is at 7.17, which is up by about 158%.

When we look on nine-month "Results" of this year:

The revenue is at Rs. 1,200 Cr. That is nearly 132% year-on-year. The revenue for EPC is at Rs. 1,189 crores, which is 134% up year-on-year. EBITDA is at Rs. 168 Cr, that is almost double that of last year. The operating profit for the EPC segment stands at Rs. 160 Cr, that is about 125% up from year-on-year. The operating profit margin continues to be at 13.69% for nine months. The other income is at Rs. 101 Cr compared to Rs. 52 Cr last year. The profit after tax is at Rs. 200 Cr plus compared to Rs. 91 Cr last year, the EPS is at 18.85 compared to 8.28 last year. The current investment values of cash and cash equivalent as of December end stand at around Rs. 1300 Cr. That is about Rs. 120 per share.

For nine months, we have used a fresh order intake of almost Rs. 2,738 Cr and our un-executed order book as on date now is all-time high at Rs. 5,441 Cr. Other

than this, we are also placed

L1 in another business of almost about Rs. 1,700 Cr comprising of orders from Power Grid, Business One in partnership with In diGrid, orders from Adanis, business from Tripura and also DVC on digitization of distribution network in their command area.

I would now like to cover a brief outlook on this issue:

I trust we have been able to tide over the difficult times, successfully build the financial health of the Company with a lot of unutilized cash in the books, which is now proving very early to us. We expect this growth momentum to continue which have just begun and it should continue for 25-26 years in the similar fashion. I think we have already perfected Rs. 400 Cr per quarter output for the last four quarters compared to Rs. 200 Cr to Rs. 225 Cr over previous years. We expect from Q4 onwards in next year a topline of Rs. 550 to Rs. 600 Cr quarter-on-quarter and which will further rise to Rs. 800 Cr in the year that it is in for the year 25-26. As such, we are very confident that this year, our top line should be anywhere around Rs. 1,750 Cr to Rs. 1,800 Cr, and which will include Rs. 1,600 Cr for third parties and about 200 for our own datacenter. Similarly, next year we can safely expect an offline of about Rs. 2,500 Cr and in 26 about Rs. 3,000 Cr to Rs. 3,200 Cr.

Similarly, I will say the buoyant by the policy initiatives of the Government like PLI Scheme, the digitization and other initiatives. I will say India is at a very interesting juncture in energy consumption. Energy is all-time high in the country today. And I trust by 2030, we are targeting a per capita consumption of 1750 to 2000 units as against 1250 now. This means business in all segments of energy, all around us. And this is going, the manufacturing policy, the digitization policies, as well as the very semiconductor industry, auto industry coming back to India as a solution of China plus one is all very important as well as energy consumption is concerned. In Techno Electric and Engineering Limited
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our view, it will fuel an insatiable demand for power and thereby leading to demand for all segments of power, power generation, power transmission, reforms in the power distribution, as well as business in the power consuming industry with CAPEX being back. India's power demand is expected to clock not less than 7% CAGR over a period of five years, which is at least presently touching around double digit of 10%. This has brought a new focus on renewable energy, and as well as, I will say, the Government is key to even bring back the conventional energy to the extent of 80-90 gigawatt. So, we see business happening both in conventional energy as well as renewable energy. The Government has already set a target of 500 gigawatt. From the current mix, we can observe that 43% of renewable energy only has happened till date and with a CAGR of 16% and is expected to lead to 64% RE mix by 2030. And I am sure we will be successful in harnessing 500 gigawatts of renewable energy. So, this also means creating a transmission network to handle this 500 gigawatt of renewable energy which identifies various transmission network compressing of almost 4 lakh of transforming capacity and no less than 50,000 per kilometers of light. This is very, very exciting, I would say. Most of these solutions being matched with capacity to capacity in renewable power, we will all need high-end application of solutions in 765 kV or maybe now is the time to try 1000 kV solutions also in the country. And this also the built of the grid to absorb this power, we will need a number of HVAC, HVDC as well as we need a lot of SATCOM solutions to keep the grid health in place while absorbing power along with the conventional power. This will also imply that we need to focus

on a lot of power storage solutions, additional

ly, like pumping storage solutions, battery storage

solutions, and all these means a number of solutions. The power grid is also seen that over the next 7, 8 years, they will have a CAPEX of almost 1.7 lakh crore. The sector will also see a CAPEX of no less than 3.5 lakh crore in the next 9 -10 years. And we expect that this will continue in the marketplace to be no less than Rs. 30,000 crore and we will share maybe 50 % and our market share of Techno also in this segment is no less than 50%.

The Government is also now encouraging thermal capacity to ensure that there is no (Inaudible) 13.00 and which is likely to be 4% at present expected and Government wants to mitigate by all means this year being an election year and also to support the lot of enthusiasm due to high -end economic activities happening in the country and India being the only world's largest growth space at the moment. So, this optimism will result in a lot of power pick -up in power consumption, as well as the Company with generation CAPEX, with grid CAPEX and also strongly backed by distribution reforms in the form of digitization of the discoms and smart metering installations in the multiple ways. The Government also amended the Electricity Act, which is also sounding very good now .

Out of smart meeting, I will say that almost about 100 million meters are under various stages of award. And around 88% of them may be taken under RDSS Scheme where Government has allocated 3 lakh crore to be spent over next five years. So, the builds of about 100 million meters have happened and we have already backed business worth about for two million meters and we would like to build about two million meters per year over next five years, so that our share in the market is about 5% in this segment.

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Now I will take up segment by segment, like coming to FGD segment, although a bit subdued because Government is encouraging again conventional power in the country. So, FGD will be strongly followed by Government in the new capacity and also in the existing power houses with the CPSU, the state entities. But our takeaway is that the private may like to defer the kind of CAPEX for next two, three years. So, this program of FGD will be steady and will continue over the next 10 years in our perspective. We have already got business worth Rs. 40 Cr-50 Cr and which we will see execution now in the coming year and next year with the BJP Government back in the state of Rajasthan now . And we expect to book business worth about Rs. 500 Cr in this segment year-on-year.

In the transmission sector, after a long gap, it's strongly in place and we expect the TBCB bidding to happen to almost per 50 to 100 gigawatts now. And a lot of bidding is in process, in progress, and every month three to four concessions are being awarded to power grid or private sector and wherever the AIS Solutions are involved we are being preferred as an entity to provide the same over 15 months to 18 months, which is the call of the day to match with the generating readiness. The total business in transmission may be around 40,000 crore per year, out of this station business can be taken other than HVDC to be around 7,000 Cr to 8,000 Cr and we expect to move this business of 3,000 Cr year -on-year for next 3 years to 5 years. We have already one business worth about 1,500 Cr in first 9 months and we are at L1 in another 1100 Cr business in this segment. So, we are hopeful to first ride back 3000 Cr business in transmission by close of this year. In the metering segment, I can say we are expecting orders for 2000 Cr year-on-year. We are already executing a smart meter business in the state of J & K for 2.5 lakh meters which is coming to a complete by the close of the Q4 and in addition we have got another order to install about 7.25 l

akh meters again in the state of J & K.

In addition, we have also backed order to install 5 lakh meters in the city of Indore and Indore discoms. We are also L1 in Tripura, and we expect the order very shortly for another 4 lakh meters in this state. We are participating in business in the state of Rajasthan, Jharkhand, in smart meters and expect that by the close of the year we will expect additional business of about a milli on meter more. The overall financial health of the sector is likely to be improving and if this focus really stands implemented on renewable power and also this discom reforms, we are confident that there is a huge business for our Company , not seen before . We will also like to be part of the battery storage solution or pumping storage solution, as well as for the balance of plant in the conventional powerhouses which we have carried out successfully for CPSUs and states in multilaterally funded projects over last three decades. Datacenter is another very exciting story.

We all believe that digitization and cloud services is the most prominent reason backed by DPD P if the country has led to a growth of this vertical and also the consumption of data is growing every day in our country. And I trust this is the cause of the very energy consumption demand as of today. Yes, digitization is highly energy -intensive.

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My takeaway is that presently we have about 700 megawatts of data centers in the country which is likely to be at least 2 gigawatts by 26 and maybe another 5, it grows to 5 gigawatts by 2030. India actually offers a very attractive energy cost today apart from stability of supply that is compared to Southeast Asia or Europe. So, I trust most of the large operators in this space would like to locate their data center in India in the location.

Additionally, I also believe that AI has also fired this sector very strongly. In monetary terms, in my mind, this sector is no less than \$2 trillion in 25 and it may be \$5 trillion by 29. The very growth driver in this space is the public cloud adoption by the large entities and enterprise level, the data localization, the data plan, the data protection bill 2023, the very policy initiatives of the Government as announced by them. The digital transformation which is taking place in the countries. The Technology development which are happening like rollout of 5G and others and next level of growth, AI, 5G and VR, the increasing adoption of AI and virtual reality will revolutionize the enterprise Technology market and benefit data centers. IoT, big data and cloud computing rising demand for IoT data and cloud services will continue to drive the industry. Techno is also in the advanced stage of setting up a data center of 24-megawatt IT load and 40 megawatt of grid load at Chennai, which has achieved significant progress over the last one year, one year and a little more and we expect to be ready by no later than March or maybe a month or two more because of the disruption which happened in November, December in Chennai because of the cloud bursting. We are now in the phase of equipping the project with more and more of the power centric solutions and civil works and building works are nearly ready. The procurement of these items is already in place, and we are hopeful of commissioning if not by March, April or latest by June '24 and complete the project by, I will say, a little later than the March '25.

We are seeing aggressive interest from special partner to enter into a JV for developing data centers in India. We are also noticing the deal happening in this space. We'd like to conclude the same. Once the project is nearly complete to harness the best value out of this, I say, The CAPEX in our project is expected to be around Rs. 1400 Cr that is no more than Rs. 45 Cr per megawatt and with

60% of CAPEX happening in the electro-mechanical works. That gives us the ability to leverage the same in future works for other developers of data centers also. The Company is very well placed at the moment and with a lot of merits, we are financially strong with undeployed cash of Rs.1250 crore at the moment.

The business is strongly back in our proven areas of competencies of the last three decades, that is, high-end transmission solutions, which we expect to be about Rs. 3,000 Cr per year, developing transmission solutions with TBC B mode in partnership with financially strong entities and in which a good opportunity in the space of smart meters in OPEC model wherein we want to absorb in-house risk of the project development and revenue stabilization. Thereafter, we will see the effort as in case of transmission and mid-assets on financial IRR basis.

A lot of opportunities in the balance of plant space due to new capacity to be built by CPSUs like NTPC, DVC in thermal power space and also with the state utilities with whom we have

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successfully performed in the past. Due to induction of AI, the data center business is strongly back, and we expect now we are confident of achieving 250 megawatt by 2030 or maybe more I would say. And as I already highlighted, it is due to the very energy cost in India, which is no more than six to eight cents, we are very well placed to capitalize on this opportunity. We are developing data centers in Chennai and Calcutta, next to Nxtra data center and we would like to take partners only post readiness induced. So, all this means the Company is strongly in growth space by virtue of the energy growth in the country and also the related businesses to the conventional power, renewable power, and also power and gasoline industries like data centers. And in addition, strong reforms have to be in distribution with RDSS scheme in place and also digitization of the distribution business. So, this means that we can easily expect a business of no less than Rs. 4,000 crore per year in the next 3-4 years to go. As I already explained, our target for the current quarter onwards now that is Q4 will be almost Rs. 550 Cr to Rs. 600 Cr from Rs. 400 Cr being experienced and stabilized in the last four quarters and by the year 2025 - 26 it will further rise to 600. 24-25 it will be 600 per quarter and for 25 -26 it will be Rs. 800 crore per quarter. So, we can easily expect the topline of no less than 2500 in 24 -25 almost 3000 to 3200 in 25 -26. EPS of 25 with the current year, 35 for 24-25 and 45 for 25 -26 respectively. With this background, I would now like to pick up the questions from the floor. Thank you very much.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi: Sir, my point is that, when we were having Rs. 1,400 crore cash, the Company desired to raise money through QIB amounting Rs. 250 crore. I believe that Company should take that first then raise the equity. So, what is your view on this because equity is always not cheaper than..

P. P. Gupta: Any other question?

Ravi Naredi: Rs. 1,500 crore L1 order, which you recently said in the last interview. So, what is the status at present? And you announced a lot of orders in this concall which we may receive in due course, so how the Company has capacity to perform them? These are my questions.

P. P. Gupta: First of all, let me address your capacity question and then come to the finance and prudence of finance on this side. On the capacity side, Techno (Inaudible) 30:37 in building balance of plant, I would say, high -end application complexities as well as (Inaudible) 30:54 facilities like applicable in data centers and also dist

tribution for smart meters. (Inaudible) 31:00, those were

our two components, (Inaudible) 31:06 or earnings as a bottom, but we must do it. 31:22

(Inaudible) the Brownfield expansion packages from Powergrid (Inaudible) 31:28 We were always operating (Inaudible) 31:40. So we were almost executing 30 location projects of each with no more than Rs. 50 Cr, which presently we expect to raise it to Rs. 100 Cr and then to Rs. 150 Cr per location or maybe even Rs. 200 Cr but not working at any more than 15 to 16 locations because of the very size of the projects of 765 kV AIS and they are largest of the large in the Techno Electric and Engineering Limited
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country as a deployment. So, all these, within the same capability and capacity, we are able to ramp up the top line, number one. Number two, coming to the finance prudence, you see our Company has always been very prudent in utilizing cash and I trust 'cash is king'. It always brings multiple type of benefits like assurance of payment to our suppliers, procurement at competitive prices, your ability to fund your programs ongoing in the field in time and it is usually comfortable I will say. And you must have cash in the books always to take care of any contingency otherwise. So, I have been always a debt shy person and we trust we can earn easily 15%-18% on this money by multiple and different ways of deploying the same, which is not only meant for growth in the top line and resulting in higher working capital necessities, but also to fund the CAPEX model projects like our partnership with the developing transmission assets in TBC B or developing smart metering solutions and going forward we do expect that we can take up more projects in CAPEX model with the developers, thereby giving us a better bottomline demand.

But definitely, you see the CAPEX planned over the next five, six years for us is no less than Rs. 25,000 Cr, if you see holistically. 250 megawatts of data center will mean no less than Rs. 10,000 Cr as a CAPEX and also developing 10 million meters in CAPEX model will also mean Rs. 10,000 Cr. So, it is almost about Rs. 20,000 crore. Of course, we will take that, but we will be shy to go beyond that ratio of 1 is to 1. And we will also be continuously rolling over this CAPEX into exits additionally, so that all the time we must have a cash availability in the Company of no less than Rs. 1500 Cr to Rs. 2000 Cr to meet any contingency or any delays or any delay or payment as experienced, so that we are not vulnerable as we experienced in previous 10 years with fatality with a lot of generators. So, we want to make sure that companies continue to generate a reward of 15%, 18% on the equity, as well as keep companies financially healthy. Our target is that by 2030, if we have a top line of Rs. 5,000 Cr, my net worth also be known as that Rs. 5000 Cr. That is what we will achieve at a debt of no more than Rs. 5,000 Cr.

Moderator: Thank you. The next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: Firstly, many thanks for giving such a detailed explanation and your overview for the sector as well as for the Company. If I heard you correctly, I think you mentioned FY25 sales guidance of 2,500 crores and FY26 at 3,200 crores.

P. P. Gupta: You're right, perfectly right.

Subhadip Mitra: And I think sir you also mentioned an EPS guidance of Rs. 35 in FY25 and Rs. 45 in FY26, did I hear that correct?

P. P. Gupta: Yes, 26, 25, 26, absolutely right.

Subhadip Mitra: This is immensely helpful. If you could also help us sir in terms of the EBITDA margin guidance that you have, I remember I think in the last call you had mentioned the range of around 13 %-
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14%. I believe for the nine months of this year, you're already trackin

g 15%. So, would you be
upping the EBITDA margin guidance as well?

P. P. Gupta: No, sir. I think we will continue to be around 13%. And depending on commodity cycle because of the global forces as are very happening around us, I think we should be conservative, but it may improve. I think expecting 13% is fair.

Subhadip Mitra: I understand. Would you see scope of the margins going up over the next two years given will you see scope of the margins going up over the next two years, given that you're getting larger ticket size orders? So, maybe there is some operating leverage or economies of scale that can flow?

P. P. Gupta: So, it may happen, but to be conservative it is not good to factor because the very tariff bidding which happens in our country it puts a lot of pressure on the developed asset owners in terms of the tariff and their ability to pay out to EPCs are not that use that is constantly under pressure as I see, additionally we also experience today it's a suppliers market on equipment because of the ban on the large end equipment or major equipment forming part of the solutions because of the ban in use of Chinese equipment under DPIIT policies. So, all these are the challenges in built in it. So, I will trust we need to experience the ground.

Subhadip Mitra: I understand. Lastly, what we are hearing from various industry players including power grid is that while there is this huge pickup in terms of the plant transmission CAPEX, there is acute shortage of certain segments of equipment. For example, whether it is HVDC or it is high voltage transformers. Do you anticipate any such short-term paucity of equipment which can probably impact your execution on the substitution side?

P. P. Gupta: So, this is what I shared with you just now, Mr. Mitra. That pressures are there in the marketplace but Techno's relationships with these very suppliers for the last three decades and having grown together and have been a trustworthy payment masters in this space. So, our respect is very used. And that helps us to, despite challenges, we do get our equipment in time from them by and large as for the requirement of the solution. And that's good, I will say. So, it's a time for companies like us to come forward. And you know, absorb more of the risks which we are best placed in the marketplace.

Moderator: Thank you. And the next question is from the line of Venkata Subramaniam from Organic Capital. Please go ahead.

Venkata Subramaniam: Couple of questions, sir. One, we had taken a few opportunistic orders overseas when the Indian markets didn't appeal to us. Are we kind of defocusing there and will we come out unscathed from that and water out of there sir?

P. P. Gupta: Sir, I will say that we have done little overseas compared to many others in this space, number one. Number two, our TOGO assignment is complete, and we have already received completion certificates that project was funded by Exim Bank. We are still struggling to be out in Kabul, in Techno Electric and Engineering Limited
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Afghanistan, which are our comfort zone was that they are funded by World Bank and ADB. So, resolutions have to be made. A number of meetings have happened in Doha, and we are very confident. And secondly, these projects are part of CASA scheme. You know, it is not limited to Afghanistan only. So, they have to find solutions because three more countries around Afghanistan are entangled in it. But the good part is that we have nearly completed about 90% of the work in this project. So, it will be foolhardy for anybody, you know, not to complete the balance 10%-15% left in that place. So, project completion will happen and our involvement also is no more than six million dollars there, which is very little, I will say. But we are finding good traction now in the Middle East, because every country in the Middle East is very

strongly

focused on renewable power, like India, and climatically also so. So, we find good space to be part of in Saudi or Oman, or similar other countries. Let's see how it works out. But the domestic market is more hot than overseas also.

Venkata Subramaniam: Secondly, a couple of conference calls ago, in answer to a question about organizational strength and then enhancing etc., we said we are in the process of inducting and interviewing a lot of people etc. Are we getting the kind of talent that we need to achieve this kind of scale, Guptaji now?

P. P. Gupta: Absolutely, sir. Because there are two things. Firstly, we have strengthened our daily office very strongly and my son is located there now, full time. I think it's been four years, Ankit who is driving all IT-laced power solutions, like data centers, smart meters, or digitization. And we have picked up very good people in that office. If next time you happen to be there, it's a team of now 100 strong people. If you happen to be there in Gurgaon, please visit our office. We welcome you and share our experiences with you. We are also transforming a lot, I can assure you. We understand growth brings its own challenges and risks with it and as conservative we are, we want to be delivering this growth very successfully and prudently in all regards.

Venkata Subramaniam: Lastly, sir, on this enabling resolution for QIP, knowing the Company and knowing you, I read a lot, you probably have spotted some opportunities. It probably will not be very futuristic. Do

you want to give some broad color in terms of what this will entail, etc.? Do we have some specific assets that we are chasing? Because it can't be, anything that you build either on the data center side etc. will kind of turn itself over. You know, it won't be a continuing investment. A few you will build and in the typical style you probably will flip them over, etc. So, if you take this kind of money with the kind of cash trail that we're sitting on, you probably have something in mind. Do you want to kind of give a broad picture to the market?

P. P. Gupta: No, we have a program of CAPEX of almost about Rs. 2,000 Cr. to Rs. 2,500 Cr. per year now keeping the CAPEX model of the smart meter as well as data centers. So, the objective is to stay liquid enough and financially strong enough to meet these kind of CAPEX year-on-year either less by some debt not all debt but also you know if you are not able to get the exit for a year also, you can be under distress. So, we don't want to be in stress or distress situation. The advantage is that whatever exposure you want to take in CAPEX or asked working capital needs, that must be adequately funded. But secondly, whatever approval we are taking, sir, we are beginning the Techno Electric and Engineering Limited
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process. It does not mean we do in one installment, or it may be two rounds depending on investor interest in our space, in our Company. So, we are still not very decided that this money will be raised tomorrow itself. It is only the beginning of the process. And we may complete this over a year, either as a preferential allotment or as a QIP, or depending on investor interest in our opportunity and value is willing to pay, which will be good for all the stakeholders in the Company today. But we are also strongly looking on foreign enterprise, FII or FPIs, more than you know, because domestic participation is already very high in our Company.

Venkata Subramaniam: Indeed, I understand. Now, if you are investing almost Rs. 2000 crore to Rs. 2,500 crores in the system on almost a yearly basis, then one would assume that, you know, just a 13% to 15% kind of EBITDA would possibly give us only something like about Rs. 300 odd crores - Rs. 350 odd crores which is not the kind of matrix that we have worked with in the past. So, although the

turnover can be higher probably the flow through to the bottomline should be a lot higher than 13%. Right, otherwise it won't meet the previous matrix of us.

P. P. Gupta: You are perfectly right sir But you may see in our documents happening in two parts as you saw in the past. One, some part of return will be as a value accretive and some part will be as a CAPEX returns in execution return. So, it will be a blend of the two as you saw when we sold our transmission assets. We generated handsome capital gains. Similarly, when we exited wind assets we had a handsome capital gain. So, this will also be hybrid model of EPC reward plus your exit reward as a capital gain. These CAPEXs are happening in SPVs, because that is mandatory. All smart meter work is also happening in SPV only. That is also a requirement of the Government. So, that post-concession period, they go back to the Government.

Venkata Subramaniam: Now, just to guide the market more appropriately, if you can kind of actually make a presentation to kind of capture this, because on the face of it, it looks as though you will have about 13%-13.5% kind of margin on all your top line, while some of it actually will come from value accretion. So, it might make sense to guide the market accordingly.

P. P. Gupta: Yes, we will do, we will take care, no issue.

Moderator: Thank you. The next question is from the line of Gurwinder Singh from Fortuner Investment Advisors. Please go ahead.

Gurwinder Singh: My question probably continues from what Venkat was trying to get to. As we understood your business, the CAPEX heavy or asset heavy businesses of smart meter and data center will obviously grow in the overall pie in the next 5 years or so. Just a sense of philosophically, would you limit the CAPEX from the balance sheet of the parent into these SPVs, essentially by funding the growth beyond the point from selling stakes in those NBFCs and finding partners? Or would you be philosophically guided to continue to invest and limit the partner's capital there? I mean, more a directional question, if you could help.

P. P. Gupta: It's a very delicate balancing of risks versus rewards between yours and me sir. Our takeaway call is that we don't want any investor to underprice our assets merely by assuming that he is part Techno Electric and Engineering Limited
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of the project happening. This core project, construction project management risk or project development risk number one and secondly the very stabilization risk thereafter of the revenue stream. So, that when like we when we parted our assets on transmission then those projects were not part of any construction risk or any revenue risk. So, we could exit at about 9% IRR or 9%-10% IRR depending on that cycle happening in the country. But today, when you take a partner, when project is in construction phase or delivery phase, any investor looks for a return of no less than 15% or more. So, that is very pushing. That belongs to my investors. That belongs

to my stakeholders. So, we want to, Techno is sure of that risk. We understand that risk. We are confident of mitigating that risk. So, that reward must be part of my balance sheet, whether it is happening in SPV or in the parent. But we will definitely be funding SPV with the debt, as long as something with the capital from the parent Company. But definitely those SPV will be parted out once projects are operational to the financial investors or to invest as required. So, that we are able to derive or realize the most optimal value out of our learnings, our experiences, and as well as out of the seeing the business risks out of the discom agreements or regulatory agreements. So, we don't want to be underpriced on our assets.

Moderator: Thank you. And the next question is from the line of Sarvesh Gupta from Maximal Capital.

Please go ahead.

Sarvesh

Gupta: Continuing on the previous question itself, now so the advanced meters we understand that you know it is more like opportunity where once it is done then there can be some IRRS linked to it. But in case of data centers while we have the EPC sort of capability, but we may not have the capability to get the data centers filled with the tenants and up and running. So, in that model now, if you're taking a lot of funding in our parent, then how will it help the potential guy who will come to the data center business as an investor?

P. P. Gupta: Sir, in data center, the investor will happen earlier, then it's occupied or put to use like you can see. We are approached by many investors, but we are awaiting its readiness so that somebody is not a part of my construction risk. Once it is visibility of readiness and operationability happens, definitely somebody will become our partner by then. We have capital with us already on a understanding levels and still to get into a definite projects between us. So, and also we are inducting people from the Silicon Valley as a director in our board, which will you see soon happening, who have built multi-billion-dollar data centers in US and exit it. So, we are conscious of all these issues and resolving them in a professional manner, I can assure you. We are not mounting this which is not digestible by us or not addressable by us.

Sarvesh Gupta: Understood sir and on the fundraising itself. So, the way I understand that maybe you will do it in parts over the next 12 months or so after getting the shareholder approval and this entire money may not be drawn in one go?

P. P. Gupta: Absolutely, and we won't do dilution more than 10% in totality over a year.

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Sarvesh Gupta: Just one more question. So, when I am looking at your console and standalone statements, I do see that the gross profit in the console is lower by 12 crores compared to the standalone and same time like in the second quarter, I think or in the first quarter of this year, it was 26 crore of profits. So, how what is the policy around doing this EPC business for our subsidiaries. Is it entirely in cost-to-cost basis as of now? But if that we saw then how come we are having some losses in the console? So, if you can explain the policy regarding how we are billing our subsidiary companies?

P. P. Gupta: No, I think these are accounting issues and you have to comply to many norms of the books of accounts as you build. We're gradually trying to come around. Firstly, console happening is no more than data center now in the Company subsidiary. There is no other asset which is in control.

Number one. Number two, our aim is not to have more profit in the parent over the asset. We like to drive more value out of the CAPEX exit subsidiary asset as a capital gain. But at arm's length pricing, we have to be prudent under corporate governance norms. And accordingly, we keep benchmarking the price of the contract to parent versus subsidiary. So, you can see that the gap is narrowing down.

Sarvesh Gupta: And overall, we can expect a 20% sort of an equity IRR, post-tax equity IRR once we down sell these assets, including the EPC margins?

P. P. Gupta: Yes, absolutely. As of now, yes. It may be more. The way we are seeing investments at the moment happening in data centers, post-AI kind of rush, market is getting fired more than energy also now.

Sarvesh Gupta: Okay, so that's good to know, sir, that we can get more than 20% post-tax equity IRR. And as I understand, part of it would be back-ended because of the exits that we may get. Absolutely right. Understood, sir. Thank you and all the best.

Moderator: Thank you. That was the last question. I now hand the conference over to management for closing comments.

P. P. Gupta: I thank you all for joining the conference

call with us. And if you still have any query left with

you, please drop in, drop a mail to us. And if you happen to be on this side of the city or part of India, you are welcome to drop in our office to visit us and witness for yourself how we work.

Our daily office is equally large and vibrant now. You can visit us in Gurgaon office also. Ankit Gupta is the relocated, he can answer all your questions. And with this, I would like to once

again thank you all of you and close the conference.

Moderator: On behalf of Asian Market Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Techno Electric & Engineering Limited
Q4 FY'24 Earnings Conference Call "
May 29 , 202 4

MANAGEMENT : MR. PADAM PRAKASH GUPTA – CHAIRMAN AND
MANAGING DIRECTOR – TECHNO ELECTRIC AND
ENGINEERING LIMITED
MR. ANKIT SARAIYA –DIRECTOR – TECHNO ELECTRIC
AND ENGINEERING LIMITED

MODERATOR : MR. SURAJ SONULKAR - ASIAN MARKET SECURITIES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Techno Electric & Engineering Company Limited Q4 FY '24 Earnings Conference Call hosted by Asian Market Securities Limited.

This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from to such expectations, projections, etcetera, whether expressed or implied . Participants are requested to exercise caution while referring to such statements and remarks.

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Suraj Sonulkar from Asian Market Securities Limited.

Thank you, and over to you, sir.

Suraj Sonulkar : Thank you, Neha. Good afternoon, everyone. On behalf of Asian Market Security, we welcome you all to Q4 FY '24 Earnings Conference Call of Techno Electric & Engineering Company Limited. We have with us today Mr. P.P. Gupta, Chairman and Managing Director; and Mr. Ankit Saraiya, Director representing the company. I request Sri Gupta to take us through the overview of quarterly results, and then we shall begin with the Q&A session. Over to you, Gupta, sir.

Padam Gupta: Yes. Thank you, Suraj. Very good afternoon to all of you, and I welcome everyone to discuss our financial results for the quarter ended 31st March 2024 and for the full year '23, '24. Anything said on this call, which reflects our outlook for the future or that could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the industry and in turn company faces.

Let me highlight our performance and I'm very happy to share with all of you that so far, this is the best performance of the company in recent past, I will say, but this is only the beginning of the journey. I had mentioned a year back that morning has happened. So you can take it as a first bright shine of the sun where sun is yet to go beyond 8 AM in the day horizon.

Taking -- let me quickly highlight our performance for the Q4 financial year '24. The company has created as you all know, the setup ASPV for a 40 -megawatt data center at Chennai. The asset is still in implementation stage and is not revenue accretive, but is definitely value accretive. In the consolidated results, we knock off the value of the work done for this SPV as per the accounting standard requirement. And that is the major difference in the stand -alone and consolidated results. As and when this asset becomes revenue -accretive, it will start showing -- it will become part of the mainstream results.

As you can observe from the details furnished on the exchanges, the total revenue of the

company in stand-alone is at INR482.67 crores for this quarter and is up by 7.5% year-on-year and almost about 30% higher than quarter-on-quarter. The EBITDA for this company is at Techno Electric & Engineering Limited

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INR58.84 crores and is up by 52% year-on-year. The other income is at INR31 crores approximately, and it is higher by about 40% on last year. The profit before tax is at INR83.5 crores, higher by about 58%. The PAT of the company in this quarter is at INR69 crores, up by about 91%. The EPS in this quarter is at INR6.45, which is almost double of last year. In the full year, I will say our revenue is at INR1,680 crores, which is ab

out 75% higher on year-on-year basis.

And EBITDA for the company is at INR226.9 crores, which is almost about double of last year, the EBITDA margin is at 13% compared to 12.5% last year. Other income for this year is at INR131 crores compared to INR74.30 crores last year. The company has made in addition, another OCI income of net of tax at INR28 crores during the year.

The profit before tax is at about INR334 crores, which is almost double of last year, and profit after tax is at INR270 crores compared to INR128 crores of last year, but if we add OCI income to it, the total profit will be at INR298 crores. The EPS without considering OCI income is at INR25.3 compared to INR11.73 crores last year, which is INR11.7 last year, which is almost 115% up. The cash or current investment value as cash and cash equivalent in our books continues to be at INR1,200 crores, which again means about INR110 per [month 0:06:52] and this treasury income out of this deployment of funds will continue to be a reckoning income for the company.

For the financial year '24, we have received the order intake of INR7,000 crores, all-time high in our history of the company. The unexecuted order book is at INR9,200 crores already and we are -- after March, we are already placed L1 in business worth about INR10,050 crores. We have won during the year 2 TBCB concessions, one at Gogamukh and another at Bokajan, which together means revenue over the concession period entitlement of INR2,800 crores. And the expected value of EPC works out of these two companies will be almost about INR675 crores. Similarly, we are also placed L1 in Punjab for feeder metering, which is a high-end meter work. The total meter deployed is only 1.86 lakhs, but the order value is INR661 crores implying thereby that each meter is about INR37,000 to INR38,000. We hope to get more business, but putting conservatively that we should at least can expect INR5,000 crores this year to out of the opportunities available in the market, but the pipeline is a lot more.

We have announced a dividend of INR7 per share, which amounts to 350% on the face value of the share. Similarly, I would like to mention, as you all know, that we are likely to go for a QIP of INR1,250 crores but mainly, we would like to engage with large FII FPIs and mutual funds for the issue.

On the outlook side, I will say it is a very bright after a negligible or nil energy growth over almost continuously for last 8 years, the energy demand is back and is all-time high and demand growth is in double digit now. The present peak load demand in the grid is no less than 240 gigawatt and is expected to be 400 gigawatt by 2030, thereby implying that as per the per capita consumption of power in India is growing phenomenally, which is at present 1,250 units per capita is likely to be 1,750 units by 2030. So we are catching up with the rest of the countries in the world.

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To meet this demand, obviously, the power plant capacity has to be enhanced, both in conventional energy by 80 gigawatt as approved by government, and also the energy transformation is happening of achieving a renewable power penetration of 500 gigawatt to the existing to our grid by 2030 is also on track.

All this means that the sector is now transforming usually, and it will necessitate deploying high-end solutions, high-end in scale and complexity, namely supercritical power plants, 765-kV, AIS/ GIS Transmission Solutions, STATCOM Solutions, VSC-HVDC solutions backed by best order pumping storage solution facilities or gas-based facilities where your company has a larger presence than any other entity in the marketplace, I will say. So I can call that all that this means what implies a paradigm shift in the positioning of the company in this space.

As you all know that your company is presently p

resent in all the areas of the power sector, we

can call 360-degree presence in all value chain of the power sector, namely, we are part of the transmission solutions, high-end transmission solutions, we are part of the AQI solutions, namely FGD, Air Quality Implementation solutions. We are present in the digitization of the

distribution networks as well as smart metering deployment and RDSS scheme of the Government of India. We are also present in the hyperscale as well as in the edge data centers in the country going forward.

So all this means use business, all these verticals are full of potentiality and it is for the company now to take a larger lead and harness the opportunities. All these verticals are full of opportunities. Coming back to renewable power, I will say that CA has already given a report on transmission that to penetrate 500 gigawatt by 2030, a capex of almost about INR2.4 trillion will be required and which means almost an addition of more than 4 lakh MVA transforming capacity and about 51,000 circuit kilometer of lines.

And simultaneously with these investments, the interregional transfer power capacity will also get enhanced under ISTS mode to no less than 100 gigawatt by 2030. Thus, power grid sees a large addressable market and our estimate is they have already announced a capex of INR1.71 lakh crores up to 2030 and almost about INR2.5 lakh crores by 2032. And we expect and they have announced the revival of capex to 20,000 for current year and 25,000 for the next year. So next 2 years, this is the target of power grid. This makes us optimistic pickup in power grid capex, asset capitalization, which again means a sizable opportunity for Techno.

I'm happy to share with you that even today, just over back, we have won -- we have placed L1 in a transmission concession at Ladakh for [Nilgad 0:14:30] project, value about INR170 crores. So all this means even in conventional thermal power plants where your company has been playing -- played a significant role in setting up no less than half the conventional power capacity in the country over the last 4 decades, this also means an opportunity to us as a balance of plant or switch yards in the country.

On the distribution side under RDSS scheme, a lot is happening now. Apart from smart metering, a lot of digitization of the networks is happening. We are already doing digitization of the distribution network of DVC in their command area in Jharkhand and West Bengal. So these Techno Electric & Engineering Limited

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distribution networks in the coming days are going to become more smarter and intelligent. And obviously, they can be remotely controlled and consumer will stand served like telecom.

Apart from these, we will definitely need some supportive areas, which will come in the future, like battery storage solutions or pumping storage solutions and also, I will say, deployment of STATCOMs and HVDC solutions and your company is qualified and competent to provide all these solutions in this space because we have the presence in the power space only.

The FGD segment is also we see the momentum is back. We are finding a lot of traction from the SCBs now to set up FGD plants in their ongoing thermal power plants. Still almost about 125 gigawatt is yet to be fitted with FGD, which mainly comprised of leftover works of CPSUs, but mainly of SMEs and private sector. And total capex involved is no less than INR1 lakh crores in this area.

The TVCB transmission segment, again, the TVCB bidding is happening strongly and almost about INR40,000 crores of bids are already in the bidding process, and we are supporting different bidders. On the station side, we have already won transmission assets, transmission station work of INR4,300 crores in the last year. And we also won two TVCB orders, as mentioned earlier, with the revenue entitlement of INR2,800 crores.

Si

Similarly, Metering segment, we are already doing 3 million meters for the order value of INR3,500 crores in the states of J&K, Tripura, Jharkhand and MP at Indore city. And we are also now L1 in Punjab to do again a high-voltage metering work of the feeders, which is only about 1.86 lakh for almost the order value of INR666 crores.

So similarly on data center side, I will say that we have recently won a concession from RailTel where we will be setting up 100-plus edge data centers on the very prominent all railway stations of the Indian Railways under digitization plan of the railway in partnership with RailTel. We anticipate this to be a very huge opportunity. To begin with, as a value accretive and later on as a business.

Similarly in data center also we will say that lot of scope is growing with every passing day and we expect that almost the capacity of data center will be about no less than 1.5 gigawatt by 2025 and this is likely to be about 5 gigawatt by 2030, I will say, which is a huge business potential again. We have been allotted land in Kolkata to set up a data center next to the various data centers being set up by STT and Reliance as well as Adani Connect, I will say.

The market size in this in terms of revenue is likely to be no less than \$5 billion by 2030 year-on-year. The growth drivers of data centers you all know is basically out of the cloud services which have become a way of life in efficiency and cost economy. Also the policy of government on DPDP, data privatization, data localization and so much of digitization, unphenomenal digitization which has happened in the country over last four years post COVID.

We are next to no other country in the world now in this space whether they are DBT or payment

vehicles or e-commerce or IoT or OTT or ISP services, almost 800 million people are on ISP now even in the rural areas. So all this means a lot and additionally this sector is also now usually charged by AI, Artificial Intelligence, which means again I see going forward gigawatt scale

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digital data centers happening in the country just like transmission stations. Probably 10 years back none could have visualized a substation with a capacity of 10 gigawatt to 25 gigawatt each, which is becoming an order of the day now.

So all this means use opportunities for your company. I will say that our data center is likely to be ready by September '25 in Chennai and we see a lot of interest in this and we have spent by now about INR300 crores in this facility I will say.

Another good thing which has happened that whatever assets we had created over the last 15 years now stands monetized successfully in last four to five years and we possess no asset on hand today other than the data center under construction.

Our all assets in renewable power transmission assets under PPP model or under TBC mode all stands monetized. This has resulted in a strong balance sheet, very strong balance sheet with a cash surplus of INR1,500 crores in the books of the company and is available for next phase of growth and deployment for all these opportunities. Again, I would like to repeat that during the last year I had mentioned that morning has become and this is only the first shine of the sun which will keep brightening with every passing year.

We are confident to achieve a revenue of INR2,500 crores for the current year and another similar growth to INR3,500 crores for the next year or more, the EPS will be INR35 for the current year and INR50 plus for the next year ending with March 2026.

With this, I will now invite your participation and anything you want to know more about us, you are welcome.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Madhu Kela from MK Ventures. Please go ahead.

Madhu Kela

la: Good afternoon and thank you so much. And first of all, congratulations from my side more importantly, holding the company together in most difficult times. I think you are one of the few people.

Moderator: Sorry to interrupt you, sir. I request you to use the handset, please.

Madhu Kela: I said you are one of the few people I know in the power sector who have generated real positive cash flow in such a troubled time in the last 20, 30 years of the sector. So image of our company, Guptaji, is generally that we are conservative and my fear is not on the opportunity. My fear is more on the how well the company is prepared to capture this opportunity and it will benefit a lot if you can elaborate you said that what we can achieve in the next 2 years, but if you can elaborate what the possibility and aspiration of the company is over the next 4 years, 5 years I think that will serve a lot of purpose. According to me, this company has a potential to even do a INR 10,000 crores top line if we take a 5-year view. So would you concur with that? And are we even aspiring to achieve something like that?

Padam Gupta: Your question is very inspirational and soul searching I would say. Definitely, in my lifetime, I have been conservative and I trust this has rewarded the company and now the timings of growth

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keeping behind any of the challenges on I will say the geopolitics or the very impact in the country I fully agree with you that Techno can do INR 10,000 CR by 2030 without any doubt. And it is doubling year-on-year. This year it is almost double of last year and next year again it will be no less than 70%, 80% of this year and the growth will go on like this. I'm very sure, sir that we'll be able to meet the expectation of the investor community, but we have to evolve. Can you hear me, sir?

Madhu Kela: Yes, I can hear you.

Padam Gupta: Company has to evolve and transform itself which we are doing it. We have set up an office in Delhi and we are now doubling or rather I will say tripling the size of the office in Delhi sir. It is a part of our own complex where Tata, Bata are also our tenants in Gurgaon. We have taken a full floor of 6 floors of the building. It is under furnishing. A lot of people are under recruitment on the IT side, data center side as well as on the transmission, smart metering.

We are very focused on IT layered power solutions and we believe that is a future of power. And it is more rewarding than pure commodity solutions in power sector. So I can assure you that we will rise to achieve 10,000 by if not '28 at least by 2030.

Madhu Kela: I have a few more questions, if you don't mind, I can carry on. One is that you -- we already have INR 1,500 crores of cash. You said that we will raise INR 1,250 crores by way of QIP that

makes it INR 2,750 crores plus the profit of over the next 3 years plus the monetization of the data center which you had already alluded to. So this will be a lot of cash roughly INR5,000 crores or more based on my 360 -degree calculation.

So if you can elaborate as to where are we planning to use this cash and knowing you, I'm sure you have never been in a capital intensive mood. So wherever we use this cash, when -- how this cash will come back and what kind of threshold IRR we are looking at while we are investing this cash ?

Padam Gupta: Sir, you want to know my business secrets.

Madhu Kela : Guptaji that is important for a shareholder like us we only get this chance once in a quarter.

Padam Gupta: What we see in the market of investments that generally an investor always looks for phenomenal returns in India while deploying funds when project is in a buildup construction stage, deployment stage. They don't trust our type of firms to do jobs in time, quality jobs in time, create sustainable value accretive assets. So

all these challenges makes them expect 16%, 18% returns on whatever money they invest.

My takeaway has always been that Techno good in it. We have successfully done it. We have delivered more than 400 projects in the past. So there is no reason to have money from any of these investors while deploying the assets whether it is smart meter, it data centers or even TBCB projects or any other project of a large value we may like to take tomorrow [BESS or PSO 30:28] or any other emerging solutions you see.

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So my takeaway is that I must be sufficiently funded where I build these assets out of my own firms and then monetize when they are revenue accretive, not when they are in that capex mode.

Once it is ready for opex solution, we are there with them. And then the investor is ready to be part of us at 10%, 12% also. So that delta of 5% I want my investors to earn along with us as a financial reward which we have done like we created assets in transmission, renewable power in the last 10 years, 15 years worth about INR 4,000 cr.

And we made a capital gain of no less than I will say about INR 750 cr in parting those assets all at a gain. If equity deployed was in those assets was almost about say INR1,500 crores, we received 1.5x on those assets. So same strategy we want to deploy here. You make EPC margin while deploying the asset. And after that asset is revenue accretive bringing an investor and part of with it. So that this INR 5,000 cr remains critical investment all the time with the company.

We are going forward. We are able to sustain even any odd happening in the market. Many infra companies in last 10 years failed because a lot of counter-party commitments were not kept by them. The biggest haunts me the company called IL &FS. So use and still so big a failure in the market only because of the counter-party risk.

So it is always a good idea that when you build these kind of capex you must have another amount in pocket to sustain it for a year or more even if anything goes wrong. So all these considerations are behind us I can say while building on it a financial model like this.

Madhu Kela : My last question is while financially we are prepared to really capture this opportunity and I trust you, can you elaborate a little bit more on the mine power requirement, what kind of people will require to execute and make this company go to INR 10,000 crores in the next 4 years, 5 years and what are the real biggest challenges which could come in our way to achieve this objective ?

Padam Gupta: I will only say that the challenge is always learning and remained ahead of learning as a requirement of the very solution and that is why we always remained in a power vertical, not as an element, but as a 360 -degree presence in this sector. We understand this sector as a very electricity act very regulatory nuance, very nuance of the programs of the government of India and its achievements and as well as our participation in this sector that most large players in this sector today say that Techno can do what they are capable of doing.

And also, we are serving them additionally I would say, but where we are differentiating over others is by going beyond power into power gasoline solutions like data. I believe society will depend on two things going forward. One is a data and other is energy. Like if you read the statement of Tesla's Chairman he has only had, I can create as many data centers catering AI solutions as possible, but I don't believe energy will be available, pipeline to energy will be available.

So this is where Techno wins over many others that I can create data handling solutions as well as provide energy to them both. As India is globally competitive today in energy. The energy if you look on Singapore, you look on Europe, you look on America nowhere this

energy today is

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less than 12 cents to 20 cents whereas in India we can provide 8 cents even today in these applications.

So gradually what we will realize the importance of location as India just more of our Indian capabilities, which all have served abroad successfully but not in India on Indian soil. That is where we want to blend with them sir. And all this knowledge has to be part of Techno. I will like Ankit to elaborate on this. We have already done many recruitments. Ankit will elaborate that. Ankit, are you there?

Ankit Saraiya : Yes, I'm here.

Padam Gupta: Yes, can you elaborate what -- how you are going about recruitment and expanding daily as a wish.

Ankit Saraiya : Yes. Over the last 6 months, we've made a target to start recruiting leadership teams for different roles and responsibilities and addressing it more on each vertical basis. So today, we largely define Techno into 4 verticals, 1 being obviously the TND, FGD, smart meter and data centers. And we've come to realize that each vertical has to have its own leadership team and its own -- each has to be kept as a business unit in and SBU per se. And that's how those recruitments have already started.

So, as we speak we have already taken on board, Mr. James Trout from U.S., who was the founder of Vantage Data Center Core site. Both the companies today being close to \$15 billion each. And he was the founder who exited to Silver Lake Capital. He was also the founder of the largest DC open data center operator in the world today, which is Digital Realty. He was a founding member of that group. So he's onboarded now on the Board to guide us developing largely the marketing, sales and operations team.

And we started engaging with those deals in U. S. So, we are trying to create a team in U.S. itself to work closely with these hyperscalers like Amazon, Google and others where the design decisions take place. Execution may happen through APAC, India but the larger design decisions happen over there and we want to start influencing those. Similarly, we are starting to create a business -- we are exploring to engage a business unit head for data centers along with a very large sales team. For the reason that changed the strategy and going forward, we've engaged with -- we are trying to bring a good finance and accounts team also for the entire group.

Padam Gupta: Mr. Mishra, you can highlight on the renewable side.

Ankit Saraiya : Yes. And on the renewables, we've also engaged with Mr. Shailesh Mishra, who was Director of Technical and Solar Energy Corporation of India, he's full time with us now. And his guidance and his visions on what renewable energy or power sector will look for tomorrow or look like tomorrow, we have already started working on that. So yes, we are becoming a little more conscious on developing top management and leadership roles are being defined and we are aggressively looking for this year, especially we'll be concentrating on developing those things. Especially for IT, we have picked up someone from a PSU who was heading -- who was the Chief Technology Officer over there. We thought that PSU engagement Techno Electric & Engineering Limited

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would be the best because given Techno's relationship with customers also around PSUs and CPS, we saw that culture fit is good. We picked up someone from E&Y for heading our finance accounts and strategic planning and other things and audit. So she will also be joining very soon.

Madhu Kela : Thank you so much. Thank you so much Gupta Ji. Thank you so much Ankit. Really appreciate giving you an opportunity, wishing you all the very best I wish that you create the most respected and the most valuable company out of this sector considering the opportunity which is there in front of us over

the next 4, 5 years. All the best.

Moderator: Thank you. The next question is from the line of Venkatasubramanian from Organic Capital. Please go ahead.

Venkatasubramanian : Most of my questions have been answered. If you recall, over the last couple of calls, I have always been asking about how we are going to import ourselves with -- on the people side. So some of Ankit answers are pretty useful.

From whatever, I can see we have now clearly transcended to be a technology provider than just be a contractual obligation provider. Given this growth just now, are we getting paid sufficiently? In some of the segments, we probably should get much better margins. So are you seeing those opportunities? And if you do in which areas are they?

Padam Gupta: Absolutely, Venkat. That's why I used the word this. This is a paradigm shift for Techno now that we are no more rubbing shoulders with our conventional players limited to conventional solutions in all low end or mid -end all this sector is now having opportunities as, I call it mediocrity to technocracy or high -end complex solutions. And definitely, they have rewards in it. And we are definitely built for it. We definitely look forward to enhancing our rewards to

more than 15% going forward over next 2, 3 years. And even what Madhu ji had asked, I will say the IRR looked upon by us will not be less than 18% to 20% on all these investments put together.

Venkatasubramanian : That is lovely to hear. We have always known you to be ultra -conservative and I've never seen you this excited. We can now clearly see very exciting times coming ahead, best wishes Gupta ji, looking forward.

Padam Gupta: For 8 years, this sector has only suffered and suffered but what could we have done better? Anybody going aggressively in those times would have burnt himself, I can assure you . Today is the time to benefit now. We have cash. We have a strong balance sheet. We have good credentials and we have good knowledge to -- and cash going forward opportunities. I can assure you Venkat tomorrow is day for us.

Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar : Congratulations on a good set of numbers, sir. A few questions from my side. First is, what is the current order book and L1 position? And can you break up the order book into generation, transmission, distribution, data center?

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Padam Gupta: Yes. No issue, sir. We have a total order book of about INR9,200 cr ores as of now unexecuted and we are almost INR1,050 cr ores in L1 position as of now not March, as of now, I would like to use. Out of this, I will say that about INR5,000 cr ores is in transmission which includes about TBCB transmission assets of all about INR 3,000 cr ores and TBCB won by private players and Techno is about INR1,500 cr ores put together. FGD is about INR1,300 cr ores with us that is a power plant generation side.

In distribution, if you -- without smart meter, I would say that we have business worth about INR350 cr ores now not INR350 cr ores about INR400 cr ores you can say, including infra. And that smart meter, we have worth about INR3,000 cr ores to INR3,500 cr ores already with us and data center of course, we are not able to place a value on this concept of 5G data center. It can be a total game changer for the company going forward but I can say minimal over next 4 years, it will be at least INR1,000 cr ores even if I take INR10 cr ores per location in other registrations

Mohit Kumar : Sir, is it right to say that we have won around 100 data -- 100 edge data center. And you are saying that INR10 core s per data center, right? And so you're arriving INR8,000 crores.

Padam Gupta: Yes, absolutely. We have partnership with RailTel on a concession of 20 -year basis and we will be deploying in al

I prominent places these data centers for them.

Mohit Kumar : Understood, sir. My second question is the order infl ow. So you gave a target of INR 5,000 crores. And if you look at all the underlying businesses I think be it FGD, be it data center, be it smart meter or be it transmission. I think the opportunity size will only ramp up compared to last year especially given that the fact that CTU and REC and PFC have done INR47,000 crores worth of bidding last year.

Padam Gupta: Absolutely, right, sir. It is always more gratifying or satisfying you say INR5,000 crores, achieve INR8,000 crores rather than other way around and we like to pick and choose going forward now. That is our aim. This reward must be evaluated very properly which we have done and we should be able to do a contract in time.

So all these factors will keep in mind, sir, but you have a point the opportunities are a lot bigger than the number I have given you. Hopefully, I will beat my own number sir and I am here to do that.

Mohit Kumar : Understood. Last question sir do you intend to keep bidding for TBCB assets on our own balance sheet or is that the two which one is enough for now?

Padam Gupta: Can you repeat your question, sir?

Mohit Kumar : Do you intend to keep bidding for new TBCB assets on our own balance sheet?

Padam Gupta: Yes we are doing it sir. Absolutely.

Mohit Kumar : Last year you want to, but you want to do more given the TBC B pipeline is humongous this year?

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Padam Gupta: Sir, but we don't want to aim at each concession capex or more than INR 500 cr, INR600 cr. On an average, we want to be in a low capex solutions so that IRR available to us is larger than what is available in competition to giants like Power Grid and Adani or others. So we want to be in a safe heaven.

Mohit Kumar: Understood. Thanks and all the best sir. Thank you.

Moderator: Thank you. The next question is from the line of Abhishek from Nared i Investments. Please go

ahead.

Abhishek: Sir, my first question, what is capex stand for our entire company and especially for smart meter and transmission segment for next 2 years?

Padam Gupta: Sir, already I've stated it will be in total, you can take almost about INR5,000 cr for 2 years, INR2,500 cr each year.

Abhishek: And second question regarding smart meter it is perspective cash consuming business before the smart meter delivered today and you received money in 93 months. Can you rethink this business model because it is a heavily cash consumed business?

Padam Gupta: See there is a period to deploy meters all meters are not to be deployed on the zero debt what the system means that you have to deploy it in 27 months and the first lot of 5% must be achieved at first 6 months thereafter 5% every that is the model, sir. So from seventh month itself you are [inaudible 48:56]. Not everything happens after 27 months. So you have a progressive competition, progressive revenue accretion. There is some disturbance in the system, ma'am. Can you hear me now, sir?

Abhishek: Yes.

Padam Gupta: Yes, some disturbance was coming in this point here. So there is a revenue accretion from 7 months to 27 months also. All is not happening after close of the scheme that is a duty part of it number one. And number two you see if we like it between we can always discount or scrutinize our bills with REC PFC under the very scheme. And they are very eager to build up their books if we like post revenue attrition.

What I have said is that the capex we want to do out of our books, but once a meter or a lot of meter is ready for opex we can always monetize it, partially also progressively also and completely also as a SPV. So all those choices are on our table.

Abhishek: So going forward we bid 2 million smart meter annually?

Padam Gupta: No, sir, monthly

. There is DDF facility. They call it direct debit facility in the program. The agreement with a banker itself of the utility. Banker is a party to it. He gives -- he is supposed to debit the utility account collected month-on-month from the consumers. So he has to debit my payout first as the obligation. So the mechanism is healthy and we hope that there is no abuse to it.

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Abhishek: Okay. And sir last question how much capex -- so much capacity you are planning. So why you give such a handsome dividend you must keep the money for long growth of the company?

Padam Gupta: We have been always rewarding our investors and still keeping a fiscal discipline. We are totally a debt-free company. We ourselves have a cash of INR 1,500 cr, so paying a dividend I think my investor deserves a dividend payout of at least as a dividend payout policy of the company which is 25% of the bottom line. So we are honoring the dividend policy of the company.

Abhishek: It goes one side you pay dividend and other side you raise money from QIP. It is good?

Padam Gupta: It is good for the investor, sir. QIP gives you the value accretion to the stock and dividend gives you the cash. I think every investor looks for that sir.

Moderator: Thank you. The next question is from the line of Dhiral from PhilipCapital. Please go ahead.

Dhiral: Good afternoon sir. Thanks for the opportunity and congratulations for the great set of numbers.

Sir, you talked about INR5,000 crores the capex for next 2 years. So if you can bifurcate where this amount will be utilized for which segment?

Padam Gupta: Sir at the moment you can take it about 25% into data centers and 25% into your TBCB another 50% into smart metering.

Dhiral: Okay. And sir, any timeline by which you want to raise QIP so that we can be able to utilize the fund?

Padam Gupta: By September.

Dhiral: Sorry sir.

Padam Gupta: We'll complete it by September of this year.

Dhiral: Okay. In the initial commentary you mentioned that we have also L1 in the Punjab smart meter and cost of the smart meter is almost INR35,000 to INR 37,000. So any reason why is that a high amount for that project particularly?

Padam Gupta: Sir that is the type of metering required in the feeders. Feeder metering is very different than consumer metering. There are multiple applications of the meters whether it is a DT meter, it is 3-phase meters, single-phase meter, feeder meter. So all meters are not priced equally. They are of different properties.

Dhiral: Okay understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Chinmay Kabra from Emkay Global Financial Services. Please go ahead.

Chinmay Kabra: Congratulations on a good set of numbers. Sir, I just wanted -- I had a request if you could just repeat the guidance that you had initially given for FY '25 and '26?

Padam Gupta: 24, '25 our top line will be INR 2,500 crores [inaudible 0:55:00] that was the guidance we gave. And for '26, '25, '26, INR 3,500 plus as a top line and EPS of no less than INR 50.

Chinmay Kabra: And if I'm not wrong the guidance for margins is to -- I mean, what is the guidance for margin sir if you could just.

Padam Gupta: We continue to maintain at 13%, sir.

Chinmay Kabra: All right. Those were my question. Thank you.

Moderator: Thank you. The next question is from the line of Shreyans Gathani from SG Securities. Please go ahead.

Shreyans Gathani: My question was actually on the data center side. We've invested INR 300 crores of the INR1,200 crores that we intend to. So just wanted to know what is the -- I know that the capex is going to be back-ended mainly, but trying to understand where -- what is the status of the project since we've seen delays?

H

as there been any redesigning or anything as such and my next question was on the partner that you're looking at. What is the status on that? Because since the last 6 months to 9 months we've been guiding that we are working with a few partners for the project?

Padam Gupta: Yes. Basically, the total project is INR 1,200 when all 40-megawatt or 24-megawatt of IT is completed. At the moment we are doing Phase 1 only on 6 megawatts. The capex for 6-megawatt is almost about INR 450 crores out of which we have spent INR 300 crores plus. And this will be now in a last leg of the work going on more on electromechanical side and instrumentation side which should be completed by September end.

Yes, there has been a bit of a delay because of the delay in civil works largely because last time there was a weather and cyclonic impacting Chennai and the labor was almost missing for 2 months, a lot of water logging happened in the city, not to our project. So all that have impacted a bit, but of course redesigning also is an ongoing exercise as we -- our new directors are guiding us to run more hands on than the our consultants deployed initially

So all put together I will say that it has been worth the time spent on the assets. Still we are able to keep and make it ready within 2 years from the date of taking up the projects.

Shreyans Gathani: Got it. That is very helpful to know. So the first phase, you're looking at operating by ourselves or is that going to be with a partner as we had initially envisaged?

Padam Gupta: We are open to both. Otherwise, we are ready to do ourselves absolutely.

Shreyans Gathani: So do you have any plans in the pipeline as of yet or we are going to start looking going forward?

Padam Gupta: No, we are in this market. People approach us. We talk to them. We adapt to them and it's an ongoing exercise.

Shreyans Gathani: Got it. So just last question. So when should we expect the 24 megawatts to be operational?

Padam Gupta: You can take it March '26.

Shreyans Gathani: March 26.

Padam Gupta: Yes.

Shreyans Gathani: Okay. So let us say you are in almost 2 years from now?

Padam Gupta: About 18 months from the date of first phase.

Shreyans Gathani: Okay got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Chintan Doshi from Wealth Plus Financial Solutions. Please go ahead.

Chintan Doshi: Congratulations for a very good set of number. Sir have a question on the data center part that you just mentioned that you just received a land from the Kolkata data center to be set up. So are we also -- do we have any time lines for this particular project to get started for the Kolkata because you just mentioned this on the call for the first time?

Padam Gupta: Yes. Definitely, we -- it is already in design phase now let me say and first set of design should be available to us by no later than October I can say and we should be starting construction of this project by January '25.

Ankit Saraiya : Okay. Second question, sir that -- I just want to understand the thing about. So normally, in 1 megawatt, if I can understand the costing of 1 megawatt data centre is roughly going at INR 45 crores, right? So how we are planning to monetize it? I mean are we really looking to sell the data center after we like built it out? Or are we looking to lease out the capacity. So have you planned on the model of monetization of the data centres? Or are we looking to like, register like we are going to run by ourselves, so any kind of guidance or any kind of an update like what we are looking forward to monetize the data that we are going to create.

Padam Gupta: Ankit, will you like to answer this question?

Ankit Saraiya : Yes, sure. So as far as monetization is concerned, we've always maintained that we are looking for a strategic

partner over the last 2 years of construction. And my bit to this would be that you see very recently, we were successful in a bid by RailTel, where we have to establish some 100, some edge data centers in 100 locations across India, which covers almost 23 states out of 28 states, giving us the widest presence of data center in the country or makes us the largest DC operator by in terms of number of data center and capacity now.

And when we and post receiving the LOA for this order -- for this project, though we have not -- technically, we have not announced it yet, but post receiving there's a shifting strategy that we actually don't want to exit our Chennai project. We would like to operate it, we would like to lease it because the kind of ecosystem that we will be sitting on considering that we have 2 large data centers coming in Chennai and Kolkata, which will be interconnected to all these 102 edge data centers per se or let's say, more than 102 edge data centers, 102 locations. It's going to be Techno Electric & Engineering Limited

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an ecosystem which cannot be replicated by anyone in the country for at least next, I would say, 7-8 years.

And with this unique proposition, I think the infrastructure and the model that we will have, it's one of a kind, especially for a country like India. We will be reaching almost, I would say, 50% of India's population at the lowest latency level possible. So technically, also, it's going to be extremely sound. Now given this position of the company, and the project and then the entire vision of the data center vertical, at least we would like to hold on to these assets for some time unless we are able to double down on the values. And we'll be able to find some really interesting customers given this position today.

There no one can today match this infrastructure, the one which we'll be sitting on after having RailTel because trying to find railway has which is in the center of every city, you will be located in the most densely populated areas.

You are sitting on 80,000 kilometers of fiber, which is owned by RailTel project as part of railways, which is only available -- which is not available with anyone, but it's close to with only Jio and Airtel. So these kind of -- and power comes from railways, the power, which we'll be using for data center also comes from railways. The input side is completely managed, whether we talk land fiber power. So this unique proposition is why we want to keep on to that Chennai project and see what valuation we can create for Chennai given this ecosystem now.

Ankit Saraiya : Just I'm sorry to just additional question to this is that basically the cost that INR 45 CR per megawatt, isn't high enough because they are a competitor in the market. I would not like to take the name, but they're also building a data center and there like you can see a lesser amount of money required for 1 megawatt compared to INR 25 CR because they have their own land in hand. So are we also looking forward for the same rate? I mean, is like in Kolkata or any other data center that we have going forward, are we going to remain with the same range of like INR 45 CR per megawatt? Or are we going to try to come down or bring down our cost for building that data center?

Padam Gupta: We are in this range only, sir, or maybe lower. We don't want to be in high land cost brackets.

They are very economically procured land parcels by us from the government. And the budget will be below it only. It will be no more than INR 40 CR, INR 45 CR per megawatt.

Ankit Saraiya : And if you can just give us that what is the market like we lease out because we don't have the number, sir. If we lease out right now, you must have idea about the market. If we lease out after completing the data center 1 megawatt, what will be the potential that one can generate in a lease income on 1 mega

watt. So that will give us an understanding of how the data center business will look like for our Chennai data center?

Padam Gupta: Data center is an intelligent institution or installation, the value paid here depends on the users to what use he puts that installation to. The tariffs vary in this market anywhere from \$60 to \$100 plus, depending on what kind of use he's able to put to. So it is very user specific. So we will always look for more of the users who matches the specs of the data center as a first choice

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but as an interim choice to get it occupied, we may a bit compromise for some time here and there, but that will not be the business policy on a sustainable basis.

At the end of the day, your asset has to be deployed too far what it is worth and for which owner is putting into us, it is affordability concept. It is the value of the data center lies in its affordability. It is not a commodity, sir, that you buy, if somebody sells that X, you must sell

that X minus Y. It is not so.

Ankit Saraiya : Okay, sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital . Please go ahead.

Sarvesh Gupta: Congratulations on a good set of numbers. Sir, in this quarter, we saw a little bit lower sort of in terms of revenues. So were there any one-offs and which could have got spilled over into quarter 1 of this year?

Padam Gupta: Yes and no, both, sir, because land acquisition to the power grid and other private players is posing a bit of a delay of 6 months. So many orders, which we got last year, still land is not provided to us. So progress happened here when land is provided to you by the agency, whether it is power grid or sunlight or Adani or in -grid. So those are the issues, which we believe are short term. Otherwise, definitely, we could have added another INR 200 cr ores had land happened in time.

Sarvesh Gupta: And on this railway data center, sir, what -- because we have bid for it and we have received the LOA. So what is the kind of expenditure that we will have to incur? What will be our revenue model to earn from this opportunity? And if you can throw some light on how this makes us one of the largest player in terms of the total size, not the numbers but total size of data center. I could not understand this because you also alluded to some figure of around INR 1,000 crores, which looks very small. So can you please shed some more light on this project?

Padam Gupta: Ankit, will you like to answer it?

Ankit Saraiya: Yes. So just to -- as I was mentioning that this project has to be done at 102 locations. And the reason why the number of INR 1,000 cr ores came forward is because we are estimating, because today, it is not defined that what would be the size of each data center at the respective location. It can be of varied sizes. It can start from 100 -kilowatt going into a couple of megawatts or more. So it depends on the land that we get ultimately, we desire and get allotted from railways. And depending on the land size and the potential of business at each of these locations that we can decide on the size of the data center. So it's very difficult to quantify the capital required today but considering the minimum size that we would think of doing in every location, let's say, even if we think of 100 kilowatt to begin with, it turns out to be a INR1,000 crores -odd investment. But obviously, if in any location, we see potential of more in megawatt terms, we will keep expanding location over the time because it's a concession of almost 25 years.

Sarvesh Gupta: And what is the time line for the initial execution?

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Ankit Saraiya: We will -- 20 locations every year. And in 5 years, we have to complete 102 locations.

That

means the last year, we have to do 22 locations. We can do more also but minimum is 20 locations every year. So we'll keep a commissioning target of 12 months from the date we are allotted to land.

Sarvesh Gupta: And how is this related to your -- the other 2 data centers business, how does -- what synergies are created and what is the revenue model for this railways data center that will be provided to you?

Padam Gupta: Please visit our office for detailing. On a conference call, I think you will feel -- it is very elaborate answers to your questions to justify that.

Sarvesh Gupta: Sure, sir. I'll do that. Sir, last question is that now we also spoke about scaling the internal organization to be able to cater to this about large opportunities, which are opening up, but if I look at this year number, sir, we are only seeing around 10% or increase in the employee and other expenses. So much so that most of our EBITDA increases actually happened because our overheads have not increased at the pace of our revenues, even though our gross margins have declined.

So how do you see that? Should we see a large increase next year onwards because of all these people coming in, new offices getting opened? How will that translate to next year? Because this year, somehow, it is not visible in the numbers? And how should that impact our overall margins next year?

Padam Gupta: You see, although we are investing in the growth but definitely, it won't impact the margins because we are growing with the productivity. Growth is productive and we'll match our costs with the growth happening in the company. And definitely, this year, you will find more growth than last year. And secondly, sometimes it depends on how you book the cost. These costs what you see are happening more in the field, and we take these costs as a part of the job cost itself. So, that is only the method of your topic policies sometimes. It will be growing with it.

Sarvesh Gupta: Again, congratulations, sir, and look forward to better numbers, even better numbers next quarter onwards. Thank you.

Moderator: Thank you. The last question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: My question, again, on the, sir, RailTel opportunity, which you highlighted about INR 1,000

crores. Is it fair to assume that we are factoring in some 20 -25-megawatt collectively that is one? And second, concession, you mean to say the first 5 year will be building this data centers and next 20 years , 25 years, we'll be maintaining this data center. So this will be on our balance sheet or how the model is going to work? And third thing is how will be the funding for this INR 1,000 crores capex, which you have highlighted for the edge data centers, yes?

Padam Gupta: Ankit, please answer.

Ankit Saraiya : Yes. So it's not 20 -25 megawatt. We are considering let's say, about 10 -odd megawatts for the entire 102 locations, minimums, that I'm saying. And edge data centers are a little more capital

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intensive than regular data interest because of the technology that goes into it. And you don't achieve those economies of scale of large data centers, but then rewards are also accordingly priced in the market, like -to-like.

Secondly we'll be doing 100 data centers in 5 years, like 20 data centers every year. And yes, we have to operate these data centers. It's almost like a DBFOT project, where we design, build, operate, finance and then after 20 years , 25 years, we have to transfer it back to RailTel and so that's largely the project. And at least initial few projects, we will be funding it internally through internal accruals of Techno Electric. And as we gain customers, we can go for financing in -- for the future deployments.

Amit Anwani: So will it be kind of 70 -30 funding typically which happens

for any project?

Ankit Saraiya : Difficult to say today because one needs to understand the cost and reward ratios for edge data centers. It is something which is not the practice in India today. It's largely practice only in US. and Europe. It is the first time it's happening in India. So we'll have to also learn what financial modeling is possible. But yes, we should be able to do at least 60 -40, if not 70 -30.

Amit Anwani: And sir, lastly, any IRR or any metrics, return metrics, which you're looking for, for this project?

Ankit Saraiya : Largely for data centers, the IRR should be in high teens to early 20 . So there is no difference when it comes to edge or a large data center because edge data center is also a data center only just because it's closer to the consumer or consumption point, we call it at the edge. So that's the only difference. So yes, IRR's return portfolio will also remain the same.

Amit Anwani: And can we say that this is just a pilot project, and there could be many more edge data centers? What opportunities there from RailTel with respect to this projects next 2 years , 3 years?

Ankit Saraiya : I don't know. Difficult to say. I don't see RailTel coming out with more such projects because they have consumed their entire 100. Difficult to say. Maybe they come for more idea that question for that. But yes, edge data centers are bound to grow in India, and it has an exponential potential, especially for a market like India, which is so widespread by geography, edge has great potential.

Amit Anwani: Thank you very much for all answers. Thank you. All the best.

Moderator: Thank you. Ladies and gentlemen , we'll take this as the last question. I now hand the conference over to the management for closing comments.

Ankit Saraiya : Thank you all for joining the conference call. And we'll be happy to address any query that you may have in relation to our performance or whatever that has or is discussed or if you would like to know more. Everyone's welcome to our office, have interactive sessions to learn more about what we are doing and what we plan to do going forward. And with this, I'd like to close the conference and thank everyone for taking out a valuable time in joining us.

Moderator: Thank you. On behalf of Asian Markets Securities Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you.

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"Techno Electric & Engineering Limited
Q1 FY '25 Conference Call "
August 14, 2024

MANAGEMENT : MR. P. P. GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – TECHNO ELECTRIC AND ENGINEERING
LIMITED
MR. ANKIT SARAIYA – WHOLE - TIME DIRECTOR –
TECHNO ELECTRIC AND ENGINEERING LIMITED

MODERATOR : MR. SURAJ – ASIAN MARKETS SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Techno Electric & Engineering Company Limited Q1 FY 2025 Earnings Conference Call hosted by Asian Market Securities Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections, etc, whether expressed or implied. Participants are requested to exercise caution while referring to the statements and remarks.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Suraj from Asian Market Securities Limited. Thank you, and over to you, sir.

Suraj : Thank you, Siddhant. Good afternoon everyone. On behalf of Asian Market Securities, we welcome you all to Q1 FY 2025 earnings conference call of Techno Electric & Engineering Company Limited. We have with us today, P.P. Gupta -ji, Chairman and Managing Director; and Mr. Ankit Saraiya, Director representing the company.

Now, I request Mr. Ankit to take us through the quarterly results and then we start with the Q&A session. Over to you, Ankit sir.

Ankit Saraiya Thank you, Suraj. And thank you everyone, for taking your time to join us for this conference call, and good afternoon, and welcome to everyone to discuss financial for the quarter ended 30th June, 2024. Anything said on this call, which reflects our outlook for the future or that could be construed as a forward-looking statement, must be reviewed in conjunction with the risks that the industry and company faces.

To begin with, let me quickly highlight our performance for the first quarter financial year 2025. The results of the company are not comparable on a quarter-to-quarter basis due to the nature of the business. Quarter one generally 15% of the full year turnover, followed by 20% in quarter two, 30% in quarter three, and 35% in quarter four. Company has created an SPB to set up 40 - megawatt data center at Chennai. The asset is under implementation stage. And currently, it is not revenue-accretive, but as we've explained earlier, its value-accretive. In the consolidated results, we knock off the financials of this SPB as per the accounting standards. That is the major difference in the standalone and consolidated results. As and when this asset becomes revenue-accretive, it will start showing its contribution in the results, and hence, it would be good to annualize, hence forth.

Total revenue for the company from EPC stands at INR413.74 crores, up by 19.55% year-on-year. EBITDA for the company stands at INR56.53 crores, up by 19.05% year-on-year. EBITDA margin for the company's stood at 13.6%. Other income for first quarter in the financial year

2025 stood at least INR23.2 crores compared to INR30.64 crores last year. Profit before tax for the quarter is INR75.73 crores, up by 5% year-on-year.

The company has successfully collected all the outstanding from TANGEDCO and other DISCOMs. The company has outstanding receivables of INR18.33 crores towards late/interest payment surcharge from sale of energy. During the quarter ended June 2024, the company had received an approval letter from TANGEDCO for delayed payment of interest on energy charges from 2009-2010 to 2020-2021, amounting

to INR78.24 crores, which will be received in six equal instalments from May 2024 to October 2024.

The company has received two instalments of INR26.08 crores for the month of May and June 2024. The total receivables as on 30th June, 2024 is INR52.16 crores. The company has recognized revenue from discontinued operations during this quarter amounting to INR59.90 crores on account of recovery of interest on delayed payment on energy charges. PAT for the quarter, including discontinued operations is INR100.43 crores, up by 95.78% year-on-year. EPS for quarter one FY 2025 stood at INR934 up by 95.83% year-on-year. Current investment value, including cash and cash equivalents post-QIP proceeds stands around INR2,500 crores. That is around INR215 per share. Treasury income will continue to be recurring income for the company. Our unexecuted order book as on date stands at around INR9,100 crores. We are L1 in orders worth INR1,200 crores. This constitutes two PGCIL orders at Nilgarh and Zerovi worth INR478 crores, one order from AGCL worth INR522 crores and one order from Adani worth INR135 crores.

Currently, the bids in pipeline are over INR5,000 crores, for which the results are yet to be opened. We are hopeful of bagging at least INR3,000 crores out of the same. The company has successfully raised capital an aggregate amount of INR1,250 crores by way of QIP last month. Just to take you through the outlook of various business segments, the company works in. We have been able to tide over the difficult times we witnessed in FY 2023 and we expect the growth momentum which began in FY 2024 should continue for FY 2025 and 2026.

We expect larger business out of AMI segment, transmission and data set. In transmission, especially, coming out of higher-end technological solutions. After a negligible or nil energy growth over the last eight years, the energy demand is all-time high and the demand growth is in double digits. The present peak load demand of 240 gigawatt is expected to be 400 gigawatts by 2030. Thereby employing a per capita consumption to grow from 1,250 units to 1,750 units by 2030.

To meet this demand, the power plant capacity is planned to be enhanced by 80 gigawatt in the conventional part, coupled with energy transformation to achieve a renewable power penetration of 500 gigawatt to the existing rate by 2030. All this means the sector is now transforming by deploying high-end solution, namely supercritical power plant, 765-kV AIS transmission solution, STATCOM solutions, VSC solutions, HVDC solutions. Solutions bagged by best battery energy storage system, where your company has a larger presence than any other entity in the marketplace.

The company is presently focused in following areas: transmission, smart metering, FGD, hyperscaled/edge data centers and digitization of solution and power distribution. All these verticals are fully -- full of potential, and this implies a paradigm shift in the positioning of the company. From the current mix of 43% of total installed capacity, renewable energy is expected to be around 64% by 2030 due to the significantly higher growth rate of 16% CAGR of RE versus 4% CAGR of fossil fuels.

India's aim to expand renewable energy capacity to 550 gigawatt -- 500 gigawatt by 2030 would require significant investment in transmission infrastructure. The CEA report on transmission system for integration of 500 gigawatt renewable energy capacity by 2030 identifies various transmission links aggregating 5,890 circuit kilometers for INR433,575 MPA. Following the additions to the ISTS, the cumulative interregional transfer capacity is likely to be about 150 gigawatts in 2030.

The integration of this transformation capacity at new/existing substation under ISTS, for wind and solar capacity by 2030, would entail a cost of INR2.4 trillion.

Thus, Power Grid sees a large

addressable market and estimate is transmission capex at INR1.7 lakh crores up to 2030 and expects capex revival to INR15,000 crores, INR25,000 crores, starting from financial year 2024,

2026. This makes us optimistic pickup in power bid capex/asset capitalization, which would bring sizable opportunity for Techno for next two to three years.

Data centers or digitization, widespread will also create additional demand for power. As mentioned earlier, to increase -- to meet the increased demand, the government mentioned the need to have 80 gigawatt of thermal capacity. This will bring a lot of opportunity in generation for balance of power plant, power evacuation facility deployment for Techno. On the distribution side, RDSS, we see a lot of activity happening going forward, particularly in the case of marketing, as government desire contained losses of the DISCOMs.

We are witnessing focus on strengthening power distribution network to make the matter and intelligent. Around INR22.2 crores meters are under various stages of award totaling to around INR2.2 lakh crores out of which around 87.64% would be under RDSS scheme. Out of the above, around 11.76 crores meters have already been awarded and around 1.27 crores meters have already been installed. Apart from these, we will definitely need energy storage solution like battery, or pump storage of no less than 20% of this capacity.

And this will also have to be additionally supported by many kind of captive, capacitive, reactive power management solution in the grid, and we see significant activities where Techno is fully qualified and competent to be part of. Coming to FGD segment. The FGD segment is seeming to come back to momentum. We have got orders worth INR1,450 crores for FGD and that is progressing as expected. This level of business will continue for the next five to seven years, as 100 gigawatt is yet to be ordered out by CPSUs, SEBs and private cycling to a scope of INR1 lakh crores.

Under transmission, TBCB bidding is happening for 50 to 100 gigawatts. And a lot of bidding is in progress at the moment, and we are finding that every month four to five concessions are being awarded to Power Grid or to the private sector. Total bids opened for transmission is about Techno Electric & Engineering Limited

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INR40,000 crores, out of which Techno expects to book order worth INR2,000 crores to INR2,500 crores per year over the next two to four years. We currently have orders worth INR4,900 crores for transmission, including TBCB orders.

And we are currently L1 in orders worth INR1,200 crores within this segment. On the metering segment, we expect to get orders worth INR1,500 crores to INR2,000 crores out of this segment every year for deployment of two million meters. We have already got orders for around three million meters worth INR3,500 crores. We have successfully backed to concessions in TBCB, Gogamukh and Bokajan with a total revenue of INR2,800 crores over the concession period. Similarly, we have also on concession of deploying three million smart meters. We have also won concession of RailTel to build 100 plus edge data centers at prominent locations in all the Tier 1, Tier two and Tier three cities, under digitization plan. To share an outlook on data centers, we believe that digitization and services on cloud is the most prominent reason that has led to growth of data center and demand of data centers apart from other reasons such as 5G and many more.

The Indian data center market size is estimated to be two gigawatts in 2024 and by 2029 is projected to reach 4.77 gigawatts, indicating substantial growth rate of 18.8%. In monetary terms, the market size is expected to be USD two billion in 2024 and USD4.5 billion in 2029. The growth drivers in data center segments are cloud adoption, data localization driven

by the

DPDP Bill 2023, policy incentives, digital transformation, technological developments due to rollout of 5G, AI, VR, that is virtual reality.

We believe that AI and virtual reality will be revolutionary and would incrementally require larger and more B-fitting data centers. Apart from that, Internet of Things, big data and cloud computing will continue to remain growth drivers for the segment. Techno is also in advanced stage of setting up a data center of 24 megawatt IP load of hyper-density nature, ultra-scalable at Chennai. We have achieved significant progress on construction.

We have already spent around INR305 crores on the project and we are hopeful of commissioning the first phase of the project during the third quarter of financial year '25.

Overall, last five years, the company has successfully monetized all the assets created over the last decade or 15 years in the field of renewable power, transmission assets and the triple PPP model, TBCB mode. This has resulted in a cash surplus of rupees INR1500 crores in the book of the company and is available for next phase of growth.

During the last year, we had mentioned that morning has just begun and there's only the first shine of the sun which will keep the brightening with every passing year. We are confident to achieve a revenue of INR2,500 crores for the current year and INR3,500 crores for the next year, implying an EPS of INR35 and INR50, respectively.

This concludes the opening remarks and we are happy to take further questions for discussions.

P.P Gupta: Thank you, Ankit. Well done.
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Ankit Saraiya Thank you.

Moderator: The first question is from the line of C.A. Garvit Goyal from Nvest Analytics Advisory LLP.
Please go ahead.

C.A. Garvit Goyal: Good evening, sir. Congrats for a good set of numbers. My first question is on the data center project. Like you mentioned, it is expected to be commissioned in Q3 FY '25. So my question is, how much revenue do you expect in FY '26 out of this project, sir?

P.P Gupta: Yes, Ankit, would you like to reply?

Ankit Saraiya: See, most, it will take us at least, you can expect three months to six months. From the date we start commissioning, which will probably be somewhere around the end of September, we can start finding our first clients and first customers. It is only after commissioning do we expect that we see serious interest and we will be in a position to attract quality customers. Therefore, at this stage, it is a little too early for us to really say that what is the expected revenue until and unless we build a sales pipeline, which is probably, in my opinion, six to seven months down the line.

C.A. Garvit Goyal: Understood, sir. Secondly, in opening remarks, you mentioned about the BESS projects. We heard from one of our listed peers about the upcoming tender of 15,000 to 20,000 here in next one year. So how much of it do you expect will come to Techno Electric, sir?

Ankit Saraiya: We are currently actively participating in BESS. And we do believe that there's a brilliant opportunity in the industry to participate in BESS. We are still figuring out the right mode and mechanism in which Techno would like to participate in the industry, whether as a developer and EPC or whether somewhere in the middle, I think, yes, the BESS market is to open. There is hardly one or two projects which have been installed that two are largely more of a POC, more of a proof of concept. Given that I think we are yet to figure out our own journey in this segment. But nevertheless, there is a huge opportunity for the entire industry.

C.A. Garvit Goyal: Got it, sir. Just last question on the order book side, like you mentioned you are expecting 1,500 crores orders in smart meter side. And I think I miss that like 3,000 crores also you are expecting somewhere. So

greater than 5,000, you are expecting somewhere, right? So what is the time line for these order inflows, sir?

P.P Gupta: This will flow in over a year -on-year. But as we said, we are already L1 in 1,200 crores , so that will happen in Q2. And balance are in pipeline. We have submitted tenders, we are yet to be opened, and evaluated properly about above 5,000 crores . So it's the ongoing exercise, we are talking of a yearly target during 2024, 2025, we'll have the order book of additionally INR4,000 crores to INR5,000 crores into transmission, smart meters, distributions, FGD all put together .

C.A. Garvit Goyal: So out of INR9,100 crores order book, you will execute 2,500 crores . And then additionally, you will get INR5,000 crores . Is that understanding correct, sir?

P.P Gupta: Yes. To be conservative keeping 4,000 may happen five or six also as the markets are down. So I trust we are in a good order book position and growth is ensured for the next two, three years.

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C.A. Garvit Goyal: Understood, sir. Understood, sir. Thank you very much, sir. I'll join back the queue, sir. All the best for the future.

Moderator: Thank you. The next question is from the line of Rohit Singh from Nvest Analytics Advisory LLP. Please go ahead.

Rohit Singh: Sir, my questions are already answered.

Moderator: Thank you. The next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: Good afternoon, and thank you for the opportunity. I think I heard in the opening remarks that you have already gotten awarded a couple of transmission concession projects. I'm not sure if I heard this correctly. So just wanted to clarify that, are you independently also bidding for any TBCB transmission projects, which you have recently won?

P.P Gupta: Absolutely. You are right, Subhadip, we have one, two concessions in TBCB. We want to be in a capex range of INR500 crores to INR700 crores . The total concession period revenues, INR2,800 crores, and there relates to Gogamukh and Bokajan at the moment. And the total capex involved in these two concessions put together is about 750. We touch on the -- with so much of opportunity of the high end capex.

The major players are quite busy now and their hands are full. But on the lower capex solutions, the competition is relatively low, and we are able to find better rewards relatively. So we thought to capitalize build on this opportunity, where station contact is about 70%, 75% and line is no more than 20%, 35%.

Subhadip Mitra: Understood. Sir, what kind of return ratios or ROEs are you looking at for these kind of projects, ballpark range?

P.P Gupta: You can say about 14% plus minus.

Subhadip Mitra: 14%, right?

P.P Gupta: Yes.

Subhadip Mitra: Understood. And you would be looking at deploying debt to the tune of 70% and 30% equity, something of that, sir?

P.P Gupta: Right. You see, at the moment, we should be able to execute the project in COD out of our resources as we do past any other developers to begin with this hold on the industry. And definitely, we don't need that to hold on to the life cycle of the asset. So it will definitely be partner with something with during the course of implementation of the project. We are short. But if need to be for the entry period, we may take some debt, sir, which can be 70% or plus/minus.

Subhadip Mitra: Understood. Are you already -- I mean, just asking that is there already an arrangement or a predetermined arrangement in place with, let's say, an InvIT or someone else to whom you can flip the project once it's mature?

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P.P Gupta: Yes, discussions are on, but not concluding so much.

Subhadip Mitra: Understood. And sir, lastly, in terms of your guidance, you did -- you have given u

s the guidance

for FY '25 and '26. But if I were have to -- as the guesstimate for the FY '27 EPS, what kind of ballpark range would you be looking at?

P.P Gupta: At least about INR75.

Subhadip Mitra: Okay. Okay, got it. Understood. And with the current level of margins, that would sustain? Or you're looking at margin expansion, sir?

P.P Gupta: Yes. Because at least '27 is well taken care of the orders in hand already, which is about INR10,000 crores with us as of now. So putting all together, including the top line of INR4,500 crores to INR5,000 crores of '27. This INR10,000 crores will stand fully executed by that.

Believe me, no other order happens over the two years.

Subhadip Mitra: I read you. And this would include, I mean, this INR10,000 crores -- sorry, the INR4,500 crores of sales, including any potential revenue from the data center piece or this is only the core EPC business, whatever comes from data center is over and above?

P.P Gupta: More data center revenue is factored there, because this we are talking of the parent company basically. Data center is in SPV that will be add-on to this company. That will generate its own EPS of INR25, INR30 down two, three years.

Subhadip Mitra: I read you, I read you. Perfect sir. Thank you so much. This answers my question.

Moderator: Thank you. The next question is from the line of Chirag, who's, an Individual Investor. Please go ahead. Hello, Mr. Chirag? Hello? The line from Mr. Chirag seems to be disconnected. Shall we move to the next question sir?

The next question is from the line of Hemant Soni, who's an Individual Investor. Please go ahead.

Hemant Soni: Thank you for providing with the opportunity. Just wanted to confirm the number, which you gave just now for FY '27 EPS, Is it INR75, did I hear it correct?

P.P Gupta: Yes. Correct.

Hemant Soni: And sir, the order book number as on date, can you please highlight, I missed it?

P.P Gupta: The order was nine project, INR100 crores in hand.

Hemant Soni: L1?

P.P Gupta: Another INR1,200 crores

Hemant Soni: Another INR1,200 crores were L1. Okay, sir. And I just wanted to confirm one more thing, like we had an aspiration of hitting INR5,000 crores of revenue over the next four, five years. I think in the last call, it was revise to INR10,000 crores. Okay. So does it stand still?

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P.P Gupta: Yes, it should [inaudible 0:29:01] than '26.

Hemant Soni: Hello?

P.P Gupta: Yes. I think there's some disturbance, I don't know. This INR5,000 figure may be visible as early as '28, if not '27.

Hemant Soni: Okay sir. Thank you sir.

Moderator: Thank you. The next question is from the line of Mahesh from LIC Mutual Fund. Please go ahead.

Mahesh: Good evening sir. Thank you so much for the opportunity. Sir, over next two to three years, what kind of capital expenditure we're anticipating both on EPC business and the asset heavy business

where we want to develop?

P.P Gupta: Yes, we have programmed to spend about almost INR8,000 -10,000 crores , comprising our smart meters, TBCB as well as data centers. Both in hyperscale as well as energy data centers. So the capex will be around INR8,000 crores to INR10,000 crores , but which may be monetized also simultaneously as going forward.

Mahesh: And overall capex from the EPC business?

P.P Gupta: EPC business, so far, we have -- we don't need any capex as far as EPC concerned but TBCB. yes, that will be about INR750 crores total sales which we have so far won. And for EPC, our general working capital needs will always be there.

Mahesh: Okay. Sure. Thank you so much, sir

Moderator: Thank you. The next is a follow question from the line of CA Garvit Goyal from Investor Analytics Advisory LLP. Please go ahead.

C.A. Garvit Goyal: Hi. Thanks for the follow -up. Just to confirm, like you mentioned 75% EPS for

FY '27. Is data

center projections included in it? Or we are -- it will be over and above?

P.P Gupta: It will be over and above this year. It is -- data center is not part of this. The EPS will be part of the SPV of data centers.

C.A. Garvit Goyal: Got it, sir. Thank you very much.

Moderator: Thank you . The next question is from the line of Dipan Gala, whose an Individual Investor. Please go ahead.

Dipan Gala: Sir, good afternoon, sir. Congrats on the good set of numbers. Actually I wanted to ask what has been the pull down and steel price, can you quantify it?

P.P Gupta: Can you repeat your question, sir?

Dipan Gala: Sir what has been the pull down in the steel prices year -on-year, can you quantify it?

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P.P Gupta: Quantify what type of...

Dipan Gala: Steel prices.

P.P Gupta: Marginally better now, but in our solution, the content of steel is no more than 20% per se. But there is a rise in copper prices also. So something or the other keeps overall balancing to it, but let's see how it goes forward at the moment transformer PV is around 5% over last six months, whereas steel you may be having a PV of 2%, 3%. You are right.

Dipan Gala: Okay. So is there any gain in business mix has led to the change in the GP margin?

P.P Gupta: No. We -- overall, we -- attempt is to keep the same GP margin, depending on the status of execution of each contract and given the mix of the contracts we are doing, we are hopeful to retain this kind of margins as EBITDA of 13% to 14% or 15% going forward also.

Moderator: The line for Mr. Dipan was disconnected. We'll move to the next question. The next question is from the line of Hevin Ala from Line Company. Please go ahead.

Hevin Ala: Sir, regarding -- just in the opportunity. Will it be restricted for us in West Bengal alone or will try to get other states also. And who is our ultimate customer in this -- customer who is having the data of the various corporates who want to also set up their remote recession. And sir, any plans to utilize this cash surplus that we are having to lean buyback or large dividend?

P.P Gupta: Question two, I will answer after Ankit has answered you on the data center. Ankit, will you address data center query?

Ankit Saraiya: Yes, sure. So the first data center that we are commissioning is in Chennai. It's in Tamil Nadu. I probably heard you mentioning West Bengal, but that's not the case, if I've heard you correctly. The first project is in Tamil Nadu. Apart from that, our second large data centers planned in West Bengal, where we have very recently been allotted a land by the state of West Bengal. But that project will come into picture of -- as a commission project by only 2026, end of 2026 or maybe mid-'27.

But apart from that, we won a project from RailTel Corporation, which is arm of Indian Railways to set up 102 data centers across the country, which is almost like four data centers in each state, which is giving us a countrywide presence. So we are not only looking to be a state player, but the other national players when it comes to data centers with the widest footprints of data center by any operator . So that's the journey for the company. And as far as the customer is concerned, it will be a mix.

It will be a ratio of -- it will be some kind of a mix hyperscale and enterprise customers, which might be 50 -50, 60 -40, something of that nature. So that's the kind of mix we're looking for our large data center in Chennai. While edge data centers might have a very right kind of customer base, right from few locations being occupied by hyperscalers a few other locations being occupied by enterprises may have some level of retail presence as well. So that's the range of customers that we are targeting. I hope I've been able to answer your question.

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Hevin Ala: And most of the electricity will be generated by renewable?

Ankit Saraiya: We attempt to make all our projects, it's part of the DNA in ESCs and the mindset that we will always like to be carbon neutral in our operations and it's not carbon -carbon period. So we try to ensure that maximum energy that is consumed in any of our projects is renewable energy.

Hevin Ala: So is it a good assumption to make that we will get at least two to three data center in every financial year new orders and -- or it's tough to predict immediately.

Ankit Saraiya: No. So as I mentioned that Chennai, what we are developing is going to develop and phases as I've explained earlier. So this year, we are commissioning the first phase out of four phases. And going forward, consecutively every year, we will be executing on one phase of that project. Similarly, in Calcutta, it will start first phase will be commissioned in '27 and going forward, consecutively, we've commissioned each space ahead. And for edge data centers, we plan to roll out 20 data centers every year and complete the 100 data centers by 2029.

Hevin Ala: Thank you very much. It really answers my questions very well.

Moderator: Thank you. The next question is from the line of Rahil Shah from Crown Capital.

Rahil Shah: Just two, three questions ago, you were mentioning that you're only in capex for EPC, right? Just the working capital. Then you mentioned you will just need some INR750 crores of capex, but I missed what was that for? Can you please repeat it for me?

P.P Gupta: And you see, we have two TBCB concessions one like Power Grid or any other private developers like Adani or Starlight, which would involve a capex of INR750. So that is an investment from our side because that is a concession of 35 years, which we are at tighter part or almost INR80 crores per year.

So we have to invest our own capital. As far as EPC is concerned, you have always thumbs up payment with the customer. I hope you are carrying out the project like Power Grid or Adani or Starlight they pay you one on month. So that's a normal working capital requirement, which we call APC business.

Rahil Shah: Okay. Okay. And just secondly, along with this revenue guidance, you also expect to maintain the margins between 13% to 15%, correct?

P.P Gupta: Absolutely right.

Rahil Shah: Okay. Okay. All right. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Nandan, who is an Individual Investor.

Nandan: My question is on the data center part. Now, we are already delayed in the first phase of the data center, and the delay has been about, say, a year. What is the reason for such a delay? And do we expect more delays in the future for the data center?

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P.P Gupta: No, let me first set the record straight, sir. We are not delayed by a year. It is only a delay of about three months, and that happened mainly due to the floods in Tamil Nadu in May, which caused many logistical issues. Additionally, there was some delay in the power intake from TANGEDCO in the data sector. So, there is no delay of a year, as you mentioned. We originally planned to complete it in the second quarter Q2, but now it is expected to be commissioned early in the third quarter Q3.

Nandan: Okay, sir. So, the first phase will be commissioned in Q3?

P.P Gupta: Yes, absolutely.

Nandan: Okay, sir. And are we getting the employees or engineers, I mean all the staff for the data centers? Because what we hear is that in the data center industry, there is not enough workforces available in the market. Are we managing the recruitment?

P.P Gupta: Yes, there are challenges in this space because there is suddenly more demand than supply of professionals. But we are managing to mix and match. When we started

two years ago, we were

a small team of 10 people. Today, we have grown to a strong team of 55 people, and I'm confident we will exceed 100 by the end of the year. We are blending people from the existing setup of TECHNO, who are competent in executing similar jobs, and also recruiting to enhance our marketing and O&M groups, which are specialized in data centers. So, while availability is a bit difficult, it is not impossible. Ankit, would you like to add something?

Ankit Saraiya: I think you've covered most of it. You see, building any team from scratch is very, very difficult, especially in this sector where there is a scarcity due to the age of the sector, which is only about five or six years old technically speaking, with great growth potential and a limited number of players. So, there's always a shortage of quality talent. But ultimately, we all have to be part of the industry, and we are excited to find our place.

Nandan: Okay, thank you for your answers, sir. Just one more question on the data center front. We are planning to build, say, 250 megawatts of data center capacity by 2030, I think. So, sir, what is

our plan in terms of building our own data centers versus the EPC part of the data center? What can we expect going forward until 2030 in this space?

P.P Gupta: We will mostly be deploying our own data centers, both in the edge category and in the hyperscale category. Additionally, we might explore opportunities to develop AI-based data centers. For instance, we have an MOU with Keppel of Singapore, who are seriously evaluating setting up an AI-based data center in India with undersea cable connectivity. So, this sector is evolving, and so are the opportunities around it. But given the limited visibility until 2030, we will be focusing on deploying our own data centers rather than working on EPC for others. We will maintain a balanced focus between edge data centers and hyperscale data centers.

Nandan: Okay, sir. Thank you very much for answering the question. Wish you all the best.

Moderator: Thank you. Our next question is from the line of Sunil Bhojwani from VK Family Office.

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Sunil Bhojwani: Good afternoon, sir. This is with regards to the reference, the guidance given for FY '25, which is INR2,500 crores. Do we -- are we capable of bringing a run rate of INR600 crores to INR700 crores per quarter in the coming -- having monsoons coming in the next quarter? Do you see that we can manage the run rate of INR600 crores to INR700 crores in a quarter?

P.P Gupta: Sir, firstly, in our this sector, that is what we said in the beginning quarters are not comparable and equivalent to 25% each. Generally, first quarter and second quarter are -- which are around 15%, and Q2 is about 20%. But Q3 and Q4 are very strong in our industry. They generally are almost about 30% and 35% in terms of the total output. And you can see historically, it is the same. So that is why to address this confusion, we stated in the beginning of the submission that quarter-on-quarter the results are not going to be equal yet - an equitably distribute.

Sunil Bhojwani: Okay. Noted, sir. And just one bookkeeping question, sir, what kind of tax rate would we have for the FY '25?

P.P Gupta: It will be about -- you can take overall 20%.

Sunil Bhojwani: Around 20%. Okay. Okay. That's all from my side. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Ashish Soni from Family Office. Please go ahead.

Ashish Soni: Sir, in terms of the data center business, are our hands full in terms of whatever you're talking about Phase 1, Phase 2, Phase four in Chennai and Calcutta and this edge data center for RailTel?

Or are we planning to take up more orders in future?

P.P Gupta: Timing, you can say our hands are nearly full for next six to 12 months. D

efinitely, we'll be more

busy in executing only. But if any good opportunity comes by, we won't be shy of because generally, a data center gives us three years should apply by and large, as a way of life. Whereas the edge data centers, you have to make ready within nine to 12 months on each location. So definitely, company will be now more busy in the developing edge data sectors, because we are committed to RailTel to do 20-ish data centers per year in 20 pockets.

Ashish Soni: And in terms of transmission, there is a lot of pipeline being planned to. So are we going to bid aggressively for that in next one or two years because that's mandate across the state government and central government, right?

P.P Gupta: You see this word aggressive makes me worry. We have definitely most experience and lead organization as well as station building is concerned. And most -- and that to a high-end applications like 765-kV AIS or GIS. So we will always have our position there. We already have business work about five projects in this space, building around two main stations for different developers, including Power Grid.

We are also mechanizing and shrinking the time lines. We are executing a very prestige assignment or we at seeker now, where they were delayed by two years in acquiring the land. And now we are building a station in nine months, and we are almost there. So, given the ability of 30, 40 years of background, having built for 50 stations successfully countrywide, we are very

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confident of matching anybody's any kind of deliveries and matches as long as they are rewarding to us.

Ashish Soni: Okay, sir. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Good afternoon, sir. Sir, on the edge data centers, so this year, we would be implementing 20 of those. So, next year, what kind of revenue accretion or bottom-line can we expect from this?

P.P Gupta: You can look on edge data center, we are still not sure on the size of each deployment. It can range from 100 kW to as big as maybe 0.5 ampere to one ampere each and revenue will be around

INR18 crores to INR20 crores to this year. So, we need to experience it. Maybe we'll be more happy to be precise by that of the year. But we do trust that each data center on an average should give us INR5 crores revenue per year, say, 20 means INR100 crores, you can save.

Sarvesh Gupta: And against that, sir, what would be our expenses like what sort of margins we will be getting in this business? Very rough figure would be okay.

P.P Gupta: You can take EBITDA of around 70% in this market, but capex is also a bit high. That is roughly around INR18 crores per megawatt as against not -- INR60 crores sorry per megawatt as against INR40 crores in case of hyperscale data centers. So, all put together, you can still say that IRR will be INR20 crores -plus only. But how it will pan out, we are yet to configure. It can be a good rewarding business going forward because scalability is available here over a certain period. That is a big advantage in this congestion. That 100 kV, again to borrow become one megawatt over the period, is that local profit. So, that is a big advantage here, scalability.

Sarvesh Gupta: Understood sir. Thank you sir. That was my only question.

Moderator: Thank you. Next is a follow-up question from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: Thank you for the opportunity once again. Just as a follow-up to my earlier question, if you have to get through the ballpark EPS of 75% by FY 2027. My estimate is you would be looking at a PAT number, which is another INR850 -odd crores. With a top line of, let's say, INR5,000 crores, INR5,500 crores by 2027, would we be looking at EBITDA margin

crossing 20%. Is that the estimate?

P.P Gupta: No, Subhadip. It's a bit complex here, not so simple. You see we have a good amount of treasury income. We have a good amount of TBCB income, capital gain income out of hiving off of the asset employed. So, all put together, we are talking at the parent level, this will be the kind of reward visible in 2027. So, if you will look at a simple mathematics of only EPC business, it may not match because if you compute the tax element on it, it may come out of treasury income, which is happening year-on-year in TECHNO as it is, right? So, it is a blended income we are talking sir in the ...

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Subhadip Mitra: So, only the operational EPC income without, let's say, the treasury gains or without the other income or capital gains on asset sales, etc. I'm looking at your operational income, then we should roughly take that INR5,000 crores, INR5,500 crores top line and take maybe a 15%, 16% EBITDA margin. And then do the math below?

P.P Gupta: Well, right. You can share -- you're not very long, I say -- you are allowed that number, yes.

Subhadip Mitra: Understood. Understood. And given that you have such heavy capex coming up across various segments, whether it's on the data center, on the TBCB transmission projects that you have on, wouldn't that kind of deplete your cash balance and treasury income as well, the other income part of?

P.P Gupta: First, look, these economics are always a double-edge solutions. On one hand, we have a cash, which can be easy income or it can become IBC income to buy own projects, which we are deploying as a capex going forward, like you take a case of smart meter are, and say, it is a concession of 10 years. Now when we bid action, I'm obviously building a high-value solution provided, which is no less than INR2,000 per meter on an average. So if I deploy my capital on capital, then I have won INR2,000 out of that deployment.

So either I had treasury income or I say INR2,000 to be paid to third party over the period. So the income that this two projects is over and above EPC margin. It is not a part of EPC because that is the time value of the capex deployed you build in the cost or is the very concession you impact year-on-year. That is what becomes IRR ultimately, at the end of the year. So these kind of calculations are a bit simple, but may look a bit complex.

Subhadip Mitra: Understood. Understood. Thank you so much.

Moderator: Thank you. Next question is from the line of Aashish Soni from Family Office. Please go ahead.

Aashish Soni: Sir, in smart meter, are we seeing any challenges on the ground because we hear multiple reports across states. Some states have some challenges. So what's your view on that?

P.P Gupta: You see, power is a seed of power in our country and definitely embraces the consumer and more banks. So there may be temporary interruptions between you and me. But ultimately, power reforms have to happen. Our BESS scheme has to be successful for the government. But we want to make sure all these caps are financially viable entities after 20 years of electricity and also, we are not able to do that yet. So this is a necessary, not a requirement, I will say, convenience anymore.

But some interruption of three months during the voting period, they are may be there, but it cannot be long run. But as far as DT metering and Feeder metering is going strongly. There is no issue on that side. Secondly, being concerned what you have raised, we are part of relatively smaller stakes like Tripura or Jharkhand or J&K you can say. Where these issues may be there,

sir, but will not be of as magnitude as you may experience in non-BJP rule states like Maharashtra. I know Maharashtra send a little wrong signal in the country. But that is the political compulsion possibly.
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Ashish Soni: At there is some -- is there a chance there might be some impact on our business because of this for six months, one year period sort of thing, that's the message I take from this?

P.P Gupta: Yes. You have you take two messages, sir. Firstly, Techno has always been conservative in this space, we are -- we are the smallest of the deployers where our aim is not to do more than 5%. I will again repeat, over the next seven years my share of total meter deployment will be less than 10 million.

So because we have deployed static meter as BPL, APL category over the last 10 years, so we know that we have the gangs, we know the art of deploying the meters, we understand the concession, we understand the challenges of counterparty risk under the Electricity Act. So all the knowledge put together, we did not want it to be out of the space. But we are also not trying to be the largest or the best like we may like to be in transmission or in ISTS space. So that we are conservative, we have contained risk and impact is not -- which cannot be absorbed by the company.

Ashish Soni: Thanks for the answers.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for closing comments.

P.P Gupta: Yes. Ankit, you have done well, why don't you close also?

Ankit Saraiya: Just a moment. Yes, let me do that. I will only say thank you very much once again for all of you to be part of this call. And we trust we have tried to address the issues to the best of the market conditions and situations. And I can assure you, your company in a given space will always like to outperform. Still, if you have any queries related to our performance, please drop a mail to us. And if you happen to be on this side of India, in Kolkata, now we have equally large setup in Delhi, you are welcome to visit us. And I once again thank everybody for joining the call.

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"Techno Electric & Engineering Limited
Q2 FY '25 Conference Call "
November 13, 2024

MANAGEMENT : MR. P. P. GUPTA – MANAGING DIRECTOR – TECHNO
ELECTRIC AND ENGINEERING LIMITED
MR. ANKIT SARAIYA – DIRECTOR – TECHNO
ELECTRIC AND ENGINEERING LIMITED

MODERATOR : MR. SURAJ SONULKAR – ASIAN MARKETS SECURITIES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Earnings Conference Call of Techno Electric & Engineering Company Limited, hosted by Asian Market Securities Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections, etcetera, whether expressed or implied. Participants are requested to exercise caution while referring to such statements and remarks.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Please note that this conference has been recorded. I now hand the conference over to Mr. Suraj Sonulkar from Asian Market Securities. Thank you, and over to you, sir.

Suraj Sonulkar: Thank you, Jacob. Good afternoon, everyone. On behalf of Asian Market Securities, we welcome you all to Q2 FY '25 Earnings Conference Call of Techno Electric & Engineering Company Limited. We are pleased to have with us Mr. P.P. Gupta, Managing Director; and Mr. Ankit Saraiya, Director, representing the company.

Now I request Shri Gupta to take us through an overview for the company's quarterly results, and then we can -- shall begin with the Q&A session. Over to you, Gupta.

P.P. Gupta: Thank you, dear. Very good afternoon to all of you, and I welcome everyone to discuss our financial results for the quarter Q2 and half year ended 30th September 2024. Anything said on this call, which reflects our outlook for the future or that could be construed as a forward-looking statement, must be viewed in conjunction with the risks that the industry and the company faces. Let me first highlight our performance. The results of the company are not comparable on a quarter-on-quarter basis due to the very nature of the business, and we have maintained this in our earlier calls also. As earlier we discussed the H1 generally contributes 41% -- 40% of the full year and balance 60% is in H2. In this respect, we are short by around INR100 crores in H1. That is about 40% of INR2,500 crores, the target for this year.

This is basically due to the delay in handing over of sites by various clients like Power Grid, IndiGrid, Apraava or Adani. But out of this now, we have already received 4 sites from Adani and Power Grid, and we are confident to make it up in batch 2 as we have a robust order book and clear visibility of additional opportunities in the T&D sector.

We would like to highlight that the average order value now is almost double-digit in the recent

times. So though the total order value, they seem high, but number of sites are more or less same orders. At the same time, the speed of executing these projects is becoming a norm or more requirement of most of our customers. They want to make up for the lost time in acquiring the land parcels and handing over to us for deployment of solutions.

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The most interesting recent experience in H1 is related to Sikar Power Grid where the site was handed over to us after a delay of almost 2 years. And we were asked to complete the project in 9 months as against execution times as per contract of 19 months. And I'm happy to say that we are successful in doing it and Power Grid acknowledges this achievement first time in the country of

this sale and size of project being deployed in such a coordinated and integrated manner.

So Techno has a proven record and competent to do faster things. So speed is going to be the way of deploying these solutions in future. You are all aware that we are now -- we have been deploying a 40 -megawatt data center at Chennai. The phase 1 of this data center is nearing completion, and asset is still in implementation stage. It has not achieved the revenue accretive phase but is definitely extremely value accretive. There is a good interest from the foreign entities to be part of this project.

In the consolidated results, we knock off the financials of the SPV data -- SPV of the data center. So that is the difference between the stand-alone and consolidated results. We will be, of course -- this won't be a requirement once it becomes revenue accretive. In brief, the first half of financial year '25, our revenue has been around INR914 crores, the EBITDA is about INR126.13 crores.

The other income is at INR62 crores. The profit before tax at INR180 crores and profit after tax is at INR145 crores, which implies compared to INR125 crores of the previous year, it is 65%, up over the last year and EPS at 17.16%, which is up by about 50%.

Now coming to Q2 of financial year, our revenue is at INR495 crores and EBITDA is at around INR65 crores. The EBITDA margin is at 13.26%. The other income is at INR28.3 crores, the profit before tax is INR4.28 crores and the company has successfully collected all the outstanding as per our books from TANGEDCO that's a major achievement in this H1. The PAT for the quarter is at INR90 crores, about 27% up year-on-year and EPS is at INR7.88, up by about 19% year-on-year.

The current investment and cash is at around INR2,600 crores, which is about INR2.25 per share. We have an extremely robust order book of around INR9,725 crores as of September 2024. We have further booked business -- we have booked business worth INR642 crores in Q2 and another business of around INR1,100 crores post September till date. Thus, we can say that we have a current order book of around INR10,800 crores plus unexecuted. We are L1 in another INR622 crores order, out of which both are very sure.

Additionally, I would like to say that in Q1, which -- where we were L1, the all of the orders -- the all opportunities in L1 stage that converted into orders successfully. We have various bids in pipeline and are confident to get additional orders for around INR1,500 crores in the current financial year. This will take our total order tally in the current financial year to around INR4,000 crores. This simply reflects post order execution for the current year. We will still have enough orders in hand to keep the growth momentum going. The company has successfully raised capital or completed QIP for INR1,250 crores in the first half of the current financial year.

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Now coming to the outlook. We have been able to tide over most of our difficulties as witnessed after the close of the financial year '22, '23. We saw growth momentum in the year '23, '24, and the same will continue for the next 3 years as we foresee. We expect larger business out of transmission, basically high-end power solution deployment, data center, hyperscale and edge data center or distributed data center, AMI segment and also somewhat on the digitalization solutions in the power distribution space under RDSS scheme and also our muted in the presence in the AMI scheme.

The present -- after witnessing negligible or nil growth on energy demand for last 8 years, first time in last year, we experienced growth in energy by almost touching to double-digit. The present peak growth demand is about 240 gigawatts or more and this is likely to be 400 gigawatt by 2030, thereby employing a per capita consumption of no less

than 1,700 units by 2030 as against 1,200 units today.

To meet this demand, the government is concerned, and the power plant capacity is planned to be enhanced by 80 gigawatt in the conventional power space by deploying ultra supercritical power stations along with renewable energy deployment to the extent of 500 gigawatt by 2030. All these mean that the sector is transforming technologically and also deploying high -end power generation and power transmission solutions, and all solutions like supercritical power plant, 765 kV grid AIS, GIS transmission solutions of gigawatt scale, STATCOM, solutions, VSC, HVDC solution, solutions backed by BESS or DSO facilities where your company has a larger presence than any other entity in the marketplace.

Your company is usually focused on the areas like transmission solutions, particularly high -end EHV solutions, including STATCOMs and VSC, HVDC solutions. We are also present in the hyperscaled/ edge data centers. We are present in FGD. We are doing big smart metering implementation for 2.5 million meters.

We are doing digitization of the power distribution networks of the DISCOMs in their command areas. All these verticals are of potentiality, and this implies the paradigm shift in the positioning of the company.

From the current mix of 43% of the total installed capacity, the renewable energy is expected to be around 64% by 2030 due to its significant growth rate of around 15% to 20% CAGR as against 4% of fossil fuel. India aims to expand its renewable energy portfolio beyond 500 gigawatt and the target of 2030 is more or less is like -- is stand achieved in my view. And the matching transmission infrastructure will be required which is almost 4x as against 1x of the conventional power. So this will continue to give boost to the renewable power.

As per the CEA report, the transmission system required for 500 gigawatt RE capacity will require no less than 50,000 circuit kilometer of lines and another 435 GV of transforming capacity. With the implementation of these programs under ISTS regimes, the interregional transfer capacity will improve to 150 gigawatt.

The National Electricity Plan has already estimated the investment opportunity of more than INR9 lakh crore in this space by 2032. The Power Grid will be the largest beneficiary and we Techno Electric & Engineering Limited

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being the -- one of the largest solution deployed at station level for the last 35 years successfully since its incorporation. And with the planned capex of INR1.75 lakh crores up to 2030 -- their annual capex will increase to INR25,000 crores by '26 from the existing INR50,000 crores a year.

This makes us optimistic pickup in Power Grid as well as we expect larger inflow of orders from private players in this space, while we'll also be seeking some opportunities in TBCB space to ourselves. Apart from this, we are now seeing huge opportunity in STATCOM projects to be deployed. Power Grid has already amended the qualification, and we are now qualified as a sole bidder backed up by the support from the critical equipment suppliers. The data centers will also create -- use additional demand for power.

And as we mentioned earlier to meet this increased demand, the government mentioned already to enhance it from conventional power as well as renewable power. In the conventional power, again, there will be a good scope for us on the balance of plant and particularly on the power evacuation facilities, what we call step -up facilities and grid integration for the utilities, particularly NTPC will be one of the key beneficiaries other than other CPSUs in this space.

On the distribution side in RDSS plan, we see a lot of activities happening including deployment of Smart Metering. We are also deploying now about 2.5 million smart meters per year, 2.5 million smart meters over the next 2 years. This

year, we will deploy about 0.5 million and another 1 million each over the next 2 years.

The counterpart is a bit higher compared to transmission. We are conservative in this space. We see a slowdown in the FGD segment, particularly NITI Aayog report, but the orders we had will continue to be executed at the given pace, the -- but some business to maybe to the extent of 5 to 10 gigawatt per year from private players as well as SCBs will continue to be in this space. In the transmission segment, I have already highlighted that around 50 to 100 gigawatt of bidding is happening and I'll almost 4 to 5 concessions are being finalized every month and awarded to Power Grid or to private players. This means that almost around INR40,000 crores business and out of which we will be expecting business worth INR2,500 crores per year over the next 3 to 4 years.

We currently have orders worth INR6,500 crores in this space, and we are L1 in another INR650 crore segment for which Power Grid has already won the concession. So this will materialize in this quarter into the order. Our projects won in TBCB at Gogamukh and Bokajan with a total revenue visibility of INR2,800 crores over the concession period are under execution, and we are confident to achieve it ahead of the schedule. Similarly, our -- the meter -- smart meter deployment is going on as for the program.

In the smart metering space, we expect business worth about INR1,000 crores per year, are deploying about 1 million meters per year. We -- and I mentioned we have orders worth about - for 2.5 million meters worth about INR2,500 crores.

Ankit, will you like to highlight data centers?

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Ankit Saraiya: Yes. Sure. So coming to data centers, I believe that digitization, adoption of cloud services and AI and implementation of 5G in Tier 2, Tier 3 cities apart from Tier 1 cities. The government's focus on data protection and ensuring that the data of the country resides in the country. All of these are leading to more and more demand for data centers. They are the warehouse where the data is stored. If today, the market size of data centers in 2024 is close to about, I would say, 1,300 to 1,400 megawatts, then we can expect a growth rate of 15% to 18% year-on-year, and we should have a total capacity of roughly about 4,000 megawatts or 5,000 megawatts by 2029. Coming to our initiatives, as we've spoken earlier, we've already started our construction in Chennai, it is in very advanced stages, and we started commissioning activities on the ground. We are hopeful that in another couple of months' time, the data center would be ready for RFS for service. Apart from that, on hyperscale data center side, we've already been allotted a land in Kolkata by the state of West Bengal through their body called West Bengal HIDCO.

It's a 4-acre land parcel in prime location named as Bengal Silicon Valley. We should be coming up with the data center from next year onwards. We should begin the construction activity somewhere around mid-next year or towards the second half of next year and possibly complete the construction by mid of 2027. This would be roughly about 15 to 18-megawatt data center. Apart from that, we are executing edge data centers in strategic partnership with RailTel, a Navratna PSU. We've already started construction of our first location at Gurgaon. It's at sector 44. We're expecting handing over of a second location from RailTel in Mumbai, right across the very well-known St. Regis hotel at Mahalaxmi.

The size of these locations, the one in Gurgaon is a smaller project of INR20 lakhs totalling to 200 kilowatts. And this would be expanded to close to about 1.5 - to 2-megawatt over time. The one in Mahalaxmi is starting at a capacity of 560 -kilowatt with 56 racks and that should also see a daylight of about 1.5 to 2 megawatts

over a period of time.

We've seen good traction of customers for edge data centers. In Gurgaon, we are close to finalizing a few customers, accommodating them within these 20 racks. We are seeing interest from hyperscale's as well to lease out these edge data centers in selective cities and we are working closely with a couple of such hyperscale's to deliver to their requirement. So all in all, it looks exciting, and I would say, promising time and space for this industry. Yes. So that's on data center.

P.P. Gupta: Yes. Coming back to the -- now taking over from what Ankit has said, overall, in the last 5 years, the company has successfully monetized its all deployed assets over 10, 15 years, worth about INR5,000 crores in PPP model or TBCB mode. This resulted in a cash surplus, which is already discussed and QIP has further added to the cash balance. We have sufficient financial resources to see this growth in data center and in transmission space.

During the last year, as I had mentioned, I will again like to repeat that it is just the morning has happened and this is the first sunshine, which will keep brightening with every passing year. We are confident to achieve, as I repeat again, INR2,500 crores plus/minus during the current year

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and a similar growth over next year, maybe around INR3,500 crores. We are confident to have EPS of about INR35 or more this year and INR50 plus for the next year ending March '26.

With this, we can take up the questions now.

Moderator: Should we begin with the question -and-answer session?

P.P. Gupta: Yes, yes. Absolutely.

Moderator: The first question is from the line of Abhijit from ICICI Securities.

Abhijit: Sir, my first question is on the revenue. So in the first half, we've done about INR913 crores, and we are guiding for about INR2,500 crores for the full year. So that means we'll have to grow at about 2x of last year's second half in 2H FY '25 to meet that kind of revenue. And which also would mean about INR800 crores of run rate from INR500 crores in this quarter. So what will drive this kind of execution jump in the next 2 quarters? That is my first question.

P.P. Gupta: May I answer, or you would like to put your question two also?

Abhijit: Sir, second question is on the order book. So we have about INR9,700 crores of orders. Is there some slow-moving orders in this order book? And if yes, what is the quantum of those orders?

P.P. Gupta: Yes. Firstly, you see, I said you -- H1 we suffered because the land parcels were not available

from the customers who placed orders on us for deployment of stations. We have received now 4 land parcels, 3 from Power Grid and 1 from Adani. We are still awaiting 2 more land parcels from Apraava and IndiGrid, which is expected shortly.

But now with the land parcels being available, the execution pace will be much faster. And as I shared with you that, that is the requirement of the customer also, that they want us to complete the job in no more than 6 to 9 months, which earlier used to happen over 12 to 18 months by and large.

So with this, we are confident that this weather is good. Generally, H2 is a better weather to work in this country from the field point of view, from the factory point of view. And Q4 is always larger than the Q3. So generally, our takeaway is that Q3 is about 22% to 25% and Q4 is always about 30%, 35%. So we are very sure, given a margin of 5%, we should be able to hit that in time, number one.

Number two, out of the order book, there is no slow-moving order books as of today with us.

Because all these TBCB projects have a COD date with the customer and whatever delay happens in giving us the inputs on land parcels, they ultimately want us to squeeze the execution.

Abhijit: Right, sir. Right, sir. Sir, lastly on the margin. So this quarter, on a Y -

o-Y basis, there is about

160 bps compression on the EBITDA level. And we have seen an increase in the cost of services and raw materials. So if you could particularly highlight what is causing to this kind of cost inflation, which is faster than the revenue growth. And what kind of margin do we expect in the second half?

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P.P. Gupta: You see the problem here, as I mentioned earlier also, I'll repeat again, measuring margins quarter-on-quarter in a construction or project business is extremely difficult. This depends on how you book your revenue, how you book your costs. You are bit conservative, realistic, optimistic. Many a times, we miss to book the revenue because bill have not happen or work has not been measured or materials have not been cleared, that's why it's supplied.

So we also know over the year, you always have a time to catch up. So you will find that overall margin, as I've stated, will be almost around 13% to 14% over the year. In some quarters, it may be 1% more, in another quarter, it may be 1% lower. But at the end of the year, you will see that it is all neutralized.

Abhijit: All right. Sir, lastly, what is the status of our Chennai data center? And when do we expect commercial completion for the same?

P.P. Gupta: Ankit, would you like to answer?

Ankit Saraiya: Yes. As I mentioned on the remarks -- in the opening remarks that we have already started the commissioning activities for the data center. And we should be able to achieve an RFS, which is the commissioning when the customers -- we can start handing over the location to customers for moving it should be somewhere around January.

Moderator: The next question is from the line of Anurag Agrawal from Multifly Wealth.

Anurag Agrawal: Sir, I wanted to ask more about the smart meter deployment. How do you see that faring up? Are there any execution risks which are playing out?

P.P. Gupta: The answer is yes and no both. There is no basic, but nothing ago there is no basic, but nothing new is happening, I can say that, Anurag. It was known while booking the business and today also because the counterparty is DISCOMs. So some interruption is a natural of doing this work, but Techno is very experienced in deploying these solutions. So this year, that's why -- and we have a kind of, I'll say, muted presence also in this segment against other players.

We don't want to do more than 1 million meter a year as I shared with you, with 0.5 million this year as DDF creation by the utilities were delayed, which happened only in Q2 with us at Tripura or at Jharkhand or with even the J&K, I will say. So by and large, we will not like to be very, very aggressive and optimistic like other players in this space. But our major space will always be transmission, ISTS and CPS used in power generation, I will say, or data centers is now very, very exciting and fascinating place for us, but yes, smart meter we'll have our presence. It's with our own customers. We don't want to be out of it.

And secondly, let me tell you, you see that smart meters are yet not declared an infra business by the government. So many InvITs are not part of it. You cannot part off your assets to InvITs or similarly to many government funds till this status is granted to this space like transmission or power generation. They are not alike on regulatory framework. So some issues are there in this space, but still some companies are more optimistic than us, we are not.

Moderator: The next question is from the line of Nidhi Shah from ICICI Securities.

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Nidhi Shah: Could I get a breakup of the order book either now or at the end of Q2 between generation, transmission, distribution, and data center?

P.P. Gupta: Yes, ma'am, it is mostly out of the tra ns

mission, I will say. And the total order book breakup, if you want to note, you can. The transmission is about INR4,671 crores out of our own TBCB assets, is about INR687 crores. FGD is about INR1,200 crores. Digitization of distribution network for DVC is about INR290 crores, and smart meter is INR2,500 crores. And another data center you can take about another INR100 crores is left.

Moderator: The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisors, LLP.

Garvit Goyal: Sir, my question is on the guidelines part only. But firstly, I want to understand why there is a difference between the stand -alone the numbers and the consolidated numbers, sir, like consolidated numbers are less than the stand -alone numbers. So can you please put some color on it? What is the reason for the same?

P.P. Gupta: We already made in our statement that we are the company at the parent level deploying this data center in Chennai. So when you consolidate those numbers get utilized in EPC space, but that will appear as a work in progress or as an asset in data center subsidiary when you consolidate, only nomenclature change happens. I hope you have understood. The work executed for your own subsidiary gets utilized and reclassified as a work in progress o r fixed asset or whatever nomenclature you say, depending on billing.

Garvit Goyal: So sir, while giving the guidance of like INR2,500 crores, so is it for consolidated numbers or the stand -alone number?

P.P. Gupta: Stand -alone number.

Garvit Goyal: Okay. And if we compare it with the consolidated number, so what would be that number for the full year?

P.P. Gupta: You take it INR2,250 crores.

Garvit Goyal: INR2,250 crores. And we are still guiding the same number for this year, right? Despite the challenges that we are facing?

P.P. Gupta: Absolutely.

Garvit Goyal: Okay. And sir, secondly, like in our results also there is a significant overlay receivables and the auditor also highlighted the same, including those from a long -standing projects, regulatory issues and the unresolved arbitration that is having a cumulative value of around INR130 crores. So could you provide a clear update on specific challenges that are -- that we are facing while recovering these amounts and the expected timeline for the resolut ions and the potential financial impact that if these amounts are not get collected?

P.P. Gupta: No. Firstly, it is not INR130 crores, I don't know. It is a number which we have issues are 2 on due. One is retention money receivable from a private player f or whom we did a captive power Techno Electric & Engineering Limited

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plant and amount involved is INR11 crores only. And second is the receivable from Afghanistan where projects were suspended due to the political change. The contract is funded by ADB.

Now the ADB has already come forward and agreed to pay the dues of KEC Kalpataru, Techno and whoever was involved in that CASA scheme. It was called CASA scheme in Afghanistan.

So bills are under process, and we expect all this money to be received, it is about \$7 million.

So we hope to get it by -- before the end of -- close of this year now. So there is no other issue in our books at all.

Garvit Goyal: You're saying this amount will be clear by the end of this financial year, right?

P.P. Gupta: Yes, absol utely. Compared to total receivables, it is not even 10%, so there is no material effect.

Garvit Goyal: 10% of what, sir. I missed that.

P.P. Gupta: Pardon?

Garvit Goyal: 10% of total?

P.P. Gupta: I could not get you, total means?

Garvit Goyal: No, 10% of what that I'm asking? I couldn't hear you.

P.P. Gupta: Of the receivables, which is about INR550 crores, INR600 crores.

Garvit Goyal: And sir, lastly, you mentioned like two land parcels are -- we are still waiting for that, right? So is it like Q3 is also going to b

e in the same line or we are going to outperform significantly because in order to [inaudible 0:40:16] we have to outperform significantly as compared to what we did in Q1 and Q2.

P.P. Gupta: No. I also mentioned we have got 4 land parcels as ag ainst 2 not received. So 4 is good enough to make up the loss of this H1. These 2 anyway were planned as a distributed way, you can say.

It was for '26 -- '25, '26 only.

Moderator: The next question is from the line of Palak from MIV Investment Management.

Palak: Sir, my question is regarding our FGD business, so recently, we have come across an article

where it was mentioned that based on the study, there were findings that the sulfur emission from the coal-based power plant is not harmful to the environment means it's not impacting the air quality. So there has been a suggested draft that the Government of India may stop the FGD tenders, and from my understanding that currently, our order book is about INR1,000 crores. So can you help me understand the impact of what do you think about the norms?

P.P. Gupta: Ma'am, I also mentioned to you, there is a slowdown in this space post study of NITI Aayog and controversy at the political level, whether our AQI includes sulfur or is it harmful or not. Ramesh of Congress has said, otherwise who was earlier Environment Minister. He has questioned the present decision of the Ministry of Power. But besides that, we were never -- we have existing Techno Electric & Engineering Limited

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order of INR1,200 crores. That will continue to be executed as per the program, and which is under execution.

And we are also not expecting larger business out of it, as I told you earlier also because we don't want to take more than 1 project a year or maybe now, we can say 1 project in 2 years maybe out of private or SMEs. Certain critical pockets closer to urban areas or semiurban areas, they will still have to deploy as per CEA report. It's not a total no. But yes, it will be project specific requirement now. But simultaneously, report also confirms the projects which are already in execution or orders they will be implemented as it is without any interruption. So that is the present status in this space.

Palak: Okay. So we are not expecting any significant inflows from this segment?

P.P. Gupta: Absolutely, from this vertical. You're right. But this vertical is capable to do balance of plant for us in generating plants, which we earlier used to do before migrating to FGDs. So we will do a mechanical auxiliaries in the balance of plant now that capacity of the company will be redeployed in the critical super -- ultra supercritical power plants of 80 gigawatts to be deployed by NTPC, by other state utilities or CPSUs. It's a huge business now for next 4 years.

Moderator: The next question is from the line of Shreyansh Gattani from SG Securities.

Shreyansh Gattani: I had a couple of questions on the data center side. So the first is, what would be the cost per megawatt for these edge data centers? I know in the last call, you mentioned that it's higher than the data centers that you would have at Chennai and Kolkata, so just wanted to understand that.

P.P. Gupta: Yes. Ankit, will you like to answer?

Ankit Saraiya: Yes. So you can say it will be roughly anywhere between 1.75x to 2x the cost of hyperscale data center. So one can estimate plus/minus INR50 lakhs, but about INR8 crores per megawatt.

Shreyansh Gattani: Got it. Okay. And for the Chennai project, what is the balance investment that we still have to do? And what have we already invested -- how much have we already invested?

P.P. Gupta: We've invested.

Ankit Saraiya: Go ahead.

P.P. Gupta: Yes, it is -- we have invested about INR400 crores as of today. So for Phase 1, we are left to spend only about INR50 crores more plus/minus.

Shreyansh Gattani: Okay. So Phase 1 is the 5-meg

awatt.

P.P. Gupta: Yes, 6 megawatts.

Shreyansh Gattani: 6. Okay, sorry, yes.

P.P. Gupta: Definitely low, but in grid load, it will be 10 megawatt like for like.

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Shreyansh Gattani: Got it. So by when do we expect the full operational capacity for this center?

P.P. Gupta: By March '26.

Shreyansh Gattani: Okay. Okay. And how far are we in terms of like finalizing on customers for this data center?

P.P. Gupta: Ankit?

Ankit Saraiya: So we are in discussion with potentially, I would say, a couple of customers. Today, we are still under final construction phase or -- and the commissioning phase. Therefore, most of these customers want to see a project completed, which we had mentioned in the last con call as well. Unless we have achieved completion, it doesn't give confidence to our customer to plan his movements because there can always be a delay in commissioning due to unforeseen circumstances.

Therefore, I would say that the real hunt for customers would begin post the project is commissioned. But having said that, in meanwhile, we are in discussion with a couple of good customers. And in meanwhile, we are also in discussion with a couple of strategic partners who may potentially show interest in this project.

But having -- but today, our focus is largely to build our in-house sales, marketing, and operations team because Chennai is not the end of life for us. We would like to continue being

a part of this industry through edge data centers and our upcoming data center in Kolkata. Therefore, it's not that we are really scouting for a strategic partner anymore. But building a team which can sustain this business for us for long term.

Shreyansh Gattani: Got it. Just a couple of questions if I can put in. So these edge data centers by -- what's the lead time for this, like construction time? And when do we expect to operationalize them from T0, for example?

Ankit Saraiya: So construction time literally depends on the basis of many a things. When we handed over a land from RailTel, some of them are partially constructed, some of them are completely constructed where we are only fitting out the electromechanical work. So depending on the status of that particular location, the construction period changes. It can range from anywhere between 3 months to 12 months.

While we are already constructing 1 in Gurgaon and should -- as I mentioned, we should commission it by mid-December -- end of this month or mid-December. That will be our first edge data center going live. We should be beginning the second edge data center in Mumbai sometime around in the month of January. We should be handed over that location in January because they're still clearing out that area where they're handing over us the plot. So -- and then -- and we have already made an acquisition of another 15 locations to bring the work.

We have started to visit those locations. We are scouting for land along with RailTel, the one which is more suitable. So I would say, as per the contract, we are supposed to deliver 20 locations every year. But on practical terms, I guess, we'll see real action in execution of these

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projects from next year onwards, while this year, we should see our first one going live in Gurgaon.

Shreyansh Gattani: Sir, just last question for the Kolkata data center, do we expect the same amount of investment per megawatt as the Chennai center? Or is it going to be more optimized given our learnings from Chennai?

P.P. Gupta: I think it will be similar. Maximum of 5% to 10% savings.

Moderator: The next question from the line of Ashish Soni from Family Office.

Ashish Soni: Sir, what have you sensed in terms of ground situation in terms of transmission project because we see a lot of government

saying that we need to come up with a lot of schemes and [IVTs

0:50:42]. So but apart from this land thing, what are the other challenges you are seeing on the ground currently?

P.P. Gupta: So basically, land parcels and acquiring right away, which is often a problem. Some people object to the putting a tower foundation, although we are not in tower line building. For us, it is only a station which is butted and bounded once land parcel is acquired and handed over to us, but the ownership in India is so fragmented in these rural places that acquiring 150 acre or 100 acre, you have to buy out from no less than 100 landholders, doing documentation, involving commissioner level people, land revenue departments, checking their records, authenticity. So legal processes as well as information on the ownerships, willingness of the owners to part with the land parcels. All these are still in India a bit arbitrary and challenging despite 164 approval of Government of India, notification, all legal empowerments are there. But our courts do not function, or bureaucratic machinery is not all that efficient. But still, I will say, in the world, we are doing the best.

Ashish Soni: But do you see -- in terms of delay in execution because of all these factors? Or do you think government is coming or you guys are working with government to improve sort of because we keep on hearing next 2 to 3 years, at least, there is a lot of transmission being planned. So do you see any improvement in this area in terms of government policy, state government, something of that sort?

P.P. Gupta: Sir, firstly, I think we should talk when it comes to state, it is very, very state specific. But coming to ISTS region, which is a central government purview, the willingness is larger than the reality, I will say. They are all willing to improve, but there are so many government departments or government own ministries are involved that they are not sure of what may slip out where you know at times. So -- but nevertheless, I will say there is a lot better than a year back or 2 years back.

In countries like Europe or U.S. unless the whole land parcel or right of way are in [inaudible 0:53:28]. So the tender itself happens almost 2 years late. But in India, we are not waiting for all these approvals in place before tendering or carrying out these programs. So it's a kind of a hybrid situation where the agency along with government finds certain strategies.

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Moderator: Next question is from the line of Shekhar Singh from Buildmart.

Shekhar Singh: Sir, my question is, any guidance for fiscal year '26 and any scope of margin improvement there?

P.P. Gupta: No. You see, generally, these margins because there is a lot of competition today in tariff bidding. And post tariff bidding, there is not enough space with the asset deployer to give you a higher price to the solution. But still, I will say, the EBITDA achieved by Techno is one of the best in the industry.

Shekhar Singh: Also, sir, like, could the slowdown in state government implementing in smart meters impact our target of INR1,000 crore revenue in coming years because they have been like pretty slow in implementing these smart meters in their respective states?

P.P. Gupta: So the smart meter, I don't think we are slow. They have a delay in creating DDF. The direct debit facility is a part of the order, which they have to do the security documentation before the scheme implementation can be taken up because unless you have the commitment of the state government to pay through the banking channels from the very account he is having with him on revenue collection. The scheme has not achieved the zero date. The zero date is when DDF is created. So thereafter, it is going all right to my mind, then bit of interruption here or there. So far, it is so good.

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Shekhar Singh: Okay, sir. So basically, so we are in our right track to achieve the revenue targets of 2028 of around INR10,000 crores approximately?

P.P. Gupta: Yes, absolutely. There is no issue.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: The only question I have is given the fact that there is a huge amount of bidding, which has happened in the last fiscal and this first half, right? So in the sense, are you seeing a lot of inquiries, opportunities? And do you think there's a fair chance that we'll bid this guidance of INR1,500 crore additional order inflow in H2?

P.P. Gupta: Yes. Absolutely. More than that rather, I will say. In reality, like I shared out of INR1,500 crore, we are already L1 in INR670 crores, that's clear. And those concessions are already won by Power Grid. So I think before December end those orders will be converted. So there is no doubt, we can beat this number also.

Mohit Kumar: But we think is B2B by a wide margin, given that Power Grid has won roughly around INR80,000 crore in the first half, INR80,000 crores YTD. That's a very large amount, right?

P.P. Gupta: No, we do only station work and no other work, sir. Maybe out of INR80,000 crores, the station work is no more than INR4,000 crores.

Mohit Kumar: INR4,000 crores. Okay.

P.P. Gupta: Yes. We don't supply transformers, reactors. They procure directly. There are lines. There are HVDC packages. So all those are different types of solutions.

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Mohit Kumar: There are also STATCOMs. there are too many STATCOM packages there, right?

P.P. Gupta: STATCOM is not now. They have qualified us now. So we stand qualified in our own merit and experience. So we're part of it now. KPS1, KPS2.

Mohit Kumar: Those bids are under evaluation. Is that right, sir?

P.P. Gupta: Yet to be bid sir. They have issued inquiries to us now after qualification amendments.

Mohit Kumar: Okay. And how many bidders are there, sir, in STATCOM, 3, 4?

P.P. Gupta: There should be no more than 4.

Mohit Kumar: Understood, sir. My second question is on the -- given that, of course, the large amount of bidding is happening, right, which also means that we also have a fair amount of winning the new opportunities in TBCB, right? So how are you thinking about this opportunity? Are you seeing a lot of smaller opportunity where you can participate? Or do you think it's only larger opportunities are coming, and we are not interested in the larger opportunities?

P.P. Gupta: No, larger, we are definitely not interesting. We don't want to be part of this aggressive tariff bidding and RAs but up to INR750 crores or maybe in a -- where station work is larger than like, we may go up to INR1,000 crores. So that is our appetite, sir. As far as stand-alone, we are concerned, but definitely now many other companies are approaching us to be part of that like IndiGrid or Apraava. So we don't mind to be part of that as risk sharing. The question is what kind of risk or appetite you have for risk in all the asset ownership because asset ownership is not a business of Techno. Our business is EPC.

Mohit Kumar: But is it possible to take a smaller, smaller share -- smaller, smaller shareholding in these SPVs and get the EPC contract, that will be beneficial for us, right?

P.P. Gupta: Yes, we have done that. We did IndiGrid now in Dhule and Ishanagar. The 2 concessions they won, we have taken 20% stake in those SPVs. And we are executing -- deploying the solutions worth about INR1,000 crores.

Mohit Kumar: And, sir, any new opportunity, any new tender pipeline in the smart meter? Are you seeing that? Or is it very slow right now and most of them will get shifted to the next fiscal?

P.P. Gupta: You see in smart meter, we are not active, let me put it. If there is a good o

ppportunity, we can

get at our price and terms, it's okay. Otherwise, we believe counterparty risk is high. Having met with DISCOMs earlier in the power agreements, renewable power, we were the first IPV in the country in 1910 when we set up 200 megawatts and have gone through huge litigations with the tangent go to realize all our needs.

Mohit Kumar: The last question, inter est rate, sir. Are you seeing some movement? Are you seeing some opportunities which are coming up where you might be interested? Or is this very slow?

P.P. Gupta: Sir, there is no perfect answer to your question. But if there is any future opportunity, no , we won't miss out if it is multilaterally funded, bilaterally funded, we are always there. But if any Techno Electric & Engineering Limited

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DISCOM wants to do or any entity of state wants to do a project out of its own resources, we will definitely not be there.

Moderator: As there are no fu rther questions from the participants, I now hand the conference over to Mr.

P.P. Gupta: Thank you, and over to you, sir.

P.P. Gupta: Yes. Thank you to all of you for very active and healthy participation and for joining the conference call with us. In c ase you still have any query related to our performance, please drop out a mail to us to or do visit us whenever you are in this part of the country. We have equally large office in Gurgaon now. So Motorola Excellence Center in Sector 14 of Gurgaon, you ar e welcome to dropping and to see us actually see us on the work. And I thank once again, everybody, for joining the conference.

Moderator: Thank you. On behalf of Asian Market Securities Limited that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Techno Electric & Engineering Limited
Q3 FY'25 Earnings Conference Call "
February 12, 2025

MANAGEMENT : MR. PADAM GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – TECHNO ELECTRIC AND ENGINEERING
LIMITED
MR. ANKIT SARAIYA –DIRECTOR – TECHNO ELECTRIC
AND ENGINEERING LIMITED

MODERATOR : MR. SURAJ SONULKAR - ASIAN MARKET SECURITIES
LIMITED

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Moderator Ladies and gentlemen, good day, and welcome to the Techno Electric & Engineering Company Limited Q3 FY '25 Earnings Conference Call hosted by Asian Market Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Suraj Sonulkar from Asian Market Securities. Thank you, and over to you, sir.

Suraj Sonulkar: Thanks Dorwin. Good afternoon, everyone. On behalf of Asian Market Securities, we welcome you all to the Q3 FY '25 Earnings Conference Call of Techno Electric & Engineering Company Limited. We have with us today Mr. P. P. Gupta, Chairman and Managing Director; and Mr.

Ankit Saraiya, Director representing the company.

I request Gupta ji to take us through the overview of the company's quarterly results and then we shall begin with the Q& A session. Over to you, Gupta ji.

Padam Gupta: Thank you , dear . Very good afternoon to all of you and I welcome everyone to discuss Techno Electric's financial results for this quarter, Q3 and 9 months ended 31st December 2024.

Anything said on this call which reflects our outlook for the future or that could be construed as a forward -looking statement , must be reviewed in conjunction with the risks that the industry and company faces. Let me highlight our performance.

The company -- as you all know, the company has an SPV to set up a 40 -megawatt grid load data center. The asset is nearing completion stage for Phase 1 but still not revenue accretive, but value accretive which is – the consolidated results will knock off the financials of the SPV of the data center.

Let me now take up the Q3 results for the financial year '25. The total revenue for this year's EPC business is INR676 crores, up by 85% year -on-year. The EBITDA for the company is up at INR99.22 crores, up by 120% year -on- year. EBITDA margin for the company is at 14.68%. Other income for Q3 is at INR43.86 crores compared to around INR42 crores last year. The profit before tax for this quarter is at INR138 crores, up by 71% year -on-year. The PAT is at INR105 crores up by 35% and the EPS for this quarter is at INR9.

Looking on the nine -month results, the revenue is at INR15.90 crores, nearly INR1,600 crores by 33%, up by 33% year on year. The EBITDA stands at INR2.25 crores, up by 34% year on year. The EBITDA margin is at 14.17% compared to 13.4% last year. The other income is at INR105 crores. The profit before tax is at INR3.18 crores, up by 27%. The profit before tax is at INR2.50 crores, up by 25% to 34% and EPS is at about INR19 – about 22 compared to 19 last year.

The current investment value i.e. cash or cash equivalent is around INR2500 or INR2.20 per share. The momentum for order intake and bidding has continued very strongly for the sector as

well as for Techno also. We have a robust order book of around INR9,700 crores as of December 2024.

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We have received orders worth INR1,100 crores in this quarter, which takes the tally of this year to around INR7.50 crores. We are further L1 in around INR1,600 crores of business, which is expected to materialize within this quarter.

These are largely smaller substations on the power grid [inaudible 0:05:22] with the private sector players like Adani or Sterlite. We have various bids in the pipeline and are confident to get additional orders for around, another INR2,000 crores in this year, which will take the total orders book of the company booked during this year to around

INR3,500 crores. We should be

closing the year with an order book backlog of unexecuted orders of almost about INR10,000 crores plus, first time in the history of the company.

This simply reflects post-order execution for the current year with growth on a year-on-year basis. We'll have enough orders in hand to keep the growth momentum going. The company during the year has successfully raised a QIP of INR1250 crores during the current financial year. So, we have got a new reputed investor on board with us now.

On the outlook, I would say the growth momentum began in financial year '24 as I shared with you. In '22, '23, we were on an average doing INR75 crores per month, which improved to INR125 crores in the financial year in 2024. And this year, we are targeting INR200 crores per year from INR125 crores last year. And for this financial year, we should be expecting a top line of around INR2,400 crores and generally, the Q4 is about 30% of the top line. And this will tally with the already achieved revenue of Q3.

Next year, we will be targeting this to further move up to INR300 crores per month for the financial year '26. We expect larger business in transmission and data centers. As you all know, looking back, with almost negligible energy growth over the last eight years till as late as '23, in the last two years, we are seeing a high energy demand and the growth is almost happening close to double-digit.

The present big load demand in the grid is moving around 240 gigawatts and which is expected to be 400 gigawatts by 2030, thereby employing a per capita connection to grow from 1250 units to 1750 units by 2030.

To meet this demand, the power plant capacity is planned to be enhanced both in the conventional power by 80 gigawatts and as well as by renewable energy or energy transformation to achieve a target of 500 megawatts by 2030 and this also has been reaffirmed by PM Modi, yesterday in the India Energy Week.

This all implies that transmission into renewable power, I would like to share with you, is 4x over 1x in the conventional power. So all the things that sector is now full of -- is now transforming by deploying all the transmission capacity as required for renewable power and is now transforming by deploying IEN solutions, namely 765kV AIS/GIS transmission solutions, STATCOM Solutions, VSC HVDC solutions, best PSO facilities to make the renewable power eligible to be baseload power, and where your company has a larger presence than any other entity in this marketplace, particularly in building these stations.

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Your company is presently focused in the following areas, the transmission solutions, largely in 765 kV or 400 kV AIS/GIS, the smart metering, the LGD, which we call AQI solutions, the digitization/modernization of the power distribution, networks of the DISCOMs, and also hyperscale [engaged 0:10:58] data centers. From the current mix of 43% of total installed capacity, the renewable energy is expected to be around 64% by 2030 due to the growth of deployment is also around 16% CAGR compared to 4% in fossil fuels.

In the budget of the current year, the significant increased allocation is there for the renewable power sector which is almost 40% higher than the last year and is presently at around INR25,000 crores. The CA report of transmission of integrating 500 megawatts of renewable energy capacity by 2030 in the grid identifies various transmission links which aggregates around 15,000 per km of lines and another 4.5 lakh MVA of transforming capacity.

Following the addition to this ISTS, the international capacity will stand improved to around 168 gigawatts by 2032. The national electricity brand in transmission alone presents an investment opportunity of around INR10 lakh crore required over the next 7-8 years and in addition, I would

Id say in the budget you have seen the government has started concurrently focusing on building intra -state transmission system also for which they have allocated an additional 0.5% of GSD B.

Gross State Domestic Budget for all the states put together and this would bring the estimated opportunity to another 1.5 lakh crore. States have given a timeline of March '25 to submit their proposals for scrutiny by the Ministry of MNRE as well as MOP .

Apart from this, we are now seeing also opportunities for STATCOMS which we did earlier in partnership with overseas companies. The power grid has amended the qualification and STAT qualified off our own merit now. To support the board grid o n this critical mission, the data centers will also going to be creating a lot of additional demand for power.

As earlier mentioned just the government has also allocated 80 gigawatts of hydro and thermal capacity to augment the generation segment . Where we also have the balance of plant and switch yard facilities deployment and grid integration will be an opportunity. NTPC and DVC both have come out with a tender for grid integration and deployment of switch yards at four locations.

On the distribution s ide, the RDSS will see a lot of activity happening going forward. The smart metering is in execution in full scale to contain the distribution logic of the DISCOM is already visible. We are also focusing on strengthening power distribution networks to make them smarter, intelligent by their modernization as well as digitization. So the RDSS also has allocation of funds for city modernization which will also have an opportunity within the segment.

Around 32.24 crore meters are in various stages of award fo r the climate. Out of this, to my knowledge, about 130 million meters have been o rdered out, and only about 20 million stands installed till date.

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The finance minister in our budget of the current year also said the government will be incentivizing electr icity distribution and augmentation of the intrastate transmission capacity with efforts to improve their financial health and capacity of power farms. I believe this will open new opportunities for the investors.

The budget document also revealed that re form -based distribution schemes which also have the allocation of around 16,000 crore and they strictly aim at inviting private investment in this segment. I trust your company is clearly placed and is competent to be part of this program. Basically, all t his implies that the government is looking on providing financial reforms which are reform -based with an objective of ensuring 24 x 7 quality and sustainable power supply for all and a financial revival power sector.

The government further envisages suppo rt to DISCOMs in case they adopt reform packages, triple the ownership of distribution companies, adoption of various franchise models and distribution levels inc luding multiple supply franchis es. Apart from this, we are definitely requiring energy storage solutions like battery base or pumping storage of no less than 20% of this capacity and this will also have to be officially supported by any kind of capacity competitive power management solutions in the grid and we see significant activities where Techno is fully qualified and technically competent to be part of.

In FGD segment, we see a slow movement where government has finally extended the implementation period for three years and this is encouraging states to now order out the packages which w ere spent over last year, more than a year and we see that 5 to 10 gigawatts per year should be ordered out by the state electricity board and a bit from the private sector also in this space.

Our order on MTB is progressing very normally in Rajasthan. O n the transmission segment, the TBCB bidding is happening for almost 50 to

100 gigawatts now, and a lot of building is in progress. At the moment, we are finding that every month 4 to 5 concessions are being awarded to some player or the other in this spac e and the last one to enter is the Reliance Power, Reliance of Mukesh's wife company also in this space. So that's very exciting to know that the one more resourceful company is part of this segment and they find this space exciting and rewarding. Total bids open for transmission is around INR40,000 crores out of which Techno is expected to book orders for about INR2,500 crores per year over the next 2 to 4 years. We currently have orders worth about more than INR6,000 crores for transmission in this spac e without our own orders in TBCB. And we are led by another around INR1,600 crores worth of orders with this segment.

As you know, we are also successfully executing two possessions with a revenue stream of INR2,800 crores over the concession period. Simi larly, we have also won the concession of that line 2.5 million smart meters.

In the metering segment, we expect to get orders worth about 1 million meters every year and we have already got orders worth about 2.5 million with an investment target of INR2,500 crores

in this space. Out of this, we have already deployed about 0.5 million by now.
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Data centers, we believe that digitization and services or cloud, public or cloud, private is the most prominent reason that have led to the growth of the data centers and demand for data centers apart from other reasons such as 5G transmission and many more ISPs or IOPs in this space. The Indian data center market size is estimated to be about 2 gigawatts by 2025 and about more than 7 gigawatts by 2030. There is a substantial growth is being planned in this space, which may accumulate at a CAGR rate of no less than 20%. And in monetary terms, this may mean almost \$2 million investment per year, growing to \$5 million by 2030. The growth drivers in this space are public cloud adoption, data localization, policy incentives, digital transformation, technological developments to roll out 5G and AI. And we are the increasing adoption of AI and 5G, and virtual reality will revolutionize this space. IoT, big data, and cloud computing will be the next stage. Coming to our own Chennai data center, I will say that we are in a very advanced phase now of ready for operations of first phase of the 24 -megawatt IT load hyperscale data center at Chennai . This is now nearly coming to completion with a total capital involvement of about INR450 crores.

There is some delay in this project due to regulatory and permissions to be achieved from the local authorities, but it's a use, I would say, state -of-the-art first time carried out by Techno and also it is one of the best in this space in the country. And we'll be ready for service by March '26 and we expect it to be leased out in Q1 of the next year. Ankit, would you like to come in now?

Ankit Saraiya: Yes, sure. So just to give a brief on where we stand with our data center in Chennai. As mentioned, we are very close to achieving ready -for-service. We should be able to achieve RFS for this project by March '25 with the first phase of 5.6 megawatts up and ready for servicing the customers. We are hopeful to achieve the leasing of this capacity within the first three to six months of commissioning.

Having said that, for multiple reasons, this project for sure has got delayed, but for reasons which are not directly attributable to us, but largely due to the regulatory and permissions that are required to get the project up and running. Plus, there have been supply chain disruptions due to certain crises that unfolded in the Red Sea and as well as due to a shortage of semiconductors. But ultimately, we've pushed through and now see a possible ready -for-servi

ce by March '25, which is somewhere during the next month.

Having said that, now that we are in the final stages of rolling out the project, our interaction with potential customers has deepened and has increased. We are in deep discussions with certain global major cloud players and we have received very favorable responses from them. Domestically, we have reached out to customers in the BFSI segment, some content delivery network operators, some domestic cloud players, some public sector enterprises, and we have received very, very encouraging responses from each and every one of them. Particularly, we Techno Electric & Engineering Limited

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can mention about a significant interest by a public sector bank and a multinational private sector bank. And we are undergoing a formal evaluation process by both of them, which should be completed in the coming quarter.

Plus, we believe AI has really pushed the industry to greater heights and to larger opportunities. We see a very big surge in demand of data centers, especially for AI purposes. And our facility in Chennai is very much AI -ready, possibly one of the only data centers which are truly AI -ready because of the designed rack density and the cooling technology that we have used. Given this background, we have received significant interest from companies that are in the field of artificial intelligence and one of them is a Unicorn, which is actively discussing with us for an interest of 2 to 3 megawatts deep to begin with, which can potentially lead to a consumption of the entire data center.

Apart from this, I'm sure everyone must be aware in some shape and size about the India AI mission, which was kick -started recently and certain players are awaiting empanelment. We are in discussion with multiple such players to offer our data center for their infrastructure requirements. And given that this data center is truly AI -ready, we always find ourselves as one of the most preferred partners.

Apart from that, we have started building a very deep and strong network of distributors and channel partners through which we are reaching out to medium and small enterprises across the

country for their data center requirements, and we have received positive and significant interest from all sorts of enterprises to our partners, and we are closely working with them to engage with these companies in their digital transformation journey.

Apart from that, as we had mentioned, we are to execute edge data centers in 102 cities in partnership with RailTel Corporation. In that, we are very close to commissioning our first edge data center in Gurgaon. It should happen over the next 7 to 10 days. We can possibly say that 50% of that capacity is very close to getting leased or one can presume that it is almost leased. For the remaining 50% capacity, we are in active discussion with enterprises and the public sector. And within a month of commissioning this project, we are hopeful of leasing out the 100% capacity in Gurgaon. This is a small edge data center of 200 kilowatts.

The next location that we plan to commission is in Mumbai. This project will start construction by the first week of April, and we should see commissioning in the month of August '25. Mumbai is obviously the most preferred market for data centers, and we are at the heart of Mumbai in South Mumbai itself at Maha lakshmi. Couldn't have expected a better location for data centers. And we are in close discussion with one of the large conglomerates in India to lease out 100% capacity in Mumbai to them from the date of commissioning itself. Apart from this, we are in discussion with global hyperscalers for contracting at least 4 to 5 data centers in Tier 2 and Tier 3 cities. As the next step, apart from Gurgaon and Mumbai, we are looking to start developing data centers in the cities of Gandhi Nagar, in Bhopal, in

Guwahati, Bhubaneswar, and

Hyderabad. And these constructions will begin sometime during the year of 2025 itself.

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Apart from this, this is a little beyond the contract with RailTel that we are planning to commission a very small edge data center in Kolkata because of a significant interest by a global CDN player. And this will enable us for the first time to not only provide co-location services, but to also enter bare metal services as that is the requirement of the customer, and we look forward to engaging with that customer soon contractually and getting this data center up and running within the next 4 to 5 months.

As far as our data center in Kolkata is concerned, we have started the preconstruction activities. The design and engineering consultant is onboarded. The project management consultant is onboarded. The local consultants for building plan approvals for fire approvals and other approvals as required have been onboarded. We have even started very basic construction of compound wall at this location. And we are hopeful of commissioning the project in Kolkata by mid-to-end of 2027.

Apart from this, excitingly, we are now gearing up to start our services in Infrastructure as a Service space. We are launching services on the Infrastructure as a Service space. By providing private cloud services, we are in discussion with a couple of customers for their private cloud requirement and are very close to closing these contracts and provide cloud services as a -- in a private cloud model during the second or the third quarter of the financial year '26. As of now, I can say that we have an active funnel of upwards of 10 megawatts with some key cloud opportunities.

On the organizational side, we have recently onboarded Mr. Amit Agarwal as President of Data Centers. He was earlier the Chief Business Officer for the joint venture of Iron Mountain and Web Werks. And we are building a significantly sizable sales and marketing set up to reach the market 100% by ourselves. And for enabling that setup, we have recently launched our office in Mumbai at Lower Parel.

That's on the data center side and would be happy to take questions during Q&A.

Padam Gupta: Thank you. As you are all aware, during the last 5 years, the company has successfully created and monetized the assets in renewable power generation and transmission. We were the first mover in IPP in renewable power or PPP model in transmission and all those assets monetized enabling us to have cash, which is along with QIP cash now at INR2,500 crores to be deployed in the next phase of growth of the company.

And as I mentioned the company is almost now full folding last 3 years from INR75 crores per month to INR300 crores by March '26 that is the target INR200 crores during the current year. We reaffirm that our EPS for this year no less than INR35 as committed and for next year -- next year or current what I want to say INR45, INR46 it will be almost INR50 plus.

So with this, I invite the questions and we'll be happy to detail further.

Moderator: We have the first question from the line of Resham Jain from DSP Asset Managers.

Resham Jain: So my question is to Ankit on data centers. If you can just -- given that there are multiple things which are happening in Chennai, new plant or new setup coming in Kolkata and then multiple

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edge data centers. Next 5 years, what kind of revenue, EBITDA and capital employed will go into data centers? If you can just broadly directionally tell us how are you thinking about the same?

Padam Gupta: Resham, I will say that you are asking a young person. It's a very mature question, number one. And two, you can on an average stake in next -- if everything goes as projected, data center will become

the face of the company. That's how we are projecting going forward. And if not in 5 years, at least by 2030, we should have a capacity of no less than 250 megawatts at least in locations no less than 100 countrywide, including as data centers and we are definitely will be looking for revenue of no less than, I would say, almost about \$0.25 billion, \$250 million per year if not more out of this capacity. With this, Ankit, you would like to add more?

Ankit Saraiya: Yes, sure. So I think the way things are going to day, it's very difficult to point out because the industry is very, very dynamic, Resham. If you see what happened over the last 15 days in the industry from US announcing \$500 billion for AI infrastructure and then the announcement of the largest data center in Jamnagar and then going to what we all heard about from China, which is DeepSeek, that is how dynamic and disruptive this industry is. Ultimately, the infrastructure when we talk about for any such application, it is data centers only.

In such a disruptive industry, it gets very, very difficult for us to become very predictable in nature on seeing what we can feel in what it would be in next 4 to 5 years. But in most conservative sense, as EPG put it up that we should see at least 200 to 250 megawatts come in by Techno Electric and at least \$250 million of revenue flowing in from data center and its allied services. But let me say that the way this industry is unfolding, it has immense opportunity and one has to keep unlocking them and growing with them. And ultimately, it may end up sounding and shaping very different than what we all envisage today.

Resham Jain: Understood, very clear. And sir, my second question is on the transmission business. Last year, there were certain supply chain kind of challenges whereby getting the material itself was not easy. Are you seeing some of those challenges residing and receding? And how is the execution looking like from your side?

Padam Gupta: Those challenges will remain and it continues, number one. But probably Techno is the oldest player in this segment and our relationships with all the suppliers is of a partnership. And we are also consuming no less than 10% of the supply chain in this segment today in the market. And this is likely to be 15% by next year. So we are hopeful despite all these challenges, we'll be able to get loyalty from our partners. The supply chain will remain a concern for the overall market, but not challenging I will say.

But largely the land parcels where we got delayed in the first half of the year was the land parcels are becoming difficult for the concession [baggers 0:41:58] to arrange and hand over to us for the deployment of the facility. That is delayed in the first 2 quarters. Now all those are available, except 1 or 2 still to be given by Power Grid and a private player. But now we mostly have those land parcels and hence, you see the growth in the output also.

Moderator: The next question is from the line of Saurabh Shah from AUM.

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Saurabh Shah: So I wanted to check with you, these orders that we have for the edge kind of data centers and the other government contracts. In terms of margins, how do we expect them to pan out given the nature of your contracts and the environment that you see for procurement, etcetera, could be a longer execution time line?

Padam Gupta: Edge data centers are concessions to us for 20 years, extendable by 5 years more. So these are revenue-sharing agreements with the realtor and margins will be all guided by the tariffs or leasing rentals on which we can deploy these facilities and for what applications they get deployed. So as Ankit has already mentioned to you, these are bit growing up, disruptive but rewarding situations. So the margins are difficult to say in a concession be

cause they will be all

measured as IRR of the investments in this case, which we hope it will be not less than 20%.

Ankit, would you like to add?

Ankit Saraiya: Yes, because these are BOT contracts, sort of a BOT contract over a period of 20, 25 years, one has to look at it more from the perspective of cash flow and IRR. We are hopeful of achieving high teens or early 20s in IRR for these projects. So there is no real upfront of any margin as an EPC that we can really compare it to a transmission EPC that we do additionally.

Saurabh Shah: We have followed the company for many years. And in the past, we have been very careful about ensuring that we take higher margin projects. So this seems to be slightly more open-ended and the question of pricing and all that to some extent doesn't stay in our hands. So just wanted to check how you guys are looking at that decision.

Padam Gupta: It is more rewarding than our EPC. That's what I 'll say.

Moderator: The next question is from the line of Abhijeet from ICICI Securities.

Abhijeet : Sir, first of all, on the data center business, what is the kind of capital that we have employed already? And going forward, what is the capital allocation plan for the Chennai data center?

Padam Gupta: Yes. We have deployed INR450 crores by now. That is for Phase 1 and maybe another balancing requirement of INR25 crores plus/minus more in closing out. The next phase we will take up only after this phase is fully deployed. So you can say that we will be spending another about INR500 crores to INR600 crores over the next 2 years, say, by March '26 . Chennai data center, we will see another INR600 crores. But that will start only second half of next year.

Abhijeet: Sir, and the revenue accretion from this capital that we've employed already of INR450 crores , so that revenue accretion we're expecting from maybe H2 FY '26 or FY '27? Is that the correct understanding?

Padam Gupta: It starts off '25-'26. Q2, you can say it will start flowing.

Abhijeet: And sir, on the non -hyperscale data center, like the edge data centers like Gurgaon , Bombay, and the RailTel ones. So what is the kind of capital allocation plan there? Is there a plan in terms of capital allocation? Or it is like as and when we see a good opportunity in the edge data centers, we'll go for it?

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Ankit Saraiya: No. So let me clarify this for you regarding Chennai first and then coming to the edge data centers. As mentioned, Chennai data center should start seeing revenue start flowing from second quarter of financial year '26. Going forward, one can expect INR200 crores to INR250 crores of capex behind Chennai data center annually for expansion of the phases until we have commissioned the entire 24 -odd megawatts. Having said that, you'll see revenue start flowing from the second quarter of financial year '26.

In regards to edge data centers, obviously, it depends on how things shape up in the industry, but we target to at least put in -- as contract requires, we have to set up 20 locations every year. But on a practical basis, we assume we will be starting anywhere between 8 to 12 locations every year, and that is due to the contract that we have with RailTel.

But the locations that we choose will dictate the capex involved because each location may not be of the same size data center. Each location may be different. For instance, Gurgaon was a smaller one with 200 kilowatts, while Mumbai is a larger one, which is going up to about a little more than 0.5 megawatt.

Similarly, the ones which we are discussing in Gandhinagar and Indore may go up to anywhere between 1 megawatt on an average. Similarly, Bhopal may be around 1 megawatt again. So each location is differently sized . Not all locations are the same. And depending on the number of locations we pick up in

a year, the capex would be dictated accordingly. But in all possibilities, we will see at least INR150-odd crores to INR200 crores of capex annually once the RailTel project comes in a smooth operating procedure.

Padam Gupta: But I may like to add, as you rightly said, there will be opportunity waste that the priority will be decided based on the opportunity. And capex will be, as Ankit has said, around INR200 crores plus/minus for the year depending on the capacity mix at each pocket.

Abhijeet : So essentially around 8 to 10 to 12 locations in terms of the data centers per year and each one would be about 500 kilowatts to 1 megawatt on an average.

Padam Gupta: Absolutely right. To start with, but they will keep building up as they get that location gets firm up over the years, they will go up further into the capacity.

Abhijeet : Sir and secondly on the T&D EPC business, I did not catch the order inflow number, if you could repeat for Q3 and the 9 months FY '25?

Padam Gupta: This year as I said the total order intake will be about INR3,500 crores. We have already booked orders worth about INR750 crores by now or INR1,800 crores. And this quarter, it is around INR1,100 crores. We are also L1 in another INR1,600 crores which will be converted into orders and concessions won by the developers already. So it's in the formality of their acquiring SPV land parcel and releasing of the orders by power grid.

Lately, they are believing unless they have a land parcel, they will like to delay issuing LOI. But they are committed to issue so. So it will be about INR3,500 crores this year and we should close the year with an order backlog of INR10,000 crores plus.

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Abhijeet : So this INR3,500 crores is essentially entirely T&D EPC?

Padam Gupta: Yes, absolutely EPC.

Abhijeet : And what about the non -T&D part of it like the power gen or the smart metering business?

Padam Gupta: No. Then we are executing FGD order. As you know about unexecuted part is still about INR1,250 crores that will take another 2 years to complete. Then also we have a distribution side business on the digitizing or modernizing the distribution network about INR300 crores we are doing for DVC and we expect more business in this space. Similarly, we are deploying smart meters, that is another business of INR2,500 crores. Additionally, we have our own TV CB projects with a capex of about INR700 crores plus minus.

Abhijeet : Right sir. Thank you so much for answering that. That is all from my end. Thank you sir.

Moderator: Thank you. We have the next question from the line of CA Garvit Goyal from Nvest Analytics. Please go ahead.

Garvit Goyal : Congrats for a decent set of numbers. My question is on the data center only. Like you mentioned from Q2 FY '26, Chennai data center will start contributing to the revenue. So I just want to know like what is the anticipated contribution that will be there in FY '26 from that data center to our top line, sir?

Padam Gupta: Honestly, we have not considered it. If something happens it will be upside. You can take it. But on an average, we do expect that we should at least target to have about INR100 crores with ranging from anywhere INR50 crores to INR100 crores minimum for the year.

Garvit Goyal: Understood sir. And secondly on the guidance part like this year we have a guidance of INR2250 crores on a consolidated basis. So are we sure like to achieve that guidance, we have to do around INR800 crores in Q4. So are we confident enough to do that number, sir? And secondly for next year, I think earlier you have guided for EPS of INR50. And this time in opening remarks if I have heard right you mentioned INR45. So what is the reason for this decline?

Padam Gupta: No, I have not mentioned INR45. Firstly, I mentioned this year we should be doing an average

of INR200 crores. And generally, Q4 is about 30% of the top line. So definitely, it will be INR750 crores to INR800 crores somewhere as a Q4 and 35 will be EPS and 25, 26 I said our top line will be about INR300 crores per month. So you can expect a top line of about INR3,500 crores, INR3,600 crores and EPS of INR50. That's what I reaffirm.

Garvit Goyal: I think I heard it wrong. But I think these are standalone numbers. What about the consolidated top line, sir?

Padam Gupta: Sir, in consolidation there is not a very large difference because they are only meant for our own concessions. They are only accounting requirements per se. So it is not going to be very different, I will say, at least for next year.

Garvit Goyal: And what is the margin guidance sir?

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Padam Gupta: It will be same about EBITDA of 13 % to 14%. You can take 14% plus minus.

Garvit Goyal: Got it, sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Murtaza from Avendus Capital. Please go ahead.

Murtaza : My question has already been answered. Thank you.

Moderator: Thank you. We will move to the next question, which will be from the line of Ashish Soni from Family Office. Please go ahead.

Ashish Soni: Sir, regarding data center, the services which you want to offer I think you said about a lot of gamut of services. So any particular services because you gave a whole, so what's our view in terms of leasing out what sort of services because I was not clear on that?

Padam Gupta: Ankit, you would like to answer?

Ankit Saraiya: Yes. So in data centers, always the most basic service that...

Padam Gupta: Ankit are you there?

Moderator: Ankit sir are we audible to you?

Padam Gupta: Since he has dropped out can you repeat your question sir.

Ashish Soni: I think the data center - I think Ankit mentioned about gamut of services because you mentioned a lot of customer discussion. So what is our take which services you want to prioritize and any particular reason behind it? So I just want to understand because I heard colocation, I heard infrastructure as a service. So I just want to understand that in better?

Ankit Saraiya: Am I audible now?

Padam Gupta: You drop in your Delhi office. Ankit are you back.

Ankit Saraiya: Yes am I audible?

Padam Gupta: Yes you are audible.

Ankit Saraiya: So as I was mentioning, apart from colocation services which is the basic service that we plan to provide, we are also now looking to expand our services into bare metal services, infrastructure as a service can include a significant...

Moderator: Your line is not clear.

Ankit Saraiya: Hello.

Moderator: Yes sir. Please go ahead.

Ankit Saraiya: Am I clear now.

Moderator: Sir you can go ahead.

Ankit Saraiya: So as I was mentioning Infrastructure as a service we include bare metal services, we include cloud services, private cloud services, white glove services, amongst others.

Ashish Soni: So let me be more specific. So for Chennai, which of the services do you want to sell and maybe for the next round for Kolkata, which of the services do you want to sell because interest by the way had a lot of interest from a lot of customers. So what's our take on that?

Ankit Saraiya: So when we talk about any data center, we will build our portfolio of services around them. So for all the data centers that we come up with whether it is Chennai, whether it is Kolkata or whether it is the edge data centers, we will be having the operational bandwidth to provide all these services from all of these data centers.

Ashish Soni: That is okay. What I'm trying to understand then we want to lease it out to our customers. So what's our preference in terms of what we want to sell because now what I heard is there are a

lot of customers already in pipeline. So how are you picking choosing this services and customers?

Ankit Saraiya: So we would like to address all sorts of customers. We are not limiting ourselves to any particular type of customer or a customer which prefers a particular type of service. So for instance, in Chennai today, we are in discussion for colocation service. We are also in discussion for bare metal services.

Similarly, in Calcutta, we are in discussion for bare metal service to a content delivery network while we are in discussion with a couple of customers for private cloud services out of a data center in Gurgaon and Mumbai. So they are different depending on the customer and their requirements.

Ashish Soni: So is there a strategy to get a reference for each of the services with a good customer or is the profitability greater? I'm trying to understand that strategy from the management.

Ankit Saraiya: So profitability is not that we are compromising when we are providing any of these services. All of them are equally or more profitable than each other. There is no preference of the management when it comes to choosing which service we rather choose over the other.

Moderator: The next question is from the line of Rohit Singh from Nvest Analytics Advisory LLP. Rohit Singh, your line has been unmuted. You may proceed with your question.

Rohit Singh: My question are already answered.

Moderator: The next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: My question is related to the data center business only. Recently, we have heard that DeepSeek's entry into this industry will have an adverse impact on the data center companies. So I just wanted your views on the same. Are we seeing any negative impact on our business?

Ankit Saraiya: Actually, look at DeepSeek's and its development, I would say it's actually a very, very positive development instead of negative. I do understand where the negativity stems from, but one needs to appreciate that in a very disruptive kind of technology, which has recently got innovated, such kind of disruptions are a way of life, and we'll see more of it coming in news time-to-time. And these disruptions are actually very, very good for any industry because the more affordable and accessible the technology becomes, the cake size increases, the market size increases, and therefore, the demand always remains at peak. So there is never that any disruption causes lack of demand.

So if tomorrow's infrastructure requirement reduces and prices for the end consumer improve, we'll see more market participation, and therefore, automatically, the cake size of the industry will increase. That is what happened in the telecom sector when Jio entered. It never -- while they were able to run at a bare minimum infrastructure and reduce the cost of telecom services to the end customer, but the entire market size went possibly 4x.

Saumil Shah: Basically, I mean, we are seeing a positive impact rather than a negative impact?

Ankit Saraiya: No. Absolutely.

Saumil Shah: And sir, my final question. Sir, we have been guiding INR50 EPS for FY '26 and INR75 EPS for FY '27. And in one of the calls, even we mentioned that we are expecting INR25 to INR30 EPS only on the data center business by FY '27, FY '28. So this would be over and above our guidance of INR75 for FY '27?

Padam Gupta: No. That data center will become part of this INR75 going forward. [inaudible 64:37]. On the EPS, yes, but not value accretive will remain in the subsidiary separately.

Saumil Shah: Sorry, I didn't understand?

Padam Gupta: One is revenue part, and one is value accretive because businesses are valued differently whether it is transmission or AI or data centers. What I'm sayin

g is the value accretive part of the asset is not part of EPS. EPS is purely revenue -based.

Saumil Shah : So basically, you mean to say due to data center business, we can get more valuation. That's what you mean to say?

Padam Gupta: No. I'm not saying that. Whatever revenue we generate or EBITDA we generate will be very from the transmission business. That is why 50 becomes 75. That's what I'm trying to say as in the rating.

Saumil Shah : So the increasing business would be from the data center side?

Padam Gupta: Right, in '27. As in EPS, I think top line would grow proportionately .

Moderator: The next question is from the line of Sam Sangwan from Finvestors.com .

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Sam Sangwan : Sir, congratulations for putting a good set of numbers. Actually, my question was regarding data centers effect of DeepSeek AI advancements on data center business, but I think already you have covered already.

Moderator: The next question is from the line of Lakshay Agarwal from Growthsphere Ventures LLP .

Lakshay Agarwal: So my question is directed to Ankit, sir. So I just wanted to understand that we have like 2 data centers, which we are working on, the Chennai data center and the Calcutta data center. And both previously, which we were planning to just do the EPC part, but now we are focusing on colocation. So I just wanted to understand that on a per megawatt basis, how much is the rental which we are looking at either on a monthly basis or on an annual basis? And how much margins we foresee from that?

Ankit Saraiya: Yes, you can presume a rental of about -- if we are looking at a pure colocation service without any infrastructure as a service, then in that case, we can expect a revenue of about INR10 crores to INR12 crores per megawatt annually of the commissioned capacity.

Lakshay Agarwal: And in terms of the margin profile for the same, how much would it take to operate it?

Ankit Saraiya: So EBITDA margins of about 80%.

Lakshay Agarwal: And secondly, as you mentioned we are also working on Infrastructure as a Service. So how much is the additional cost which is required for a per megawatt basis to get the server set up and everything? And then additionally, how much is the rental which we can expect for the same?

Ankit Saraiya: So generally, Infrastructure as a Service can be set up in 2 models, which can be largely capex -based or opex -based. We would possibly adopt a more opex model for infrastructure as a service rather than capex .

Lakshay Agarwal: Can you be a bit more elaborate on the opex part? Like when we say that opex , so will we be taking the service on rent itself? Or how are we planning to do?

Ankit Saraiya: Yes, you can possibly take the hardware and the technology, which is built on the hardware for these kind of services on more of a lease model or more like a subscription model from technology service providers and then provide it at a higher margin to the end customer.

Lakshay Agarwal: And in terms of our edge data centers, so is it just a build -operate -transfer model or we will also be managing it for RailTel?

Ankit Saraiya: No. So it's a build -operate -transfer model where we transfer the asset back to RailTel after 25 years. For the first 25 years, we have to operate and maintain these assets as well as bring customers for these assets, provide them with O&M services or any other service that we want to, and then the revenue gets shared with RailTel.

Padam Gupta: No, this is called DBFOOT model, develop, finance, own, operate, and transfer post -congestion period.

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Lakshay Agarwal: And sir, would it be possible if we could visit the Chennai data center?

Ankit Saraiya: Yes, absolutely. Most welcome. And we would love for you to even visit one of our

edge data

centers in Gurgaon, which is now almost commissioned.

Lakshay Agarwal: Okay, sure. I'll reach out for the same.

Padam Gupta: Please drop in our Gurgaon office, and you will have more insight into the business.

Moderator: The next question is from the line of Chinmay Kabra from Emkay Global Financial Services.

Chinmay Kabra: So just in continuity of the previous participant's question, just wanted to understand the rentals that we are projecting from the IaaS services that we will be offering. And just wanted to really understand by when are we may be planning to bring up the IaaS service on a full -fledged basis ?

Padam Gupta: Ankit?

Ankit Saraiya: I'm not clear on the question. What services?

Chinmay Kabra: So the costing aspect, you mentioned that there are 2 models, capex and opex . I wanted to understand the rentals that we are projecting from the IaaS services that we will be offering ?

Ankit Saraiya: Yes. So saying that any kind of value -added services or services out of Infrastructure as a service, it's very difficult to today estimate a revenue out of it or a margin out of it because these opportunities are today limited with us, and they will take time to build. And at least for the initial year or 2, they will be contributing a few percentage only to the colocation services.

Chinmay Kabra: And for the IaaS services that we are planning to again provide since we will be sourcing the hardware and the tech, do we have any plan in terms of will we be sourcing it from outside India or from India itself?

Ankit Saraiya: So see, most of these -- today, most of the technology is available in India. And there are global players as well as some domestic players, which are providing these platforms. So depending on the end customer requirement, we may source from either of them because some customers have a preference for domestic players given neighbouring country regulations and rules and some customers have a preference of global players given the majority of the technology. So it would really depend as per customer preference.

Chinmay Kabra: Just wanted to take one last question if it's fine. So just wanted to understand in terms of the smart metering business, what is the number of smart meters that we have -- I mean, which have been given operation go -live status? And I mean, is the receipt of money for setting up the smart meters moving smoothly?

Padam Gupta: Yes, it is going very smoothly. We have already achieved this set of about 4.5 lakh meters . In the state of MP at Indore for about 1.75 lakh meters, another about 2.75 lakh meters in Srinagar and Jammu in Kashmir and they are going very well. There is no challenge. Ministry of Power conducts a review meeting every week with all these states DISCOMs , and they are very serious to make sure no wrong happens in smart meter deployment and payments.

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Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing remarks. Over to you, sir.

Padam Gupta: Yes. Thank you very much, I would say, to all of you for joining the conference call. And in case you still have any query related to our performance, please drop a mail to us. And if you happen to be on this side of the city, you are most welcome to visit us. Our data center at smart meter business happens from Gurgaon office, which is on MG road. So you are welcome to visit whenever you are on that side of the town. And I thank you once again for each one of you for joining the call.

Moderator: Thank you. On behalf of Asian Market Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

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"Techno Electric & Engineering Limited
Q4 FY'25 Earnings Conference Call "
May 29, 2025

MANAGEMENT : MR. PADAM GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – TECHNO ELECTRIC AND ENGINEERING
LIMITED
MR. ANKIT SARAIYA –DIRECTOR – TECHNO ELECTRIC
AND ENGINEERING LIMITED

MODERATOR : MR. SURAJ SONULKAR – ASIAN MARKET SECURITIES
LIMITED

Techno Electric & Engineering Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Techno Electric & Engineering Company Limited Q4 FY '25 Earnings Conference Call hosted by Asian Market Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Suraj Sonulkar from Asian Market Securities Private Limited. Thank you, and over to you, sir.

Suraj Sonulkar: Thanks, Navya. Good afternoon, everyone. On behalf of Asian Market Securities, we welcome you all to the Q4 FY '25 Earnings Conference Call of Techno Electric & Engineering Company Limited. We have with us today, Mr. P. P. Gupta, Chairman and Managing Director; and Mr. Ankit Saraiya, Director, representing the company. I request Gupta Ji to take us through overview of the company quarterly results, and then we shall begin with the Q&A session. Over to you, Gupta Ji.

Padam Gupta: Thank you, Suraj. Very good afternoon to all of you, and welcome, everyone, to discuss Techno Electric financial results for Q4 and year ended 31st March 2025. Anything said on this call, which reflects our outlook for the future or that could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the industry and in turn, our company faces.

Let me highlight our performance. When we look at the Q4 '25, the total revenue of the company stands at INR812 crores, up by 68% year -on-year, probably better than any of the previous quarters. EBITDA for the company stands at INR02 crores, up by 74 % year -on-year. The EBITDA margin is at 12.64%. The other income is INR69.75 crores compared to INR30.86 crores last year, up by 126%. The profit before tax is INR167.18 crores compared to INR83 crores last year. The PAT is at INR132 crores , up by 91% year -on-year and EPS is at INR11.42 per share.

If we look at the whole year at the close of the year, the revenue stands above INR2,400 crores, that is 2.04 times up by 43% year -on-year, which is so far all -time high for the company. The EBITDA for the company is at INR328 crores, up by 45% year -on-year. The EBITDA margin is at 13.66%.

The other income is at INR175 crores, up by 34% year -on-year. The profit before tax is at INR85 crores, up by 45% year -on-year. The profit after tax for the company stands at INR 428 crores compared to INR269 crores, up by 59%. The EPS is at INR37.65 compared to INR25 last year.

We have been getting compressed schedules due to delays in acquiring land parcels by our customers for setting up of the facilities and they want their projects to be operational as per COD dates, forming part of their concession agreements. They are ready to even incentivize us to achieve these compressed schedules.

We are pleased to share with you that we have commissioned a 20 -bay, 765/400 kV Prestigious Sikar Substation of grid comprising 99 elements of transformer, oblique reactor, that is Techno Electric & Engineering Limited

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equivalent to 3 gigawatts of transforming capacity and 1.2 gigawatts of reactive capacity. A project of the power grid in a record time of 9 months. First time in the country which otherwise would have taken in the past, normally 2 years or more.

Similarly, now we are bettering the timeline on the behest of power grid in setting up of a prestigious 33 -way substation of 765/400 kV at Dausa comprising 28 elements of transformer and reactors which are equivalent to 3 gigawatts of transforming capacity and another 2 gigawatts of reactive capacity.

This is a wonderfu

l journey for the company. I'll say a compressed schedule increases the productivity of the resources deployed, which includes mechanized construction equipment, skilled labor forces, and the cost of bulk procurement of local inputs, materials. The compressed schedule further helps in optimizing the establishment costs and thereby increasing working capital efficiency.

This is now being practiced in other ongoing projects at Bidar, Kharagpur, Lakadia, Anandapur, and many more. During the year we have successfully commissioned projects at 17 locations all over the country. Apart from this, in spite of increasing the revenue, we did not let our balance sheet stretch in terms of the working capital requirement due to better capital management, focus on cash flows, and efficient utilization of resources.

Additionally, we have been able to convert our efficiencies into cash. This is evident from the numbers that our cash flow from the operational results, which you may have observed that the company is cash positive by INR837 crores compared to a negative of INR337 crores in the previous year. This was possible as we have been able to convert trade receivables into cash, there was hardly any increase of debtors compared to previous year despite increase in revenue by almost 50%.

The customers often spoke the performance and this has gone a long way. I'm further pleased to share with you that the current investment value, which is cash and cash equivalent as of the year-end stands at around more than INR2,500 crores, that is about INR220 or INR225 per share. Techno has been able to garner the better operating margins consistently over the years in this space compared to peers. We have been able to convert the profits into cash on our balance sheet and have one of the efficient working capital management processes in practice.

The reasons are simple but needs to be practiced meticulously like speed of execution, thereby ensuring timely completion of project, the timely collection of receivables, including closing of the projects and realization of retention money, avoiding interest -yielding advance from the clients, better credit terms from the vendors backed by commitment to pay in time, so that the cost of procurement is within acceptable limits.

Due to better working capital efficiency, we have been able to be a debt -free company since beginning. We have never borrowed for our EPC business other than for our own asset deployment businesses. Apart from that, over the past year, 5 years, as you know, we have monetized most of the assets in renewable power, transmission assets, and have collected cash of INR1,500 crores. But additionally, we also collected INR1,250 crores out of the QIP, which Techno Electric & Engineering Limited

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we want to. We have a program of about almost about INR10,000 crores in hand to be deployed in next 3 years.

Out of this, we have already deployed about INR1,250 crores in last 2 years as capex in our SPVs for setting up of data centers, including edge data centers, AMI projects, and transmission projects acquired in TEECL remote and also execution in partnership with IndiGrid at Dhule and Ishanagar.

The company is pleased to inform that Chennai Data Center Phase 1 is nearly complete, and Edge Data Center at Gurgaon is ready for operations. We expect during the year to deploy Edge Data Center at 10 locations and also deploy smart meters of more than 1 million in number, and we plan to successfully complete substations of 765/400/220 kV levels at more than 20 locations countrywide in EPC mode and for our own concessions.

You will be happy to know that we are deploying 220 kV GIS substation in the highest altitude

of the country at Ladakh and Kashmir, at 4 locations. And our labor never vanished during the Pakistan war. The patriotism was also high degree in our labor force working very close to Pakistani

border and China borders.

The order book momentum for bidding and order intake has increased in the second half of the year for the sector and as well as for the Techno. We have robust order book at around INR11,000 crores as of March 2025, which is highest in the history of the company.

We are L1 in orders worth INR800 crores already. We have received orders worth INR2,000 crores plus in Q4 itself, which takes the order for the year in total to more than INR 4,150 crores, and our guidance for the year was around INR3,500 crores. We expect the order book momentum to continue, and the order intake in this year is also expected to be around the same level. This simply reflects we will have enough orders in hand to keep on the growth momentum for next 2 years.

Our Board have already announced a dividend of INR9 per share, which should be to the delight of all of you. Building on the growth momentum witnessed in the last 2 years, as you all know and as we mentioned in our last Q3 meet, that our monthly revenue of INR75 crores in financial year '23 is presently at INR200 crores now. And this is further planned to be enhanced to INR300 crores per month in the current year. That is the target of the company of INR3,500 crores to INR3,600 crores this year.

This confidence stems from our already achieved performance in last 2 years successfully. With this, the ratio of order backlog to execution will also come down to 3 to 3.5, which is the industry norm. In the meantime, the company will continue to grow up its strategic presence in data center space, and the total deployed capacity by the end of the year is expected to be around 25 megawatts and at least 50 megawatts by '27. We are pleased to inform that Chennai data center has been considered eligible for deployment of AI-based applications, including clouds.

The outlook is very, very promising, continues to be promising. India's energy landscape is undergoing a significant transformation, from historical sluggish energy demand growth over last decade to now registering nearly double-digit growth driven by peak load targets scaling Techno Electric & Engineering Limited

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from 260 gigawatt to an ambitious 400 gigawatt by 2030, or latest by 2032. To bridge this demand-supply gap, strategic investments are being channeled into advanced transmission systems, mostly at 765 kV, backed by STATCOM's VSC HVDC, where we enjoy a strong market position.

On the distribution front, massive smart metering rollout under RDSS and new reform-linked distribution system strengthening schemes will drive digitization, efficiency, and private sector participation, which may be another area of focus for us. The generation segment has also revived meaningfully with the government deciding to add another 80 gigawatt of thermal capacity but mostly through supercritical and ultra-supercritical technologies in place to have the emissions in control, opening up substantial opportunities on the balance of plant and power evacuation infrastructure and switchyards on grid connectivity to this generative capacity.

Simultaneously, the data center ecosystem is undergoing a paradigm shift driven by AI, cloud 5G, data localization imperatives. The market is expected to more than double by 2030. Our investment in hyperscale Edge Data Centers in Chennai, Kolkata, and across Tier 2, 3 cities via rail are very timely and strategically positioned to be value accretive and capitalize on this. We believe this convergence of energy transformation and digital infrastructure. I will again repeat this. We believe this convergence of energy transformation and digital infrastructure offers a multi-year high-growth opportunity.

Techno Electric is strategically aligned, technically equipped, and financially sound to scale alongside India's ambitious, India's aspirations in both these mission-critical sectors. So Techno

Electric

is very differently placed than many other companies in transmission line work.

Let me give you a brief outlook and opportunities, sector by sector. The key drivers for the transmission sector are integration of 500 gigawatt to grid needs almost 50,000 circuit kilometers of transmission lines. But more importantly is 433,000 MVA transformation capacity, all-time high in the country.

The national electricity plan as we say this is INR9.2 lakh crore capex by 2022. The power grid has already announced a capex of INR 1 lakh crores in next 3 years in ongoing 3 years with INR1.75 lakh crores by 2030. In the finance budget, the Finance Minister budget speech of 2025, the government will incentivize the electricity distribution companies on augmentation of interstate transmission capacity amid efforts to improve financial health and capacity of power fronts.

And additional borrowing of 0.5% of GSDP will be allowed to states contingent upon these

reforms. This would bring an estimated opportunity of another INR1.5 lakh crores over next 2 years.

The EPC opportunities in the segment. The TBCB model of projects will increasing private participation continues. The high -end technologies like 765 kV AIS/GIS solutions backed by STATCOM or VSC HVDC will be the necessity to sustain this energy transformation and injection of renewable power in the grid.

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Interregional corridor strengthening, green energy corridors for RE evacuation, if your market for Techno will comprise on the pipeline of INR40,000 crores currently out of which Techno's potential will not be less than INR2,500 crores to INR3,000 crores p er year and for the next 4 years. We currently have orders worth of INR,500 crores in transmission segment, EHV transmission segment.

And we, as you know, we also have two concessions in TBCB in Gogamukh and Bokajan with a total revenue of INR2,800 crores over the concession period and also are aggregating two concessions in partnership with IndiGrid and Dhule and Ishanagar.

The various programs in the country of distribution side are our RDSS scheme, which is called Revamped Distribution Sector Systems sch eme is INR300,000 crores plus, the Reforms -Linked Distribution Scheme of INR16,000 crores, which is largely going to be implemented on PPP of the privatization model and this wil l continue to be grid modularizations like GIS, AMI, SCADRs as we are doing fo r DVC presently in the DVC command area, the smart grid deployments, loss reduction and power quality improvement solutions, advanced smart metering solutions, where we are already executing about 2.5 million meters.

And there is another about 1 million, a t least about 100 million more to be deployed over next 2 to 3 years. And we will have a market share of almost around 1% to 2% in this. This offers us a high margin, actually O&M scope and the total X model because the very good session involves capex plus operations that are driven DISCOM transformations to manage their own supply side management.

And as you already know that we are executing now 2.5 million meters, which concessions we have won. We are expecting further of concessions of another 0.5 mill ion meters or 1 million, 0.5 million to 1 million meters per year basis. Thermal generation, we have already talked about 80 gigawatt in the pipeline to be completed by 2030 which will then facilitate both more of injection of renewable power and also faci litate peak demand of 200 megawatt.

Focus on the supercritical and ultra -supercritical plants technologies, EPC scope on balance of plant, air quality control systems like FGD, carbon capturing as well as ESPs of digitized and modern based on modern techno logies to ensure acceptable emission levels globally to 14 mg OD. And similarly, this opportunity is also expected to be no less than almost about INR1 lakh crore over s

even years.

In the renewable generation side, I would say there will be more opportunit ies in the solar plus storage, hybrid systems, wind farm EPCs. And we are yet to deploy another about 300 gigawatt with balance in six years. Government made land, even RE parks or floating solar parks, the EPC opportunity is INR3akh crore to INR4 lakh cro re and the budget for '26 significantly increased allocation to MNRE to by 39% in this segment.

On the FGD side, I will say that the DCEA has come back on its earlier report where they have given fresh dates to this sector, commencing completion from '27 o nwards, progressively depending on the location of the generating plant. This industry may eventually see a 5 to 10

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gigawatt per year scope, both from the private and state electricity boards. Our present order of INR1,450 crores is progressing promptly.

Coming on data centers, the digitization and cloud services are key reasons for growth of data centers alongside developments like 5G. Major growth drivers for data centers in India are public cloud adoption, data localization, policy incentives, digital tr ansformation, technology developments that is rollout of 5G, AI in 5G and VR, increased adoption by the enterprise technology markets, IoT, Big Data and cloud computing. All these are very progressive and promising. Ankit, would you like to take over now?

Ankit Saraiya: Yes, sure. So, we are in as everyone is aware, we are in advanced stages of completing our project of 24 megawatt data center in Chennai. We have incurred an investment of almost INR450 crores in the project. While we have faced delays due to regulatory and permitting approvals, also due to supply chain disruptions, but having overcome all of them, we are now very close to commissioning our first phase of Chennai, which is approximately 5.6 megawatts.

We are in the final phase of testing and also onboarding a few customers as we speak. Our pipeline in Chennai data center is growing. We currently have a pipeline of almost INR80 crores to INR100 crores and while having additional conversations with other cloud players and potential AI customers. The unique proposition that we provide through our Chennai data center is that it is designed for higher density of racks on an average compared to the industry.

And additionally, being a water-cooled data center or the only water cool data center in Chennai and that region, we are uniquely placed to provide racks specifically for AI services or AI-related activities, giving us a unique position in the industry.

We are currently engaged with multiple banks, content delivery networks, domestic cloud players and receiving positive feedback from them. We have recently participated in an RFP by a global bank, and we hope that will be concluded in next 3 to 4 months' time.

Recent advancements in AI has obviously fueled the demand of data center, but more precisely the density of power required for rack. What earlier we used to practice on an average at 6 kilowatt or 8 kilowatts per rack, now people have started talking 25 to 40 kilowatts per rack and going higher as we speak. This requires substantially higher resources per data center and data centers have to be designed to meet those specific requirements, which we are very well placed to provide.

India AI mission has recently commenced and first round of empanelment has been concluded, and we are hopeful that with more empanelment coming through in round 2 and 3, we will have interest from multiple stakeholders to utilize our infrastructure as we call our facility AI ready.

We are established and further establishing channel partners, distribution engine for reaching the wider market and as well as reaching global market.

Coming to Edge Data Center, we are aware that RailTel has awarded us with a concession to build Edge Data Center

s in 102 cities. Last Saturday itself, we powered on our first Edge Data Center in Gurgaon, which is a small capacity of 200 kilowatts, but goes a long way because it's our first data center, which has truly got powered on and appreciated by RailTel as well. And Techno Electric & Engineering Limited

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we are hopeful that the capacity of 200 kilowatt, at least 75% of it would be utilized by RailTel immediately, and we anticipate leasing out the remaining 25%, which is 5 lakhs within 3 months. We have started execution of our second Edge Data Center in Mumbai, which is close to about INR50 lakhs, 450-odd kilowatt of density, and it should be completed hopefully by November '25 or maximum December. And we are in discussion with large conglomerates to lease out the capacity immediately on commissioning.

We are also going ahead with discussion with a few hyperscalers for contracting at least 4 to 5 Edge Data Centers in multiple locations across India. We have already shown our interest to RailTel to develop edge data centers in the city of Gandhinagar, Indore and Bhopal, and we are hopeful of getting the possession of the land very soon to begin expanding our facilities in these very cities as well.

We target to also start our execution this year in the city of New Delhi and Hyderabad as part of our Edge Data Center concession with RailTel. For Edge Data Centers, we have created an extensive network of channel partners and distribution partners, and we have started receiving active interest through these partners for occupying space within the Edge Data Center ecosystem.

We have also started execution of a data center in Kolkata. We have finalized the master plan, and we have started with preconstruction activities. And very soon, we'll be applying for building plan approvals to begin full-fledged construction. In totality, we have a funnel of more than INR100 crores including Chennai and Edge Data Centers in discussion with multiple nature customers, whether they are cloud, CDN, AI, et cetera.

Padam Gupta: Thank you, Ankit. So overall, I would like to say that during the current year, we are targeting a top line of INR3,500 crores and an EPS of no less than INR50. And in the year '26, '27, our target will be around INR4,500 crores with an EPS of no less than INR75. With this, now we can allow the question and answers.

Moderator: The first question is from the line of Sandeep Agarwal from Naredi Investment.

Sandeep Agarwal: Sir, my first question is regarding the period in various segments like Smart Meter data center and small edge data center business.

Padam Gupta: You see these two are different businesses altogether. Smart Meter is a concession-based projects. Their period is prefixed by the government itself. That they pay over 94 months we call PMPM Per Meter Per Month post commissioning immediately on achieving SAT or Go Live, they pay us around 15% depending on the location of the project. That is how the demand is in the concession projects.

Coming to data center is totally a market-driven activity, and it goes with the market dynamics. By and large, we anticipate a data center payback should be no more than 5 years in my view.

But because of the challenge of growing and changing technologies, applications, usages, they are all part of it. Ankit, would you like to add something to it?

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Ankit Saraiya: No. Sir I think you're on the point, the payback period for data centers is about 5 years.

Sandeep Agarwal: Follow -up there; per megawatt revenue per annum is INR11 crores to INR12 crores. Is this estimate is correct?

Ankit Saraiya: You can take it at around INR8 crores to INR10 crores.

Sandeep Agarwal: INR8 crores to INR10 crores. Okay. Sir, just another question is just bookkeeping. I want to know the detail of other current

asset line item, which is INR814 crores approx.

Padam Gupta: What is the status of current assets?

Sandeep Agarwal: Just the detail of current assets INR814 crores.

Padam Gupta: I think when you get the balance sheet, you will find the details in that. They are in the normal course of business. There is no exception in it. They keep rotation in rotation with the execution as it happens.

Sandeep Agarwal: It increased from last year, INR250 crores approx to INR814 crores. So just want to know what is...

Padam Gupta: You are asking on contract assets basically not current assets. The contract asset is basically the investment in data centers and AMI or TBCB schemes. They are yet to be built out. That is what we call contract assets. They are not capitalized in our SPVs, but work on behalf of SPVs by the Holdco in deploying them.

So that is a capex you can say indirectly carried out by the company in setting up these facilities like data center, INR400 crores, INR500 crores by now, meters, another INR 400 crores by now.

So it is that amount here.

Moderator: We take the next question from the line of CA Garvit Goyal from Nvest Analytics Advisory.

Garvit Goyal: Congrats for a decent execution in the quarter. Sir, earlier you have guided for INR 3,600 crores revenue in FY '26. I think in opening remarks, now you said INR3,500 crores. So can you please clarify this?

Padam Gupta: No, I could not get, INR3,500 crores is INR3,500 crores ...

Garvit Goyal: Last call, I think you mentioned INR3,600 crores ?

Padam Gupta: INR3,500 crores is not a big issue between us. You take it INR3,600 crores,

Garvit Goyal: I was just getting clarification on that. Okay. So that guidance we have given, given the challenges like land allocation and we are doing it very efficiently. So how exactly do you plan to achieve this guidance? Like which segment will contribute the most to this growth? And is it entirely from the existing order book standing today or a portion of it will be via the new incremental orders that we expect in FY '26? So that's my first question.

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Padam Gupta: Look, this role of land acquisition is often performed by the asset owner. It is not in our scope, number one. Number two, our job starts once they hand over the land parcel to us. So, most of these orders are already around 3 to 6 months old. And customers as per our information, are fairly advanced acquiring land parcels. And we have taken that into consideration already. But you must take into view that larger execution has happened in last year, it will be in the same in current year also, like 40-60 with the H1 of the current year will be 40% and H2 of the current year will be 60%. So, it will go in the same pattern.

Garvit Goyal: Got it. And which segment will contribute to this majorly out of the total order book?

Padam Gupta: So, it will all be from transmission, FGD, Meter Deployments, all will be an element of it. By and large if you want to take the break up, you can take transmission will be INR2,500 crores, transmission and distribution FGD INR500 crores, Meter will be another INR500 crores. A million and plus meters will be deployed as I said. So total will be INR3600 crores

Garvit Goyal: Got it. And secondly, on the data center, like you earlier guided Chennai Data center was expected to be by March '25. And similarly, Mumbai was to start construction in April and was expected to be commissioned by August '25. But while you mentioned about Chennai, can you please update on why Mumbai data center is getting delayed now?

And further, can you also confirm like earlier, you were speaking about revenue generation from Chennai data center, particularly from Q2 this year. Now that the timeline is intact or not ?

Padam Gupta: Ankit, would you like to answer?

Ankit Saraiya: Yes. So firstly,

we do expect to start generating revenue in Chennai from Q2 this year. And so that is pretty much as expected. But Mumbai never got delayed because Mumbai was never

within our plans earlier. We have very recently got the possession of a location in Mumbai through RailTel only about, you can say, 3 weeks back, and we have almost completed the civil work over there, and we are in line to commission our Mumbai data center by November. So, it was something new that came up to us. It was not a planned location.

Moderator: We take the next question from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: Sir, I just wanted to understand, I mean, in terms of from data center, what sort of revenue we are targeting for this year and next year, FY '26 and FY '27? And what sort of margin we can expect in data center?

Padam Gupta: You can take conservatively, let me put it, our this year target will be about INR100 crores. And next year target will be at least INR300 crores to INR350 crores.

Deepak Poddar: INR300 crores to INR350 crores. And what sort of margin we can see here?

Padam Gupta: Generally, EBITDA is very high in these projects. I say you can take around 80%.

Deepak Poddar: 80%?

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Padam Gupta: Yes, yes.

Deepak Poddar: Okay. And the revenue that you have said in terms of INR3,500 crores and INR4,500 crores, this includes the data center? Or is it over and above this?

Padam Gupta: You see this year, we have not included. That is why 35 or 36 debate remains, as you must have heard of your colleagues. Next year, it includes up to 350.

Deepak Poddar: Okay. Understood. So next year, your FY '27, your margins you will see a big jump in your margin, right, because of this data center?

Padam Gupta: Absolutely. It should be. That is why I said which differentiate us from the other T&D players.

Deepak Poddar: And what is the general EPC margin range you look at? I mean this 14%, 15% is what general EPC margin?

Padam Gupta: 14%, 15% is short rather, it should be at least better by 100 notches, 100 bps over last year as commodities have been cooled down, but it depends on Trump and tariffs.

Deepak Poddar: You are talking about margin in EPC, right, 15% to 16%...

Padam Gupta: Yes. But it's all commodity pricing. Supply chain is under pressure. A lot of exports are happening on the supply equipment, and export prices are better to the manufacturer than domestic market prices. So all type of challenges are there. But nevertheless, our efficient and productivity will stand us out.

Moderator: We take the next question from the line of Vikram Datwani from Nuvama Institutional Equities.

Vikram Datwani: Congratulations on a good set of numbers. Two questions from my side. Sir, could you please give us your expectation of consolidated EBITDA margin for the next 2 years, considering data centers will be revenue accretive. So, how much would that impact your margins positively?

That is my first question.

And my second question is on the FY '27 EPS guidance. Just wanted to reconcile that INR75 figure, would that also include any monetization of assets or any arbitration awards that you're expecting? Or would that be only from business, and monetization will be over and above this figure?

Padam Gupta: Firstly, you see data center is a new subject to us, and ability to set up we have enjoyed. We have a great marketing team now. But the numbers we will be yet to be experienced to be honest.

So, we cannot say the EBITDA as a consol. But overall, you can say as EBITDA, is experienced at 20% should continue on an overall basis at the company level. Whether it comes out of treasury will come down, and data center may add more to it. But definitely, we have not considered any monetization that will be over and above this in any case.

But there are not great disputes

we are carrying in our company with the clients, but something is often a way of life, I will say, that does not impact much financially. But there may be a significant collection out of the discontinued business. So that will be over and above this, like Techno Electric & Engineering Limited

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it has happened in last year also. The EPS of INR4 is happening out of the discontinued business.

So we are yet to get some more money from Chennai and data centers.

Moderator: We take the next question from the line of Samarth Khandelwal from ICICI Securities.

Samarth Khandelwal: Sir, congratulations on a strong quarter. Sir, I just wanted to understand when we say 1 megawatt of a data center, so 1 megawatt on 100% capacity generation, we say 8.7 million units of kilowatt hours of electricity would be generated. So, in how much time does a 1 megawatt would be the energy cost for a 1-megawatt data center?

Padam Gupta: Firstly, you see, these are energy-consuming solutions, not generative. So, please correct it. And when we talk of the revenue, generally power cost is a pass-through cost here. What we talk is

only a lease rental of the facility provided to the users. Could you get me Mr. Khandelwal?

Samarth Khandelwal: Sir, I understood. That is why INR8 crores per annum was saving quite low. I just wanted to understand the energy cost.

Padam Gupta: Energy is a pass-through. We don't make some money, but we don't take it as a part of INR8 crores. That is over and above. Ankit, can you elaborate more to it?

Ankit Saraiya: Yes, sure. So in terms of top line or expense, we do not consider energy as a revenue or an expense because it's largely a pass-through to the customer at the cost. So when we talk about a top line of INR8 crores to INR10 crores per megawatt, it is largely out of lease rental. It doesn't include energy, and neither would the expenses would include energy.

Moderator: We take the next question from the line of Prathamesh Sawant from Mirae Asset Capital Markets.

Prathamesh Sawant: Sir, just wanted to understand if you can throw more light on the Smart Meter business. So what kind of capex outlay are we seeing over here? How has our execution been so far, and the outlook for the current year?

Padam Gupta: I will say that we are conservative, and our engagement is very nominal. As I told you earlier, we are having presence of more than 5% in this segment, till date, we have commissioned 7 lakh meters out of a concession received for 2.5 million meters by us, and the deadline of -- the schedule is to complete by September '26. In '25, '26, we are targeting to do 1 million meters more. So we are on track. On an average, we do about 400 meters in different pockets. And they are in cost control.

Prathamesh Sawant: Okay. So sir, how are we funding this project like anything, because it is capex intensive. So, how do we plan to fund it?

Padam Gupta: You see we are funding internally, number one, from our own resources. As I told you, we have already invested about INR400 crores in this. And another outgo this year will be about INR500 crores on this activity. So we have sufficient accruals. It is out of internal accruals, you can say. We'll be able to take time being. And once the schemes are complete and going, we may like to see exit at that time.

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Prathamesh Sawant: Okay. So we won't be raising any debt for this, sir?

Padam Gupta: We don't want to raise any debt. We'll be monetizing straight away.

Prathamesh Sawant: Okay. And we are expecting 15% IRR on these projects, as you mentioned.

Padam Gupta: Minimum, maybe more.

Prathamesh Sawant: Okay. And sir, like a few calls back, you had mentioned about the Mumbai data center, so which was like somewhere near St. Regis. So, just any update on that?

Padam Gupta:

pta: Ankit, can you...

Ankit Saraiya: Yes. As I mentioned that we've been handed over that location only about 3 weeks back. And we started the construction activities over there. The civil work is almost coming to conclusion, and we'll hopefully commission at least 400 kilowatts of capacity over there by November '25.

Prathamesh Sawant: Sir, just one last question to you. So, if we look at data center per se as a separate entity, what will be the line item below the EBITDA? Like how do we see the depreciation and the interest cost to that?

Padam Gupta: They are all internally funded as of now, so there is no interest cost per se. But definitely, there will be depreciation as per the norms.

Moderator: We take the next question from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Sir, we are awaiting investor presentation as you are nice promoter. So, we thought you give maximum disclosure, but we disappoint on this part. First of all, congratulations for ever highest top line and bottom line in history of company. Sir, capex plus investment plan in next 2 to 3 years in Smart Meter, data center or Smart Edge data center, what will be our capex?

Padam Gupta: For the current year, we have already given in my presentation. That this year we plan to invest about INR1,250 crores, which will comprise of INR500 crores of Meters and INR 500 crores in Data Centers and another INR250 crores in our TBCB projects. Similarly, going forward over the 5 years, we have already said we'll be investing about INR10,000 crores, with a larger 80% belonging to data centers. Maybe you did not hear me in my presentation. We said by 2030, we'll be doing INR10,000 crores of capex and 80% will be on data centers by and large. And we intend completing about 250 megawatts by then, including edge and hyperscale and another, you can say 1000 in Meters and 1000 in TBCB aspect. But depending on opportunities, this may change here and there. But as of now, this is the program with the company.

Ravi Naredi: Sir, the company is now so big. We want to meet personally to you. So, is it available, are you in Kolkata or Gurgaon?

Padam Gupta: Sir, we are in both the places. For Data Center and Smart Meter, you are welcome in Gurgaon office, Ankit sits there. And I'm Kolkata. You are welcome in both the places.

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Moderator: We take the next question from the line of Shreyansh Gattani from SG Securities.

Shreyansh Gattani: I had a couple of questions. So, one was on the EPC. You mentioned in your opening remarks that to execute on the compressed timelines, you're getting like additional incentives from customers. So, what exactly are we seeing? Is that in terms of like better working capital, like better receivables? Or is it like additional margin that we are getting? If you could just give some color on that?

Padam Gupta: You see apart from all these benefits out of productivity or efficiency, [inaudible 58:24] Sorry dear, there was a disruption.

Shreyansh Gattani: No problem, sir.

Padam Gupta: Can you repeat your question, sir?

Shreyansh Gattani: Yes. So, my question was, you mentioned in your opening remarks that you're getting some additional incentives for executing in the compressed timeline. So just wanted to get some color on that. Like, whether it's like better pay receivables that you'll be getting? Or is it going to be like in terms of higher margins as such?

Padam Gupta: No, the incentive is an additional payout over and above the contracted price. 2% to 5% of the contract value, but we account it in our books only as and when received.

Shreyansh Gattani: Got it, go it. So, would that mean like we would see higher margins for this financial year because of this incentive?

Padam Gupta: Yes. Obviously, if it happens, yes, for that portion of the top line.

Shreyansh Gattani: Got it, go it. Sir, second question is on the data center side. So just wanted to understand the customer onboarding and customer acquisition cycle. So how long does it take, like once our data center is ready if we have a customer agreement signed, like for them to get onboarded and for us to start generating revenues? So just wanted to understand the whole process.

Ankit Saraiya: Typically, once we've onboarded a customer, it can take anywhere between 2 to 3 months for them to move into the data center and for us to start generating revenue against that contract.

Shreyansh Gattani: Okay. So is there any hardware changes that need to be done or...

Ankit Saraiya: No. It is just their own timeline for migrating the equipment to our data center and stabilizing them and also to provision power for their requirement.

Shreyansh Gattani: Got it, go it. So, for the Kolkata data center, like for Chennai, I remember last year also, we mentioned that we are trying to get customers, but like eventually, we ended up waiting until the end of the completion and now, even after we commission, it will take like 2 months. So, is that something that we are looking to change or is that how the industry is operating like we wait until the whole data center is ready for us to start gathering customers?

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Ankit Saraiya: So, you see, in this industry, it's difficult to onboard customers unless you have reaching completion of a data center, because with the given options, our customer is always more comfortable moving into a commissioned data center, which is readily available and most of the customers come out with their requirements only about 3 to 4 months in advance of their actual need. So, for that very reason, most of the time, it is -- these activities start towards completion of the project and go on for at least 6 months before the capacity is truly leased out.

Shreyansh Gattani: Understood. So, just last question ...!

Moderator: I am so sorry to interrupt, but maybe request that you rejoin the queue for follow-up question.

Shreyansh Gattani: Yes. Thank you.

Moderator: Thank you. Next question is from the line of Shrey Gandhi from CR Kothari Stock Broking.

Shrey Gandhi: Thank you for the opportunity and congratulations on the great set of numbers. My question is regarding the capex outlier that you mentioned, INR10,000 crores in next 5 years. So how do you plan to fund that capex? And how much time frame are we going to, you know, looking at the fundraising part?

Padam Gupta: So presently, we are planning to do it a lot of internal accruals and cash available with us by and large. And also, it will be supplemented by monetization of the completed assets to begin with the TBCB followed with Smart Meters. But data center, we like to hold on for a while. And maybe a bit of a debt in data center is ultimately called for at the SPV level.

Shrey Gandhi: Okay. And another question is on FGD and Smart Meter side. Are we facing any slowdown in order intake in FGD? And what is the competitive landscape looking like in Smart Meters?

Because it is a clustered segment, I think. So, what is your take on it?

Padam Gupta: As I told you, probably we are one of the smartest players in this segment with the exposure of only 2.5 million meters among, you can say, about 12 million, 13 million meters in execution by, in the market, maybe not 10 million meters, 100 million meters to my mind in execution by now. And then we'll continue to focus only in the pockets where we are good to deliver time out

and also able to deal with the utility properly.

So, we are not looking for a business ultimately more than another 2.5 million spread over next 4 to 5 years. So overall, book size may be about 5 million meters by 2030 or '28 or complete of the scheme.

Shrey Gandhi: Okay

. And on FGD side, is there any slowdown in the order intake? Because of regulatory ...

Padam Gupta: Yes. Regulatory was there. Government was bit confused because the capex involved in setting up these solutions is very high. It's almost INR1 crores per megawatt. So that was a huge detriment to the government. Currently now government has reached it and on selective basis, they want to revise this, comply these requirements on emissions on SO2 or NO2. So, the revised target starts from '27 onwards. And as we all know the generating capacity, majority generating capacity is in private hands.

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So obviously, the call has to be taken by SCBs and private because the capacity, lot of capacity has happened already in the central sector. Additionally, I will say that the whatever new generation capacity is coming in market, 70 gigawatt, 80 gigawatt, it is all with FGD only. It is not without FGD at the greenfield level itself. So, we are hopeful of this market to continue at least for next 10 years, but in its own proportion.

Shrey Gandhi: Okay, okay. Got it. And another question in regarding the depreciation for data center. You said it will be based on industry norms. So, what will be the percentage if you can share in terms of gross look or maybe for megawatt kind of thing?

Padam Gupta: I think we are yet to discover that number. We will deep dive and find out, yet we are not ready with this number to speak because it will depend on age of technology more than that, how you value it.

Moderator: We'll take the next question from the line of Spasht from Indira Securities.

Spasht: Sir, my question is regarding the data center part. In the last quarter, you said that you are going to use an opex, hello?

Padam Gupta: Yes, we are hearing you, sir.

Spasht: So, in the last quarter you said that you are going to use an opex model for the data center part. And the current guidance that you have given about the margin, I'm quite confused. Can you give some light on that?

Padam Gupta: Ankit have you understood the question.

Ankit Saraiya: No, Spasht, your voice wasn't clear. I couldn't get the question.

Spasht: Okay. So, in the last quarter, you said that you are going to use an opex model for the data center. And with the current, the beta margins that you have given, it is quite confusing to understand how you will be generating a 80% EBITDA with using an opex model. Can you tell me about it?

Ankit Saraiya: What do you mean by opex model? I'm not clear what was said in the last quarter. But most of the projects, so let me, most of the projects is undertaken as a capex right now, and it will be capitalized in the books of the respective SPV.

Spasht: Okay. And just that in the last quarter, you said that the infrastructure that you're going to use for the data center part, it is going to be operating expenditure part?

Ankit Saraiya: No. But it will be funded through either project finance or it will be funded through any other medium. The data center infrastructure.

Padam Gupta: Sir, the opex model systems are all in concession contracts. Somewhere we are confusing. I have always maintained your Smart Meter and your data TBCB projects are opex model. They are concession. They are government that shows you payment month on month and per meter basis

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or per month of use basis. But Data Center is your own asset, and you have multiple users deployed in the data center within the overall capacity. So that is a capex model only.

Spasht: I understood, sir. It's just that the kind of services that you sell in the last quarter, it was quite confusing but how it is going to be for the infrastructure part because right now, as you said, that other customers, it is going to take 2 to 3 months with

their requirements about the infrastructure

and the power they use. And we are just starting with the highest right density, so it is fine.

Padam Gupta: You see, there are multiple type of practices in this sector. It is custom to build, build to custom use, general purpose use and then made to use of respective occupiers. So, and depending on the application, the changes have to be incorporated either by the asset owner or by the user. Ankit, can you elaborate more on it?

Ankit Saraiya: So, Spasht, if your question is about why does it take 2 to 3 months to onboard a customer, generally because you have to provision the power and infrastructure specific to the customer's requirement. So, once a customer contract has been signed, it can generally take the customer to migrate his equipment to your data center about couple of months and possibly about a month for us to just prepare the data center for his equipment to come and get established, but that doesn't require any additional capex. It's part of the operations.

Spasht: Okay, sir. And can you tell me about the rate...

Moderator: I am so sorry to interrupt. May we request you to rejoin the queue? There are several other participants waiting.

Spasht: Sure. Thank you so much for the opportunity.

Moderator: Thank you. We take the last question from the line of Ashish Soni from the Family Office.

Ashish Soni: So this monetization model for RailTel I am not clear because you said that Gurgaon as data center 75% will be used by RailTel, but I think Bombay you're saying it is rather susceptible.

So, I'm not clear on that. So, what's the agreement with RailTel on that please?

AnkitSaraiya: The agreement with RailTel is a revenue share model. With whatever revenue the data center generates, a percentage of that revenue goes to RailTel and the remaining of it comes to us through an escrow account. So, the revenues will largely come out of any customer. It can be a third customer, whether a private company or a public company or RailTel itself. So, the data center is open to service all kinds of customers. It is not that RailTel is assuring a revenue or is going to leave the space on back-to-back basis.

Ashish Soni: Okay. And other thing is, based on your learning from Chennai data center, what are the learnings you want to apply to like Calcutta and the subscription data center in terms of, one is cost because I think I heard it was almost INR450 crores cost. And in terms of technological advancement in this area, if you can give some qualitative aspects, what's the learning you want to apply for Calcutta and subscription data centers in terms of cost and technical advancement in this field?

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AnkitSaraiya: If you ask me, I think customers in this industry push you for technical advancement because of their unique use cases that they come up with. And in last 1.5, 2 years, we are seeing a lot more demand for AI related services from customers, and which is pushing us to deploy technologies which can accommodate very high dense rack, any racks going above 25 kilowatt and on an average about 50 kilowatt, which in Chennai we had designed at 10 kilowatt, though it was even at that time or even today 10 kilowatt rack is considered a higher dense rack and compared to what it used to get designed.

So, one is that one may have to plan for higher density racks to get accommodated. And I would believe that we should be able to bring down our project cost by 5 odd percent in comparison to Chennai.

Ashish Soni: And regarding approach, I think it got delayed. So, anything on that we can improve?

AnkitSaraiya: I think that is something which is more like a post major risk over here. One can't do much beyond the particular point. Yes, so these are largely percent driven, yes.

Moderator: Thank you. Ladies and gentlemen, in the i

nterest of time, that was the last question. I would now

like to hand the conference over to Mr. Gupta Ji for closing comments.

Padam Gupta: Yes. Thank you, ma'am. I thank everyone for joining the conference call if you have any questions left with you regarding our performance, please send us an email and we'll be happy to revert. Our contact man is Mr. Vishal Jain in our office, whose details are available on our website. And similarly, if you happen to be on either on Kolkata or Gurgaon site, you are welcome to drop in our office for a personal interactive. And definitely, we are very, very grateful and appreciate your participation. And thank you very much.

Moderator: On behalf of Asian Markets Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Conference Call "
August 13, 2025

MANAGEMENT : MR. PADAM P. GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – TECHNO ELECTRIC AND ENGINEERING
LIMITED
MR. ANKIT SARAIYA -- DIRECTOR – TECHNO
ELECTRIC AND ENGINEERING LIMITED

MODERATOR : MR. SURAJ SONULKAR - ASIAN MARKET SECURITIES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Techno Electric & Engineering Company Limited Conference Call hosted by Asian Markets Securities Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Now I hand the conference to Mr. Suraj Sonulkar from Asian Market Securities Private Limited. Thank you, and over to you, sir.

Suraj Sonulkar: Thanks, Pari. Good afternoon, everyone. On behalf of Asian Market Securities, we welcome you all to the Q1 FY'26 Earnings Conference Call of Techno Electric & Engineering Company Limited. We have with us today Mr. P.P. Gupta, Chairman and Managing Director; and Mr. Ankit Saraiya, Director, representing the company.

I request Gupta ji to take us through the overview of the company quarterly results, and then we begin with the Q&A session. Over to you, Gupta ji, sir.

Padam P. Gupta: Thank you, Suraj. Very good afternoon, and welcome, everyone, to discuss Techno Electric's financial results for the Q1 and year ended of the year 30th June 2025. Anything said on this call, which reflects our outlook for the future or that could be construed as a forward-looking statement must be reviewed in conjunction with the risk that the industry and company faces. Let me highlight our performance for the Q1 financial year '26.

The results of the company -- firstly, I would like to say the results of the company are not comparable on quarter-on-quarter basis due to the inherent nature of the business we carry out. The Q1 is generally not a plus/minus 15% of the full year turnover, followed by 20% plus in Q2, 25% plus in Q3 and around 35% in Q4. This pattern you must have noticed over the previous years also.

The total revenue of the company for this quarter stands at INR515 crores, up by 25% year-on-year. EBITDA of the company stands at INR80 crores, up by 42% year-on-year. EBITDA margin is at 15.6% compared to 13.7% last year, year-on-year. The other income stands at INR58 crores approximately compared to INR23 crores last year. Similarly, profit before tax is at INR124 crores compared to INR75 crores last year, up by 64% year-on-year.

The PAT of this quarter is at INR99 crores, up by 78% and EPS is at INR10.70 per share. We have been getting compressed due to delay in acquiring land parcels for setting up of the facilities from our clients as they want their projects to be operational as per COD dates forming part of their concession agreements.

We are bettering the timeline in setting up of the prestigious substations which is again repeated after seeker at Dausa, which is 765/400 kV substation, comprising of 28 elements of transformers and reactors, which implies a 5 gigawatt of transforming of reactive capacity. A compressed schedule increases the productivity of the resources deployed, which includes mechanized construction equipment, skilled labor, the cost of procurement of local inputs, Techno Electric & Engineering Limited
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materials, et cetera. The compressed schedule further helps in optimizing the establishment cost and more so the productivity out of the resources deployed, making working capital efficient -- more efficient. This is now being practiced in other ongoing projects at Bidar, Anandapur, Halvad, Lakadia, which are under execution and will be completed during the year. During the last year, we have successfully commissioned projects at 17 locations all over the country. Apart from this, in spite of increasing revenues, we do not let our balance sheet stretch in

terms of working capital management due to better execution, operational efficiency and focus on cash flows and efficient utilization of resources. Our current investment as on 30th June 2025 stands at INR2,250 crores, which is around INR200 per share. Techno has been able to garner better operating margins consistently over the years in this phase compared to its peers. We have been able to convert the profit into cash on our balance sheet and one of the efficient working capital management.

The reasons for same can be summarized like speed of execution, thereby timely completion of the projects, the timely collection of the receivables, but more so the retention money by achieving closing of the contracts too, avoiding interest-bearing advances by the client and the better credit terms from the vendors backed by commitment to pay in time.

Due to better margins and working capital efficiency, we have been able to be debt-free company. Apart from that, over the past few years, the company has successfully monetized its all renewable power assets and transmission assets, thereby garnering a cash surplus of INR1,500 crores and not in a single asset we had to see haircut. Additionally, INR1,250 crores has been raised on QIP basis.

This amount is available for next growth phase, which is in execution now. And we are constantly investing now in value-accretive assets like data centers, AMI, TBCB, et cetera, the benefits -- financial benefits, which will be seen in the coming years. We have already deployed about INR1,250 crores in last 2 years as CapEx in our subsidiaries, SPV for setting up of the data centers, edge data centers, AMI projects, transmission projects acquired in TBCB mode and also the projects in execution in partnership with IndiGrid at Dhule, Ishanagar.

The company is pleased to inform that the Chennai data center is now ready for operations and edge data center at Gurgaon is already in deployment is complete and in deployment. We expect during the year to deploy edge data centers at 5 locations and also deploy smart meters of more than 1 million.

And we have also planned to successfully complete substations of 765 to 220 kV level at more than 20 locations countrywide. You will be happy to note that we are deploying 220x66 kV GIS substations in the highest altitude of the country in Ladakh and Kashmir at 4 locations, out of which 3 will be complete during the year.

Coming to the order book, the momentum for bidding and order book has been steady. We have robust order book of unexecuted orders as of INR1,408 crores as of the June end. We are further L1 in orders and also in advanced stage of order receipt for worth INR720 crores.

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We expect the order book momentum to continue and order intake for the financial year would be around INR3,500 crores. This simply reflects we will have enough orders in hand to keep the growth momentum of around 40% to 50% CAGR for next 2 years.

Building on this growth momentum witnessed in last 3 years over our monthly revenue grew from INR75 crores in '23 to INR200 crores per month in financial year 2025, which is further -- which is further planned to be at INR300 crores per month in the current year. This confidence stems from our already achieved performance in the previous year successfully.

With this, the rate of order backlog to execution will be at around 3 plus, which is the industry norm. In the meantime, the company will continue to grow its business in data center space, which is becoming very exciting with every passing day. We are pleased to inform that our Chennai data center has been considered eligible for deployment of AI-backed applications, including clouds.

Outlook. India's energy landscape is going through a significant transformation from historically sluggish industry energy demand growth to now registering

double-digit growth by -- driven by peak load target scaling 260 gigawatt and above and ambitious 400 gigawatt by 2030. To bridge this demand-supply gap, strategic investments are being channeled into advanced transmission systems like high-end 765kV solutions, STATCOM solution, VSC HVDC solutions, battery storage solutions where Techno enjoys a market-leading position. On the distribution front, massive smart metering rollout under RDSS and newly formed link distribution, digitized distribution schemes will drive efficiency and private sector participation, another area of focus for us.

The generation segment is also reviving meaningfully with the government 80 gigawatt thermal capacity addition plan, opening the substantial opportunity for balance of plant, EPC and power evacuation infrastructure or grid connectivity of these facilities.

Simultaneously, the data center ecosystem in India is undergoing a paradigm shift driven by AI, cloud, 5G and data localization imperatives. The market is expected to more than double by 2030. Our investment in hyperscale and edge data centers in Chennai, Gurgaon, Kolkata and across Tier 2, Tier 3 cities via RailTel are timely and strategic position to capitalize on this. We believe this convergence of energy transformation and digital infrastructure offers a multiyear high-growth opportunity. Techno Electric is strategically aligned, technically equipped and financially sound to scale alongside India's aspiration in both these mission-critical sectors.

Let me brief outlook opportunities and Techno strategy in this segment. The key drivers for the power transmission sector are integration of 500 gigawatt of renewable energy to the grid needs at least 50,000 circuit kilometers of transmission lines and at least 4330 MBA transformation capacity.

National electricity plan envisage an outlay of INR9.15 crores and Power Grid's own CapEx in this is no less than INR2 lakh crores till 2030 as per their plans. Finance Minister in Budget

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reach 2025 has incentivized electricity distribution and augmentation of intrastate transmission capacity by states amid efforts to improve their capacity of power firms and financial health and additional borrowing of 0.5% of GSDP will be allowed to states contingent of these reforms. This will bring another investment opportunity of INR1.5 lakh crores. And we can see already Maharashtra taking lead in this place.

The EPC opportunities in this segment, the TBCB model projects, increasing private participation, high-end technology, EPC 765 kV AIS, GIS, STATCOMs and battery energy storage solutions and VSC HVDC solutions. Intraregional corridor strengthening, corridor capacity transfer ability strengthening, green energy corridors for more RD evacuation and integrating with rest of India.

The bidding pipeline apparently visible is around INR40,000 crores per annum, and we at Techno blends to INR2,500 crores per year for next 4 years. We concurrently have orders worth of -- presently, we have orders worth INR7,127 crores for transmission -- we have successfully bagged 2 concessions in TBCB with a total revenue of INR2,800 crores over concession period. Now coming to distribution, the RDSS scheme has an allocation of INR3 lakh crore plus as an outlay, out of which 2 years are already nearly over and the scheme is for 5 years. The reform linked distribution scheme of INR16,000 crores focused on PPP/privatization model. The scheme is for distribution sector at a mix of result and reform-based financial support with an objective of ensuring 24/7 sustainable power for all and financially viable distribution sector. The scheme envisages to DISCOMs in case of adoption of reform packages, including PPP ownership of distribution companies, adoption of various financial models at distribution level, including multiple suppl

y franchises.

Focus areas are going to be grid modernization, which includes SCADA, GIS, AMI, smart grid deployment, loss reduction and power quality improvement solutions, advanced smart metering as an opportunity landscape 22.24 crore meters planned under RDSS and other scheme, which totals almost about INR2.22 lakh crores as a CapEx.

Out of this 14 crore meters are already awarded and 2.9 crore meters stands installed. And out of this, our share is about 1.5 million against INR29 million. Scope for 8 crores to 9 crores more meters to be bid out in next 2, 3 years, high-margin recurring O&M scope under TOTEX model and also data-driven DISCOM transformation due to the very presence of smart meters or AMISP in place now.

We have won concessions in AMI for 2.5 million meters, out of which by now, we have deployed about 0.8 million, and we -- it will be around 1.7 million by the end of the year.

Thermal generation. 80 gigawatt of additional thermal capacity is planned by 2030 to meet the peak demand of 400 gigawatt, focus on ultra-supercritical and supercritical plant technology, which means lesser coal consumption and also emission thereby. The EPC scope as a balance of plant will continue to be there. We'll have a scope to deliver at least the grid connectivity part

The estimated EPC opportunity is about INR80,000 to INR1 lakh crores over 7 years, out of which we intend to make around INR500 crores per year. Renewable generation. The target is 500 gigawatt of renewable capacity by 2030 up from around 200 gigawatt currently need to integrate solar plus solar hybrid systems and wind farm EPCs and also to ensure RTC solutions. Floating solar and RD parks under MNRE programs, the EPC opportunity is another INR3 lakh crores to INR4 lakh crores and with a number of pooling stations required to facilitate this capacity. The budget for financial year '26 significantly increased the allocation for the renewable energy sector with the budget estimates reaching almost INR258 million. MNRE 39% increase against the earlier budget allocation of INR191 billion from last year.

We see a slowdown in FGD segment, particularly after the NITI Aayog report, but the orders we will -- the orders we have got will continue to be executed at a given pace. The industry may see business to the extent of 5 gigawatt per year from SEBs and some what from private sector in this space if they are classified under Category A by the Ministry of Environment and Forest. We have got the orders worth INR1,450 crores of FGD and it is progressing normally.

Next is the data center. Major growth drivers for data centers are public cloud adoption, data localization, policy incentives, digital transformation, technology development and the rollout of 5G -- AI, 5G and VR increased adoption, revolutionizes enterprise technology market, IoT, big data and private cloud computing will be another opportunity. The Chennai data center is now ready in its first phase of 5 megawatt, which is a high I will say, hyper density infrastructure deployed in the solution.

We have invested about INR500 crores into this project by now. Despite facing delays due to regulatory and permissions, approvals, et cetera, supply chain disruption, we have successfully now completed the first phase of our Chennai data center and now is in deployment. We are ready to deploy 40 -- almost 50 lakhs, I will say, before end of Q2 which is megawatt. And we hope to deploy this full capacity by December end. We are inaugurating this facility on 27 August and our first few orders from retail customers are -- will help us streamline our operations and demonstrate our capabilities as a data center operator. We have received orders from leading media production studio. We're working on animation and special

effect, VFX.

They will be running this entire studio operations from our data center and will be a good reference for future.

Our pipeline for data center is robust and with ongoing discussions with cloud and AI partners, these partners are particularly interested in high -density setups, leveraging the unique value propositions offered by our Chennai site due to its comprehensive design.

Domestically, we are engaged with banks, CDNs, domestic cloud providers, receiving positive feedback from one global private sector bank. We are actively participating in RFP processes with the global bank, which we anticipate conclusion within next 2 months. Recent advancement in AI field have significantly increased the demand for data centers as GPUs require substantial resources that can only be supported by data centers like ours.

With the unique proposition due to the design of the Chennai data center, we are placed ahead of the competition. India's AI mission has recently commenced with the empanelment of various players, and we are in contacts and negotiations with multiple stake holders to provide our data center infrastructure at Chennai.

To enhance our market reach, we are onboarding global channel partners for distribution and establishing an extensive distribution network within India for our forthcoming data centers. With the help of our distribution and IT players, we are also in discussion with some customers for bare metal private cloud services with our customers. With the niche service offerings, we'll have better monetization.

Edge data centers. We have secured a concession from RailTel to build 100 edge data centers, as you know, at Tier 2, Tier 3 cities and towns across India. Our first TDC in Gurgaon with 200 kilowatt is complete and is being now in deployment. We are now in the process of deploying the racks to the various customers engaged by RailTel, which are largely government and PSUs. Work on the Mumbai edge data center has become and is expected to be operational by -- in H2 of the current year. Discussions are ongoing with an Indian conglomerate to lease 100% of the capacity upon commissioning. We are negotiating and contracting 4 to 5 Tier 2, 3 locations with global hyperscale customers.

We have shown interest in sites at Gandhinagar, Indore and Bhopal. New Delhi, Hyderabad and

Guwahati are targeted for future edge data centers under the RailTel contract. Multiple inquiries from distributors and channel partners are being actively pursued.

Noida Data center. We have secured a concession from RailTel to build a hyperscale data center of 18 megawatt in Noida. The construction work for the same is going on, and we expect a partial completion and commissioning in H2 financial year '26. Kolkata Data center.

The master layout for the data center is ready and preconstruction has started. The first phase will be commissioned between mid and late 2027. We have an active funnel of INR100 crores and key large cloud opportunities.

The expected revenue for financial year '26 is INR3,500 crores and approximately growth of another 25% for the year '26-'27. Accordingly, the EPS forecast is INR50 for the current year and around INR75 for the next year. With this, Ankit, do you have something to add? We can take up the questions.

Moderator: The first question is from the line of CA Garvit Goyal from Nvest Analytics Advisory.

CA Garvit Goyal: Congrats for a good set of numbers. You mentioned about FGD slowdown. And while you also mentioned in the existing order book, we will not be facing any hindrance in the terms of execution. Can you spend a few minutes on explaining the impact of this policy related to FGD on your vision for Techno's scale up over the next 3 to 5 years? That's my first question.

Padam P. Gupta: Yes. You see FGD was never a big time focus as a top line

growth for Techno in business. We

never expected business to be more than INR300 crores to INR400 crores per year out of this

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segment, and we wanted our presence to be no more than 5% in this marketplace. I think this is a debatable space even now.

Although government has under some prudence classified requirements on category A, B and C, believing the cost of deploying the solution is not value driven. The CapEx is a lot more than the benefit achieved out of this facility. So they have classified the country based on populations, 1 million and above, number one, and the powerhouse must be within 10 kilometers as a category. Then they have a B category and C category.

The B is not very well defined, but Cs, which are not required immediately. So that is the classification. But if the ongoing projects have already achieved a progress more than 40%, those projects will see the completion depending on the approval from the DISCOMs. That is how the policy is.

So government is actively engaged. Meetings have been held at the level of the project utilities. CA has conducted meetings with generators. They have conducted meeting with EPCs, and I'm sure some guideline will follow shortly.

CA Garvit Goyal: Understood. So is there any risk in the existing order book execution as well, like you mentioned about some approvals. So if approvals are not there, then that means we will be facing some challenges in the execution of existing order book as well? Can that be the case?

Padam P. Gupta: No, no, no existing orders have already more than 2-year old with us. And Kota falls -- we have 2 orders, Kota and Jhalawar. Kota is in category A, so it has to see the completion by the very policy. Jhalawar is in category C, which is already complete beyond 60%. We have shared all the data with the generators with the utilities, DISCOM as well as with CA. NTPC has already taken a call to go ahead with the ongoing projects. So we technically don't see much threat to the other order also at Jhalawar.

CA Garvit Goyal: Understood, sir. And secondly, on the Chennai data center, you mentioned that is operational now. So can you tell us like what kind of revenue are we anticipating in this year itself from Chennai data center?

Padam P. Gupta: Ankit, are you there? Yes. You see you can take a revenue this year may not be more than my - - Ankit will be more able to say accurately, but I trust it will be about INR25 crores.

CA Garvit Goyal: I think earlier, we were speaking about INR100 crores.

Padam P. Gupta: Not this year. You see. Ultimately, this will grow up to INR100 crores. I said today also. Maybe it will be more visible from INR100 crores to INR200 crores next year. And this year, we are in the process of building up of the capacities like Gurgaon, Bombay, Chennai. So these 3 facilities will be ready for deployment. So I will say conservatively INR25 crores, but maybe more. And depending on what you include in it, I'm not including any services or any power cost in it. I'm talking of the [inaudible 0:35:04] revenue, which will have an EBITDA of 80% or more.

CA Garvit Goyal: Understood, sir. And lastly, on the guidance part, the guidance for this year, EPS INR50 and revenue INR3,600 crores, is that intact, sir?

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Padam P. Gupta: Yes, yes, absolutely. They are intact.

Moderator: The next question is from the line of Ankit Madhwani with StepTrade Capital.

Ankit Madhwani: Yes, I just wanted to know the margin profile like the data center will be operational by this year. So what will be the margin for the FY '27?

Padam P. Gupta: No, we have already said margin, we don't inbuilt the INR75 crores -- EPS of INR75 will largely be coming out of the EBITDA inclusive of data center in that, obviously. So it is -- depe

nds on

how top line is constructed in this business. If you take bare rentals, then it is 80%. But if you include services, power costs, then according ly, EBITDA goes down to 50%, 60%. So -- but it will be much better than what we get in our EPC business. So it will only be improving.

Ankit Madhwani: Okay. Okay. So sir, when we look at your data center business, so what will be the proportionate revenue for FY '26? So can you tell us the weight of the data center?

Padam P. Gupta: No, in '26, it will be very negligible. So we are already talked about it in the previous question, maybe INR25 crores to INR30 crores, but it will be a little more significant next year.

Ankit Madhwani: Okay. Okay. So 1 year is a waiting period?

Padam P. Gupta: Yes, that is '26 -'27.

Ankit Madhwani: Okay. Understood sir. And sir, FY '27, what would be the tentative number? So when it is significant, but what would be tentative number?

Padam P. Gupta: You see, we need to be precise. I think you wait for another 2 quarters. When we take up the results of around maybe Q3 on data center revenue, we will be more precise. But we are definitely targeting a big push because this sector is evolving and changing every moment.

Sometimes it looks -- it is so opportunistic, so wonderful and sometimes it takes time to conclude with customers.

Customer takes more time to conclude a contract and deploy facilities. So that bit of uncertainties of 3 months here and there always keep playing in the -- forging a relationship and relationship becoming revenue accretive.

Moderator: The next question is from the line of Rohan Dalal from Batlivala & Karani Capital.

Rohan Dalal: Sir, first of all, congratulations on some excellent numbers that you've shown, and we really look forward to the next couple of years going forward. My question is that we have been -- in the past, you have guided that you're looking for a strategic inves tor for your data center business.

Is that still on the cards? Or now are you looking at doing it entirely on your own?

Padam P. Gupta: Look, strategic is a very meaningful and very significant world. How strategic a partner is who brings opportunities, who brings capabilities and not merely finance because Techno is capable to finance its operations. So we will keep -- we are exploring. W e are continuously in touch with many great global firms as well as Indian companies. So it's a work in progress, I will say, and Techno Electric & Engineering Limited

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we have an open mind on it. So we will definitely take you in confidence as and when something significant happens.

Rohan Dalal: Okay. And sir, my next question is I know that in the past, you have offered for -- if anyone wants to come and visit your office in Kolkata, who should we contact if we would like to come?

Padam P. Gupta: Vishal Jain is our PR man .

Moderator: The next question is from the line of Deekshant from DB Wealth.

Deekshant: Congratulations on the good results. So the first question is, could you actually -- from a historic perspective, before 2021, we used to have margins in the range of 24%, 25%. But since 2021, our margins have dipped significantly. So what has been the cha nge in the business that has led to this drop in margins right now?

Padam P. Gupta: I think all of you should know, we were the first IPP in wind power and had invested in 200 megawatts. The revenue of wind power had an EBITDA of no less than 80%, but the revenue may be around INR200 crores. So that was contributing a lot more to the EBITDA when put together with EPC business. And same may happen down a year when data center business is clubbed with our EPC business. So EPC business has a different EBITDA than the EBITDA in an asse t-based business.

Deekshant: Sir, given our seasonality of business, June quarter has had an actual better margin than the previous year. So -- and

so what has been going right for us to give us this margin in a seasonally muted quarter?

Padam P. Gupta: No, there is no magical change, again, I will say, because now the -- some revenue of our wind business, number one, has become so insignificant that the auditors decided to take it a 1 segment business and not 2 segment business anymore as we did till pre vious year. So if you take on EPC business only, the margin will be around 14.5% only, whereas if you put the wind business revenue, which is around INR15 crores, INR20 crores now of the remaining 20 megawatt in our books, then it improves by further 1% more.

Deekshant: Got it. Sir, in our line item, there is a particular line item in our P&L, which is profit from

discontinued operations. So could you just give us some light on understanding what this particular number means and why is it declining?

Padam P. Gupta: You see a discontinued business is a discontinued business. And realization out of the same is the arrears receivable from the DISCOMs of the power already supplied over previous years. The asset stands monetized and disposed off in '23 by the company now. So those are regulatory disputes as and when we get regulatory favorable orders, those amounts becomes payable by the DISCOMs and we get paid. That is what it means.

Deekshant: But could you elaborate a little bit on this that when does a regular business become a discontinued business for us? Just from a business cycle perspective, the question -- I'm asking the question.

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Padam P. Gupta: No, I've not got your question. Discontinued business never become regular business.

Deekshant: See, regular business will become discontinued business at some point of time, right?

Padam P. Gupta: Yes. That is already discontinued in '23. So as said, there is no more power generation, no more regular sale of power. These are the realization of arrears as per the eligibility as per provisions of the PPA we have with the DISCOMs. So DISCOM has its own disputes with us. So we went through regulatory resolutions with the NERC, with APTEL.

So those favorable orders as and when are implemented, money is received, we disclosed that amount on receipt basis in our books as a conservative. They were not kept in our books as outstanding of the previous years nor accounted for those entitlements.

We already stated that we are conservative and we account all disputes and all these kind of regulatory issues pending in the courts or arbitration or in regulatory courts on receipt basis only.

Deekshant: Got it. Sir, last question is on guidance. So you have mentioned a 40% to 50% guidance for the next at least 2 years. What kind of margins can we expect on this sort of growth? Do you think we can be more than 25% at the end of this?

Padam P. Gupta: Look, margins are not so simple to come by. We are a regulated -- part of regulated businesses. As far as EPC is concerned, 14% plus/minus will be the benchmark, as I have always guided and we have achieved consistently. The further improvements will happen only by our data center business now happening and somewhat out of the AMI business, which are the asset-based businesses of the company. So club together, you may find some improvement year-on-year.

Deekshant: Sir what will be the ballpark number.

Padam P. Gupta: Please, as I said earlier, we will discuss this more in Q3.

Deekshant: Okay. Okay. Sir, if I may ask one more last question is on our other assets item. Our other assets item, sir, has improved from last year to 2025. So it has gone from INR400-odd crores to close to INR900 crores, around INR880 crores. Could you just tell us that what are these other assets that we are working on right now? Is this part of the CWIP, but that would be different.

Padam P. Gupta: It is -- you rightly worded yourself. It is a CWIP, which

will be capitalized in Q2 now out of this

for Chennai data center and somewhat more by the end of the year on the AMI and somewhat on the TBCB side as and when commissioned.

Moderator: The next question is from the line of Pranjal Mukhija from Growthsphere Ventures.

Pranjal Mukhija: I have to say, sir, congratulations on a great set of numbers. Sir, my -- I had a couple of questions on the smart meter business. So given we understand that H1 is usually slightly low on the softer on the implementation part in smart meters and then the majority of the business and the implementation picks up in H2.

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So I just wanted to understand like what kind of like on ground -- what is the on-ground situation that you're seeing right now in the market? And do we foresee like installation picking up quarter-on-quarter even from this level?

Padam P. Gupta: Yes. We have not faced any problem to be honest, in deploying meters so far. And we almost do about 80,000 to 1 lakh meters a month, and that is what we are obliged to do under these 4 concessions. And it is going as per the program. So we are to complete all this by September '26 or entire 2.5 million meters. And by end of this year, we should be at around 1.7 million to 1.8 million meters, leaving another 0.5 million 0.7 million for next year, 6 months.

Pranjal Mukhija: Right. And sir, how are we seeing the new announcements that are coming out in states like Tamil Nadu and maybe Karnataka side? Like are we also pursuing those opportunities?

Padam P. Gupta: Not seriously, to be honest, because we -- as we always maintained that our exposure will be no more than 3%, 5% in this segment because counterparty risk is a little high because of the DISCOMs and DISCOM reforms are still not very strongly visible, though government is

supporting it. So we are conservative on this aspect. Wherever we feel we are getting our good EBITDA, good customer support, we are there. But we are not going to grow this business aggressively.

Moderator: The next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors.

Shivkumar Prajapati: Congratulations on a great set of numbers. So my question is on data center first. So if I look at the last presentation, last quarterly presentation, I see INR650 million of order in our order book. So the INR25 crores that we are assuming for this year, is it from that? Or is it the additional INR25 crores?

Padam P. Gupta: No, it is part of that only what you see.

Shivkumar Prajapati: Okay. Understood. And sir, this Mumbai data center, is it on track? I mean.

Padam P. Gupta: It will be commercialized by December.

Shivkumar Prajapati: Okay. Okay. Okay. And sir, one more thing. What would be the depreciation rate for the data center?

Padam P. Gupta: This is a very challenging question. In an evolving technology space, how to determine a depreciation is always a management challenge because insulation is a bigger risk you carry than a very physical or operational availability of those assets. So techno logical solution always is a challenge. To my mind, one should not take a life of data center more than 10 years to my mind.

Shivkumar Prajapati: Okay, 10 years. Got it sir. And sir, in last year Q2, we had mentioned to some foreign -- like we are interacting with some foreign entities for our data centers. So could you shed some light like what sort of customers and from what all reasons we are in talks for the data centers?

Padam P. Gupta: No, I have already Yes, Ankit, please go ahead.

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Ankit Saraiya: Yes. So as we mentioned in the beginning of the call that we are in discussions with multiple foreign entities and even domestic entities who can be strategic partner to us. But now that we have successfully

started operating our data center in Chennai as well as Gurgaon and have started deploying capacity over there to end customers .

We would ideally like to possibly continue deploying that capacity and wait for right valuations because once we have taken the call of boldly going into a market on our own strength, then better to see the entire cycle and then look out for a strategic partner who is willing to give those valuations, which come with an asset which is generating revenue. So it is more wise to now wait and take a more prudent call and a bold call when the time is right.

Having said that, we have not stopped discussing with strategic partners. We are already in discussion with them, and we keep engaging with them time to time.

Moderator: The next question is from the line of Vinod from PhillipCapital.

Vinod: Sir, I had a question on distribution reforms. So you've seen this industry for a very long period of time. I think recently, the Supreme Court has said that for Delhi, the regulatory assets have to be cleared in the next 3 years. And this could become a role model for other distribution cycles. So do you really think this time, it's very different because we've seen a lot of different distribution reforms in the past, which have faltered. So what's your view on this Supreme Court judgment?

Padam P. Gupta: I wish our country was more simple than what you are stating when it comes to the politics of World Bank and power sector have not missed or not seen the market reforms like telecom or aviation or highways, similar sectors. So that's a sad part. It's a pain part that we say -- we go by so much of litigations and court orders.

But states, it's ultimately a discretion of the states. We have 2 layers. It's a so-called concurrent list. We have SERCs, CRCs. Rather my biggest pain is the very Electricity Act, it provided 2 things apart from others that we will give a consumer a choice of the power supplier and we'll also give. Hello. Can you hear me?

Vinod: Yes, I can hear you now.

Padam P. Gupta: Yes. Other than these 2 things like open access and choice of power supplier to the consumer, we have done everything in this sector. We have deployed best of the capacities, best of the solutions, best of the technologies, but still they are not cost effective because of the inefficiencies of the DISCOMs. So that is a challenge which still persists in our sector, sir.

And someday, central government has to take as an economic reforms call that power sector is under GST, number one, which is still not. Number two, I will say that they must by legislative or parliamentary order make it mandatory to have multiple power suppliers in every area of the country as well as openness to the generators. It should be one market, free market, like any other thing.

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When we say power is a commodity, then it must be dealt like a commodity. Sometimes you cannot say -- some people will say it is essential. Somebody will say it is a necessity. Sometimes we want rules like commodity. So it is a very blended mindset. It's basically a mindset and behavioral issue in this sector of the local governments.

Vinod: Sir, on that thought, actually, since you mentioned open access, I think what's happening with state DISCOMs is I think many of the industrial customers are -- the C&I customers are moving out. They are moving into either captive or hybrid kind of renewables.

And that is probably -- and they were typically the customer segment that used to cross subsidize the others. So I think the pain is probably going to increase for state DISCOMs than I think what we are seeing today.

Padam P. Gupta: So, I'm not getting into those debates. We usually call it a creamy layer in our sector. That is the language we use, sir. But government have to believe can T&D cost be 200% of power generation

cost

cost in any country? Tell me. Have you experienced that? You generate power at INR3 to INR4.

And still in your house, it comes at no less than INR10.

So no citizen asks in this country to the government, who takes away my INR6, sir. So those questions, public have to rise up one day and ask these questions. So that is the challenge. And obviously, when normal efficiency or efficient and competitive solutions are not available to the industry or large commercial sector, they find roundabout ways to achieve it.

Vinod: Sure, sir.

Padam P. Gupta: That is what is happening. Why so much of pain? Why we cannot reduce the cost of the power to 50% and consumption to 2x, you see how much growth it will bring to the sector. Why per capita consumption cannot be INR2,000 in this country if power cost comes down to INR5 to INR6.

Vinod: Let's hope I think this probably sets because there have been many onetime settlements, which have never remained a onetime settlement.

Padam P. Gupta: Absolutely right.

Moderator: The next question is from the line of Deekshant from DB Wealth.

Deekshant: Sir, our working capital days has been increased. So could you shed some light on what's happening on our total working capital cycle right now?

Padam P. Gupta: No, no, no. It was very momentary in June and if you are talking, in July itself, we realized no less than INR250 crores out of these outstandings. So now it is back to normal. In June, customers were a little short of funds and government maybe funds were not released by the government MOP, maybe war was the one reason, I don't know. But now we have got all the money back. Even our balance in the cash in hand is almost INR2,500 crores plus in stand-alone entity.

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Deekshant: So do you think that our current years working capital cycle will be in the similar range? Or can we be better?

Padam P. Gupta: Absolutely. No, it will be in the similar range.

Deekshant: So sir, last year also, our working capital had increased in 2025. FY '25.

Padam P. Gupta: Not at all. Please read our document more with a deep sight with a growth of 50%, the working capital requirement remained the same. Our debtors were at INR600 crores only.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand over the conference to management for closing comments.

Padam P. Gupta: Yes. Suraj, would you like to say.

Suraj Sonulkar: You say sir.

Padam P. Gupta: Thank you very much for joining the conference call. If you have any questions regarding our performance, please send us an e-mail and you are always welcome to drop in our office if you happen to be in Kolkata or in Gurgaon, any part of the time of the year. With this concludes the conference, and we appreciate and respect your participation. Thank you very much.

Moderator: Thank you. On behalf of Asian Market Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Techno Electric & Engineering Company Limited
Q2 FY'26 Earnings Conference Call"

November 13, 2025

MANAGEMENT: MR. P. P. GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – TECHNO ELECTRIC & ENGINEERING
COMPANY LIMITED

MR. ANKIT SARAIYA – DIRECTOR – TECHNO
ELECTRIC & ENGINEERING COMPANY LIMITED

MS. SHIVANI CHANDOK – VICE PRESIDENT,
STRATEGIC INITIATIVE AND INVESTOR
RELATIONSHIPS – TECHNO ELECTRIC &
ENGINEERING COMPANY LIMITED

MODERATOR: MR. SURAJ SONULKAR – ASIAN MARKET SECURITIES
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY'26 Earnings Conference Call of Techno Electric & Engineering Company Limited hosted by Asian Market Securities Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touch-tone phone.

Also, before we begin, we'd like to inform you that this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as of the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. I would now like to hand the conference over to Mr. Suraj Sonulkar from Asian Market Securities. Thank you, and over to you, sir.

Suraj Sonulkar: Good afternoon, everyone. On behalf of Asian Market Securities, we welcome you all to the Q2 FY'26 Earnings Conference Call of Techno Electric & Engineering Company Limited. We have with us today, Mr. P. P. Gupta, Chairman and Managing Director; and Mr. Ankit Saraiya, Director; and Shivani Chandok, VP, Strategic Initiative and Investor Relationships. I request Gupta ji to take us through the overview of company quarterly results, and then we begin with the Q&A session. Over to you, sir.

P. P. Gupta: Very good afternoon to all of you, and thank you for joining us to discuss Techno Electric's financial results for the quarter and the half year ended 30th September 2025. Before we begin, a short note on forward-looking statements, any comments on our future outlook should be read in conjunction with the risks and uncertainties that affect our industry and the company. The key operational highlights of this quarter basically are; a quick note on comparability, our results are not directly comparable quarter-on-quarter because of the project-driven nature of our business and the seasonality of execution. H1 generally contributes 40% of the full year revenue and H2, 60%.

This year, we are broadly in line with our guidelines. That is 40% of INR 3,500 crores FY'25 financial year 2026 targets. We remain on track to meet our H2 targets, supported by a robust order book and clear visibility of further opportunities in the T&D segment. Given the sustained growth in our order book over the past 2 years and a positive market outlook, we are now focused on consolidating operations to improve efficiency and scalability.

Coming to data centers, I'm pleased to inform-- report that the Phase 1 of the Jinnai data center was inaugurated in August '25 as the initial set of customers are being onboarded. The Gurgaon data center, the first to come online under our TEECLED C contract has commenced commercial operations. We have also started implementation of 16-megawatt gross load data center project in Noida by RailTel. This project is under a revenue share model, similar to our edge data centers.

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Financial update. It gives me a great pride to share that we remain firmly on course to meet our financial year '26 targets, even though this quarter tested our tire patience on construction ecosystem persistent across key regions for our projects located in Rajasthan, Ladakh, Maharashtra along with sector-wide hurdles including delayed site turnovers, evolving customer requirements and environmental challenges yet through vigorous planning, disciplined execution and focus on delivery and supply chain and climate change related challenges, we not only stayed resilient but successfully achieved our quarterly goals.

I will request my colleague Shivani, of VPIR, Strategic Initiatives to take you through our financial results. Shivani, will you like to take over?
Shivani Chandok: Thank you, sir. Thank you so much for the great start. I would now like to take you

through

our quarterly performance as well as the half year ended September '25 performance. So our revenue from operations for the 6 months-- I'll start with the 6 months performance. So revenue from operations stands at INR 1,352 crores with an EBITDA of INR 194 crores, which is roughly 14.4% of our revenue.

Our other income stands at INR 105 crores, PBT at INR 267 crores, PAT at INR 222 crores, which is 15% of our revenue. Our EPS for the 6 months ended September '25 stands at INR 21.21 per share, which is a 23.6% growth over the similar period last year. For the quarter ended September '25, our revenue from operations stands at INR 839 crores with an EBITDA of INR 158 crores.

The EBITDA margin on revenue is 13.8%. Our PBT is at INR 144 crores with a PAT at INR 123 crores, giving us a PAT margin of 13.9%. Other income during the quarter stands at INR 47 crores, giving us an EPS now at INR 10.61 per share for this quarter. EPS has grown around 34.6% over the previous year quarter.

With respect to our liquid investment and cash, our cash balances stand at INR 2,600 crores, which is roughly around INR 225 per share. Our order book remains to stand robust at INR 9,957 crores as at September, '25. We have received orders worth INR 400 crores for September as of till date.

Thus we can say that we have an order book of roughly around INR 10,350 crores plus. With respect to L1 orders, we are currently L1 on one of the projects by America at INR 300 crores and 2 by PGCL at INR 482 crores.

Sor roughly INR 782 crores, we are L1. We have various bids in the pipeline and are confident to get additional orders for around INR 1,500 crores in the current financial year, which includes the new data center as well as edged data center projects being built by us. This will take our total order intake for the current financial year to around INR 3,000 crores. Thus, we will have enough order to keep on the growth momentum.

The company has-- as you are aware, the company has achieved roughly 4x of our revenue growth in the past 3 years with only moderate rise in our manpower. We are now undergoing an extensive transformation and digitization driven to be data-driven for strengthening execution and to prepare for the next growth phase.

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Our focus remains on timely, high-quality project delivery, maintaining a INR 3,500 crore to INR 500 crore soft pipeline over the next 2 years. We continue to be selective in new orders in our focus segments while investing in upskilling our team, process efficiency as well as continuing with our cash flow discipline to ensure sustainable and profitable growth. Now-- we can now focus on the data center update for the same.

I would like to hand over to Mr. Ankit Saraiya.

Ankit Saraiya: Yes. So as we have informed, our Chennai Phase 1 was inaugurated in August '25. The first phase is of approximately 5.6 megawatts, and the total capacity of the project is 24 megawatts, which will be commissioned in phases as we continue acquiring customers.

And the Gurgaon Edged data center under the RailTel contract has also been commissioned, and we have started onboarding customers at our Chennai and the Gurgaon facility. Early adopters in Chennai include customers from media and entertainment industry, domestic cloud service providers and a few telecom players.

At Gurgaon, RailTel has consumed about 60% of the capacity and the remaining capacity will be used to provide private cloud and managed services, which materially increases our rack monetization, almost by 3x of pure co-location. The second edged data center in Mumbai is expected to be operational by the end of the financial year.

And parallelly, we have started construction of a 16-megawatt data center in Noida under similar partnership with RailTel as for edged data center and another 16-megawatt data center in Calcutta. In Chennai, we have also launched-- managed bare metal services and are receiving strong customer interest for this particular product.

Our data centers, especially the Chennai data center is natively designed for high-density power delivery on per rack basis. And this, we believe is a differentiated proposition for customers exploring high-density computing, which is quite relevant for deployment of artificial intelligence.

We are in active discussion with multiple customers who require high-density computing and look forward to exploring those opportunities. Given customer migration timeline, setup requirements and data center revenue, this year will be modest. We expect the data center vertical to contribute close to about INR 125 crores into pipeline during the financial year '27. Once the asset becomes revenue acc

retive, its impact will be apparent in the financials and can be analyzed at that time. Phase 1 of Chennai has been capitalized at INR 470 crores. And further in the financial year, we expect to spend around INR 85 crores to INR 100 crores on our ongoing DC projects, which are under construction in Noida and Calcutta.

On the outlook of the data center industry, India's data center industry is entering a phase of consolidation and maturation. According to recent report by Cushman & Wakefield, the country added approximately 160 megawatts of new capacity in the last 6 months, taking the total operational capacity to around 1,280 megawatts. The industry continues to operate at a healthy utilization rate of 80%, reflecting sustained demand and momentum.

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The market currently comprises around 28 active operators managing over 130 facilities, largely concentrated across seven key metros, which are Mumbai, Chennai, Bangalore, Hyderabad, Pune, Noida and Calcutta. Over the past 2 years, the sector has also begun expanding beyond traditional hubs with Tier 2 cities such as Ahmedabad, Lucknow, Patna, Jaipur and Chandigarh emerging as new destinations.

Adding further momentum, Google's recent announcement of a multi-megawatt data center campus in Visakhapatnam signals a new phase of large-scale investments. This move is expected to attract AI-focused global hyperscalers and technology firms seeking diversified and similar high-capacity locations across India and this possibly is the inflection point of the industry.

Given Techno Electric's expanding footprint in data centers across key Indian markets, we are uniquely positioned to deliver end-to-end integrated solutions. As we transition from being primarily a developer to an operator, our focus is shifting towards high-value service-led offerings such as cloud, managed services, bare metal services among others.

This strategic pivot not only enhances our customer value proposition, but also drives margin expansion and positions us as a differentiator, a full stack player in India, which is rapidly growing in the digital infrastructure landscape. To cover the transmission industry outlook, I'll hand it over to Mr. P. P. Gupta.

P. P. Gupta: Yes, India's power demand continues to surge, driven by industrial expansion, data center and digitization. In May 2024, the country recorded a peak demand of 250 gigawatt, the highest ever. Yet as generation rises, especially from renewables, the real challenge is transmission, moving power reliably across regions. India's grid spans 4.95 lakh circuit kilometers and 1.36 million MVA of transformation capacity with 118.7 gigawatt of inter-regional transfer capability.

You can refer to CA's report June 2025. Still over 50 gigawatt of renewable capacity remains stranded. The lack of evacuation infrastructure is posing all these challenges. To bridge this gap, the National Electricity Plan 2023 to 2032 calls for adding 1.9 lakh circuit kilometers of new lines, 1.3 million MVA of transforming capacity and estimated INR 9.1 trillion investment and which will include HVDC corridors, STATCOMs and renewable power evacuation. Policy momentum is strong. General network assessment in August 2025 streamlines grid assets and integrates storage and hybrid projects. Updated right-of-way guidelines, standardizes compensation at 30% of land value in rural areas and 60% in urban areas reducing delays in acquiring right-of-ways.

Meanwhile, the I-STL charge waiver for core locating charge storage and the 30 gigawatt of four battery storage medium schemes strengthen project economics and enable storage-ready grid.

The grid itself is turning smarter. The CA's PMU deployment guidelines push real-time data visibility while utilities adopt AI-based predictive maintenance drones and digital twins for faster, safer operations.

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Together, these measures mark the start of India's largest ever grid modernization.

Transmission is now both the bottleneck and the backbone of the power system, crucial to unlocking renewable growth and ensuring reliability. With a strong EPC track record, disciplined bidding and early move into digital grid solutions, Techno Electric is well positioned to benefit from this multi-year policy-backed transmission investment cycle.

Further, with the emergence of large-scale transmission projects and growing interest from long-term sovereign and infrastructure funds, we are evaluating strategic partnership at the

platform level, at the asset level to jointly bid for TCB projects and also expand our participation in competitive opportunities.

Our segment Smart meters, as you all know we are executing 2.5 million smart meter order book out of which 50% stands deployed. Balance will be completed in the coming year, maybe by September '26. The company's current priority is to ensure timely completion of all ongoing projects.

And given the recent pressure on margins in new tenders, we have adopted a selective bidding approach and are not pursuing additional projects at this stage, focusing instead on quality execution and operational efficiency within the existing portfolio. Our ongoing FGD projects are progressing as per schedule. However, due to policies inconsistency and delays in regulatory clarity, no new FGD tenders have been released in recent months.

The CA has come out with new guidelines classifying locations in A, B, C category where A category will be focused first, which are within the semi-urban towns with a population of 1 million plus and projects within 10-kilometer range. The company continues to monitor the situation closely and remain prepared to participate as and when new opportunities arise. None of our ongoing projects is impacted by these new guidelines. With this, I now put -- like that the floor be open to further detailing or anybody having any more requirement of information sharing is welcome.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from CA Garvit Goyal from Nvest Analytics. Please go ahead.

Garvit Goyal: Good afternoon sir. First question is on the guidance part. We have guided for INR 50 EPS for this year and INR 75 for next year. But just a confusion, like if I look at the continuing operation, consolidated EPS for first half, it is around INR 18.48. So what is giving you the confidence that this figure of INR 18.48 will be INR 50 by the end of this financial year? So that is my first question?

P.P. Gupta: Yes. You see our previous years' track record. As I said, quarter-on-quarter is not equitably distributed, number one. Number two, first two quarters are generally not more than 40% at which you can see our INR 50 guidance, we are already exceeding INR 20 plus EPS already in first two quarters. And if you see last year also, we are confident to achieve INR 50 plus as the EPS for the current year.

Garvit Goyal: So when you mentioned INR 50 EPS, are you speaking about the stand-alone including continuing or discontinuing?

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P.P. Gupta: Can you repeat your question?

Garvit Goyal: When you are giving the guidance of EPS of INR 50, so are you speaking about the stand-alone numbers, sir?

P.P. Gupta: Yes. More or less stand-alone or consolidated, they are nearly same with 0.5%, 0.5% here and there.

Garvit Goyal: No, because in first quarter, if I look at -- see, here are two things. One is the continuing operation, second is the discontinuing operations. So are we including the discontinuing operations as well while giving the projections?

P.P. Gupta: You see, that is obligatory to include, number one as a disclosure, but we are confident to achieve INR 50 of an ongoing operation. You take it that way.

Garvit Goyal: So in the ongoing operations, if I look at the consolidated financial numbers that you released for first half, we have done INR 18.48 EPS?

P.P. Gupta: Yes, you can take that INR 18.5 and it will be INR 50 by the year-end.

Garvit Goyal: Got it. And secondly, on the tax part, sir, I'm not able to understand the fluctuations in the tax rate. So can you put some color like spends some minutes maybe the CFO in explaining like how the taxation is working for Techno Electric, sir?

P.P. Gupta: Taxation is very normal. As per the rules, I had -- last time also, I guided you to take on an average in our case, tax applicability at 20%.

Garvit Goyal: 20% will be the tax rate for this year. That's what you are doing?

P.P. Gupta: Applicable on our pre-tax income, which includes other income also. What gets exempted is our dividend income. Dividend we earn as other income and dividend payout, both stands exempted. So on the actual bottom line, you pay a tax at 25%. And then a bit of adjustment on depreciation as applicable.

Garvit Goyal: Understood. So going ahead, for full year basis, it will be the uniform, 20% rate will be -- that's what you're saying?

P.P. Gupta: You can take a norm of 20%.

Garvit Goyal: Okay. And regarding the order inflow, sir, earlier, as far as I remember, we were targeting around INR 3,500 crores order inflow for this year. And now I think in the opening remarks, you had mentioned like

we will be getting INR 3,000 crores. So are you people witnessing any kind of weakness in the order inflows in the industry?

P.P. Gupta: Not at all. Question is we have sufficient business in hand. Want to have more juicy business INR 3,000 crores or INR 3,500 crores is hard to say -- it's only a number at the end of the day.

Maybe we end up more than INR 3,500 crores also. But just as a conservative approach we have, we only guided you INR 3,000 crores to INR 3,500 crores, you may take it, but may be it's

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close to INR 4,000 crores. The more issue is the execution today in the given challenges of supply chain, the climate change, readiness of the ground to deploy facilities. Enabling challenges are more than the capability to deploy them.

Garvit Goyal: Execution, so you are doing very good. The thing is only the margins. So what is your guidance for H2 margin, sir?

P.P. Gupta: We have always maintained 13% to 14% on an average and may be a little more depending on the mix of the job. So you can work on a guidance of about 14%, 13.5% to 14%.

Garvit Goyal: Okay. Got it. And lastly, on the data center part, Mumbai data center is further getting delayed. Like earlier, we were speaking about December. Now we are speaking about the end of financial year. And secondly, from Chennai data center also, the revenue is getting delayed as far as I am understanding. So how do people look at it like still we are maintaining the EPS target for FY '27 or that will further may be revised downwards?

P.P. Gupta: Ankit, would you like to answer this question?

Ankit Saraiya: Yes. So Bombay data center, as far as the schedule is concerned, we are still targeting it to be completed by financial year-end. We were earlier targeting it to be completed by December end, but because of delay in handover of land for a particular facility, the target has shifted. And regarding the revenue is concerned, we are pretty much on target as far as Chennai is concerned.

And we are confident that we'll possibly be able to deliver better than what is visible in the industry across. And anyway, those revenues don't have an impact on the EPS of FY '27 because we've maintained that whatever EPS that we've spoken about till date is without consolidating the data center numbers.

Garvit Goyal: Sir, one thing I need a clarification again, like although sir has mentioned, he has clarified like INR 18 consolidated from continuing operation will get near to INR 50. But when you say we will be consolidating data center operations, so are we currently consolidating any cost related to data center in our consolidated financial results, sir?

P.P. Gupta: Yes. In consolidation we have to do, but there is no financial impact considered what we are projecting to the market. INR 50 is purely out of the conventional business, ongoing business as EPS. This year, we are not factoring any EPS contribution from data center. It is only value-accretive business for us as far as the current year is concerned. But next year, some EPS may happen out of it, which we have yet not accounted.

Garvit Goyal: Got it. And lastly, one thing, sir. We requested for visiting for our NCR data center, but we did not get a response to our e-mail, sir. So can you connect us with the right people like to whom or to which I D we have to request it?

P.P. Gupta: Ankit?

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Ankit Saraiya: Yes, sure. So we'll connect with you once we have the database of joinees today. We'll specifically connect with you and we'll arrange for a visit.

Garvit Goyal: Okay, sir. That's fine and all the best for the future. Thank you very much.

Moderator: Thank you. The next question is from Ravi Naredi from Naredi Investment. Please go ahead.

Ravi Naredi: Sir, how is the smart meter business going on? Whatever investment in funding is required, how we arrange the funds in question? That is my question?

P.P. Gupta: You see, we are-- as you know, we are generally debt averse company. Presently, we are all funding it with our own resources, which we raised through the QIP. And we trust we'll be able to meet obligation of 2.5 million meters of the ongoing job out of our internal resources.

Ravi Naredi: Okay. And when our work will be many more multifold than how we arrange the fund?

P.P. Gupta: Look, we'll explore at that time whether we leverage it by borrowing or may be monetizing the commissioned assets. Some of them, we have not applied mind because at the moment, focus is 2.5 million meters job in hand to be completed by September '26.

Ravi Naredi: Understand. But I hope definitely in past, you did well. So this you also manage well. Sir, in data center

er, how much investment we did in Chennai?

P.P. Gupta: Ankit, would you like to answer?

Ankit Saraiya: Yes. The investment made in Chennai is approximately INR 450 crores to INR 470 crores.

Ravi Naredi: INR 450 crores to INR 470 crores. And what is the expectation for financial year '27 topline?

Ankit Saraiya: It will contribute anywhere around INR 125 crores.

Ravi Naredi: And what is the bottom line here?

Ankit Saraiya: I would take it at approximately 55% to 60%.

Moderator: The next question is from Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Thank you for giving the opportunity. Congratulations on continued strong execution. Sir, first question was again related to the order inflows. So you partially answered it, but just wanted to understand a little bit more. So I think our order book has stayed constant at around INR 10,000 crores for many quarters now. So one way to look at it, is that we are proactively

only not taking much orders because there is a limit to how we can execute these orders. And the other thing could be that there is some slowdown in terms of ordering because we are seeing government not prioritizing infra, power and all these areas. In general, the kind of orders that we were witnessing two, three years back, right now, we are not able to sort of see that growth. So if you can throw some more light.

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I mean, through your answer, I came to understand that maybe once we receive -- we reach INR 5,000-odd crore topline next year, we will have to again get aggressive about getting new orders if we were to grow from that level. So which of these scenarios is playing out, sir, if you can explain?

P.P. Gupta: Sir, look, these are all the perceptions and realities are very different. Look, sir, the issue is basically deployment. Somebody wins a concession, he has to deploy assets. He has to acquire rights of way and land parcels. And that is not easy in India given the realities on the ground.

And that is what I was sharing with you.

Now booking order, you can have -- you are a preferred supplier or vendor to Power Grid, Adani, Sterlite, Indi Grid or anybody as far as station is concerned. The question is you can pile up any amount of number as an order. What I am talking to you is an executable business. And that is more than sufficient for next two years for us at the moment. So we want to discuss business with you which is executable, something business as an order and still not visibility of execution is merely a number. That has no value to you and me as a company.

So please don't get confused. It's a long story in this market. Renewables is still a beginning, I will say. The whole ecosystem has to go through energy transition. And unless there is a proper grid, none of these projects are going to be successful. The present hindrance in the whole value chain in renewable energy is not renewable energy deployment or generation, but the grid. The grid is not available. Feeders are not available. They are not being made ready in time. So that is the challenge country is facing at an overall level.

So it's a small story. We want juicy business. We want quality business, a business which can happen in time. And we can make good bottom line out of it.

Sarvesh Gupta: So sir, soon that, sir, basically, let's say, in the second half of next financial year, we would have made another INR 7,500 crore revenues from the current order book. So I think that -- so basically, the way I'm understanding is that if we have to grow 15%, 20% FY '28 onwards, we can always get more orders. Right now, we are not taking as much because we can't execute if we take more.

P.P. Gupta: Dear, I think you have not studied our three-year track record. This one quarter performance of this company is equivalent to whole year performance of '23. Please look in that. We mentioned in our presentation in last three years, we have grown 4x. So it means what we do in 1 quarter now, three years back, we were doing in whole year.

So we are growing by no less than 40%, 50% a year, year-on-year, year-on-year. So kindly don't classify generally and generically. That is not good for us. So -- and we are a man-based industry, not something which is a machine-based industry like structure or like any other manufacturing transformer reactors, I can create capacity and harness it. We have to execute by the very manpower we deploy at different pockets of India.

So you don't have an unlimited capacity. You need a lot of discipline, integrity, a lot of processes and controls behind it. So it is -- it has its own ecosystem behind it. And we will

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continue to grow at 40% p.e

run at least for next two years, visibly. Then we have to get into a consolidation phase also to sustain that momentum.

In our industry, why Techno is better than others? Because we believe in contract closing more than contract bagging as an order book. Closing and realizing cash is more important to us.

Remaining debt free is more important to us. Serving our obligation to our stakeholders is more valued in our company.

Sarvesh Gupta: Understood, sir. That is well understood. Thank you for providing clarification. Sir, one more question was related to this data center. So now we have seen some record-breaking numbers being announced by the big companies in the U.S. to set up data center, for example, in Andhra Pradesh.

So is there an opportunity for us to be a preferred sort of EPC player as they build out these data centers? Or do we see that initially when they build it out, they will bring their existing partners in other geographies? How do we assess this sort of an opportunity?

P.P. Gupta: Ankit, will you like to reply?

Ankit Saraiya: Yes. Yes. You see -- let me put it this way that any company announcing an investment of close to \$15 billion in a single location is almost like developing a city in itself. And everyone

who has been part of the industry, whether as an EPC or an equipment manufacturer or a developer themselves, the reward of such an investment percolates to each and every person sitting in the industry.

But I would look at it from a much larger perspective that this is the first investment that has been announced of this scale and may not be the largest globally as well. But for India, it's quite significant. But what it does is it's opened floodgates to many such more announcements to come because we have caught the attention of the globe.

So today, it is Google and tomorrow, it will be OpenAI. And going forward, it will be many others. And somewhere or the other, the company stands to benefit from this kind of capital getting deployed in the industry. And it's very difficult to pinpoint whether that benefit will trickle down to us as an EPC, whether as an operator or how. But we can just think of where the industry is going.

If a single player is announcing an investment of \$15 billion and even if, let's say, four more players announce it, we are talking about a number close to \$70 billion to \$80 billion to be invested just on large-scaled data centers. Rest is yet to come. So it's a beginning, and it's a significant announcement for the industry. And let me say this is just the beginning of what we are seeing. And if we follow announcements in U.S. and Middle East and other parts of the globe, we are still to catch up to those tides.

P.P. Gupta: You see further, you kindly note the most exciting part is the power and data centers are today two sides of the same coin. So if 15 billion is happening as an investment, 5 billion will be on power infrastructure, not on data centers and data infrastructure. So for Techno, there will always be a Techno Electric & Engineering Company Limited

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good chunk of work either as a power infrastructure or as a data center. So we are in a very sweet spot as a capability in India in this space.

Sarvesh Gupta: Okay. And sir, finally, I think in one of the previous calls, you had mentioned that when it comes to renewable, the transmission requirement is almost 4x of that of thermal. So given that, sir, do you see that as an industry, we have enough supply side scale to match up to the kind of requirement that would be required here?

And at Techno, sir, how are we sort of increasing our own capability to be able to cater to that massive transmission side demand?

P.P. Gupta: You see, by now, it should be very clear to you what Techno Electric is good at and what it stands for. We are a zero manufacturing company. We only deploy facilities. So definitely, we are working in partnership with the supply chain people. They are definitely at the moment also stretched and they are booked heavily at the moment because of this very deployment of renewable power capacity, which is going at a rate of no less than 50 gigawatt a year now in the country.

So--but simultaneously, more capacity is also being planned and added by the very manufacturers. So at the moment, if you ask me, supply chain is definitely a bit constrained in some products. But Techno having a presence in this sector for the last four decades and relationship with all the suppliers gets us a kind of edge over many other new players.

So we are, by and large, able to manage our facilities here and there in time. Otherwise, how will we complete a project in 9, 10 months in Sikar or Dausa or Khambha and many other locations, which we earlier used to do in no less than two and a half to three years. So there are time

pressures. Compression is happening in the schedules and inputs are being arranged in time.

Moderator: The next question is from Mohit Kumar from ICICI Securities.

Mohit Kumar: Yes. Good evening, sir, and thanks for the opportunity. My first question is on the transmission pipeline. Is it fair to expect that the H2 and beyond H2 '27, the opportunity size remains sizable because the bidding for F'24 and F'25 for transmission were too high and most of the projects haven't seen the tenders as of now. Is it a fair assumption?

P.P. Gupta: I will say mixed. It is picking up. Yes, because of Pakistan war or other priorities of the government in between things were a bit astray, but it is back on track now. Every week, one or other concession is being settled or fixed. So, I see things are being on track now. And the government will be able to meet its obligations for the year before...

Mohit Kumar: My question was more on the tendering activity, sir, tending from the power grid, tending from the private IPPs. Are you seeing those opportunities multiplying?

P.P. Gupta: Absolutely. Absolutely. Absolutely, sir. They are...

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Mohit Kumar: So those guys are already shipping a large order book, right, be it Adani, be it the Power Grid, both have very large project pipelines. So do you think that those pipelines will get awarded and there will be higher opportunity for us as we enter the H2 and F'27. That was the question,

sir.

P.P.Gupta: Yes, yes. Mohit, you are perfectly right. We are in discussions with them. And we are already L1 in many tenders with Power Grid, but they generally don't announce it these days still they have fixed their own issues with, I would say, with big coordinators so they have acquired the SPV by then.

So we are working in close coordination with Adani, Sterlite as well as Power Grid who are larger stakeholders in this sector and who are good at delivering projects. Because more important to us also is you can do a project timely. That is very important in our sector.

Mohit Kumar: And sir, on the smart meters side, of course, the -- no bid has happened in last couple of years. But I think the Tamil Nadu, there's a bid which is likely to open. Then there is a bid in Delhi, which is likely to open, right? And there's a Punjab. So are we looking at those bids or these are not -- we are not comfortable with these geographies?

P.P.Gupta: Look, at the moment, the kind of aggressiveness we are seeing with the other bidders, we are definitely not comfortable at the rates quoted by others. Definitely, Punjab and Tamil Nadu are not the preferred location for political reasons.

And Tamil Nadu is anyway going for the election now, shortly. So I don't think this will happen so soon. Punjab, it may happen, I am not sure. But at the moment, our focus is lifted to 2.5 million meters completion and seeing satisfactory in operation.

Mohit Kumar: And on the data center, on Chennai data center, sir, have you started leasing out or renting out? Have you started booking or booking the rental income now? Or do you think it will start from after this fiscal year?

Ankit Saraiya: We start booking our first revenue from Chennai data center from the month of November onwards.

Mohit Kumar: Okay. Understood. Have you leased out the entire thing or still some part is pending?

Ankit Saraiya: No, we have leased out about, you can say, close to about 0.5 megawatt. And today, we are yet to lease out the remaining capacity. Having said that, we are in discussion with a couple of -- we have a couple of discussions ongoing, which are seeming promising to lease out larger capacity.

Mohit Kumar: Is it fair to expect that the entire capacity will get tied up in the next 6 months?

Ankit Saraiya: Yes, you can say that.

Mohit Kumar: Understood, sir. Thank you and all the best. Thank you.

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Moderator: Thank you very much. The next question is from Nikunj Bhanushali from Kosh Wealth Management. Nikunj Bhanushali, you may go ahead with the question. There seem to be no response from the line of Nikunj Bhanushali. We'll move to the next question. The next question is from Ashwin Patil from Intelligent Prosperity Solutions. Please go ahead.

Ashwin Patil: Good afternoon, sir. I had one clarification on the other income line item. Is it largely driven by interest income, subsidies, treasury gains or anyone-off item? And going forward, should we assume this run rate to be stable? Or is it likely to fluctuate? Thank you.

P.P.Gupta: No, we showed you in the beginning of the year, the income will be like of the last year. It will be plus/minus INR 150 crores. I

tis like a treasury income too. Also, it's a form of dividends and short-term capital gains and somewhat out of the interest income from the bonds, money parked in bonds, at least AA plus or AAA credit. So it will be around INR 150 crores.

Ashwin Patil: Okay, sir. Thank you.

Moderator: Thank you. The next question is from Shrey Gandhi from CRKothari & Sons Stock Broking. Please go ahead.

Shrey Gandhi: Thanks for the opportunity. My question is regarding the data center unit economics. If you could give details about the interest and depreciation, which we will see and how are you planning to fund the capex?

Ankit Saraiya: So currently, we are funding the capex for data center through internal accruals. And for some time, more, we will continue to fund it through internal accrual and that would be the plan for at least the next year or 2. And regarding the unit economics, as we've spoken about earlier in our calls as well that we can expect a top line of close to around INR 8 crores per megawatt and a margin of around 75%-odd.

Shrey Gandhi: And depreciation, like depreciation -- it will be depreciable over 10 years period, if I'm not wrong, as you mentioned in the last call?

Ankit Saraiya: Yes, it will be depreciable over -- I think it will on an average come to 15 years.

Shrey Gandhi: 15 years. Okay. And this EBITDA margin is including the power cost or it will be -- the power cost will be a pass-through, so we don't have any effect on our margins?

Ankit Saraiya: Power cost will be a pass-through in most cases. And in case it is not a pass-through, then obviously, it will have an impact on the margin because it will add to the top line and expense on an absolute basis.

Shrey Gandhi: Okay. And my next question is regarding the Chennai data center that we are planning to

commission in phases. So like you mentioned in the last call or may be last to last that you are planning 6 months--in every 6 months, you're replanning 6-megawatt installations. So are we still planning that? And how--what kind of capex are we looking for next 2 years?

Ankit Saraiya: I think in terms of Chennai, we will start our Phase 2 in the calendar year '26. And once every phase, we can expect an investment of close to around INR 225 crores to INR 250 crores going Techno Electric & Engineering Company Limited

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forward on total. It may not be the annual capex, but the total capex for each phase will be around INR 225 crores to INR 250 crores.

Shrey Gandhi: Okay. Okay. And my second question is regarding the other financial assets which we have currently. So what is the--what comprises of other financial assets like it has increased so much in this quarter. So if you can give a light on that?

P.P. Gupta: No, they are generally--you have to create a category called AH1 and those are largely the unbilled assets belonging to your smart meters because the concession is of a long-term 10-year nature. It can also comprise of certain work in progress of the ongoing projects. But it has not gone up. It remains at around INR 1,000 crores, INR 1,100 crores as it was in the first quarter or year closing also. So, it is more or less same. It will remain in that range only.

Shrey Gandhi: Okay. And my last question is regarding our plant to fund \$1 billion in data center. So how are we planning the debt to equity mix in the long time frame?

Ankit Saraiya: You can take--so obviously, at some point of time, we will look at an equity partner and hopefully a strategic partner. But having come so ahead in the industry and now reaching a point where we are building more products and services to be served out of our data center itself, we would like to mature out our own selves over the next 18 to 24 months before we seek an equity partner. While that is on the equity side, I can say that in industry on an average, we can--we'll see a debt of close to around 55%-odd and an equity of 45%. That is where the industry average will lie.

Shrey Gandhi: Okay, okay. And just a small thing [inaudible 0:56:06].

Moderator: We'll move to the next question. The next question is from CAGarvit Goyal from Nvest Analytics. Please go ahead.

Garvit Goyal: Hello. Am I audible?

P.P. Gupta: Yes, you are audible.

Moderator: Yes, sir. Please go ahead.

Garvit Goyal: Thanks for the follow-up sir. Just one question on the working capital side. In the consolidated cash flow statement, there is one line item, other assets that is basically reducing our cash flow from operating activities significantly. So I just want the outlook on a full year basis, like how our cash flow from operating activities are likely to be at the end of March '26, sir?

P.P. Gupta: It will be at the same level. Some will get billed out, some will--new ones will come in, but

the

number will remain more or less same.

Garvit Goyal: No, sir, I'm speaking about the cash flow from operating activities. So are you saying like same level, what do you mean by same level, sir?

P.P. Gupta: Yes. If you see the cash flow, we have capitalized our data center in September end and an invoice of about INR 400 crores was pending to be paid by the subsidiary, which was paid out

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on October 15. So it is only a interest rate correction. So if you correct by that, you will find that book that has come to the same old level, INR 700 crores, INR 750 crores.

Garvit Goyal: Okay. Maybe I will take that offline. I'm not able to understand it right now. Okay. That's fine.

And lastly, on FY '27, when we say we will be excluding data center business guidance from the total EPS guidance of INR 75, is it that in FY '27, may be the first year of its operation. Are we expecting a negative P&T or negative bottom line from the data center operation?

P.P. Gupta: We have not yet worked out the details, but I don't want to be speculative in this conversation. We'll talk about it when we are closer to the situation in around Q4 discussions of the current year.

Garvit Goyal: Understood. And sir, recently, there is a news regarding some renewable energy projects that didn't find any PPA or PPA agreement. So these projects are basically rejected. So how do you see the impact of this thing happening on the overall renewable energy adoption in India?

P.P. Gupta: That is what I'm saying. Mr. Goyal, you have asked this question as a first opener of the questionnaire, that the industry in renewable power is today stranded because of the evacuation not being in place, feeders being not in place, transmission being not in place.

The PPAs are not getting signed because of that. Unless any renewable power asset gets a connectivity, do you think it is a bankable proposition or a marketable proposition? That is the challenge industry is facing today that the transmission is a laggard in the value chain over generation.

So these issues since we are not planning these sectors seamlessly right from the location of the generation assets, the deployment of the generation assets and then matching it with the transmission facility in the nearby area and then the power flowing out to some distribution company or to industry, this will all, some mismatch will always happen with the time. And it has started, it is only a beginning.

So maybe presently, this may get covered up by the energy storage solution as much as the grid needs the energy storage also. So these issues are linked to our deployment in adequacies as a planning process.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference over to the management team for closing comments.

P.P. Gupta: Thank you very much for joining us today and for your continued trust in Techno Electric. The energy landscape around us is evolving rapidly, and we stand ready to lead with innovation, discipline and purpose from strengthening India's transmission backbone to building intelligent data center infrastructure.

Our focus remains clear to create lasting value through responsible growth. We believe progress is not about pace, but about purpose, choosing the right opportunities, executing with excellence and growing with integrity.

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With a strong foundation and a focused vision, Techno Electric is poised to power India's next phase of transformation. I would like to thank you once again for your confidence and continued partnership. Thank you very much.

Moderator: Thank you very much. With that, we conclude today's conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Feb 2026

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